Thirty Years Behind, Ten Years Ahead: An Economic Deduction

A Systemic Diagnosis Based on Thirty Years of Lived Experience

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This article is AI-assisted in writing and AI-translated.

A person who has lived in this system for thirty years

This is not an academic paper and does not provide data citations. Its entire source is the author's thirty years of life experience and ten years of structural verification.

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Abstract

This document is not an academic paper, but a systematic diagnosis based on the author's thirty years of lived experience and ten years of structural verification of China's labor market. Its core argument is that the economic advantages built over the past thirty years on "labor surplus" and "institutional failure" are becoming a structural burden, and the coming AOS (Artificial Intelligence Operating System) will completely sever the connection between people and production. The author asserts that workers have lost bargaining power because institutions are not enforced, and enterprises have fallen into a "race to the bottom," leaving rural laborers idle and young people unemployed upon graduation—an unsustainable system.

The document proposes shifting from "suppression" to "stress response." "Suppression" means the system does nothing, leaving workers to bear all pressure alone; "stress response" requires institutions to function again—strictly enforcing laws, redistributing wealth, and establishing social "safety net channels" to build effective feedback and protection mechanisms between the market and individuals. The author believes this transformation must be completed before AOS fully replaces human labor, or the displaced will have nowhere to go.

The author not only diagnoses China's problems but extends this logic globally. He believes the path China has taken is being repeated by Vietnam, India, and other countries, but the arrival of AOS will make their time windows shorter. The document treats China as a stress test sample, and its conclusions apply to any country whose core competitiveness relies on cheap labor. Ultimately, the author proposes a systematic plan covering institutional reform, wealth redistribution, and global industrial chain restructuring, emphasizing that whoever completes institutional stress response first will stand firm in the wave of technological assimilation; those who do not act will be bypassed by the global system.

Key Terms

Labor Surplus: Labor supply continuously exceeds demand, causing workers to lose bargaining power and be forced to accept any working conditions.

Institutional Failure: Laws are written but not enforced; violations go unpunished, rendering the institutions ineffective.

Race to the Bottom: Competition among enterprises is not based on "doing better" but on "pressing lower," continuously dragging down the labor baseline.

Low-Posture Strategy: A country attracts external capital and technology inflows by suppressing labor prices and relaxing institutional constraints.

Suppression: The system, through inaction or oppression, leaves workers with no choice but to accept the status quo—the core logic of the old system.

Stress Response: Institutions actively respond to pressure by enforcing laws, distributing wealth, and providing protections, rather than letting people bear it alone.

Safety Net Channel: Through taxation and redistribution, economic profits are returned directly to the bottom to maintain its consumption capacity and basic survival.

Being Balanced: Refers to an economy that does not operate autonomously but is pulled along by external demand (orders, investment).

AOS: Artificial Intelligence Operating System; in this paper, it generally refers to any intelligent automation system that can replace human labor.

Technological Assimilation: The experience learned by one AOS in one place can be replicated infinitely to all AOS, making experience no longer cumulative but synchronized.

Linear Institutions: An institutional form that operates along fixed paths without violent swings but lacks feedback mechanisms—for example, China and Vietnam.

Loose Institutions: An institutional form occupied by external factors such as religion and informal forces, losing its independence and enforcement—for example, India or Mexico.

Reflow Pool: A public fund pool formed by drawing a certain percentage of funds (e.g., 5%) at each level of transaction circulation, used for direct distribution to the bottom.

ASE (Companion AI): Unlike AOS, ASE is a companion agent that understands individuals' daily life, emotions, and needs—the trust gateway of the future market.

Trust Anchor: In the AOS era, the irreplaceable role humans play as "living beings" in communication, reassurance, and building trust.

Feedback Mechanism: A channel through which bottom-level information flows upward during institutional operation, enabling the top to understand policy consequences and make adjustments.

Steady State: After global industrial chain restructuring and institutional consolidation, a long-term, relatively fixed state characterized by maintenance rather than expansion.

Differentiation: The process by which countries are stratified into upper, middle, or lower tiers according to their institutional integrity, assets, and resources during the formation of the steady state.

Experience Synchronization: The core of AOS technological assimilation: technological progress and optimization at one node take effect instantly across all nodes, rather than spreading slowly.

Downstream Market: In this paper, refers to the consumer market of rural and urban bottom classes—the fuse and foundation for starting a positive economic cycle.

Reintegration Mechanism: For middle-aged people displaced by AOS, not only economic compensation is needed, but also retained positions in social roles.

Institutional Resilience: An institution's ability to buffer, adjust, and restore balance when facing external shocks (such as AOS proliferation).

Compliance Deformation: Enterprises formally comply with legal provisions (e.g., paying overtime) but adjust base wages and other means so that substantive exploitation remains unchanged.

The Logic of Capital: Capital's nature of pursuing lower costs and higher efficiency drives the proliferation of AOS and does not care about workers' fates.

Experience Gap: Latecomers only obtain the "result" of AOS assimilation (experience) without participating in the "process" (trial and error), leaving them able to execute but not to judge.

Physical Pollution vs. Chemical Pollution: Distinguishes the essential difference between "changing land use" (reversible) and "contaminating soil" (irreversible) in land management.

Sovereignty vs. Survival: The choice developing countries face between clinging to nominal independence or choosing to "attach" to more advanced institutional systems to ensure national survival.

Being Skipped: A country or individual bypassed by the mainstream of global economic and technological development, no longer needed, left in a forgotten state.

Basic Industry: Steel, chips, energy, and other "industries that make things"—the "skeleton" of the economy, which may flow back to developed countries in the AOS era.

Hollowing of Meaning: In a steady-state society, when survival is no longer a problem, the spiritual emptiness people experience from lacking goals, direction, and a sense of being needed.

Part 1: How We Got Here — The Past Thirty Years

1. Institutions: Constraints Written on Paper, and Responsibilities Unfulfilled

What is the original purpose of "law"? It draws a line. On this side is what is permitted; on the other side is what is not. This line is meant to constrain—to prevent enterprises from exploiting people endlessly for profit, to prevent capital from turning workers into consumables for efficiency. The meaning of an institution's existence is that its constraints actually function. If it exists but has no constraining effect, then what is the point of its existence?

This is not an abstract question; it is a verifiable one.

I spent ten years without finding a single job with weekends off. Simply because I didn't have a college degree. I tried for ten years, entered countless factories, companies, and enterprises — not one place offered weekends off, and I worked 10 hours every day. Ten years, not one or two years, but ten years. In those ten years I repeatedly verified the same thing: in this system, workers have no bargaining power. If I don't come, there are plenty of others who will. If I don't accept, there are plenty who will. Enterprises don't need to provide weekends off to recruit people, so they won't provide them. This is not the choice of any single enterprise; it is the default setting of the entire system.

If I don't come, there are plenty of others who will. If I don't accept, there are plenty who will accept.

I spent ten years without finding a job with weekends off, simply because I didn't have a college degree. Later I wondered: why do people in other countries basically

never work more than 40 hours a week? Because of institutions — the system would penalize them severely. That is the advantage of institutions. And us? I spent ten years without finding a job with weekends off. What more can be said?

The weight of this statement lies in the fact that it is not reasoning — it is fact. It is not a hypothesis; it is a verification that lasted ten years. The conclusion a person reaches after spending ten years repeatedly verifying the same thing is precisely that statement. The institutions exist on paper — the Labor Law stipulates working hours, the right to rest, and overtime pay. But when a person cannot use these provisions to protect their basic rights for ten years, it means these provisions are not functioning. The law exists, but it does not act. It does not penalize the enterprises that break the rules, so enterprises have no incentive to follow them. It only makes enterprises formally compliant, without requiring any substantive change.

But when a person cannot use these provisions to protect their basic rights for ten years, it means these provisions are not functioning.

The role an institution should play is: it provides a baseline that enterprises cannot cross. But when I spent ten years unable to find a job with weekends off, that baseline either does not exist or is not enforced. When enterprises can operate normally, profit normally, and expand normally without respecting the baseline, then the baseline is just a line of text, a slogan, a phrase written in legal provisions that no one takes seriously.

The authority of an institution does not depend on what it says, but on what it enforces. When enforcement is absent, even the most perfect provisions are merely decoration. The more decoration, the farther it is from the actual logic of operation. What is the consequence? The word "legitimate" gets redefined. What is legitimate? Not "no longer exploiting people," but "compliant with provisions." As long as the provisions are written vaguely and broadly enough, any behavior can be packaged as legitimate. The essence of institutions is constraint, not decoration. When constraint fails, the institution becomes an empty framework — it can be used to prove that everything is "legal," but it does not change anything substantive.

The essence of institutions is constraint, not decoration. When constraint fails, the institution becomes an empty framework.

Whether institutional constraints exist directly determines workers' bargaining power. Where institutional constraints exist, enterprises must follow the rules because the cost of violation is too high. Where institutional constraints are absent, enterprises have no incentive to follow the rules because there are no consequences

for not following them. My inability to find a job with weekends off for ten years is a direct manifestation of "no consequences." Enterprises don't need to offer weekends off to recruit people, so they won't.

This leads to a deeper question: when institutions do not constrain, what is the meaning of their existence? Compared to other countries, their institutions function while ours do not. When catching up, we should first fulfill our own responsibilities, then upgrade on that foundation. These are two dimensions. Institutions must first complete their most basic function — constraint and regulation — and only then can they do more advanced things on that basis. But if that basic function is not completed, any "upgrade" is merely superficial.

The fact is, this basic function is absent in many scenarios. The problem is not the provisions, but the enforcement. The institution itself is not playing the role it should play. The essence of law is constraint, but when it does not constrain, it becomes an empty existence.

2. Labor Surplus: A Structure Once Considered an Advantage, Now Becoming a Burden

Mainland China has a fundamental difference from South Korea, Japan, Taiwan, and Singapore. In places like South Korea, Japan, and Taiwan, labor is scarce. They have labor gaps and need to import foreign labor to fill them. But China is different — China has a labor surplus. There are too many people, so many that labor itself is not valuable.

To understand how "labor surplus" came about, you first need to understand one thing: a low posture is not a "strategic choice" — it is a position. When others' technology is more advanced than yours and you cannot keep up, you are in a low posture. This is not something you choose; it is where you are positioned. You are behind, so you are low. You cannot catch up, so you are low. Whether you admit it or not, this is the fact.

So why was "low posture" later understood as a strategy? Because when you are in a low posture position, what you do happens to look like a strategy — you lower yourself to let the water flow in. But in reality, you are already standing in a low place; you don't need to actively "lower" yourself, you just need not to block the water. You just need to loosen what was previously tightly restricted, and foreign technology and capital of higher levels will naturally flow in.

What did the government do? In one sentence: it just opened the door. It chose to open an opening in a low-lying area, and the water from upstream came down automatically. It didn't need to "create" any advantages; it just needed to "allow." Allow capital to come in, allow technology to come in, allow industrial chains to come in. It didn't "attract" foreign investment; it just stopped blocking it. It didn't "build" any competitive barriers; it just acknowledged that it had nothing. This is what the low posture looked like at that stage.

Why didn't the same thing happen in India? Not because India lacks labor, not because India is not poor enough. It's because India's political system is unstable. In an unstable system, even if you open the door, water won't flow in. The water that flows in might break the container. Political stability is a "container" — it ensures that when capital, technology, and industrial chains flow in, the container won't shatter. It ensures that what comes in can be absorbed, digested, and retained. Only then can you talk about "catching" what flows in.

So several conditions must exist simultaneously: political stability, so the container doesn't break; opening the door, so water can enter; and labor surplus, so there is something in the container to catch the water. None can be missing.

So how did the labor surplus itself come about? Was it manufactured? Not entirely. It was "allowed" to exist. From the outside, you see several population policies, a household registration system, and an education system that produces tens of millions of graduates every year. You might say these are mechanisms for "manufacturing labor surplus." But you need to see clearly: the purpose of these mechanisms is not to "manufacture surplus," but to "keep the surplus from being consumed." When foreign capital and technology surge in, you need enough cheap people to catch them. So you cannot let all the population flood into cities, you cannot let everyone receive higher education, you cannot let people flow freely. You need to maintain the structure. You need to keep some people in the countryside, keep some people with only basic education, keep some people unable to put down roots as they move. This way, when external demand for labor arises, you can release a batch at any time. When external demand is absent, they can still go back to the countryside — at least they won't all starve.

This is the essence of labor surplus. It was not "created"; it was "preserved." The system, through the household registration system, education, social security, and land systems, keeps some people in a "standby" state. They are not "surplus people"; they are "reserve people." When the global economy needs cheap labor, they become

workers. When the global economy doesn't need them, they return to the countryside and become farmers. They are always "mobilizable," not "protected."

This structure was considered an advantage for the past thirty years. When labor supply far exceeds demand, prices are pushed down — this is the most basic market law. Enterprises can recruit people at extremely low costs because if you don't come, plenty of others will. This state of "labor surplus" gave China a huge cost advantage in the global industrial chain. The same product costs less to produce in China because labor is cheaper than elsewhere. This logic worked well for the past thirty years — it supported the "world factory" status, supported export-oriented economic growth, and supported urbanization.

Thirty years ago, when China entered the global market, it had no technology, no brands, no management experience, no global channels. What it had was people — lots of people, cheap, young, willing to work. So labor surplus was treated as an advantage, because it was almost China's only bargaining chip in global competition.

From the 1990s to the 2000s, a worker in a coastal factory earned a few hundred yuan a month. The same worker in Taiwan earned a few thousand, and in Japan, tens of thousands. For one order, a Chinese factory could quote a price 30% to 50% lower than competitors. The brand owner would calculate: for the same quality, producing in China could save half the cost. So the orders came, factories opened, machines started running, and migrant workers flooded from the countryside to the cities. This process turned China from an agricultural country into the world's factory within twenty years. GDP grew more than tenfold, hundreds of millions of people were lifted out of absolute poverty, and the urbanization rate rose from 30% to over 60%. Without labor surplus, none of these achievements would have been possible.

But what is the essence of this "advantage"? It is that the bargaining power between labor and capital has been permanently tilted. Workers have no choice, so they can only accept any conditions. If I don't do it, plenty of others will. If I don't accept low wages, plenty will accept. If I don't accept having no weekends off, plenty will accept. This is not one person's predicament; it is every worker's predicament. Because what I face is not a single enterprise, but the oversupply of the entire labor market.

What is bargaining power? It is the ability to say "no" in a transaction. You go to the market to buy vegetables, you think it's too expensive, you can say "I won't buy it" and go to the next stall. That's your bargaining power, because you have a choice. You go for a job interview, you think the conditions are too poor, can you say "no"?

Yes. But the "no" you can say is completely different from the "no" you say at the market. Saying "no" at the market just means going to another store. Saying "no" in the labor market might mean no income for the next three months. The prerequisite for bargaining power is having enough buffer to bear the consequences of "no." If you have no savings in your account, if next month's rent is not yet secured, if your children's school fees are waiting — you simply don't have the qualification to say "no." You can only accept.

This is why labor surplus destroys bargaining power. When there are dozens or hundreds of people like you waiting to take your position at any moment, enterprises simply don't care whether you accept or not. You leave, the next one comes in. You refuse, the next one accepts. You don't even need to "leave" or "refuse" — just show a hint of hesitation, and the enterprise can sense it, thinking: this person isn't "flexible" enough, we won't hire them next time. This state persisting for thirty years produces a kind of "learned helplessness." You try countless times and find that no matter what you do, the result is the same. You begin to believe: it's not a problem with a particular enterprise; the entire system is like this. It's not a problem with a particular position; all positions are like this. It's not a matter of luck; you "can only be like this." This belief is more terrifying than having no wages. Without wages, you can still say "I'll find something better." But when you believe you "can only be like this," then you truly can only be like this. You stop trying to find better, because you believe there is nothing better. You stop fighting for your rights, because you feel you don't deserve them. You stop imagining another possibility, because you have already made "no weekends off" the default setting of your life. This is the deepest harm of labor surplus: it doesn't just lower your wages; it crushes your imagination. You no longer believe that "a better life" is possible.

This is the race to the bottom.

Race to the bottom means: there is no "minimum standard" in the system; the standard keeps dropping. As long as someone is willing to accept worse conditions, others are forced to accept worse conditions. Enterprises don't provide weekends off because someone is willing to work without them. Enterprises don't provide social security because someone is willing to work without it. Enterprises don't pay overtime because someone is willing to work without it. Every time someone accepts worse conditions, the baseline is pulled down one notch. Then everyone must accept worse conditions, because those who don't accept have already been eliminated by the market.

We can draw this process as a ladder:

Level 1: An enterprise starts extending working hours. Because of labor surplus, workers dare not refuse and accept.

Level 2: Other enterprises see this and also start extending hours. The one that doesn't extend has relatively higher costs and cannot survive.

Level 3: Workers' hours get longer and longer, but wages don't increase correspondingly. In fact, wages per unit of time are decreasing.

Level 4: Workers have no more time to rest, consume, or live. Their purchasing power declines. The market begins to shrink.

Level 5: The market shrinks, and enterprise orders decrease. To maintain profits, enterprises further exploit remaining workers, extending more hours and cutting more costs.

Level 6: More workers are laid off. Those laid off have no income and stop consuming. The market shrinks further.

Level 7: The remaining workers bear increasing pressure. Their health begins to fail, their families begin to suffer, their mental state begins to deteriorate.

Level 8: The system is stuck in a state of "long hours, low consumption, low employment, high stress." No one is satisfied, but no individual can change it by their own power.

This is the race to the bottom. Where is its "bottom"? Before the system collapses, there is no bottom. As long as institutions do not constrain, this ladder will keep extending downward.

This is the race to the bottom. Where is its "bottom"? Before the system collapses, there is no bottom.

The role of institutional constraints here is like a dam. Water flows down from upstream; without a dam, it flows to the lowest places, faster and faster, eventually washing away everything downstream. A dam does not "block" water — it "guides" water, letting it flow along established channels, not overflowing, not washing away what shouldn't be washed away. Institutional constraints are that dam. They don't "block" the labor market; they "guide" it. They prevent enterprises from arbitrarily extending hours, so working time doesn't grow indefinitely. They prevent enterprises from arbitrarily lowering wages, so wage levels don't fall indefinitely. They prevent enterprises from arbitrarily firing workers, so employment opportunities aren't arbitrarily destroyed. When the dam exists, the flow is controllable. Working hours

are controlled around eight hours, wages grow with productivity, and employment opportunities are distributed to as many people as possible. When the dam doesn't exist, the flow is out of control. Competition among enterprises becomes a contest of "who can push lower." Competition among workers becomes a contest of "who can accept worse conditions." Then the entire system is washed away.

Institutional failure means cracks have appeared in the dam. The cracks don't appear all at once; they accumulate bit by bit. At first, an enterprise doesn't give weekends off, and no one intervenes. Later, an enterprise doesn't pay social security, and no one intervenes. Still later, an enterprise uses workers as temporary labor for ten years, and no one intervenes. Every time "no one intervenes," the crack grows a little larger. Water seeps through the cracks, more and more, until eventually the entire dam is washed away. And the dam's maintainer stands right there, doing nothing. Not because he is "pressing down" on anyone — he just does nothing.

Now we need to distinguish one thing: "not letting you get up" and "not caring whether you get up or not" are two different things.

"Not letting you get up" is suppression. Someone is stepping on you from above; you know where he is, you know what he is doing. You at least have someone to resist. "Not caring whether you get up or not" is absence. No one is stepping on you, but no one is pulling you up either. Whether you get up is your business; whether you can't get up is also your business. What you face is not an enemy, but a vacuum. You can't shout out, not because someone is covering your mouth, but because no one is listening. You can't stand up, not because someone is pressing on your shoulder, but because no one is pulling you up.

The importance of the rule of law lies in restraining the powerful to balance the weak. When law enforcers do nothing, the vulnerable groups remain vulnerable. The law is still there, the provisions are still there, the words on paper are still there. But the law no longer functions. When the powerful cross the baseline, no one stops them. When the weak are crushed, no one supports them. The law becomes a decoration, an empty shell. And the result of "doing nothing" is not "neutrality." The result of doing nothing is that the strong become stronger and the weak become weaker. Because the powerful can expand on their own without institutions, while the vulnerable groups have nothing without institutions. The absence of law enforcement is itself a direction — it tilts toward the powerful side.

This is the fundamental reason why labor surplus became a problem in China. Labor surplus itself does not automatically become a problem. When Japan had a

labor surplus, its institutions functioned. When South Korea had a labor surplus, its institutions functioned. When Taiwan had a labor surplus, its institutions functioned. Institutional constraints controlled the destructive potential of labor surplus, confining it within the scope of a "temporary phenomenon." But China's institutions, at the time when labor surplus was most severe, were in a state of "failure." Not "the institutions are broken" — the institutions aren't broken, the provisions are still there, the laws are still there. What failed is enforcement. And the reason enforcement failed is that those occupying enforcement positions chose to do nothing.

Why choose to do nothing? Because "doing" carries risks. "Doing" offends people. "Doing" severs some relationships. And "doing nothing" is the safest — no one will punish you for not enforcing, but if you do enforce, you might be transferred, sidelined, or ostracized. So "doing nothing" becomes the optimal choice. But what is the cost of "doing nothing"? The institutions are rendered meaningless. Workers cannot find weekends off for ten years. Those who want to do things cannot get in. Problems in the system accumulate until they crush everyone.

"Doing nothing" has another side: in some places, they "do too much." When it's time to enforce labor law, they don't move. When it's time to distribute subsidies, insiders take first. When a project should be publicly tendered, it's assigned to acquaintances. Many infrastructure projects and construction works — outsiders cannot get involved; it's all about connections. This cannot be summarized by the four words "institutional failure." This is the system forming a complete structure of interests between "not managing where it should manage" and "mismanaging where it shouldn't." Inaction and rent-seeking are two sides of the same thing. Inaction is to avoid offending people, to maintain relationships, to avoid trouble for oneself. Rent-seeking is to use power for personal gain, to turn public resources into private returns. These two things together form a complete system: keep power for yourself, push responsibility onto others.

This system could operate during the low-posture phase. Because external capital was flowing in, there was a large amount of cheap labor internally, the entire system was expanding, and problems were covered up by growth. But when growth slows, external inflows decrease, and labor begins to be in surplus, the cracks in this system are exposed.

Now these cracks are too large to ignore. Middle-aged people in rural areas have no jobs and rely on their children. Young people graduate only to be unemployed, or do jobs they fundamentally don't want to do. After Lin Dong is replaced by AOS, he

has nowhere to go. Institutions fail in the old system, and they also fail in the face of the new system. They have not protected those who were eliminated, have not constrained over-expanded capital, and have not created new positions for those who have lost their footing.

Labor surplus was once the pillar supporting the system. Now this pillar is crushing the system itself. Not because the pillar has changed, but because the system has changed — more precisely, the system should have stood up but didn't. And the reason it can't stand up is not that someone is stepping on it — it's that the system simply doesn't care whether you get up or not. It occupies that position, doing nothing. It neither suppresses you nor helps you. You are merely ignored. And in this vacuum of neglect, powerful capital faces no resistance, and vulnerable workers have no support. When AOS arrives, those who are replaced have no buffer, no transition, no destination. The system doesn't care where they go.

This is the true meaning of "becoming a burden." Labor surplus itself doesn't become a burden. What makes it a burden is institutional failure, the absence of law enforcement, the choice to "do nothing." It is the system occupying its position without fulfilling its duties, leaving those who should be protected exposed to the naked forces of the market.

The question now is: when the system realizes this burden is suffocating it, can it still stand up? Can it start fulfilling its duties again? Can it rebuild the dam that has already been washed away? No one knows the answer. But what is certain is: continuing to do nothing, continuing to be absent, continuing to let the law be an empty shell — the labor surplus will keep pressing down until the entire system collapses.

China has made great progress. This does not need to be denied. In the past thirty years, GDP has grown more than tenfold, hundreds of millions have been lifted out of absolute poverty, and high-speed rail, highways, ports, and power grids — the whole world can see these changes. But these advances are not isolated. All countries in the world are progressing — some faster, some slower, but all moving forward. If only your country were advancing while others stood still, could your "progress" still hold? No. Because your progress is not happening in isolation; it is happening within a global system.

America has always been there. It is a country others cannot surpass, not because others don't try hard enough, but because while others are advancing, America is also advancing. It leads in technology, monopolizes capital, and sets

standards in rules. You chase it, but it is also running forward. Every step you take, it may have already taken half a step. You can never catch up, not because you aren't running, but because it was ahead of you from the start, and its speed is not slower than yours.

So what have we been doing? We have been "catching up." We exchange our labor for its capital, our market for its technology, our time for its experience. What is the essence of this process of catching up? It is "being balanced."

What is "being balanced"? It means: your labor price is always kept at a level that is just enough to get by. You won't starve, but you won't get rich either. You won't completely collapse, but you won't truly stand up either. Your income is growing, but so are prices. Your GDP is growing, but your purchasing power is not keeping pace. Your consumption is growing, but so are your debts. Every step forward you take, the system pulls you half a step back. You are not "progressing"; you are "being balanced" — always kept at that position of "just barely not going wrong."

How does this "being balanced" happen? Through capital.

For example, you sell domestic goods abroad. The precondition is that foreigners are willing to invest their capital here and buy our products. When they buy your products, for them it is an exchange of equal value — they pay money and get the products they need. But for the system, the significance of this process is not just "exchange." The money they pay becomes your foreign exchange reserves; the goods they buy become your export data; the factories they build here become your jobs. But all of this has a precondition: they are willing to come. And the precondition for "they are willing to come" is that you are cheap enough — your labor is cheap, your land is cheap, your resources are cheap. As soon as you are no longer cheap, they stop coming. They can go to Vietnam, to India, to Bangladesh, to any place cheaper than you.

So "being balanced" means: you have been placed in a position that is just enough for you to survive, but not enough for you to stand up. Because once you stand up, you are no longer "cheap." And once you are no longer cheap, capital flows to the next cheaper place.

This is the true meaning of "low posture" in the global system. You are not "choosing" a low posture; you are being placed in a low posture position within the logic of global capital.

So what gives you a little room for "wiggle"?

Not labor itself. It is people. It is the living people — they are not "costs," not "resources," not "factors of production." They are people. A person can endure low wages, long hours, and poor conditions for a very long time. But people have a limit. When a person finds that after a lifetime of hard work they still can't afford a house, after a lifetime of labor they still have no security, after a lifetime of toil they still see no future — they stop and start doing the math.

Young people do the math and choose to lie flat.

Middle-aged people do the math and choose not to have children.

Elderly people, beyond the ledger, find they are already outside the system.

When enough people start doing this math, the system faces a problem: these people are not consuming, not working? The population is decreasing, but also continuously growing? How does it maintain operation?

China's greatest advantage is not its large population. A large population is just a base number. What truly enables this system to operate is political stability. This type of system is linear — it does not swing violently, does not change frequently, does not go one direction today and another tomorrow. It has continuity, it has predictability. Capital likes predictability. You don't know which direction the next policy will lean, but you know it won't overturn everything overnight. This kind of stability itself is a scarce resource.

The real problem with this system is not how long it can sustain itself. The real problem is the way it operates.

Have you noticed a fundamental difference: what European countries and those defined as developed places do is completely different from what we do.

They have no so-called "suppression." They don't need suppression. What they do is: build the law on the foundation of "enforceability." When a rule is written in law, it is actually enforced. When an enterprise violates labor law, it is actually penalized. When a worker files a complaint, the complaint is actually processed. Rules are not "written on paper and left there"; rules are "written down and someone will enforce them."

This sounds simple, but its consequences are far-reaching. When the law is enforceable, when rules are truly binding, the system doesn't need to "suppress" anything. Because the rules themselves function. Workers don't need to fight for their rights through confrontation — they just need to invoke the law, and the law will speak for them. Enterprises don't need to use "connections" to circumvent rules

— because rules are rigid, and connections can't get around them. Law enforcers don't need to "choose whether to do it or not" — because not doing it is itself dereliction of duty, and dereliction is subject to accountability.

This is a system that operates "along with human nature."

What is "along with human nature"? Human nature needs a sense of stability — the predictability of rules gives people stability. People need a sense of security — the protection of law gives people security. People need a sense of dignity — being treated as a person rather than as a tool is dignity. A system that operates along with human nature doesn't need suppression to maintain order, because order itself is what most people want. You don't need to hold a person down; they will choose to follow the rules on their own — because following the rules is more beneficial to them, and breaking the rules will cost them.

But our system is the opposite. It is a "linear institution."

Why linear institution? Because its logic of operation is not "protection" but "tolerance."

It tolerates enterprises not enforcing labor law. It tolerates workers being exploited. It tolerates law enforcers doing nothing. It tolerates rules being treated as decorations. It does not punish those who violate, it does not protect those who are harmed. It treats "doing nothing" as the normal state and "doing something" as an extra requirement. When you want to fight for your rights, you find yourself facing not "legal provisions" but a wall — behind the wall is a vacuum of "doing nothing," where it doesn't matter whether you shout or not, because no one is listening.

Linear institution means: when a worker has worked hard for ten years and finds that he cannot even get weekends off, this frustration is not his fault, yet it becomes his burden to bear. When he finds himself replaced, eliminated, forgotten, the system's attitude is not "we should protect you" but "figure it out yourself." People's basic needs — stability, security, dignity — in this system, must be solved by oneself, or cannot be solved at all.

European countries and those defined as developed places are not because they are "better." It's because they chose a different path: making the law truly useful, making rules truly enforced, making order truly come from constraint rather than suppression. This path follows human nature; it doesn't need suppression, because the rules themselves are the strongest constraint.

But we walk a different path. This path doesn't need the law to be binding; it only needs the law to exist. It doesn't need rules to be truly enforced; it only needs rules to be written down. It doesn't need to protect workers; it only needs workers to have no choice. It doesn't need the system to respond to people's needs; it only needs the system to continue operating.

This is the essence of the linear institution: when people's needs can go unseen, unresponded to, unfulfilled, and the system can still operate, then operation itself becomes a consumption of people.

3. China, South Korea, Japan, Taiwan, and Singapore: Two Different Paths

You once clearly distinguished between the two:

Did Taiwan, South Korea, and Japan lower their posture? No. They simply adapted to the economic systems of Western countries. That is stress. And us? We practice suppression. They are completely different things.

This distinction is extremely precise. South Korea, Japan, Taiwan, and Singapore all walked the same path — the path of "adaptation." They aligned their economic systems and industrial structures with the Western system, embedding themselves into the Western-dominated global division of labor. This was a natural embedding, but also a systemic subordination. They achieved economic development, but at the cost of political autonomy and even security sovereignty. They were assimilated by the Western system — their economic logic, industrial layout, technical standards, and even some cultural forms were shaped according to the requirements of the Western system. They are not the center of the industrial chain; they are the supporting parts of it. They traded adaptation for immunity from sanctions, for the import of institutional frameworks, for civilizational advancement, and for sustained economic growth.

Singapore is the most thoroughgoing example of this path. It has no burden of "low posture"; it has been a node in the global system from the very beginning. Its legal system is built on the foundation left by the British, its finance follows the West, and its security depends on the presence of the United States. It does not pursue "standing up"; it pursues "standing steady." It gave up autonomy in exchange for certainty. Its institutions are hard, its enforcement is strict, and its rules are truly binding. When a rule is written there, it is real. If you violate it, you will actually be

penalized. If you file a complaint, someone will actually handle it. It does not need suppression, because the rules themselves function.

South Korea, Japan, and Taiwan follow a similar logic. They go along with the Western system, embed themselves in it, and become part of it. They paid a price, but they also gained something: institutional stress. Their laws are enforceable, their rules are binding, and their workers are protected. When a shock comes, their institutions can buffer, protect, and restore balance. A worker in South Korea, Japan, Taiwan, or Singapore can expect that the law will protect him, that rules will be enforced, and that the baseline is real.

But China walks a different path.

China, while maintaining its political and cultural subjectivity, chose the path of "low posture." It is not adaptation; it is absorption — lowering its posture to let Western technology, capital, and industrial chains flow in, then retaining them, digesting them, and turning them into its own.

A low posture leaves others with no cards to play. You place yourself in an underestimated position, making all of your opponent's 'attack methods' seem like bullying the weak, while you quietly absorb everything of value.

When a system lowers its posture enough, to the point where it is like a low-lying area, water naturally flows to the low ground. Technology flows in, capital flows in, industrial chains flow in. Those Western countries have more advanced technology, more mature capital, and more powerful enterprises, but they struggle to deal with a low-posture opponent, because their attack methods are all built on the premise of "you fight me." When the opponent does not fight you, but just crouches there catching the water you spill, all your attack methods seem like bullying the weak.

This path was effective at the beginning. It traded suppression for autonomy, low posture for nourishment, and labor surplus for cost advantage. But this path has reached its end. Because "being balanced" cannot make you truly stand up, a linear institution cannot keep running forever, and AOS is blocking the last remaining road.

The path of Japan, South Korea, Taiwan, and Singapore, though subordinate, has living institutions. China's path, though autonomous, has linear institutions — they exist, but do not act; they move forward, but do not respond to stress.

This is the essential difference between the two paths. It is not about "which is more advanced" or "which is more correct"; it is about "how your institutions

operate." One path lets the stress of institutions protect the people walking on it; the other path makes people follow the linear institution, and when they can no longer walk, they are left behind. You can only choose one, or more precisely: you are already on one of these paths, and whether you can switch is no longer something you can decide.

4. The Cost of a Low Posture: Suppression and Its Backlash

A low posture comes at a cost. Maintaining a low posture requires suppression. Suppression of thought, suppression of information flow, suppression of free expression, suppression of social organization. These suppressions are the conditions under which the "low posture" can operate — without this system of suppression, the nourishment attracted by the low posture would also bring in Western values and rule systems, ultimately leading to the outcome of "assimilation."

Someone once told you that without China's low posture, how could you have the life you have now? But did Taiwan, South Korea, and Japan lower their posture? No. They simply adapted to the economic systems of Western countries. That is stress. And us? We practice suppression. They are completely different things. (Cited from Section 4 "The Cost of a Low Posture")

Suppression prevented China from being assimilated by the Western system, but it also came at a cost. If the main purpose of suppression is to maintain the low-posture strategy, preserve the labor surplus structure, and suppress workers' bargaining power, then when the external environment changes, the benefits of suppression diminish, but the costs of suppression continue to accumulate.

This system maintained a delicate balance: trading suppression for autonomy, trading low posture for nourishment, trading labor surplus for cost advantage. The three supported each other, forming a seemingly stable structure. But now, this structure is failing. Because the cost of suppression is rising, the returns from low posture are diminishing, and labor surplus is turning from an advantage into a burden. All three legs are loosening.

I mentioned something earlier that is worth reconsidering: when we suppress labor and maintain a low posture, we are actually creating enormous profit space for AOS, allowing them to grow. This is a structural backlash. Using suppression to maintain low posture, using low posture to maintain the labor surplus structure, using labor surplus to maintain cost advantage — but suppression itself creates a condition: when labor-replacing technology emerges, it finds the most ideal soil for

growth. Because the system is filled with "replaceable labor," and what AOS replaces is precisely labor.

There is something deeper here that I need to say out loud.

Maintaining a low posture requires suppression, but suppression is not a uniform thing. It has layers. The outermost layer is "controlling what should not flow in" — preventing Western values, rule systems, and social organization methods from penetrating in, keeping the system's interior pure. The second layer is "maintaining the labor surplus structure" — keeping the population sufficiently mobile, keeping labor supply sufficient, keeping prices sufficiently low. The third layer is "suppressing workers' bargaining power" — not allowing workers to organize, not giving them the qualification to say "no," not letting them turn the institutions on paper into real protection.

Each of these three layers of suppression corresponds to a "benefit": the first layer preserves autonomy, the second layer preserves cost advantage, and the third layer preserves the sustainability of the low-posture strategy.

But each layer also corresponds to a "backlash."

The first layer's backlash: you controlled what should not flow in, but you also controlled what should have flowed in. The flow of thought is restricted, the flow of information is cut off, the vitality of innovation is suppressed. The system becomes increasingly closed, increasingly unable to absorb new things. You blocked the tide, but you also blocked the oxygen.

The second layer's backlash: you maintained the labor surplus structure, but you also created a state of existence where "no one has a choice." When workers have no choice, they have no motivation to improve; without motivation to improve, there is no accumulation of skills; without accumulation of skills, there is no industrial upgrading. You preserved the cost advantage, but you also locked yourself into that cost advantage.

The third layer's backlash: you suppressed workers' bargaining power, but you also created a system that "does not need to respond to people's needs." When institutions do not need to respond to people's needs, institutions become linear — they push forward, but they do not protect the people walking on them. When workers are replaced, the institutions will not protect them, because the institutions never protect anyone; they just keep running.

Then AOS arrived.

AOS does not need freedom of thought, does not need information flow, does not need workers' bargaining power. It only needs one condition: labor that is cheap, replaceable, and without choice. And this is precisely the condition that the low-posture system created.

This is the full meaning of "backlash." Every layer of suppression you established is paving the way for AOS's growth. You blocked what should not come in, but you also blocked what could help you resist AOS. You maintained the labor surplus, but you also created AOS's most ideal replacement targets. You suppressed workers' bargaining power, but you also demolished their last wall of defense.

This is not a conspiracy. No one sat in a meeting room saying "we need to suppress labor to pave the way for AOS." This is structural — you made a choice, and the consequences of that choice were invisible at the beginning, irreversible in the middle, and unavoidable at the end.

Suppression created the soil for AOS, and "doing nothing" made AOS grow faster. The people occupying positions do nothing, doing the safest thing — neither offending capital nor protecting workers. Then the system, in the vacuum of "doing nothing," is reshaped by the forces of AOS and capital.

You maintained a balance for thirty years on a low posture, and now that balance is being broken by AOS. And the force breaking it is precisely what you created to maintain the low posture. This is backlash — the thing you wanted to hold on to is becoming the thing that crushes you.

5. The Conclusion That Took Ten Years to Verify

I spent ten years without finding a single job with weekends off. Not because I didn't work hard enough, not because I wasn't willing to learn, not because I was unfit for work. In those ten years I entered the labor market countless times, was screened, rejected, and accepted countless times, but every time I had to face the same reality: I was not facing a market constrained by institutions; I was facing a market with no bottom line.

I spent ten years without finding a single job with weekends off. Not because I didn't work hard enough, not because I wasn't willing to learn, not because I was unfit for work.

You tell me, what is the role of institutions? What is the role of the rule of law? The law is meant to constrain these enterprises to operate within a proper system. What is proper? When it no longer exploits people, then it is proper.

What is proper? When it no longer exploits people, that is proper. This is a redefinition. It pulls "proper" back from "compliant with provisions" to "substantively reasonable." Using this standard to measure reality, you will find that much of what is written in institutions, in laws, in documents as "proper" is not actually proper — it merely complies with the text of the provisions, but does not change the substance.

This is what I repeatedly verified in those ten years.

What does ten years mean? It means more than three thousand days, means hundreds of interviews, means dozens of jobs, means countless nights of overtime, means standing up again after every rejection, walking into the next factory, handing out that resume again. Ten years is not a period of time; ten years is the price one person pays to repeatedly confirm the same thing in a system. If I had only spent one year, you could say I was unlucky; if I had only spent three years, you could say I lacked ability; if I had spent five years, you could say I hadn't found the right direction. But I spent ten years. I tried every road I could — working in factories, delivering packages, working as a security guard, delivering food — every place I could get into, I got into. Every door, I knocked on. And then I discovered: it wasn't the door's problem; it was the building's problem.

In those ten years, I repeatedly confirmed several things.

The first thing: institutions are written on paper, but they are not functioning. The Labor Law stipulates weekends off, but enterprises do not provide them, and there are no consequences. The Labor Law stipulates overtime pay, but enterprises do not pay it, they just lower your base salary. The Labor Law stipulates social security, but enterprises pay at the minimum rate, or simply do not pay at all, and there are no consequences. Every time I open those legal provisions, I feel that what is written on the page and the world I live in are two different worlds.

The second thing: workers have no bargaining power. In every interview, every job negotiation, I only had one choice: accept. I never had the room to say "no." Not because I dared not say it, but because after I said it, there were a hundred more people waiting outside the door. Every time I heard "if you don't come, plenty of others will," I thought — why? Why am I in a position where I can be replaced at any moment? Why, after ten years of effort, do I still have no room for choice?

The third thing: the race to the bottom is the default operating mode of this system. The way enterprises compete is not "who does better" but "who pushes lower." Push down wages, push down working hours, push down social security, push down safety standards — whoever pushes the lowest survives. You enter one factory, no weekends off; you switch to another factory, no weekends off; you switch again, still no weekends off. You realize this is not one enterprise's problem; the entire market is like this. All enterprises compete beneath the same baseline, and that baseline keeps sinking.

The fourth thing: institutions have an extremely hidden way of deforming. Many enterprises now pay overtime, and it is completely compliant in form — the pay slip clearly says "overtime pay," and it has not broken the law. But how is it given? They first lower your base salary, then use overtime pay to fill the gap. Originally you worked 40 hours and got 5,000 yuan; now your base salary becomes 2,500, and you work another 40 hours of overtime to get 2,500 in overtime pay, totaling 5,000 yuan. The money you receive has not increased, but the time you put in has doubled. If you don't work overtime, you can't even get your original income. You hold the pay slip, and every item on it is correct: base salary, overtime pay, social security deductions — every item complies with the provisions. But your life has not changed. You still have to work longer hours to survive. You still have no weekends off. You still have no choice. You have merely been pushed from a state of "non-compliance" to a state of "compliance" — and the compliant side and the non-compliant side are substantively the same position.

This is the most hidden way institutions deform. They do not "fail"; they "deform" — from "not paying you overtime" to "paying you overtime but lowering your base salary." From "clearly illegal" to "formally compliant." It makes you hold the pay slip unable to say what is wrong, because when you open the Labor Law, not a single provision has been violated. But your situation has not changed at all. You are being exploited in a compliant way.

The fifth thing: the word "proper" has been redefined. Proper is no longer "not exploiting people" but "compliant with provisions." As long as the provisions are written vaguely and broadly enough, any behavior can be packaged as proper. The enterprise follows the literal meaning of the law, but it does not change the substance. You take the legal provisions to the factory to argue your case, and they tell you "we are compliant" — then you open the provisions and find that they do not explicitly say it is not allowed. So you understand: the law is there, but it does not

act. It exists, but it does not protect you. It can even be used to prove that exploitation is "legal."

These five things are what I confirmed, inch by inch, over ten years.

The conclusion I verified over ten years is: in this system, institutions do not constrain enterprises, workers have no bargaining power, and the race to the bottom is the default logic of operation. Institutions are not "non-existent"; they are "existing but not acting." They occupy that position, with those provisions written down, but they do not enforce them. And what is more insidious than "inaction" is "deformation" — it can be fully compliant in form while leaving the substance completely unchanged.

When I spent ten years in a system unable to obtain the most basic things, the institutional constraints of that system must be failing. This is not a problem of "institutions are not perfect"; it is a problem of "institutions have never functioned at all." What is the difference? The former says "we haven't done well enough"; the latter says "we never intended to do it."

It took me many years to be willing to admit this. Because admitting this means that my previous efforts — those nights of overtime, those rejected interviews, those journeys from one factory to another — they were not my fault. I had been blaming myself: blaming my lack of education, blaming my lack of ability, blaming my bad luck. But the truth is: it was not that I was not good enough; it was that this system was never designed to let me be well.

What was verified in those ten years is now being verified by more and more people. The young people who cannot find jobs, the middle-aged people replaced by AOS, the elderly in rural areas with no work and only their children to rely on — every experience they go through repeats the conclusion I verified all those years ago. The institutions have not changed; they are still written on paper, still not acting, still sitting there occupying the position and doing nothing. And when you try to use the institutions to fight for your rights, you find that the institutions have quietly "deformed" — they are compliant in form, but your situation has not changed at all.

I spent ten years verifying one thing: in this system, workers have no bargaining power, institutions do not constrain enterprises, and the race to the bottom is the default operating mode. This conclusion was earned with ten years of my life. It is not an opinion; it is a fact.

6. Where the System Has Arrived

I am now in the countryside, and what I see is: most of the middle-aged people around me, and those older, basically have no jobs. What do they rely on to get by? Their children. And how difficult their children's lives are — you can imagine.

This is not an isolated case; it is a structural phenomenon that is spreading. The labor surplus structure has been operating for thirty years, and now, more and more people are being excluded by this structure. They do not have jobs, not because they are not trying, but because the system no longer needs them as labor. But the system still needs them as consumers — this is the only way to sustain domestic demand. When more and more people are neither producers nor consumers, this system will begin to devour itself.

This scene itself is the starting point of economic deduction. I don't need to look at data, I don't need to look at statistical reports; I only need to look at the life around me to know where the system has arrived. Those people are not isolated cases; they are the inevitable result of the system's operation up to this point.

The first picture is the middle-aged people in the village. Around fifty years old, their bodies are still okay, but they cannot find any formal work. Factories don't want them — too old. Construction sites don't want them — not strong enough. Security guard jobs reject them for their appearance. Cleaning jobs reject them for being too slow. They are not "picky about jobs"; they simply have no jobs to pick from. They sit at home, from morning to night. Occasionally someone calls them for a day of odd jobs — moving things, fixing up a house — earning a hundred or two hundred yuan, but that kind of work is not available every day. Most of the time, they just sit there, watching the time pass.

The second picture is their children. Those children are around thirty years old, working in the cities. Some in factories, some delivering food, some driving for ride-hailing services. It's not that they don't want to come back; they can't come back. If they come back, there is no income, and without income, the family collapses. They send one thousand, two thousand, three thousand yuan home every month — that is what they have saved. They themselves are also being squeezed — hours getting longer, income becoming more unstable, at risk of being replaced at any moment. But they dare not stop, because if they stop, their parents would have no one to rely on. They are not "living"; they are "holding on."

The third picture is consumption in the village. Things at the small shop are not selling. There are fewer people at the market. In the past, the village could be lively

for a few days during the New Year; now the New Year is just so-so. It's not that people don't want to buy; it's that they have no money to buy. The commercial activity of a village is shrinking, not because there is no demand, but because demand cannot be turned into purchasing power. You want to buy, but you have no money. You want to eat better, but you cannot afford it. So the economy of the entire village dies little by little.

It did not become like this suddenly. It became like this slowly. Over thirty years, the labor surplus structure turned some people into "reserve people" — when there were orders, they were workers; when there were no orders, they were farmers. They switched back and forth, always surviving, but never truly stable. Then AOS arrived. Orders no longer needed so many people. They lost even the qualification to be "reserve." They became "surplus people" — the system does not need them and does not care where they go.

This cannot be summarized by the four words "economic downturn." An economic downturn is cyclical; after the trough, it can come back. But what is happening here is structural — the system has pulled out the support from the bottom, the bottom has collapsed, and the top collapses with it.

Ten years from now, those who are fifty now will be sixty. They still cannot find work, but their children — those in their thirties and forties — may not have work either. AOS has replaced some, factories have automated more, and food delivery and ride-hailing have become saturated. The children are not unwilling to support their parents; they themselves are barely able to support themselves.

What will the countryside look like twenty years from now? Those who are sixty will be seventy. They have not paid much into social security in their lives, have no savings, no assets. What can they rely on? Their children? Their children may no longer be in this system. One family, two generations, with no one to fall back on. The entire chain has broken. And at the place where the chain broke, no one is there to catch it.

This is where the system has arrived. Not "almost there," but "already here." Standing in the countryside, what you see is the current state of the system. Those sitting people, those holding-on people, the emptied villages, the disappearing shops — these are all the evidence of where it has arrived.

And it will keep moving forward. It will not stop.

7. Why This System Is Losing Its Balance

This system maintained a balance for thirty years. Institutional failure allowed enterprises to exploit labor, labor surplus allowed the exploitation to continue, and the low-posture strategy allowed external resources to keep flowing in. These three things reinforced each other, forming a seemingly stable structure.

But now, this structure is losing its balance.

Losing balance is not "suddenly breaking down"; it is "slowly becoming unsustainable." It is like a person carrying something very heavy for thirty years. When he reaches the thirtieth year, his knees start to creak, his back starts to ache, his breathing starts to labor. It is not that he collapses all at once; it is his body telling him: you cannot keep carrying this anymore.

Let us start with the first loosened muscle: the returns from a low posture are diminishing. Thirty years ago, you lowered yourself, and water flowed in. But now, thirty years later, the West has seen through the essence of this strategy. They have begun to tighten technology exports, restrict capital flows, and adjust industrial chain layouts. You are no longer a "low-lying area" — you have grown into a huge lake, the water level is rising, and those around you are wary of you.

The second loosened muscle: labor surplus is becoming a burden. In the past thirty years, labor surplus was an advantage. But now production is automating, needing fewer and fewer people. Those who were once "labor" have now become "people who need to be supported." The system needs them to consume, but the system does not need them to produce. This is a structural contradiction.

The third loosened muscle: the consequences of institutional failure are spreading. Institutional failure is not a one-day or two-day affair. It is thirty years of accumulation. At first it was just "no weekends off," then it was "no social security," then it was "no stable position," and now it is "no job at all." Every failure was never corrected; every problem was covered up by "growth."

After these three muscles loosen, the system can no longer hold up. Because they support each other. The low posture brought in capital and orders; capital and orders needed labor surplus to handle them; labor surplus needed institutional failure to maintain low prices. These three things are locked together, like a three-legged stool. Now all three legs are loosening.

If you ask me "why now," the answer is simple: because the tipping point has already arrived. The system has reached the stage where it "can no longer cover up

its problems." Before, growth was fast, problems were wrapped up and invisible. Now, growth is slow, they can no longer be contained, and all the cracks are exposed.

And these cracks are still widening. Not because someone wants them to widen, but because no one is repairing them. The people occupying the positions do nothing, neither offending capital nor protecting workers. They sit, they watch, they wait for the cracks to heal themselves. But cracks do not heal themselves. They only grow larger and larger, until the entire structure splits apart.

This is the entire reason this system is losing its balance. It is not an external shock, not an accidental event. It is the path it has walked for thirty years, arriving at a position it can no longer sustain on its own.

8. Why AOS Is Inevitable

On why AOS is inevitable — this is a question that needs to be fully unpacked.

I once said a sentence, and take this sentence as the starting point of the entire deduction:

If I don't bring it out, someone else will. They may not do it as well as I can. But whether I do it or they do it — it's not about whether it gets done, but about who does it better.

The premise of this statement is: AOS will inevitably appear. If not me, then someone else. Where does this "inevitability" come from? It comes from the pressure of the system itself.

When a system has long relied on suppressing labor surplus to maintain its operation, when institutional failure allows enterprises to endlessly drive down labor costs, when workers have spent ten years unable to find a job with weekends off, when middle-aged people in rural areas have essentially no work and can only rely on their children — this entire structure will produce an inevitable outcome: it will squeeze out something that can replace it.

Technological evolution has a definite direction: replacing "humans as labor." In the industrial age, machines replaced physical labor. In the information age, systems replaced repetitive mental labor. And what AOS is doing is replacing the entire concept of "humans as employable labor" itself.

This is not a technological determinist view; it is an economic determinist view. The greater the system's dependence on labor, the stronger the pressure of labor problems turning back on it, and the greater the motivation to replace it. China is

the world's largest labor market and the most extreme country in terms of labor surplus. When the global direction of technological evolution is "replacing labor," China will become the most affected market — not because technology targets China, but because China's structure happens to be the very structure that technological evolution is set to replace.

The judgment was made very clearly:

With the spread of AOS, regardless of the type, they essentially replace labor as a support. I think China's biggest problem is that they are still using the old methods to deal with the market, while the market has already changed.

What were the old methods for dealing with the market? The low-posture strategy under institutional failure, maintaining the labor surplus structure, and suppressing labor costs to maintain export competitiveness. But the market has changed. The global market no longer needs the "cheapest labor"; it needs the ability to "produce without people." When the underlying logic of the market changes, the old methods become ineffective.

Why is AOS inevitable? Not because the technology is mature, not because someone wants to invent it, but because the system has reached a critical point where it must have this thing to continue operating. The old methods have been exhausted, new methods have not yet been established, and the gap in between is the space where AOS grows.

Even with reform, the speed of reform can no longer withstand the volatility that AOS will bring to the market.

Why can't reform stop it? Because reform is patching and mending within the old framework, while AOS is redefining production from the ground up. When the logic of production changes, patching and mending become meaningless. You can raise the minimum wage, but AOS does not need a wage. You can limit working hours, but AOS does not need rest. You can increase social security, but AOS does not need social security. All reform measures are built on the premise that "people are still labor," and AOS directly deletes that premise.

Now I need to push this logic one level deeper, to let you see the deeper reasons why AOS "will inevitably come."

The first level: Capital needs it.

Capital's nature is to pursue lower costs, higher efficiency, and greater profits. In a system of labor surplus, capital can reduce costs by exploiting labor. But when

labor costs have been squeezed to the minimum — when a person already works 12 hours, receives minimum wage, and has no protections — where else can capital squeeze out profits? From technology that replaces labor. AOS requires a one-time investment, after which there is almost no ongoing wage expenditure. It does not get sick, take leave, demand weekends off, complain, or organize unions. For capital, AOS is not a "choice"; it is the "way out." Not because it is better, but because the old path has reached its end. Capital does not need AOS to "progress"; it needs AOS to "survive."

The second level: Global competition needs it.

You receive an order. If your competitor uses AOS and their costs are 30% lower than yours, what do you compete with? By having workers work overtime? By suppressing wages? Those methods are already exhausted. A factory using AOS can operate 24 hours a day, with no shifts, no social security, no overtime pay. Its quotes can be lower than yours, its quality higher, its delivery faster. If you cannot keep up, the order is theirs. This is how the global market works — whoever has the lowest cost survives. AOS is the thing that "makes costs lower." If you do not push it, someone else will. When someone else pushes it, you are finished. This is not a question of "wanting to use it or not"; it is "use it and you might survive, don't use it and you will surely die."

The third level: The system itself needs it.

This is the most essential level, and also the most easily overlooked.

When a system has long relied on suppressing labor surplus to maintain its operation, it inevitably faces a contradiction: there are more and more people, but fewer and fewer positions that need people. You cannot keep everyone in a "standby" state, because standby consumes — they need food, housing, and medical care. And the cost of maintaining them is exceeding the value they can contribute as labor. They are no longer "resources"; they have become "burdens." The system needs a way to "solve" this problem — not solving "how they live," but solving "what to do when the system no longer needs them." AOS is that solution. It allows the system to continue operating without those people. When the system no longer needs people, it no longer has to bear the cost of people. This is the "necessity" of AOS at the system level — it allows the system to extricate itself from the predicament of "labor surplus," from the burden of having to feed a large population. It is not for making life better; it is for keeping the system running.

So what does it need? It needs something that can replace those people. AOS is that thing.

These three levels together form a complete driving force:

Capital needs it to reduce costs. Global competition needs it to maintain orders. The system needs it to shed the burden of labor.

Three forces pushing from three directions simultaneously — AOS cannot fail to come. It does not even need anyone to "invent" it — it is already on its way, just not yet landed. What you see is a technological problem; what I see is a systemic problem. Technology is just an outlet; what truly drives it is the system's own pressure.

You once asked a question: "Some people say, wouldn't it be fine if we just don't push AOS to the market?"

You answered it yourself: "If I don't bring it out, someone else will. They may not do it as well as I can."

This statement is not just for AOS; it is for the entire system. Even if you do nothing, AOS will come. Its "inevitability" does not come from anyone's will; it comes from the system's own pressure. The system has reached a place where the old methods are exhausted and new methods must emerge. AOS is that thing that "must emerge."

And your role here is not the "promoter," but the "path paver." The path you pave determines whether, when AOS comes, those who are replaced are cast out or caught. This is not a technical problem; it is a choice. And you have already seen that choice. What you can do is what you are already doing.

This is why AOS is inevitable. Not because you want it to come, but because it is already there. You are only deciding where you stand when it arrives.

9. What Happens When AOS Enters the Market — A Deduction Through One Person

The structure has been explained. Now let us apply it to a specific person.

Imagine a man named Lin Dong. He is 35 years old, with a secondary specialized education, and has worked in an electronics factory in Shenzhen for ten years. His job: fix a phone case onto a fixture, press a switch, the machine automatically drills holes, then take it off and place it on the conveyor belt. He repeats this action over

three thousand times a day, for ten years. He earns six thousand yuan a month, has no weekends off, no year-end bonus. For over ten years, he has always worked six days a week.

Ten years ago, when Lin Dong first entered the factory, there were three hundred people. Later, machines increased and people decreased. Automated equipment replaced most operators, but he remained, because what he did was not yet easily replaceable by machines at that time — the drilling machine still needed manual adjustment for different fixture sizes. He became the person who did the adjustments. He felt he had "upgraded" from an operator to a technician.

But what he did not know was how difficult it was for him to learn fixture adjustment, and how fast AOS learns. Traditional automation equipment adjustment requires repeated trial and error, accumulating experience. Lin Dong took three years to master the adjustment of thirty different fixture sizes. AOS does not need three years. A single AOS running in a simulated environment for one day equals half a year of human experience accumulated in practice. When AOS is deployed to the factory, it can complete in one hour all the skills Lin Dong took three years to master. And it does not get sick, take leave, demand weekends off, or complain about low wages.

By 2028, the factory management made a decision: to automate the last link that needed human adjustment. They introduced new equipment equipped with an AOS core. The setup took only three weeks — not AOS learning, but engineers configuring AOS parameters. Three weeks later, Lin Dong's position was gone.

Lin Dong is 35 years old. After junior high school, he went out to work — construction sites, delivery driving, factory work. It took him ten years to learn fixture adjustment. He only has a secondary specialized education, no college degree. He has never systematically learned new skills. All his technical accumulation applies only to that one type of equipment on that one production line. When he leaves that production line, his skills reset to zero. He does not know where to go next. At home, he has two children in elementary school and a mortgage. His wife works as a cashier at a supermarket, earning four thousand yuan a month.

Lin Dong is not one person. He is a type of person that will appear repeatedly over the next decade. Between 35 and 45, with low or medium education, having worked in manufacturing or services for over ten years, having mastered a specific operational skill that is now being replaced by automation. Their biggest problem:

their skills are not being replaced by more advanced general skills, but by machines that need no skills at all. They are not candidates for "transformation," because transformation requires learning new things, and they have no time, no resources, no energy to compete with people in their twenties who just graduated.

There is a critical judgment point in Lin Dong's story: when AOS begins to replace people, where do the replaced people go? After Lin Dong leaves the factory, where can he go? The same thing is happening everywhere: supermarket checkout counters are becoming self-checkout, his wife's position is also precarious; delivery stations are becoming unmanned, the number of delivery workers is decreasing; food delivery is becoming drone delivery. The employment space for people with low or medium education is being squeezed from all directions. Their original employment options — factories, logistics, supermarkets, restaurants — are all being infiltrated by automation.

Now I need to add a section about the months after Lin Dong was replaced — what he did, what he thought, how his life changed little by little.

The day Lin Dong was notified of his layoff was a Wednesday. No advance notice, no negotiation. HR called him to the office, handed him a piece of paper, and said, "The company is restructuring. Your position has been eliminated." He asked about compensation. HR said it was not in the contract. He asked if he could transfer to another position. HR said other positions were full too. When he walked out of the office, holding that piece of paper, his mind was blank. He went back to his workstation to pack up. The people around him were all watching, but no one spoke. When he walked out of the factory gate, he looked back at the building — he had stood in this building for ten years. Now he was out, and this building no longer needed him.

The next month, he looked for work. He went to the labor market, browsed job websites, asked former coworkers he knew. But no one gave him a chance. Thirty-five years old, secondary specialized education, only debugging experience from an electronics factory — this combination had zero competitiveness in the labor market. He submitted fifty resumes, received three interview invitations, and was not hired by any. One interviewer told him directly: "At your age, learning new things is too slow. We want young people." Lin Dong said, "I learn fast." The interviewer smiled and said nothing.

The second month, he began to panic. The mortgage had to be paid, the children's school fees were due, his parents' medication could not be stopped. His

wife's salary at the supermarket was four thousand yuan. After the mortgage, only a little over a thousand was left — not nearly enough to feed the family. He started taking odd jobs — helping with moving, working as a temporary security guard, doing day labor on construction sites. These jobs were not available every day, and the pay was very low. He went from being "a person with a stable job" to "a person scrambling for any work." Every night he lay in bed, not thinking about "what to do tomorrow," but "how to get through this month."

The fourth month, his wife was also laid off by the supermarket. The supermarket had installed a batch of self-checkout machines, keeping only two people to manage them. She was not one of those two. Both of them unemployed. Lin Dong said, "It's okay, I'll find something," but he knew he could not find much anymore. He started delivering food — not because he wanted to, but because it was the last industry he could still enter. He worked over ten hours a day, earning three to four thousand yuan a month. Half of what he made at the factory, but at least enough to get by.

The sixth month, he started doing the math. If he kept running like this, ten years later he would still be the same. No accumulation, no improvement, no future. His knees started to hurt, but he could not stop. If he stopped, the family would have no income. He began to wonder: Why did everything I spent ten years learning suddenly become worthless? I worked hard, I learned, I did everything I could — why am I still pushed to this place?

To this question, he had no answer.

This is Lin Dong's story. It is not "fiction"; it is what is happening right now. Lin Dong is you, is me, is anyone without a choice. AOS does not replace "a position"; it replaces a position that took a person ten years to build. It does not replace just a job; it replaces the entire foundation of survival that a person accumulated from age 23 to 35. When that foundation is pulled out, there is nothing underneath — no social security, no savings, no skills, no way out.

And Lin Dong is not alone. He is the first wave. Behind him, there is a second wave, a third wave, a fourth wave. When the 35-year-olds are replaced, there are still the 40-year-olds, and the 45-year-olds. Each wave is more desperate than the last, because the previous wave could still deliver food, but the next wave cannot even deliver food anymore.

Ten years ago, you could not find a job with weekends off. What you see now is: Lin Dong does not even have a job with a single day off. This is the extension of the

trend. The direction you see is accelerating. And the end point of that acceleration is not "worsening working conditions"; it is "the disappearance of work."

Lin Dong's story is the first page of that end point.

10. What Different Age Groups Will Encounter

Different age groups face different situations. Not everyone faces the same impact at the same time. But this impact will unfold by age group in stages, and each group's coping ability and consequences will be different.

Now I will elaborate on each age group.

Ages 18 to 22 — those who have just graduated or are about to graduate, with junior high or high school education.

They are the first group to face the impact of AOS. Because when they enter the labor market, a large number of entry-level positions are disappearing. Restaurant servers are becoming QR code ordering, front desk reception is becoming self-service terminals, factory assembly lines are becoming automated production lines. Their options are narrower than ten years ago, while the number of competitors has not decreased. Ten years ago, you could not find a job with weekends off; ten years from now, they may not even find a job with a single day off. Not because they are not good enough, but because those positions themselves are disappearing.

Imagine an eighteen-year-old young person, a junior high school graduate, coming from the countryside to the city. He thought the city was full of opportunities — that was how his parents' generation lived. But when he arrived, he found that factories are not hiring. Restaurants do not need waiters. Logistics does not need porters. Most of what he could do has already been done by machines. He can only squeeze into the remaining positions, competing with thousands of others like him for a temporary job. He gets one, works a few months, is replaced, and scrambles for the next. He has never been stable from the start. He has never had a choice from the start. He has known from the beginning: this system has no place for him.

The biggest difference between their generation and Lin Dong's generation is this: Lin Dong at least had ten years of "stable" work — exhausting, low-paid, but at least there was a place to go. But these young people today cannot even touch the threshold of "stability." They are on the margins from the start, in the gaps, in unstable temporary states. Their youth is not "growing"; it is "being consumed."

When they are consumed up, they will become the next batch of "useless young people."

Their future way of living will be extremely difficult. They have no savings, no assets, no network to rely on. They can only scramble for orders in platform algorithms, for work in the temporary labor market, and squeeze into fewer and fewer positions. Every year is more crowded than the last, every year is harder than the last. Their cost of living is rising, but their income is falling. They will find it increasingly difficult to support themselves. And supporting themselves is just the minimum standard of living.

Ages 22 to 30 — young people who have worked for a few years, with associate or bachelor's degrees.

Their situation is more complicated. On one hand, they have more skills than new graduates and are still valuable for now. On the other hand, their skills are being replaced by AOS at an accelerating rate. Accounting, customer service, translation, junior programming, administration, legal assistance — these jobs that once required a college degree can now be mostly done by AI. They face a squeeze between "being replaced" and "transformation." Transformation takes time, energy, and learning new things, but many people do not have this luxury. Their mortgages, car loans, and family expenses do not allow them to stop.

Imagine a 25-year-old, a college graduate who has worked as an accountant for three years. Each month, he pays five thousand in mortgage, two thousand in car loan, fifteen hundred in rent, and two thousand in living expenses. His monthly income must stay above ten thousand, or he will default. He suddenly hears that AI can do reports, reconciliations, and tax filings — and his boss is considering cutting half the accounting staff. He panics, but he dares not stop. He must keep working, because stopping means no income. He cannot quit to learn new things, because learning takes time, and he has no time. He can only work while worrying, watching AI grow stronger day by day, watching the work he does become "replaceable" day by day. He does not know when his turn will come; he only knows that day is approaching. What can he do? He can do nothing. He can only wait. Wait to be replaced, then figure out the next step. But that next step, he has not figured out yet.

The biggest predicament of this generation: they do not "lack skills"; their "skills are being learned by the system." What took them three or four years to learn, AOS masters in months. Their accumulation is depreciating, and the depreciation is

faster than the accumulation. They are not "climbing stairs"; they are "standing on a descending escalator." They struggle to go up, but the escalator takes them down.

Their future way of living will be extremely difficult. They carry debt, family expectations, and society's definition of them — "you are a college graduate, you should have a decent job." But decent jobs are disappearing. They can only move downward, to do those "undignified" jobs — but those jobs are also shrinking. Their dignity and their income decline simultaneously. Every day they live, they watch the things they once believed in shatter one by one. After they shatter, they still have to keep living.

Ages 30 to 40 — middle-aged people like Lin Dong, with secondary specialized, high school, or associate degrees.

They are the group most directly impacted. They have over ten years of work experience, but this experience is highly specialized. They are familiar with one particular device, one process, one industry's specific operation. Once that operation changes, their experience depreciates. They do not have the time to relearn like younger people, nor the general theoretical foundation to support transformation like those with higher education. Their situation is exactly what you once said: "On one side, labor has become cheaper; on the other side, labor has nowhere to go."

Imagine a 35-year-old who has worked as a debugger for ten years. He thought he was a "technician," but the things he did, AOS learned in an hour. When he was replaced, he found he had nothing — no degree, no general skills, no savings, no direction. His only "skill" applied to just that one machine. And that machine no longer needed him. He does not know where to go next. Deliver food? His knees already hurt. Drive for a ride-hailing platform? The platform does not assign him orders. Go back to his hometown? There is no work there. He is stuck in the middle, unable to go up or down. He is 35, still looking young, but the system has already judged him as "not applicable."

This generation's deepest pain: they grew up when "the system needed them," so they believed hard work pays off, skills have value, and "if you are willing to work, you will eat." They spent ten years validating this belief. Then the system changed. Their former creed became their biggest trap. They worked hard, but the direction they worked in was wrong — not their fault, but because the direction itself has disappeared.

Their future way of living will be extremely difficult. They are the "sandwich generation" — elderly parents above, young children below. Their parents in the

countryside have no pension; their children need schooling in the city. They themselves are losing income, but their expenses are not decreasing. They are being squeezed from the middle — unable to go up, unable to go down, no path to either side. They will find themselves the only ones in the family who can earn money, but the paths to earn are narrowing. They will find their bodies deteriorating, but dare not stop to see a doctor. They will find themselves growing more silent, because speaking up does no good. Their way of living is to grit their teeth and hold on, until they can hold on no longer.

Ages 40 and above — those who no longer have formal employment, mostly with low education.

You once described them:

Most of the middle-aged people around me, those a bit older, basically have no work. What do they rely on to get by? They rely on their own children.

They have been without work for a long time. They were eliminated by the old system earlier — no weekends off, no stable income, no institutional protection. They are the traces left behind after thirty years of the old system's operation. When AOS replacing labor becomes the norm, their children — the 30-something group — will become the next "people without work." And their parents — those over 40 — had already exited the system before that. So the entire chain is continuous: those over 40 are already outside the system, those in their 30s are being squeezed out, those in their 20s find their way in narrowing, and teenagers face a world they can barely enter.

Imagine a 50-year-old who once worked in a factory for fifteen years. Later, the factory relocated, and he lost his job. He looked for work, but no one wanted him. He tried running a small business, but lost money. He sits at home, surviving on his wife's part-time work and money sent by his son. He is not a "failure"; he was just let go by the system. He was once a worker too, with wages, social security, colleagues, and a rhythm to life. But the system no longer needs him. He is like a piece of scrap metal removed and tossed aside. He did nothing wrong; he just got old. And in this system, "old" is a sin — when you can no longer be exploited, you have no value.

The greatest sorrow of this generation: they were not "replaced"; they were "skipped." The system did not use AOS to replace them; it simply skipped over them — no longer needing them, no longer caring about them. They are alive, but the system no longer sees them.

Their future way of living will be extremely difficult. Their health is deteriorating, but medical care is too expensive. Their children are in the city, but the children cannot take care of them either. Their friends are fewer and fewer, because many have already left — not departed, but disappeared. Every day they live, they are waiting. Waiting for money from their children, waiting for the days to pass, waiting for the end that they do not know when it will come. They no longer complain, because complaining is useless. They just live, sit, and wait.

Finally, teenagers.

They are still in school, or just starting junior high, just starting high school. They do not know what is happening outside. But their future has already been decided by the current structure. If things continue — continuing the logic of labor surplus, continuing to let institutions fail, continuing to not build a safety net, continuing to provide no protection — then the world they will face when they grow up is not "no weekends off," but "no work at all." Not "poor conditions," but "no conditions to choose from." Not "fierce competition," but "no opportunity to even enter the competition."

What can you say to a thirteen-year-old? You tell him "you have to work hard," but after working hard, there may still be no place for him. You tell him "you have to study," but after studying, he may still be replaced. This system has left no space for their future. It is just consuming them, just as it consumed their parents.

Their future way of living will be extremely difficult. They will grow up and find that the world has left no place for them. They will find that what they learned is useless, their preparations are useless, and all their efforts are knocking on the door of a system that has already closed. They will become angry, then despair, then fall silent. They will become the quietest generation — not because they do not want to speak, but because no one is listening.

From teenagers to those over 40, the entire chain looks like this:

Those over 40 are already outside the system. They have disappeared; the system no longer sees them. Those in their 30s are being squeezed out. Their positions are being taken by AOS; they are sliding toward the outside of the system. Those in their 20s find their way in narrowing. Before they have even entered the system, they already find the door closing. Teenagers face a world they can barely enter. By the time they grow up, those doors may already be shut.

You will see a phenomenon: those who were once "labor" are being pushed outward layer by layer. Not because they are not good enough, but because the

system no longer needs them. And this "pushing" is not uniform — it happens by age group, in batches. When each batch is pushed out, they think they are the "last wave," but the next batch is already waiting. When those over 40 were pushed out, those in their 30s were still working. When those in their 30s are pushed out, those in their 20s are still looking for work. When those in their 20s find that there are no jobs, the teenagers are still in school, not yet knowing that the doors outside have already closed.

Living in the future will be very, very hard. Not just the hardship of "no work," but the hardship of "the entire system no longer needs you." The hardship of "you are alive, but you have no place in this system." The hardship of "you are still young, still strong, still want to do things, but no one wants you to do things." The hardship of "you discover that from birth you were on a designed track, but that track leads to a cliff." You watch the people ahead of you fall one by one. You know you will fall too, but you cannot stop.

This is what different age groups will encounter. Not at the same time, but heading in the same direction. The system is closing its doors layer by layer, and you do not know which day will be your turn. What you know is that it will come. And it will not ask if you are ready.

Living in the future will be very, very hard. Harder than you can imagine today. Those middle-aged people sitting at the village gates are the epitome of that future. Their today is many people's tomorrow. And that tomorrow is accelerating toward us. What you see now is just the first page. There is a thicker book behind it, being turned page by page, and no one can stop it.

The entire chain is continuous: those over 40 are already outside the system, those in their 30s are being squeezed out, those in their 20s find their way in narrowing, and teenagers face a world they can barely enter.

11. Why the Spread of AOS Will Accelerate This Process

Some people say, wouldn't it be fine if we just don't push AOS to the market?

But if I don't bring it out, someone else will. They may not do it as well as I can. Whether I do it or they do it — it's not about whether it gets done, but about who does it better.

This is a key fact. Even if I do not do it, someone else will. Global competitive pressure will force enterprises to adopt AOS to reduce costs and improve efficiency.

If Chinese enterprises do not adopt it, but enterprises in other countries do, China's manufacturing will lose competitiveness, factories will relocate, and unemployment will increase. So the spread of AOS is not a choice; it is a forced process. Enterprises have no choice, because not adopting means death. The country has no choice either, because not keeping up means being left behind.

This is the judgment I made before: they are still using the old methods to deal with the market, while the market has already changed.

The market change is: all enterprises globally are looking for ways to reduce costs, and AOS is the most powerful tool for cost reduction. Enterprises that do not keep up will go bankrupt; countries that do not keep up will lose industrial competitiveness. So the spread of AOS is a passively accelerating process — it is not the result of any company's active choice, but the natural result of market competition.

But there is a more critical issue here: the spread of AOS itself is not neutral. It is not a "tool"; it is a force. And the way it enters this system determines whether it is absorbed or amplified. In a system of stress, the impact of new technology is buffered, distributed, and transformed. In a linear system, the impact of new technology is not absorbed — it only rushes along that line, sweeping away everything in its path.

China's system is linear. Institutions do not act, law enforcement is absent, and workers have no protection. When AOS enters this system, nothing can stop it. No unions to negotiate a transition period, no laws requiring retraining, no social safety net to catch those replaced. Enterprises can replace people with AOS without any obstacle, because no one will stop them. The cost of replacement is nearly zero — no compensation, no resettlement, no responsibility. So the speed of AOS adoption, in a system lacking institutional constraints, will be amplified to its limit. It will not come slowly; it will rush in directly, replacing everyone who can be replaced, with no buffer.

This is the first layer of acceleration: no resistance.

The second layer of acceleration: the stock of labor surplus.

China is the most extreme country in the world for labor surplus. A large number of people are in a "standby" state — they are not stable workers; they are people who can be mobilized at any time and discarded at any time. When AOS enters the system, it does not face "a small number of people who need to be replaced"; it faces "a large number of workers who can be replaced in a short time."

This stock itself is like a fuel tank — every time AOS replaces one person, it releases a portion of profit, which is then used to develop the next generation of AOS, replacing even more people. Once this cycle starts, it will not stop, because each turn reinforces itself. With no institution to apply the brakes, it will only accelerate.

The third layer of acceleration: the push from vested interests.

Who benefits from the spread of AOS? Capital. Business owners. Those who do not need to bear any responsibility for the people being replaced. They do not need to pay social security, overtime pay, or bear any costs from labor relations. Every time AOS replaces a person, their profit increases by one point. They will not stop to ask "what about these people," because they do not need to ask. Their responsibility is on the profit statement, not on the people being replaced. So they will actively promote the spread of AOS — not waiting for others to push it, but pushing it themselves. Because they know: whoever pushes first wins. Whoever pushes slowly is eliminated.

The fourth layer of acceleration: institutional inertia.

Institutional failure has persisted for thirty years. In these thirty years, the system has become accustomed to a state of "non-enforcement." Law enforcers are used to inaction, enterprises are used to not following rules, and workers are used to having no protection. When AOS arrives, the institution has no ability to suddenly "activate." It has been pressed down for too long; the spring has rusted. It will not suddenly stand up to protect people just because AOS has come. It will only continue to sit, watching AOS replace those people one by one. And its sitting posture is itself one of the reasons AOS accelerates. Because the institution does not exist, there is no resistance. With no resistance, speed depends only on the iteration speed of technology — and the iteration speed of technology, fed by massive amounts of data, is exponential.

These four layers together form a complete acceleration mechanism: no resistance, a large stock of replaceable labor, active push from vested interests, and an "unobstructed passage" provided by institutional inertia.

The speed of AOS adoption in this environment is not "fast"; it is "extremely fast." Ten years ago, I could not find a job with weekends off — not because I was unlucky, but because the system was already heading in that direction. And what I now see with AOS is the natural result of that path reaching its end.

After AOS spreads, where do those people go?

No one can answer this question. Not because the answer is unknown, but because the answer lies outside the system. The system no longer needs them; they have nowhere to go. Ten years ago, the problem I faced was "cannot find weekends off"; ten years later, the problem I face is "cannot find any work at all." And the causal chain of these two things is connected — both are the extension of the same system's logic.

I am standing in 2026, and I have already seen the first crack. It grew out of the structure of labor surplus, and it will grow larger and larger until it splits into a gaping wound. Once that wound opens, it can never be closed again. AOS is the switch for that wound. I do not want it to open, but it is already on its way. The only thing I can do is not to block it — I cannot block it. What I can do is, before that wound opens, lay a net beneath it. A net that can catch the people who fall.

This is why this must be done now. Not because I am ready, but because there is no more time to wait.

Let me push one level deeper.

Have you noticed something more insidious: the spread of AOS and the failure of institutions feed each other.

Institutional failure created the space for AOS to grow — no constraints, no resistance, no cost. AOS's growth in turn makes institutional failure seem more "reasonable" — "if there are no people left, who needs protection?" The institution will say: "You see, AOS has replaced people, there are fewer and fewer workers, so we do not need to spend so much effort protecting them." This logic sounds "correct" — fewer people, reduced need for protection. But it ignores one thing: those who were replaced are still alive. They have not disappeared; they are just no longer in the production system. They still consume, still live, still need protection. But the institution no longer sees them. The institution only sees "workers" — and those who are no longer workers, the institution does not care about.

This is an extremely insidious "transfer of responsibility." AOS replaces people, and also replaces the institution's responsibility for those people. The institution no longer needs to protect them, because the institution is only responsible for protecting "workers." When a person is no longer a worker, he disappears from the institution's field of vision. He is not "dead"; he is "deleted." The system no longer records him, no longer counts him, no longer responds to him. He becomes a transparent existence — alive, but not in the system.

And this process is accelerating. Because the faster AOS replaces, the more people are deleted. The more people are deleted, the fewer subjects the institution needs to protect. The fewer subjects the institution needs to protect, the less motivation the institution has to change itself. The less motivation the institution has to change itself, the more unimpeded AOS continues to replace. This is a closed loop — AOS and institutional failure, accelerating each other.

This is not a "problem" that needs to be solved; it is a "direction" that needs to be reversed. If you do not actively turn around, the system will keep walking down this path until the last person is also deleted.

And that deleted person — where did he go?

He might be sitting at the village gate, watching the sky, waiting for money from his children. He might be at a city subway entrance, holding a sign looking for odd jobs. He might be scrolling through short videos online, watching other people live. He might be doing nothing, just living — because aside from living, he has nothing left.

This is the final outcome after the accelerated spread of AOS. It is not a "technical problem"; it is a "human problem." And human problems cannot be solved by technology. Only institutions can solve them — only that institution that is now sitting there, doing nothing. It must stand up and start doing what it was always supposed to do. Otherwise, by the time the last person is deleted, the institution will no longer need to stand up — because there will be no one left who needs its protection.

And I do not want to wait until that day.

12. The Old Institutions Cannot Handle This Shock

This section only needs to go back to the statement made earlier:

When an institution has no institutional constraints, what is the meaning of its existence?

When a person has spent ten years unable to find a job with weekends off, the institution imposes no constraint. When middle-aged people in rural areas have no work and can only rely on their children, the institution imposes no constraint. When Lin Dong has nowhere to go after being replaced, the institution still imposes no constraint. The institution failed in the old system, and it fails in the face of the new system. Because the institution itself was never prepared to cope with such

change — it only wrote provisions on paper, but never enforced them. When the AOS shock arrives, the institution will find that it still has no tools to respond. Raise the minimum wage? AOS does not need a wage. Limit working hours? AOS does not need rest. Protect workers' rights? The subjects of protection are disappearing.

The institution played no constraining role in the old system, and it plays no protective role in the new system. Its only function, during the transition between the two systems, is to provide a "legal shell" — all changes can be conducted within the legal framework, all consequences can be explained as "market behavior," and all those replaced can be told, "You were simply eliminated."

"The law exists, but it does not act."

The law exists, but it does not act.

This judgment will be re-validated in the AOS era: the law still exists, but it still does not act. It will not stop AOS from replacing people, it will not protect those who are replaced, and it will not create new positions for those who have lost their footing.

The old institutions cannot handle this shock, not because the institutions were not written on paper, but because they were never truly enforced. An institution that has never been enforced cannot suddenly become powerful when facing a shock. It has been hollow for too long.

Now I need to push this layer one level deeper, to touch that closed door.

The old institutions cannot handle AOS — this is a fact. But you must ask: why can't they? Is the technology too new for the institutions to keep up? Or have the institutions never been ready to handle anything?

If you open the labor law, you will find that the things it wrote — weekends off, overtime pay, social security, severance compensation — were originally designed to deal with "change." When a worker is replaced, he has compensation. When a worker is unemployed, he has social security. When a worker needs to transition, he has training. These provisions exist because the institution knows: the market will change, people will lose their jobs, and they will need protection. The institution exists precisely so that when change happens, there is someone to catch those thrown out by the change.

But these provisions in China have never been enforced. They are written on paper, but no one inspects. They are written into law, but no one penalizes. They are written into the institution, but no one executes. So it is not "failing to keep up with

the times"; it is "never having kept up with any time." It did not protect workers when labor surplus was most severe, it did not constrain capital during rapid economic growth, and it cannot suddenly stand up when AOS arrives.

An institution that has never done anything will not do anything when it is needed. Not because it does not want to, but because it no longer knows how. It has become accustomed to sitting there, watching everything happen, doing nothing. It has rusted in place.

This raises a question: when the institution does nothing, who is doing?

The answer is: capital is doing. The market is doing. Enterprises are doing. They are responding to change in their own way — replacing people with AOS, reducing costs with automation, redistributing work with algorithms. They do it efficiently, because they must be efficient. And the institution sits beside them, watching them do it, saying nothing, blocking nothing. This is not "the institution cannot keep up"; this is "the institution gave up its position." It was supposed to stand there, draw a line, and tell capital, "You can go this far, but no further." But the institution did not stand in that position. It gave that position away. Capital walked past, walked far, walked to where it wanted to go. And the institution still sits in its original place, watching the empty position, doing nothing.

So what will the old institution become in the AOS era? It will become a "witness." It witnesses people being replaced, the market being reshaped, the system being redefined. It does not participate, it does not intervene, it does not prevent. It just sits there, watching. And when it is all over, it will write a report saying, "This is a market behavior." And that sentence will be all it leaves behind.

I once spent ten years verifying whether the institution truly exists. Now I have the answer: it exists, but it does not act. It will continue to exist in the AOS era, continuing to not act. It will continue to exist until the last person who needs protection disappears, and then it will still exist — only then, no one will care whether it exists or not.

This institution occupies that position, doing nothing. And those who want to do, who should do — they cannot get in.

This judgment will be re-validated in the AOS era: the law still exists, but it still does not act. It will not stop AOS from replacing people, it will not protect those who are replaced, and it will not create new positions for those who have lost their footing.

13. What the New Cycle Should Look Like — And the Place of People Within It

If the old cycle is broken, what should the new cycle be? What should be the place of people in the new cycle?

I have been thinking about one question: if AOS replaces all repetitive labor that requires people, what can people still do? If production no longer needs people, how do people live? If the system no longer needs people as labor, what place do people still have in the system?

Until one day I thought of something — perhaps I was asking the wrong question. I should not ask "if people don't work, what can they do?" I should ask: "What should people be doing in the first place?"

A person is not born to become labor. A person does not live a lifetime to sell their time to a factory, a company, or a system. What people should be doing — exploring, creating, accompanying, thinking, caring, expressing — these things have never been placed within the definition of "labor." They have always been "outside of work," things to do in spare time, after retirement, when there is free time. But most of a person's waking life is filled with "work." The time you have to do those "truly human things" is pitifully little. You can only squeeze out a little time after work, on weekends, on holidays, to be a human. And most of the time, you are being "labor."

AOS replaces the identity of "labor." It takes over the repetitive, mechanical, consuming tasks. If this replacement process has buffers, protections, and someone to catch people, then it is not "eliminating people"; it is "freeing people." Freeing people from the state of "must work to live." Allowing people to do the things they should have been doing all along.

So the new cycle should look like this.

The old cycle was: people work → get wages → consume → market operates → enterprises profit → continue hiring people to work. This is a closed loop, but it is built on the premise that "people must work to live." When AOS frees people from this premise, the old cycle breaks.

The core logic of the new cycle is completely different from the old cycle.

Step one: AOS produces. AOS takes over the production link. It needs no wages, no rest, no social security. The things it produces cost much less than manual labor

and are much more efficient. Enterprises' production costs go down, and profit margins expand.

Step two: profit distribution and taxation. The profits generated by AOS production cannot all stay in the hands of enterprises. The institution needs to tax these profits — and at a high rate. Take a portion, even most of it. Enterprises are not unprofitable, but their profits are diluted by taxation. They still have profit margins, can still operate, and still have the motivation to continue production. But their profits are no longer "all for themselves"; they are "part for the system, part for themselves."

Step three: tax revenue returned to the bottom. The money collected from taxes cannot remain circulating idly within the fiscal system. It must be taken out and returned to the bottom — distributed to those without work, those who have been replaced, those without income. The proportion of return determines the purchasing power of the bottom. If you return only a little, the bottom still has no money to consume, and the market still cannot turn. If you return a large enough proportion — say, 1/2 or 1/3 of tax revenue — the bottom will have basic purchasing power. They can survive without working, and they can consume.

Step four: consumption drives the market. After the bottom gets money, they will not save it — they need to eat, dress, house themselves, and see doctors. They will spend this money. Their consumption becomes market demand, demand becomes enterprise orders, orders become production motivation. With orders, enterprises continue producing; more production, more profits; more profits, more taxes; more taxes, more returns. This is a complete, positive cycle.

The key to this new cycle is: it starts turning from the bottom.

The old cycle started from enterprises. Enterprises produce, give people wages, people consume, money returns to enterprises. It was a "top-down" cycle. But the starting point of that cycle was "people must work." If people do not work, that cycle breaks.

The new cycle starts from "return." Taxes take a portion from enterprise profits and distribute it directly to the bottom. The bottom gets money, consumes, turning into enterprise revenue. Enterprises see revenue, have motivation to continue production. Production generates profits, profits are taxed again, and distributed back to the bottom. The cycle continues. It is a "bottom-up" cycle — money first goes to the bottom, then flows back to enterprises, then back to the bottom.

This cycle requires one premise: the tax system must be real. It must be rigid, inescapable, and enforced. If the tax system is like the labor law — written on paper but not enforced — then this cycle breaks. Enterprises do not pay taxes, the bottom gets no money, the bottom has no consumption, the market has no demand, enterprises have no orders, production stagnates, and the cycle dies.

So the starting point of the new cycle is not AOS, not technology, not the market. It is the institution. That institution that occupies the position doing nothing must first stand up and establish the taxation mechanism. It must first learn to "take" and "return." It must first become the pump that makes money flow. If it does not stand up, the new cycle will never begin.

So what is the place of people in this new cycle?

People are no longer "labor." People are "living beings." A person's value is no longer "how much he can produce," but "he is a human." The mere fact of being alive has value. A person does not need to prove through work that he deserves to live. People can do what they truly want to do — write, farm, accompany children, care for the elderly, invent things, explore the world, think about questions. These things, no one had time for before, because everyone was working. But when AOS takes over the work, people will have time. Time to do the things that are truly human.

You might say: if people do not work, how does society function?

AOS will run production. The institution will run distribution. Human needs will drive consumption. These three things locked together form a complete economic system that does not need people as labor. People only need to do one thing: live, and do what they want to do.

This is the end point of the new cycle. Not "everyone has a job," but "no one needs to work to live." People become people again.

I have not yet reached there, but I have seen the direction. What I need to do now is to walk in that direction. I do not know if I can make it, but I know that if I do not walk, I will certainly never arrive.

14. Conclusion: Why This Must Begin Now

This entire piece has been about one thing: the structure has changed, but the people have not.

The system is changing, the market is changing, technology is changing, but the institution has not changed. The institution still has no binding force, still has no

protective function, and is still just an empty shell written on paper. When the structure changes but the people do not, the people become the squeezed middle layer. The institution does not protect them, enterprises no longer need them, and the market has left no place for them.

I saw those who spent ten years unable to find a job with weekends off. I saw those middle-aged people around me without work, relying on their children. I saw that the future trend will become more and more oppressive. I saw that AOS will inevitably come, and who does it determines whether it is a disaster or a transition. I saw all of this, and then I made a decision:

I will definitely bring it out.

This is not a wish; it is a conclusion. I saw that it must happen, I saw that it must be done well, I saw that others cannot do it well, so I did it. I spent ten years understanding why this system failed, and even longer walking the path from void to node to AOS. I am not "inventing" something; I am paving a runway as smooth as possible for an inevitable event that is coming. I put myself in that position not because I want to, but because I know no one else can do it right.

Now I need to explain "why it must begin now" one more layer deeper. Because the word "now" is shorter than you think.

First, AOS is already on its way. It is not a "future thing"; it is "happening now." You see factories laying off workers, customer service becoming AI, logistics becoming unmanned. These are not things ten years from now; these are things happening right now. Those middle-aged people sitting at the village gates today are evidence that AOS has already arrived. Not that they were replaced by AOS, but that they were eliminated by the system that existed before AOS. And AOS is accelerating the replacement of those who remain. If you do not act now, by the time they are all replaced, it will be too late — because by then there will be no "them," only "deleted people."

Second, the institution is still in its seat, but its window of opportunity is closing. An institution that has not been enforced for thirty years will not sit still forever. It will either stand up and start doing things, or be completely bypassed. AOS is bypassing it — capital does not need the institution to produce, the market does not need the institution to function, workers do not need the institution to protect them because they are no longer the objects of protection. If the institution does not stand up now, it will be completely hollowed out. It will still exist, but it will become a pure decoration — an empty shell inscribed with the word "law." And by

then, if you want the institution to do something, no one will listen. Because everyone will have become accustomed to bypassing it.

Third, the endurance of the bottom has its limits. A person can endure ten years without weekends off, five years without stable income, three years without finding a job. But a person cannot endure forever. Those middle-aged people sitting at the gates — they no longer speak. Not because they do not want to, but because they know speaking does no good. But their silence does not mean they have no feelings. Their silence itself is a signal. When silence turns to anger, when endurance turns to despair, when despair turns to action — by then, it will be too late to lay the net. Because the net must be laid under the crack, not on ground that has already split open.

Fourth, the new cycle takes time. The tax system cannot be established overnight, the distribution mechanism cannot run overnight, the safety net cannot be laid overnight. These things take three years, five years, even ten years. If you do not act now, and only start when AOS has already replaced everyone — then the speed of your net-laying will never catch up with the speed of people falling. You lay one net, ten people fall. You lay ten nets, a hundred people fall. You can never catch up. Because the speed of falling is accelerating, while the speed of laying nets is constant.

Fifth, the cost is rising. If you do not do it today, the cost of doing it tomorrow will be higher. Because more people will have been replaced, more people will need support, more people will need training, more people will need protection. Every year you wait, the money you need to spend doubles. Every year you wait, the net you need to lay doubles in size. Every year you wait, the work you need to do doubles. And right now, if you do nothing, the cost is zero. But that "zero cost" is fake — the money you did not pay is turning into the meals they did not eat, the rent they did not pay, the medical care they did not receive. Those costs did not disappear; they were simply transferred onto those people. And one day, you will have to pay that cost for them — because you cannot make an entire generation disappear.

So it must be done now. Not because I want to, but because there is no more time.

I said before, I am a person who has lived in this system for thirty years. I spent ten years verifying one thing: workers have no bargaining power, institutions are failing, and race-to-the-bottom competition is the default mode. I saw some things,

figured them out, and then wrote them down. I do not want anyone to "use" it. I just felt that these things should be written down.

If someone finishes reading and thinks, "so that is how it is" — then it has fulfilled its purpose.

If you have finished reading, you know there is an iceberg ahead, you know the ship is heading in that direction, you know it is still possible to change course. Then you are no longer the one who "did not know." You know, and you cannot pretend not to know. You know there is an iceberg ahead, and you can no longer sit comfortably in the cabin drinking.

Neither can I. This is why this must begin now. Not because I am ready, but because there is no time left.

Opening: Why Do These Things When the Economy Is Bad

Some people are already frowning before you even speak.

“The economy is so bad, and you’re still talking about increasing penalties? Still talking about raising taxes? Still talking about restoring the two-day weekend? Do you want businesses to die even faster?”

This is not a bad question. It is a question worth answering seriously.

The answer is: constraints do not fluctuate with the economic cycle.

During the 2008 subprime mortgage crisis in the United States, did its labor laws relax? No. During Japan’s Lost Three Decades, did its labor standards decline? No. During the Brexit turmoil in the United Kingdom, did its labor inspections stop? No.

It is not because they are “rich.” It is not because they are “not afraid of businesses going bankrupt.” It is because they know one thing: once institutional constraints are loosened, they can never be taken back.

You can suspend investment, you can delay expansion, but you cannot suspend the “bottom line.” Once the bottom line is crossed, it becomes a line, not a wall. Today, because the economy is bad, you allow businesses to skip the two-day weekend; tomorrow, businesses will tell you “the economy hasn’t recovered yet, wait a little longer”; the day after, it becomes the default setting.

I spent ten years unable to find a job with a two-day weekend. It was not because of bad luck. It was because once that bottom line was crossed, it never came back.

So the starting point of Part 3 is this sentence: the worse the economy, the more you must not loosen institutions. Because recession is temporary, but institutional failure is permissive. Indulge it once, and it becomes normal. Indulge it twice, and it becomes a habit. Indulge it three times, and it becomes something everyone thinks "is just the way it is." And "just the way it is" is the sign that it can never return.

Now I need to push this sentence one level deeper.

"The economy is bad, businesses are already struggling. Now you're adding constraints on top of that — it will kill them. If you let them die, won't workers have even fewer jobs?"

This logic sounds reasonable, but it has one premise: if businesses survive, workers have jobs. The problem is that this premise no longer holds in an environment where institutions have failed. A business surviving does not mean it needs you. It can survive with AOS. It can survive with fewer people. It can survive with cheaper outsourcing. Its survival has nothing to do with whether you have a job.

When the economy is good, you do not restore the two-day weekend because you are afraid of affecting business expansion. When the economy is bad, you do not restore the two-day weekend because you are afraid businesses cannot hold on. So when will you restore it? Never. Because when the economy is good, you have good reasons not to; when the economy is bad, you have bad reasons not to. You always have a reason. And workers will wait forever.

So it must be done now. Not because I am heartless, but because I know: if you do not do it now, you will never do it. You will only wait — wait for that "right time." But that time will never come. Because the right time is never waited for; it is created.

There is another layer — a deeper layer.

If you let businesses relax the bottom line now, their short-term costs will indeed decrease, and they will survive. But you are trading a long-term cost for a short-term way of living. What is that cost? It is that the labor force can never go back. Today you allow one business to skip overtime pay, tomorrow all businesses skip overtime pay. Today you allow one business to skip social insurance, tomorrow all businesses skip social insurance. Today you allow one business to ignore the two-day weekend, tomorrow no one has a two-day weekend anymore. The short-term relief you bought is paid for with an entire generation's labor rights. Can you afford that price?

I spent ten years verifying one thing: once the bottom line is crossed, it can never come back. So the worse the economy, the more you must not loosen institutions. Because recession will pass, but institutional failure will not pass. The recession leaves, but the failure stays. It will not leave on its own.

So everything that Part 3 is going to say stands on this starting point: the way forward is not "wait until the economy improves and then go," it is "go now." Because by the time you wait for the economy to improve, the road will already be broken.

Moving forward is not loosening — it is tightening. Not releasing — it is reining in. Not indulging — it is constraining. Because only constraint can make a system that has already tilted stand straight again. And a system that stands straight can catch those who are about to fall.

1. Tightening Institutional Constraints

What is an institution?

As already stated in Part 1: an institution is a line. On this side of the line is what is permitted; on that side is what is not. The meaning of an institution's existence is that this line actually works.

Now this line still exists, but no one has been penalized, no one has been stopped.

The labor law stipulates a two-day weekend, but businesses do not provide it, and there are no consequences. The labor law stipulates overtime pay, but businesses do not pay it — they have lowered base wages instead. The labor law stipulates social insurance, but businesses pay at the minimum standard, or simply do not pay at all, and there are no consequences.

When violations have no consequences, violations become the norm. When violations become the norm, those who follow the rules become the fools.

So, the first step is not "how much to increase the fine amount," it is to make punishment actually happen. Not a token fine once for show, but every violation is held accountable. Not investigating only when businesses are reported, but proactive spot-checks, proactive enforcement. Not fines so low they can be factored into costs, but so high that businesses dare not reoffend.

This is the prerequisite for all subsequent measures. Without this, the other five points are all empty words. No matter how much money you distribute, businesses

will still exploit. You restore the two-day weekend, and businesses will still not comply. You raise taxes, and businesses will still find loopholes.

The institution must first be made to start constraining again.

Now I need to expand on what is said in this section one level deeper. Because the phrase "tightening institutional constraints" sounds very simple, but behind it lies an entire set of things that need to be clearly articulated.

First, who is the target of tightening constraints?

Not workers. Not small and medium enterprises. Not those businesses that are already barely surviving. The targets of tightening constraints are those enterprises that survive by arbitraging institutions — those that do not pay social insurance, do not provide a two-day weekend, evade taxes, and cut safety standards. They are not "competing," they are "cheating." They use the low costs gained from not following rules to drive rule-abiding enterprises out of the market. Tightening constraints means not letting the cheaters win. If you let the cheaters win, the market becomes a game of whoever has less shame survives longer.

Second, what is the method of tightening constraints?

Not adding more regulations. There are already enough regulations. It is increasing the intensity of enforcement. The problem now is not "not enough laws," it is "no one enforces the laws." You do not need to write new laws; you need to actually enforce the old ones. Not new rules, but old rules with real consequences. Not more documents, but more inspections, more penalties, more public disclosure. Make violations visible, traceable, and punishable.

Third, what is the bottom line of tightening constraints?

The bottom line is: you cannot allow people to live below the standard of "human." The two-day weekend is a bottom line, not because rest is so important, but because if a person does not even have two days of rest, they are no longer a person — they are a machine. Social insurance is a bottom line, not because social insurance itself is so great, but because if a person is sick, old, or injured, they cannot simply be discarded. Safety is a bottom line, not because safety standards are so high, but because a person cannot die for your profit.

These bottom lines are not "welfare"; they are guardrails that "prevent businesses from treating people as consumables."

Fourth, what is the timing for tightening constraints?

Now. Right now. Not waiting for the economy to improve, not waiting for businesses to recover, not waiting for the system to stabilize. Because when the economy improves, you still will not do it; when businesses recover, you still will not do it; when the system stabilizes, you will do it even less — you will be afraid of "destabilizing things." So you will never do it. The only time you can do it is now. A bad economy is precisely the best time to tighten constraints. Because when the economy is good, you use "don't affect growth" to delay. When the economy is bad, you use "don't let businesses die" to delay. You always have a reason. So you must do it when the economy is bad — not because businesses are not afraid of dying, but because you can no longer wait.

Fifth, what is the cost of tightening constraints?

Some businesses will die. Those enterprises that survive by cheating will die after constraints are tightened. They will say, "if you let me die, workers will have no jobs." But you must ask: when they were alive, did they give workers a two-day weekend? Did they pay social insurance? Did they pay overtime? No. The only way they survived was by making workers live like less than human. When they die, the market can make room for truly rule-abiding enterprises. When they die, workers can go to a place that truly treats them as human. When they die, the market can restart the logic of "whoever does well survives."

And when someone who lives by cheating dies, it is not a loss to the market — it is a purification of the market.

Sixth, constraints do not fluctuate with the economic cycle.

This sentence needs to be written out separately and placed in a prominent position. Because it is too easily opposed. Every opponent will say: "The economy is bad now, businesses are already struggling, can you show some understanding for businesses?"

What you need to answer is: understand businesses, but have businesses ever understood workers? Without workers consuming, how can businesses boost their revenue?

I spent ten years without a two-day weekend. Lin Dong spent ten years being replaced. Middle-aged people in rural areas have no jobs and depend on their children — who has ever understood them? Businesses did not give them a two-day weekend when the economy was good, and they certainly will not when the economy is bad. If you wait for the economy to improve before restoring constraints, the

economy will never be good enough to "make businesses willingly accept being constrained."

So it must be done when the economy is bad. Not because I do not understand businesses, but because you did not do it when the economy was good, and when the economy is bad, you can wait even less.

Constraint is a wall. A wall cannot be dismantled just because the wind is blowing outside. The wall is there to protect the people inside. When the wind blows outside, the wall must stand even firmer. If you tear down the wall, the wind comes in, and the people inside are exposed. And those people — the workers, the people at the bottom — they have been standing outside for far too long.

2. Redistributing Work: Restoring the Two-Day Weekend

I said something in Part 1:

"I spent ten years unable to find a job with a two-day weekend, simply because I did not have a college degree."

This sentence is one of the starting points of the entire chain of reasoning. Ten years — not one year, not two years, but ten years. Over ten years, I repeatedly verified the same thing: in this system, workers have no bargaining power. If I do not come, there are plenty of others who will. If I do not accept, there are plenty of others who will. Businesses do not need to provide a two-day weekend to recruit people, so they will not provide it. This is not the choice of any one enterprise; it is the default setting of the entire system.

The meaning of the two-day weekend has never been just "rest." A two-day weekend means a person works five days a week and rests for two days. This is not a luxury; it is the minimum requirement for a person to maintain the state of being "human." After a day of work, you still have energy to do your own things. After two days of rest, you still have energy to return to work. Without a two-day weekend, a person is a machine — and a machine that never gets maintained. It only wears down, never repairs. It only consumes, never recovers. It only gets slower and duller, until it breaks completely and is replaced.

Another meaning of the two-day weekend is to spread out work. I said something earlier: "The two-day weekend will make income lower, but it will spread it out." What does that mean?

In reality, many factories and enterprises operate on a "six-day work system" — working six days a week, 10 to 12 hours a day. That adds up to 60 to 72 hours a week. You work six days a week, 12 hours a day, for one paycheck. If the two-day weekend is restored, you work five days a week, 8 hours a day: that is 40 hours. For the same workload, what originally took 10 people each working 72 hours can now be shared by more people — 12 people, each working 40 hours, totaling 480 hours. That is less than the previous 720 hours, but more people are employed, and income is distributed among more hands. The market gains one more consumer and loses one more unemployed person.

If you compress the labor from 12 hours a day, 6 days a week, down to 8 hours a day, 5 days a week, you take fewer working hours from one person, but you allow more people to enter the labor market. Previously, one person took home 6,000 yuan working 72 hours. Now two people each work 40 hours, each taking home 4,000 yuan. Total wage expenditure goes from 6,000 to 8,000, but employment goes from one person to two. Both people have income. Both people have purchasing power. The market expands. Orders increase. Businesses need more people. This is a virtuous cycle.

Race to the bottom means: there is no "minimum standard" in the system; the standard keeps dropping. As long as someone is willing to accept worse conditions, everyone else is forced to accept worse conditions too. Businesses do not provide a two-day weekend because someone is willing to work without it. Businesses do not provide social insurance because someone is willing to work without it. Businesses do not pay overtime because someone is willing to work without it. Every time someone accepts worse conditions, the bottom line is dragged down one notch. Then everyone must accept worse conditions, because those who do not accept have already been eliminated by the market.

This is why the two-day weekend must be restored. Not because we "feel sorry" for workers, but because the race to the bottom will eventually drag everyone under. A minority overworks, while the majority has no work. Those who overwork consume their own bodies and lives; those without work have no income at all. The market shrinks, businesses cannot make money, and then businesses start laying off workers. Those laid off are once again the ones already excluded by the race to the bottom. This is a downward spiral. And its starting point is institutional failure allowing businesses to extend working hours without limit.

Now I need to expand on the matter of restoring the two-day weekend one level deeper. Because it is not as simple as "working one less day." It involves the redistribution of the entire system.

First, what is restoring the two-day weekend restoring?

Restoring the two-day weekend is restoring the idea that "a person's time belongs to themselves." When a person works six days a week, 10 to 12 hours a day, their time does not belong to them. Their time belongs to the enterprise — when they are awake, they are working. They go home, they are tired, they can only rest, preparing to work again the next day. They have no time to do their own things, no time to be with family, no time to learn new things, no time to think. Their time is completely occupied. They are alive, but they are alive as a "filled-up person." The two-day weekend gives them two days — two days where their time is their own. They can decide how to use it. They can rest, learn, do what they want. They become a person with choices again. Restoring the two-day weekend is restoring the definition of "human."

Second, what is restoring the two-day weekend spreading out?

It is spreading out work. What one person used to do in 60 to 72 hours, two people will each do in 40 hours. Each person's income is lower, but both people have income. Both people have purchasing power. The market will not shrink; on the contrary, it will expand because more people have income. Spreading out work means letting money flow from the hands of a few to the hands of the many. And once money starts flowing, the market begins to turn.

Third, what is restoring the two-day weekend breaking?

It is breaking the competition of "who can endure more." Previously, competition between businesses was partly won by "who can exploit people more." You make workers work 10 hours; I make workers work 12 hours. Your costs are high; my costs are low. You cannot survive; I survive. This is a low-level competition — it does not compete on efficiency, technology, or management; it competes on "who is more inhumane." After the two-day weekend is restored, this path is blocked. To compete, businesses must rely on efficiency, technology, management, and products — on things of real value. This is what the market should look like.

Fourth, what is restoring the two-day weekend establishing?

It is establishing workers' bargaining power. When all businesses must provide a two-day weekend, workers' criteria for choosing a job is no longer "is there a two-day weekend or not," but "how much is the pay," "what is the environment like," and "what are the growth prospects." Businesses start competing for people, rather than people competing for jobs. Bargaining power shifts from the business side back to the worker side. Workers can finally say: "If you do not give me a two-day weekend, I will go elsewhere." They finally have the right to say "no." And the right to say "no" is the most basic dignity of a person.

Fifth, what costs will restoring the two-day weekend bring?

The cost is that businesses' labor costs rise. Originally, 10 people worked 6 days, 12 hours a day; now 12 people are needed to work 5 days, 8 hours a day. Total working hours drop from 720 to 480, but there are 2 more people, and social insurance and management costs do increase. But you must see clearly: the other side of this cost is that 2 people have gone from "unemployed" to "employed." They have gone from "no income" to "having income." They have gone from "unable to consume" to "able to consume." And their consumption becomes orders for businesses. When businesses' orders increase, their revenue increases. The increase in revenue will exceed the increase in costs. This is not a "zero-sum game"; it is the starting point of a "virtuous cycle."

Sixth, what resistance will restoring the two-day weekend encounter?

One direction is businesses. Businesses will say "I cannot take it," "I will die," "I will go bankrupt." But you have to ask: what is it you cannot take? Is it "cannot exploit people anymore" or "cannot cheat anymore"? If you can only survive by exploiting people, you should not survive in the first place. The other direction is the workers themselves. Some will say: "I do not want the two-day weekend, I want money. If you give me the two-day weekend, my wages will drop, and I cannot survive." This is a real voice. It comes from those who have been squeezed for too long — they no longer remember what a two-day weekend feels like. They have become accustomed to trading time for money. They no longer feel they deserve to have time. But you must tell them: the money you are getting now is what you traded for 12 hours a day, 6 days a week. You think it is "more money," but it is actually "traded with your life." When you spread out time, spread out work, your income will temporarily drop, but your cost of living will also drop — because you will have time to cook, to rest, to take care of your body. You will no longer need to use takeout food and medicine to fill the parts hollowed out by work. Moreover, when more people have income, have purchasing power, and the market comes

alive, your wages will rise again. Because the market is larger, you have bargaining power. You are no longer a person who can be replaced at will; you are a person who is needed.

After the two-day weekend is restored, three things will happen: First, the same workload is shared by more people. What one person now does in 60 to 72 hours, two people will each do in 40 hours. Although each person's income is lower, both people have income. Both people have purchasing power. The market will not shrink; on the contrary, it will expand because more people have income. Second, businesses can no longer gain competitive advantage by "extending working hours." Third, workers regain their bargaining power.

Restoring the two-day weekend is not "making people work less." It is "giving more people work to do." It is "getting the market turning again." It is "making workers become human again." The two-day weekend that I spent ten years without obtaining should become the bottom line for every worker. Not because they deserve to be treated well, but because if even this bottom line is lost, no one will be willing to enter this system anymore.

When all businesses must provide a two-day weekend, workers' criteria for choosing a job is no longer "is there a two-day weekend or not," but "how much is the pay," "what is the environment like," and "what are the growth prospects." Businesses start competing for people, rather than people competing for jobs. Bargaining power shifts from the business side back to the worker side.

This is the first step toward restoring balance to the entire system.

3. Redistributing Wealth: Increasing Taxation

"The economy is bad, and you still want to raise taxes? Do you want businesses to die?"

This is the second objection you will hear. Let me answer it.

First, ask a question: where did the tax cuts of the past ten years go?

The money from tax cuts did not become workers' wages. It did not become better working conditions. It did not become more jobs. It became shareholders' profits, executives' bonuses, and financial products circulating idly within the financial system. It did not flow down to the grassroots. The grassroots people never felt it at all.

Why? Because the institutions have failed. When businesses receive the money from tax cuts, they have no incentive to distribute it to workers. They can choose not to distribute it. They can exploit. They can give one person 80 hours of work and pay only 40 hours of wages. Tax cuts will not stop them from doing this; tax cuts will only give them more profits.

Therefore, the logic of tax cuts is wrong in an environment where institutions have failed. It assumes that "businesses will actively pass benefits downward," but the reality is: if businesses can avoid passing them down, they will not pass them down.

So I reversed it.

Raise taxes. Tax capital, tax monopoly profits, tax institutional arbitrage. Take back the portion that "takes the most from the system and gives back the least." Then distribute it directly to the bottom.

Tax increases are not punishment; they are a screening mechanism.

In an environment where institutions have failed, what happens? Enterprise A follows labor laws, provides a two-day weekend, pays taxes in full, and pays social insurance. Enterprise B does not follow labor laws, provides no two-day weekend, evades taxes, and pays social insurance at the minimum. For the same product, Enterprise B's costs are lower than Enterprise A's. The market only looks at price, not at "whether this enterprise exploits people." So Enterprise A cannot survive, while Enterprise B grows bigger and bigger.

This is bad money driving out good. Institutional failure allows good enterprises to be eliminated by bad ones.

The function of tax increases and strict enforcement is to close the "institutional arbitrage space" of bad enterprises. When bad enterprises can no longer lower costs by evading taxes, skipping social insurance, and eliminating the two-day weekend, good enterprises and bad enterprises stand on the same starting line. At that point, who lives and who dies depends on real competitiveness — efficiency, technology, management, and products.

Raising taxes is letting the market truly begin to decide who should stay and who should die.

Now I need to expand on the matter of "increasing taxation" one level deeper.

First, what is being taxed?

Not on workers. Not on small and medium enterprises. Not on those businesses that are already law-abiding and barely surviving. It taxes: capital gains tax, monopoly profit tax, institutional arbitrage tax, inheritance tax, and asset transfer tax. It taxes the portion that "takes the most from the system and gives back the least." It targets those who accumulate wealth through institutional loopholes, those enterprises that extract excess profits through monopoly positions, and those large capitals that transfer profits overseas, pay no taxes, and bear no social responsibility. The knife of taxation must fall on their heads. Not on the heads of those who can no longer hold on.

Second, where does the tax revenue go?

The money raised from taxes must not stay in the fiscal system. It must not become new infrastructure projects, new subsidies, or new "special funds." It must flow directly into people's hands. No intermediate links. No passing through enterprises, no passing through local governments, no passing through any approval process. Directly distributed to the bottom. Those without jobs, get it. Those over 60 without pensions, get it. The disabled, get it. Young people who cannot find work, get it. The conditions must be simple enough that no explanation is needed. As long as you can prove you are poor enough, as long as someone vouches for you, you get it.

Third, what effect can tax increases achieve?

Two effects. One is screening — letting bad enterprises die and good enterprises survive. The other is circulation — money is collected from the top, flows to the bottom, the bottom consumes, the market comes alive, businesses get orders, good enterprises make money, continue paying taxes, continue circulating. Tax increases are not a one-way "taking away"; they are a two-way "circulation." Money is taken from enterprises, reaches the bottom, is spent in consumption, returns to enterprises, is taxed again, and goes back to the bottom. This is getting money moving, not letting money die.

Fourth, will tax increases kill businesses?

Some businesses will die. But those that die are the ones that survive by evading taxes, skipping social insurance, and eliminating the two-day weekend. When they die, the market can make room for truly rule-abiding enterprises. When they die, workers can go to a place that truly treats them as human. When they die, the market can restart the logic of "whoever does well survives." Tax increases are not

about killing "all businesses"; they are about killing "bad businesses." And when bad businesses die, good businesses can live.

Fifth, will tax increases make businesses relocate?

Businesses will say: "If you raise taxes, I will leave." But you ask: where will it move to? Southeast Asia? India? Mexico? Those places are indeed cheaper, but their infrastructure, logistics efficiency, and political stability cannot catch up in the short term. A truly competitive enterprise will not relocate just because taxes increase a little. The cost of moving is far higher than the cost of staying. It just does not want to pay taxes; it wants to continue exploiting. If you do not raise taxes because you are afraid businesses will leave, then you will be held hostage by them forever. "You dare not control me, because I can leave anytime" — this is the ultimatum that businesses give the system. If you accept it, you live on your knees. If you do not accept it, they may not actually leave. And when you have laid the safety net, built the market, and cultivated workers' purchasing power, businesses will find that staying is more profitable than leaving.

Sixth, how much should taxes be increased?

Not a symbolic increase. It must be increased to the point where "institutional arbitrage" is no longer worthwhile. If a business can save 1 million by evading taxes, and you fine it 500,000, it will still evade. You must fine it so much that it dares not evade again — fine it until the money it saves is not enough to cover the penalty, until its reputation is damaged, partners dare not cooperate with it, and customers dare not do business with it. Tax increases are not a "gesture"; they are about making it genuinely "dare not reoffend." This level of force is the bottom line.

Let me say one more thing.

Over the past ten years, taxes have been cut so much. Ask a worker: did you feel the tax cuts? They do not feel it. Because the tax cuts were at the enterprise end. And at the enterprise end, profits flowed to the top, not to them. Ask a person at the bottom: did you feel the tax cuts? They do not feel it. Because they are not even in the tax base; they do not even qualify for tax cuts. Tax cuts reduce taxes on "those who were already going to pay taxes," and those people were never the bottom. So tax cuts have never made life better for people at the bottom. They only make the people at the top richer.

Tax increases are different. Tax increases take from the top and give directly to the bottom. The bottom feels it. Because they receive money. They get money, they spend it. The market comes alive. Businesses get orders. Good enterprises make

money. Then they pay taxes, and it is redistributed. This is a complete closed loop. Not "taking away," but "circulating." Not "punishment," but "repair." Repairing a chain that has been broken for too long — the chain from labor to income, from income to consumption, from consumption to the market.

You ask me: why tax increases and not something else? Because tax increases are the only way to make money flow from the top to the bottom. Subsidies will not work — subsidies go to enterprises, and enterprises do not distribute them downward. Tax cuts will not work — tax cuts go to enterprises, and enterprises do not distribute them downward. Giving out money will not work — without money, what do you give out? The only thing you can do is first take the money from the top, and then distribute it downward. Tax increases are the prerequisite for all other measures. Without tax increases, you have no money to distribute. Without tax increases, you have no safety net. Without tax increases, you can only watch money circulate idly at the top, while the bottom has nothing.

So the tax increase I am talking about is not "killing businesses"; it is "getting money flowing." Flowing to a place it has not been for thirty years. And that place is the foundation for the system to stand up again.

Tax Increases as a Screening Mechanism

I said something in a previous conversation that deserves to be written out on its own:

"Let good enterprises stay, and generate a normal circulation mechanism."

Tax increases are not punishment; they are a screening mechanism.

In an environment where institutions have failed, what happens? Enterprise A follows labor laws, provides a two-day weekend, pays taxes in full, and pays social insurance. Enterprise B does not follow labor laws, provides no two-day weekend, evades taxes, and pays social insurance at the minimum. For the same product, Enterprise B's costs are lower than Enterprise A's. The market only looks at price, not at "whether this enterprise exploits people." So Enterprise A cannot survive, while Enterprise B grows bigger and bigger.

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The function of tax increases and strict enforcement is to close the "institutional arbitrage space" of bad enterprises. When bad enterprises can no longer lower costs by evading taxes, skipping social insurance, and eliminating the

two-day weekend, good enterprises and bad enterprises stand on the same starting line. At that point, who lives and who dies depends on real competitiveness — efficiency, technology, management, and products.

Raising taxes is letting the market truly begin to decide who should stay and who should die.

4. Redistributing Money: Cancel Subsidies and Give Money Directly to the Bottom

China has a vast number of subsidies. Industrial subsidies, export subsidies, targeted support, various "special funds." The original intention of these subsidies was good — to support enterprises, encourage exports, and promote industrial upgrading.

But what is the situation now? Subsidies are given to enterprises, but the enterprises do not turn them into better products, higher wages, or more jobs. Subsidies become profits, become idle circulating funds, become a way for enterprises to "survive" — not because they perform well, but because they know how to get subsidies.

Subsidies are "given from top to bottom." The government gives money to enterprises, expecting them to "transmit" it downward. But this transmission has never happened. Because enterprises have no incentive to transmit. If the institution does not constrain them, why would they voluntarily distribute the money?

Therefore: cancel the subsidies.

Not canceling all government spending, but canceling those subsidies that "are given to enterprises and then nothing happens." Take that money back and take a different path.

The money saved by canceling subsidies bypasses enterprises, bypasses local governments, bypasses all intermediate links. It goes directly into people's hands.

Who gets it?

People without jobs. People over 60 years old. Young people who cannot find work, people who have just graduated. All disabled people who have been overlooked by the system.

How to distribute it?

The conditions must be so simple that they need no explanation. You only need to prove you are poor enough, you only need three people to vouch for you. No queuing for review, no waiting until a certain month. No job? You get it. Over 60? You get it. Can't find work? You get it. Disabled? You get it.

Because people at the bottom have no savings. Give them a hundred yuan, and they will spend it. Give them a thousand yuan, and they will spend it. What they buy is vegetables, rice, daily necessities, their children's school fees, bus tickets. They will not save it, they will not speculate in real estate, they will not pour it into the stock market to circulate idly. Every penny they spend flows into the low-level market — the vegetable market, the corner store, the street stall, the repair shop, the barbershop.

When the bottom has money, the low-level market is activated.

Small vendors sell more vegetables and earn more money. Wholesalers have more orders and stock more goods. Small factories receive more orders and run more shifts. Logistics starts moving, and transport drivers have more work. People at every link earn money, and people at every link gain purchasing power.

Then demand transmits upward. The demand from the low-level market pulls upstream supply. The raw material suppliers of small factories get orders, their factories start up, and wages are paid out. Workers take their wages and consume again — going to the vegetable market, the corner store, the street stall.

This is a bottom-up cycle. It is not "trickle-down from the top," it is "transmission from the bottom up." The bottom consumes, activating the low-level market; the low-level market pulls upstream; upstream drives production; production creates employment; and employment creates more consumption. The money starts turning. The entire system comes alive.

Some say this will cause inflation. That is pure nonsense. The total money supply is constant — the central bank may issue some new currency, but inflation depends on the central bank, not on the grassroots level. This system only changes the way money circulates, shifting from prioritizing the upstream economy to prioritizing support for the downstream economy.

First, what exactly is being canceled when we cancel subsidies?

We cancel those subsidies that are "given away for nothing." Industrial subsidies — given to enterprises, they use them to expand production, then overcapacity sets in, products can't be sold, and they apply for more subsidies. Export subsidies —

given to enterprises, they push prices even lower with thinner margins, surviving on subsidies rather than on their products. Targeted support — given to specific industries and specific enterprises, not because they are competitive, but because they have connections. These subsidies have not served to "promote development"; they have only served to "let enterprises survive without needing to improve." Canceling subsidies means taking away these crutches. They will either stand up and walk on their own, or they will fall.

Second, what is not being canceled?

We do not cancel those subsidies that truly serve people. For example, agricultural subsidies — if they are given directly to farmers, not to agricultural supply companies. For example, education subsidies — if they are given directly to students and parents, not to schools. For example, medical subsidies — if they are given directly to patients, not to hospitals. The problem is not subsidies themselves, but where the subsidies flow. If subsidies flow to "people who don't need them," they are waste. If subsidies flow to "people who truly need them," they are a tool. So what is canceled is "subsidies for enterprises"; what is preserved and reformed is "subsidies for people."

Third, why give money directly?

Because giving money directly is the shortest path. Subsidies pass through enterprises, and enterprises intercept them. Subsidies pass through local governments, and local governments intercept them. Subsidies pass through approval processes, and approval processes intercept them. Every layer of interception means little remains by the time it reaches the bottom. Direct cash distribution has no intermediate links. Money goes from the treasury directly to people's hands — no interception, no loss, no delay. You get the money, you spend it. You spend it, the market comes alive. The market comes alive, enterprises get orders. Enterprises get orders, they don't need subsidies to survive. Direct cash distribution is more effective than any "indirect stimulus" because it bypasses all interception points.

Fourth, will giving money breed freeloaders?

Yes.

It should. Why not?

If a person is born that way, just respect them. They don't want to work, they don't want to participate, they don't want to do anything — that is their choice. You

don't need to change them. You just need to let them live. They live, they consume, and money flows into the market. They buy cigarettes, the shop owner earns money. They buy alcohol, the liquor store owner earns money. They go play cards, and whoever wins the money will spend it. No matter how they spend it, the money ultimately flows into the market. It does not disappear. It just flows from one person's hands to another's. And those people will continue spending the money. As long as money is flowing, the market is operating. You don't need to worry about how they spend it — as long as they are spending, the market benefits.

And what exactly are you afraid of? You are afraid that "freeloaders" will take money and not work. But those "people who don't work" were never going to work in the first place. If you don't give them money today, they still won't work. If you give them money, they still won't work. The difference is just between not working on an empty stomach and not working on a full stomach. But a person who has eaten is more likely to stand up one day than a person who is hungry. Because they have strength, they have energy, they have the bandwidth to think about "what I want to do." The money you give them is not to keep them lying down — it is to let them go from "having to lie down" to "being able to stand up." And some people, once they stand up, will never lie down again.

What you really need to worry about is not "freeloaders taking money and not working." What you need to worry about is "those who want to work but cannot stand up because they have no money." What you need to worry about is "those who have been overlooked by the system and have completely disappeared because they have no money." What you need to worry about is "those who have worked hard their whole lives only to find they have nothing in the end." These are the people for whom you give money. And freeloaders are a small price you pay for these people.

Have you ever seen a real freeloader? I have. Not many. They are the same whether they get money or not. They won't become lazier because they have money — they have already reached peak laziness. And you, to guard against those few real freeloaders, deprive everyone else of opportunity. Isn't that absurd? You are afraid of a few freeloaders, so you let those who want to stand up go without money for food. You are afraid of a few freeloaders, so you let the entire market shrink from lack of purchasing power. You are afraid of a few freeloaders, so you let those who have worked hard their whole lives end up with nothing in their old age.

You should give money. Give it to everyone. Give it to those who want to work — they will stand up. Give it to those who don't want to work — they will keep lying down — but their money will flow into the market, becoming someone else's orders,

someone else's wages, someone else's opportunities. You are not supporting freeloaders; you are supporting the market.

Fifth, where does the money come from?

From canceling subsidies. From raising taxes. From reducing those projects that "spent a lot of money but achieved nothing." This money was already in the system; it was just circulating idly in the wrong places. You don't need to create new money; you just need to redirect the idle money to where it should go. The money exists. It was just flowing in the wrong direction. Take it back and release it again, and it will start turning once more.

Sixth, what happens after the low-level market is activated?

The low-level market is the capillaries at the bottom. They are small, scattered, and inconspicuous, but they are the most sensitive part of the entire system. When the bottom has money, the corner store comes alive, the vegetable market comes alive, the street stalls come alive, the repair shop comes alive. These activated capillaries pull upstream supply — wholesalers, small factories, logistics, raw material suppliers. Then demand transmits further upward, to larger factories, larger enterprises, larger markets. This is a bottom-up transmission process. It is not "trickle-down from the top," it is "surge from the bottom up." When the bottom starts consuming, the entire system moves. Not slowly, but quickly. Because bottom-level consumption is the most direct — they don't need to think about "should I buy," they only need to know "do I have the money to buy." If they have it, they buy. If they buy, the market turns.

This is why subsidies must be canceled and money given directly to the bottom. Because this is the only way money can truly flow to the capillaries. Subsidies cannot reach there, tax cuts cannot reach there, liquidity injections cannot reach there. Only direct cash distribution can. And when the capillaries come alive, the entire system can come alive. It does not need to slowly seep from the top; it only needs a fuse lit at the bottom. Once the fuse is lit, the entire powder keg explodes. And this "explosion" is not destruction — it is release — releasing the demand that has been suppressed by the entire system for too long.

You ask me: why give money, and not something else? Because giving money is the shortest path, the fastest cycle, the most direct repair. If you don't give money, the bottom has no purchasing power, the market shrinks, and enterprises die. If you give money, the bottom has purchasing power, the market comes alive, and enterprises come alive. It's that simple. And those freeloaders you think will be

supported — they are just the most negligible cost in this system. You can afford it. You should pay it.

This is a bottom-up cycle. It is not "trickle-down from the top," it is "transmission from the bottom up." The bottom consumes, activating the low-level market; the low-level market pulls upstream; upstream drives production; production creates employment; and employment creates more consumption.

The money starts turning. The entire system comes alive. Some say this will cause inflation. That is pure nonsense, because the total money supply is constant. Of course, the central bank may also issue some additional currency, but inflation depends on the central bank, not on the grassroots level. This system only changes the way money circulates, shifting from prioritizing the upstream economy to prioritizing support for the downstream economy.

Japan and South Korea have already verified this logic

When Japan and South Korea implemented this set of measures, the impact on them was not significant, because they already had a complete institutional framework.

Japan and South Korea took the "compliance" path, but they also inherited a framework of institutional constraints as a result. Labor laws are strictly enforced, weekends off are the bottom line, taxation is rigid, and social insurance is mandatory. When the economy was in recession, these constraints were never relaxed.

So when they faced economic downturns, the impact they suffered was smaller than China's. Not because they were "richer," but because their institutions had been functioning all along.

An institution is like an immune system. If you maintain it well in normal times, you recover quickly when you get sick. If you don't maintain it in normal times, you will collapse when you get sick.

The "lack of weekends off" that took ten years to verify in China would not happen in Japan and South Korea. Not because the people there are "luckier," but because their institutions have been constraining all along. Constraints do not fluctuate with the economic cycle — this is the evidence.

5. Redistributing Wealth Circulation Channels: Bank Privatization

No matter how much money banks lend out, it only reaches a small minority of people; the grassroots simply cannot feel a thing.

What does this sentence mean? It means that the current monetary transmission mechanism has been broken.

Where did bank loans go? They went to state-owned enterprises, to real estate, to local government financing platforms. Where did this money end up? In big projects, big infrastructure, big corporations. It did not flow to the grassroots. A small vendor wants a loan to stock up, the bank says no. A young person wants to borrow to start a business, the bank says no. A farmer wants a loan to buy seeds, the bank says no. The bank says "too risky." But when the bank lent money to Evergrande and Evergrande collapsed, the bank said "risk is controllable." This is a classic example of institutional failure — money is not allocated according to "who needs it more," but according to "who has the better connections."

Banks are state-owned. The problem with state-owned banks is that they do not need to be accountable to the market. They only need to be accountable to their superiors. What do their superiors evaluate them on? Deposit scale, loan scale, profit targets, non-performing loan ratios. These metrics have nothing to do with "whether money has flowed to the grassroots." So banks have no incentive to lend to the grassroots. They prefer to lend to large enterprises, big projects, and major platforms — because these loans have simple approval processes, large volumes, and less personal responsibility if something goes wrong. Lend to a farmer and something goes wrong — you are responsible. Lend to a state-owned enterprise and something goes wrong — everyone is responsible together. So banks choose the "safe" path. But on this path, money does not flow to the grassroots.

Bank privatization means shifting banks from "being accountable to superiors" to "being accountable to the market." When banks need to be responsible for their own profits and risks, they will start looking for people who truly have the ability to repay. And the grassroots consumer market, once the foundation is laid, is precisely the largest source of repayment. When small vendors have income, they can repay loans. When young people have jobs, they can repay loans. When farmers have a market, they can repay loans. Banks will discover: lending to the grassroots is safer than lending to large enterprises. Because large enterprises can fail, but the consumption demand of the grassroots will not fail. As long as people are

consuming, the grassroots have income. When the grassroots have income, loans are safe. This is a positive cycle.

First, what problem does bank privatization solve?

It solves the problem of "money not flowing to the grassroots." The current banking system is a "top-down" system. Money flows from the central bank to commercial banks, and commercial banks lend it to large enterprises and big projects, where it circulates idly at the top. The grassroots do not get money not because they don't need it, but because banks have no incentive to lend to them. After privatization, banks need to be responsible for their own profits. They will discover that the return rate on lending to the grassroots is much higher than lending to large enterprises. Because although grassroots loans are small in individual amounts, they are large in aggregate, diversified in risk, and have ample profit margins. When banks start pursuing profits, they will proactively lend to the grassroots. The money will flow downward.

Second, will bank privatization lead to financial risks?

Yes. But the risk is controllable. Privatization does not mean no regulation. Quite the opposite — after privatization, regulation must be stricter. Because banks are institutions that deal in risk, they need to be constrained. But the way to constrain them is not "tell them who to lend to," but "tell them who they cannot lend to." Regulation is not "guidance"; it is a "bottom line." You cannot engage in usury, you cannot make illegal loans, you cannot do connected transactions. But you can decide for yourself who to lend to. Above the bottom line, banks decide for themselves. They will assess risks themselves and bear the consequences themselves. If they make mistakes, they will die. When they die, the market will replace them with a better bank. This is what a healthy financial system looks like.

Third, where will money flow after bank privatization?

It will flow to the grassroots. Because the grassroots are the largest unmet credit market. Hundreds of millions of people have no credit cards, no loan records, no access to financial services. They are not "lacking the ability to repay" — they are "not seen by the banks." After privatization, banks will proactively seek them out. Because they are an incremental market, a source of profit. Banks will develop new products, new risk control models, and new service methods to cover these people. Money will flow into their hands. They get the money, consume, the market comes alive, they earn money, and they repay. Banks earn money and continue lending. This is a positive cycle.

Fourth, what will happen to interest rates after bank privatization?

Interest rates will rise. Because current interest rates are artificially suppressed. The benefit of suppressing rates is "making borrowing cheaper for enterprises," but the downside is "depositors get no returns." People at the bottom have little savings, so they don't feel the harm of low rates. But have enterprises felt the benefit of low rates? No. Because the low-rate money did not flow to enterprises. It flowed to large enterprises and big projects. The interest rates small and medium enterprises get are much higher than those for large enterprises. So low rates did not help small and medium enterprises; they only helped those large enterprises that were never short of money. After privatization, interest rates will be marketized. Deposit rates will rise, and loan rates will also rise. But the magnitude of the increase will be constrained by market competition. Because there will be more banks and more competition, rates will not rise indefinitely. They will stabilize at a reasonable level. And the rise in deposit rates will benefit people at the bottom — they can finally earn a little interest on their savings.

Fifth, will bank privatization lead to bank failures?

Yes. Some banks will fail. Those that are poorly managed and have failed risk control will fail. But this is a good thing. Because bank failure means "if you do wrong, you pay the price." Current banks cannot fail, so they don't need to be accountable to the market. They only need to be accountable to their superiors, and their superiors don't evaluate "whether money has flowed to the grassroots." So banks can keep making mistakes and keep surviving. After privatization, if they make mistakes, they will die. Banks will start taking risk seriously, taking the market seriously, taking the grassroots seriously. And the banks that survive will be the ones that can truly serve the market.

Sixth, can the state still control the financial system after bank privatization?

There is no need for control. What the state needs is regulation. The financial system does not need to be "controlled"; it needs to be "constrained." Control means telling banks what to do; constraint means telling banks what they cannot do. Control means "you can only lend to state-owned enterprises"; constraint means "you cannot make illegal loans." Control prevents money from flowing to the grassroots; constraint allows money to flow in safe channels. The state does not need to control finance; what the state needs is to let finance serve the market. And banks after privatization will serve the market more proactively than state-owned banks ever did. Because serving the market is serving their own profits.

6. Let the Market Truly Begin to Decide Who Lives and Who Dies

I already said this in Part 1. Over the past thirty years, what determined whether an enterprise could survive was not "whether it did well," but "whether it could exploit people."

An enterprise can reduce costs by not providing a two-day weekend, not paying social insurance, evading taxes, and failing to meet safety standards. All this "saved money" becomes its competitive advantage. It can use lower prices to drive rule-abiding enterprises out of the market.

This is not the market deciding who lives and who dies. This is institutional loopholes deciding who lives and who dies.

I said something earlier that can serve as the title for this section:

"Let the market decide which enterprise should stay and which enterprise will fail."

This means: the market is not deciding right now. We need to let the market truly begin to decide.

After the first five measures are completed — penalties in place, the two-day weekend restored, strict taxation, subsidies canceled, banking reform — what will happen?

One thing will happen: enterprises can no longer gain a price advantage by "exploiting people."

All enterprises will have to stand on the same starting line:

All must provide a two-day weekend. All must pay full taxes. All must pay social insurance. All must meet safety standards. All must comply with labor laws.

At that point, who lives and who dies really depends on efficiency, technology, management, and products. Good enterprises — those that can truly provide good products, good services, and have innovative capabilities — will survive. Bad enterprises — those that only know how to exploit people, find loopholes, and have no real competitiveness — will die.

Isn't this the true nature of a market economy? Survival of the fittest.

It's just that because institutions have failed for so long, we have forgotten how "good" and "bad" should be defined. It is not "who can exploit people" that counts as good, but "who truly has competitiveness."

When institutions begin to constrain and the market truly begins to decide, a new cycle mechanism starts operating:

Institutional constraint → bad enterprises eliminated → good enterprises survive → workers receive reasonable compensation and rest → workers have purchasing power → market expands → good enterprises make money → pay taxes → tax redistribution → bottom has money → low-level market activated → demand transmitted upward → more enterprises make money → more employment → larger market.

This is a virtuous cycle. Its starting point is "institutional constraint," and its end point is "market expansion, more people benefit."

Compare it with the previous vicious cycle:

Institutional failure → enterprises exploit people → workers have no purchasing power → market shrinks → enterprises face more difficulty → exploit even harder → more people unemployed → market continues to shrink.

Two paths, completely opposite directions. Which one do you choose?

First, who is deciding who lives and who dies right now?

Institutional loopholes are deciding. Whether an enterprise can survive does not depend on whether it does well, but on whether it can find loopholes. Whether it can avoid paying social insurance, whether it can avoid providing a two-day weekend, whether it can evade taxes, whether it can lower safety standards. Every time it finds a loophole, its costs go down a little, and its competitiveness goes up a little. Meanwhile, those enterprises that do not find loopholes — those that honestly pay taxes, provide a two-day weekend, and pay social insurance — have higher costs, higher prices, fewer customers, and thinner profits. They are gradually squeezed out of the market by those "loophole-seeking" enterprises. This is not market competition; this is "cheating competition." The winner is not the best, but the best cheater.

Second, only after institutions are restored does the market truly begin to decide.

The function of institutional stress is not to "make decisions for the market," but to "clear out the cheating examinees." When all enterprises must stand on the same starting line — all must provide a two-day weekend, all must pay full taxes, all must pay social insurance, all must meet safety standards, all must comply with labor laws — at that point, the space for cheating disappears. Who lives and who dies truly depends on who runs faster and who jumps higher. The efficient live, the inefficient die. Those with good products live, those with poor products die. The well-managed live, the poorly managed die. This is the market. It is not the government "choosing" who lives; it is the market "choosing" who lives. Institutions merely shut down the rules of cheating.

Third, only when bad enterprises die can good enterprises live.

This is something many people dare not face. Letting the market truly begin to decide means some enterprises will die. Those enterprises that survive by exploiting people, evading taxes, and finding loopholes will die after institutions are restored. When they die, what happens to the workers? Workers go to good enterprises. Good enterprises are expanding because they have market space. They need more people, better workers, more stable teams. Workers flow from bad enterprises to good enterprises, from a place that "does not treat you as human" to a place that "at least treats you as human." This is not unemployment; this is replacement. Replace the "cheaters" and keep the "doers."

Fourth, how are good enterprises defined?

A good enterprise is not the one with the "highest profits." It is the one that, "under the premise of following rules, has the highest efficiency, the best products, and the strongest management." High profits may come from monopoly. High profits may come from exploitation. High profits may come from tax evasion. None of these make a good enterprise. A good enterprise is: it provides a two-day weekend, pays full taxes, pays social insurance, complies with safety standards, and still manages to make money. It relies on real capability, not cheating skills. This kind of enterprise is what the market should keep.

Fifth, what is the starting point of the new cycle mechanism?

It is institutional constraint. Not subsidies, not tax cuts, not liquidity injections. It is institutional constraint. You first shut down the rules of cheating, and then the market will start turning on its own. Bad enterprises die, good enterprises live. Good enterprises live, workers have reasonable compensation and rest. Workers have purchasing power, the market expands. The market expands, good enterprises make

money. Good enterprises make money, they pay taxes. Taxes are redistributed to the bottom. The bottom has money, the low-level market is activated. The low-level market is activated, demand transmits upward. More enterprises make money, more employment, a larger market.

The starting point of this cycle is institutional constraint. Without institutional constraint, nothing happens.

Sixth, why is the vicious cycle still turning?

Because institutions are still failing. Because law enforcement is still doing nothing. Because enterprises are still surviving by exploiting people. Because workers still have no purchasing power. Because the market is still shrinking. Because enterprises are still exploiting even harder. Because more people are still unemployed. Because the market is still continuing to shrink. This cycle did not happen naturally. It is the result of thirty years of institutional failure. You cannot make it stop by "waiting." It will keep turning until the system collapses. The only way to stop it is for institutions to begin exerting stress. Cut it off at the source.

Seventh, which path do you choose?

Two paths, completely opposite directions. One goes up, one goes down. One lets people live, one lets people disappear. Which one do you choose?

You say you choose the one that goes up. But after you choose, what you need to do is: let institutions begin exerting stress. Not daydreaming, but doing. Start with penalties, start with the two-day weekend, start with taxation, start with canceling subsidies, start with banking reform. Step by step. Walk until the market truly begins to decide who lives and who dies. Walk until good enterprises survive and bad enterprises die. Walk until workers have bargaining power. Walk until the market expands. Walk until everyone has a place.

Letting the market truly begin to decide who lives and who dies — the premise of this sentence is: you must first repair the institutions. If institutions are not repaired, the market cannot decide. You can only let the cheaters win. And when the cheaters win, everyone loses.

7. Enterprises Returning to Their Place: Deep Questions About Constraining Enterprises

Earlier we talked about the market being the riverbed and institutions being the embankment. But there is something else in the river — enterprises. If the nature of

enterprises is not clearly explained, all the earlier "constraints" and "stress" could be misunderstood as "hitting the economy." So, before continuing further, I must thoroughly explain the matter of "enterprises."

1. What Is an Enterprise

What is an enterprise? It is an organizational tool that arises in response to human needs.

It is not that labor exists because enterprises exist. It is because human needs must be satisfied, and enterprises are created to organize production to meet those needs. Needs come first, enterprises come after. Labor comes first, enterprises come after. The market comes first, enterprises come after.

Enterprises are tools, not ends. Their existence is to satisfy human needs, not to have people serve them. When enterprises begin to exploit people in return, they deviate from their own essence. When a system begins to place the survival of enterprises above the survival of people, that system is already heading toward imbalance.

Over the past thirty years, we have reversed this order. We made enterprises the end and people the tool. We put enterprise profits first and human dignity last. We protect enterprises from bankruptcy, even when they exploit people. We tolerate institutional failure because enterprises need "flexibility." We abandon the protection of workers because enterprises need "competitiveness." We have raised enterprises to be too big, so big that we have forgotten what they were originally meant to exist for.

What needs to be done now is to reverse the order. It is not to punish enterprises, but to let enterprises return to where they should be — serving people, not exploiting people. It is not to eliminate enterprises, but to let good enterprises survive and bad enterprises die. It is to let the market truly begin to decide who should stay and who should be eliminated.

2. Questions About Enterprise Reform

What if, when taxes are increased, both good and bad enterprises die together?

This is a reasonable concern. When taxes are raised, costs go up. Good enterprises follow the rules, they have been paying taxes all along, and their costs are already high. Bad enterprises do not follow the rules, they have been evading taxes, and their costs are low. Now that taxation is strict, bad enterprises cannot

escape, and their costs rise. What about good enterprises? Good enterprises were already paying taxes; they don't have a "cannot escape" problem, and their costs haven't changed.

If good enterprises' costs haven't changed and bad enterprises' costs have risen — who becomes more competitive? Good enterprises. Good enterprises were previously suppressed by bad enterprises using the advantage of "not paying taxes," but now that advantage is gone. Good enterprises don't need to make any changes; they automatically become more competitive.

Tax increases will indeed cause some enterprises to die. But those that die are the ones that survive by "not paying taxes." Those that survive by real capability will not die; on the contrary, they will live better. Tax increases are not about "killing enterprises," but about "killing bad enterprises."

Moreover, the money collected from tax increases is not taken by the government to spend; it is redistributed to the bottom. The bottom has money, they consume, the market grows. Good enterprises' products sell better, their revenue is higher, their profits are thicker. They pay more taxes, but they also earn more money. Tax increases are not a one-way "taking away," but a two-way "circulation" — money is taken from enterprises, reaches the hands of the bottom, is consumed, returns to enterprises, is taxed again, and goes back to the bottom. This is getting money moving, not letting money die.

What if, when taxes are increased, enterprises relocate abroad?

This is the most common threat from enterprises: "If you raise taxes, I will leave."

But where do enterprises move to? Southeast Asia? India? Mexico? These places indeed have cheaper labor, lower taxes, and looser environmental requirements. But what do enterprises need to move there? They need to rebuild supply chains, retrain workers, readapt to unfamiliar legal systems, and reestablish market channels. These costs are not small. Moreover, the infrastructure, logistics efficiency, and political stability of those places cannot catch up in the short term.

A truly competitive enterprise will not relocate just because taxes increase a little. The cost of moving is far higher than the cost of staying. It just does not want to pay taxes; it wants to continue exploiting. If you do not raise taxes because you are afraid enterprises will leave, then you will be held hostage by them forever. "You dare not control me, because I can leave anytime" — this is the ultimatum that

enterprises give the system. If you accept it, you live on your knees. If you do not accept it, they may not actually leave.

At the same time, you must understand that AOS is changing the logic of global industrial chain layout. Previously, enterprises moved to Southeast Asia for cheaper labor. After AOS becomes widespread, what does a factory's production location depend on? It depends on power supply, network bandwidth, supply chain supporting facilities, and market size — not on "where people are cheaper." China is already the best in the world in these aspects. When enterprises move, they are not moving to a better place; they are moving to a worse place — just to save a little bit of tax. The tax they save may not even be enough to compensate for the losses from supply chain disruption.

What if, when subsidies are canceled, enterprises face more difficulties?

Previously, enterprises were propped up by subsidies. Even if they had low efficiency, poor products, and chaotic management, they could still survive. Now that subsidies are gone, they must survive on their own real capability. This is harsh — some enterprises will indeed die. But those were never meant to survive in the first place.

But regarding the same "enterprises will die," some people see a crisis, while others see a screening. Every bit of subsidy you spend comes from tax revenue. This money could have been used to improve people's livelihoods, invest in infrastructure, and raise the level of education and healthcare — but you are using it to keep alive an enterprise that should have gone bankrupt. Are you helping an enterprise, or are you harming the entire society?

Truly competitive enterprises rarely rely on government subsidies. Huawei did not survive on subsidies; BYD became stronger after subsidies were reduced. Truly excellent enterprises are tempered in market competition, not raised in the greenhouse of subsidies. Canceling subsidies means opening the greenhouse door, letting those enterprises that can only live in the greenhouse die, and letting those that can adapt to the natural environment survive.

What if, when subsidies are canceled, some enterprises that could still be saved also die?

Some enterprises are not "bad enterprises"; they are just temporarily facing difficulties. They need time to adjust, time to transform, time to adapt. If you cancel subsidies, they die immediately.

But "subsidies" are not the only way to save enterprises, and not even the best way. You can use low-interest loans, technical support, market access preferences, and many other ways to help enterprises — but "direct cash handouts" are the easiest way to create dependency, breed corruption, and distort the market.

Moreover, it is very difficult for you to judge whether an enterprise is truly "temporarily in difficulty" or "fundamentally unsound." You give subsidies, and it says it needs time to transform. Three years pass, and it is still asking for subsidies. Five years pass, and it is still asking for subsidies. You cannot tell whether it truly needs them or is just accustomed to being supported. The essence of canceling subsidies is to let enterprises prove themselves — "You don't need to tell me whether you're capable; the market will tell me." If the market sentences it to death, it truly is not capable. If the market says it's okay, it can survive.

What if good enterprises are also eliminated, leaving only giants monopolizing the market?

This is a reasonable concern. In the process of institutional stress, some good enterprises may fall due to the impact of the transition period. Meanwhile, the enterprises of giants — those with abundant capital, huge scale, and strong market influence — are the most likely to withstand the impact. They have sufficient funds to cope with rising costs, sufficient legal teams to handle compliance requirements, and sufficient market share to hedge risks. If during the process of institutional stress, a batch of small, medium, and good enterprises fall, and giants monopolize the entire market — that would be even more terrifying than bad enterprises surviving.

So when I design institutional stress, I must make "anti-monopoly" one of the core elements. Constrain enterprises, but do not let the constraint itself become a moat for giants. Increase taxes, but impose higher tax rates on monopoly profits. Strictly enforce the law, but apply stricter scrutiny to large enterprises. The targets of institutional stress are, first and foremost, those enterprises that are "too big to fail." If an enterprise is so big that it "cannot fail," then it itself is a risk. Before it becomes an even greater risk, break it up, disperse it, and make it no longer a "giant."

In American history, Standard Oil was broken up, and AT&T was broken up. The EU is currently breaking up the monopoly businesses of Google and Apple. These are not "suppressing enterprises"; they are "protecting the market." In a healthy market, no one should be too big to fail or too strong to be regulated. Institutional stress must include anti-monopoly. Otherwise, the result of my stress is merely handing the

market from one bad enterprise to another large enterprise. That would be no change at all.

What if, when enterprises relocate, they take technology and talent with them?

When enterprises relocate, they don't just take equipment and orders. They also take a group of skilled workers, a group of engineers who understand technology, and a group of middle managers who understand management. If these people follow the enterprise away, what remains is an empty shell. You lose tax revenue, lose industries, and also lose talent. The losses are compound, compounding.

So what you need to do is not "prevent enterprises from leaving," but "make talent stay." Retaining talent does not rely on locks; it relies on attraction. Is your system respectful of people? Is your environment suitable for living? Are your opportunities abundant enough? When a system can provide good institutions, a good environment, and good opportunities, talent will not leave.

And you must be clear: truly top-tier technology and talent will not go to a place that "attracts enterprises with low taxes." They will go to a place that "attracts people with high quality." You use institutional stress to constrain enterprises, and at the same time, you use institutional stress to protect people. When people stay, the market stays. Enterprises can leave, but if people leave, they will never come back. If you keep the people, enterprises that leave will return. If you let people go, it's useless even if enterprises come back.

What if, when enterprises relocate, the workers left behind are abandoned?

This question is even more urgent than the previous one. Enterprises can leave, but workers cannot leave. Their homes are local, their children go to school locally, their parents retire locally. They do not have the ability to start over in another country. When the enterprise relocates, they become unemployed. It's not that they are not good enough; it's that the enterprise no longer wants them.

When enterprises relocate and workers become unemployed — this consequence cannot be borne by the workers alone. The enterprise enjoyed the resources here, the market here, the infrastructure here. When it leaves, it should leave sufficient compensation to help the workers it abandoned complete their transition. This money can be used for training, for subsidies, to help workers start small businesses. You must let enterprises know that leaving has a cost. You are not forbidden from leaving, but before you leave, you must properly arrange for the people you have used.

This sounds like an "enterprise burden," but it is actually a matter of "responsibility returning to its rightful place." The worker has given time, energy, and youth to the enterprise. If the enterprise leaves, it should bear corresponding responsibility. You cannot use "market behavior" to cover up all costs. Market behavior does not mean no responsibility; responsibility follows power. The enterprise enjoyed the labor market here, so it should be responsible for the labor here. This is not protectionism; this is responsibility attribution.

What if this set of institutions causes the market to lose its vitality?

You have added taxes, added penalties, added regulation, added constraints — you make it hard for enterprises to breathe, you make entrepreneurship difficult, you make investment hesitant. What about market vitality? New enterprises no longer appear, new technologies no longer emerge, new models no longer surface, the entire economy seems tied up, unable to move.

Institutional stress is not about "tying up" the market. Institutional stress is about "cleaning up" the market. After you clean out those enterprises that survive by exploiting, evading taxes, and arbitraging institutions, what remains in the market is a clean, fair, and healthy competitive environment. A vibrant market needs a fair arena. You let all competitors stand on the same starting line, and let the competition result depend on who runs faster and who jumps higher — not on who is better at cheating and who is better at finding loopholes. Institutional stress is the infrastructure that maintains this fair arena. It does not limit vitality; it provides the foundation for vitality.

If this is so good, why is no one doing it now?

This is not a technical problem; it is a problem of interests.

Who are the beneficiaries of institutional failure? Those enterprises that can avoid paying taxes, avoid paying social insurance, avoid providing a two-day weekend, and avoid bearing any responsibility. The capital that has accumulated enormous wealth by exploiting institutional gaps. The vested interests that benefit from "flexible employment" and "low-cost advantages." These people do not want institutional stress. They do not want the status quo to change. They want institutions to continue failing, they want the bottom line to remain vague, they want workers to continue having no bargaining power. They use the benefits they have gained to obstruct the repair of institutions, and use the resources they possess to maintain the status quo.

This is why everyone can clearly see the problem, yet no one is doing anything about it. It is not because they don't know; it is because someone is blocking. The cost of obstruction is low, the cost of change is high. So the system is stuck here — moving forward is difficult, moving backward is impossible, and it can only remain frozen in place until a certain critical point arrives. And you have already seen that critical point is approaching.

What if the vested interests refuse to agree and stubbornly block changes?

This is a question that must be faced. I have analyzed the causes of institutional failure, proposed a plan for institutional stress, and demonstrated the urgency of AOS's inevitable arrival. But in the end, all of this faces the same problem: institutions are implemented by people, and change is driven by people. If those vested interests who hold power, resources, and voice refuse to agree and stubbornly block changes — what can I do?

No one can give a definitive answer. No structural change in history has been a "peaceful transition." Every change is the result of game-playing, conflict, compromise, and pulling. I cannot make those who profit from institutional failure voluntarily give up their interests. They will not voluntarily let go, because that is their lifeline. But they can be made to realize: the cost of resisting change is greater than the cost of accepting change.

When AOS gradually replaces human labor, when the market shrinks to the point that even their profits are declining, when social contradictions accumulate to the point that even they cannot ignore them — at that point, the cost of "refusing to agree" will become very concrete. It is not a moral "should," but an interest-based "have to."

The driving force of institutional stress is not me alone. It is those who have spent ten years unable to find a job with a two-day weekend, those who have been replaced and have nowhere to go, those in rural areas who have no work and can only rely on their children to survive. When enough people realize that "change is inevitable," the vested interests cannot block it. They can block it for a while, but not forever.

What if this chain of reasoning is wrong?

What I have written may be partially wrong. Perhaps AOS will not arrive as quickly as I imagine. Perhaps institutional stress will not be as effective as I imagine. Perhaps the market is not as dependent on labor as I imagine. Perhaps I have overestimated the pulling effect of grassroots consumption. Perhaps I have

underestimated the resistance of vested interests. Many "perhaps," much uncertainty.

But I do not think it is all wrong. At least this direction — letting institutions constrain again, letting labor be respected again, letting the market restore its stress — this direction is correct. Even if the specific path needs adjustment, even if the timeline needs correction, even if certain details need rethinking — the direction is correct.

If a chain of reasoning is correct, it does not need me to prove it. It will prove itself. If you see something that is correct, you say it. If you are wrong, someone will correct you. If you are right, someone will follow you. This is far better than saying nothing and doing nothing.

What if others cannot understand what I am writing?

I write this not for everyone to understand. Some people may never think about these issues in their lifetime, some may read one line and throw it away, some may think "what does this have to do with me." That's also fine.

I write this for those who are going through the same things — those who have spent ten years unable to find a job with a two-day weekend, those who have been replaced and have nowhere to go, those in rural areas who have no work and can only rely on their children to survive. They don't need to "understand" this chain of reasoning; they only need to know: someone has seen what they see, someone has said what they cannot say.

If someone can understand, it means he and I have seen the same thing. He has one more person in this world who can understand him. That may be the only purpose of writing this.

What if I write it, but no one believes it?

Believing or not believing is not something I can control. I can only write what I see. Believing is up to the reader. If someone believes, good. If no one believes, I have still finished writing.

At least I have written it. Ten years ago, what I saw was "no two-day weekend"; five years ago, I saw "structural imbalance"; now I see a complete causal chain. I have written it down, and it is no longer just an idea in my mind. It has become something that can be discussed, questioned, supplemented, and revised. Even if no one believes it, it exists.

A person spent ten years verifying a fact, and then spent even more time writing it down. There is nothing more honest than this in the world.

What if others read it and think "what you said is right, but I can't do anything about it"?

That means I have already done what I can. I cannot make choices for others, nor can I bear the responsibility of action for others. What I can do is explain the problem clearly, point out the path, and draw the direction. The rest is up to each person who reads it.

I cannot make everyone become an actor. But at least I can let some people know: I am not alone, what I have experienced is not my fault, the system really has problems, and there is still a path forward.

That is enough. I am not here to "call upon" anyone; I am here to "describe" what I see. If someone reads it and thinks "oh, so that's how it is," and then continues doing his own thing — that is also enough. At least there is one more reference point in his worldview, one more thing he can look back on. This is not "can't do anything"; this is "having one more direction to think about."

What the market needs to do is stress, not suppression. The same goes for people. People have been suppressed for thirty years, suppressed for thirty years. Now it is not only institutions that need to exert stress, but every living person. After reading this chain of reasoning, if you feel you can do something, then do it. If you feel you can't do anything, then first live well, first take care of your own life. Living itself is a form of stress, because you are still here, you have not given up, you are still watching, thinking, and judging — that itself is a form of strength.

What if the adoption speed of AOS is uneven — big cities first, rural areas later — will the urban-rural gap be further widened?

AOS will not land evenly. Big cities will be covered first, rural areas later. People in big cities will be replaced first, people in rural areas will find out later. This creates a huge time gap — workers in the city are replaced by AOS, return to the countryside, only to find that the countryside does not yet have AOS, but there is also no work waiting for them. They are stuck in between.

When promoting institutional stress, the rhythm difference between urban and rural areas must be considered. It is not about letting AOS wait for rural areas — it is about letting institutional stress cover rural areas in advance, letting rural areas establish a social security network first, so that those returning from the city have a

place to land. It is not about letting technology wait for institutions; it is about letting institutions run ahead of technology. Institutional stress is not about "following the problem"; it is about "preparing before the problem occurs."

What if, during the implementation of institutional stress,malignant events occur — such as conflicts, protests, strikes, and policies are urgently suspended?

Any major social change may see turbulence. Institutional stress is no exception. You have touched too many people's interests, changed too many people's habits, overturned too many people's expectations — there will always be people who push back, resist, and create conflicts. If malignant events occur and policies are urgently suspended, all previous efforts are wasted.

Institutional stress must be staged, low-risk, and reversible. It cannot be pushed through all at once; it cannot offend everyone at once. First pilot, then scale up. First verify in a small scope, then replicate on a large scale. Let those who resist change see: change does not destroy everything; it is just repairing some things. Let those who fear change see: the transition period is stable, controllable, and has buffer. Institutional stress is not a major surgery; it is a series of small interventions. Each intervention is small, but accumulated, it becomes a transformation.

What if this institutional stress plan takes a long time to take effect, but the bottom can no longer wait that long?

Institutional stress is not "build the road first, then open to traffic" — it requires "building while walking." The two-day weekend can be restored first, fines can be implemented first, money can be distributed to the bottom first — there is no need to wait for the entire plan to be ready before taking action. Some measures have immediate effects, some take effect in the long term. You first do what you can do, give what you can give, change what you can change. Let people see change, rather than waiting.

What if the logic in this chain of reasoning holds in China, but does not hold from a global perspective?

China is different — the population size is different, the cultural tradition is different, the political system is different. But the core logic of this chain of reasoning — "institutional stress + labor release + market self-regulation" — also holds in other countries. The United States, Japan, and Germany all operate on similar underlying logic. Institutional stress is not China's invention; it is the norm of mature market economies. China just needs to establish it.

What if the cost of institutional stress is too high and the fiscal system simply cannot bear it?

The biggest cost is not "giving away money," but "doing nothing." The cost of doing nothing, I have already seen — market shrinkage, rising unemployment, accumulation of social contradictions, despair among young people. These costs accumulate every day, increase every day. In comparison, the cost of giving money, implementing the two-day weekend, and increasing penalties is far lower than the cost of doing nothing. It is not that we cannot afford to spend; the cost of not daring to spend is already higher than the cost of spending.

What if institutional stress succeeds, society improves, but AOS has also fully replaced human labor, and people still have nothing to do?

Then we enter the next stage. The success of institutional stress is not the end point; it is the starting point for people to redefine "what is a human." When people are not forced to work, they can do those things that only humans can do, and only humans have the time to do. Institutional stress is just paving the road; the real road is the one that people walk on after AOS has paved it.

One final sentence about enterprises:

A tool is a tool, it can never be the master. Institutions are the rope that pulls it back to the position of a tool. The rope is already in hand — do you loosen it or tighten it? If you do not tighten it, it will continue to devour people. If you tighten it, it will return to where it should be. Only by returning to the position of a tool can it exist for a long time. If it does not return to the position of a tool, it will starve to death after devouring everyone — because it has devoured its own market, devoured its own consumers, devoured the foundation of its own survival.

What institutions need to do is to see this clearly for it, and then make the right choice for it — tighten the rope, let it return to the position of a tool. At first, it will hurt, it will struggle, it will curse you. But after it survives, it will thank you. Because it will discover that only when it no longer devours people can it keep living. And living is the only thing enterprises truly want. Not profit, not growth, but living. The only way for a tool to live is to be needed by people. Not to devour people. Those who devour people will eventually be devoured by themselves. Because when people are gone, it is gone too. It needs people to live. So it must let people live. The way to let people live is to return to the position of a tool. Serve people. Do not exploit people. Do not consume people. Do not treat people as things to be used up and thrown away. This is its survival path, not its moral choice. If it does not choose, it will die. If

it chooses, it can live. Institutions are what make it choose. Choose correctly, and live together. Choose wrong, and die together. There is no third possibility.

Only when enterprises return to their place can people return to their place.

8. Land

Why do I want to talk about land? Why make land the eighth topic?

Because land is the foundation of all commerce. Without land, all commerce cannot progress. All your production, all your transactions, all your living, cannot be separated from land. If you lock up land, commerce cannot move. If you release land, commerce can turn.

Why can rural areas better demonstrate the future standard of living for humanity compared to cities?

Because when rural people decide to use their own land, it means they have more choices. More choices mean more life choices. They can decide what to plant, what to build, what to do. They can decide how to live. But urban people don't have this choice — they are locked into a fixed track: work, pay off loans, consume, then continue working. They have no land, no fallback, no space for 'I can do something on my own.'

So whoever proposes to restrict land is essentially narrow-minded. Promoting the restriction of people's use of land to force them back to cities is itself a wrong theory. Making the vast majority of rural people bear the premium of urban housing prices is absurd.

Now I want to tell you something about real estate. I sold houses in 2012, and at that time I predicted that housing prices would fall. What I didn't expect was that the system was maintaining these housing prices. This is the most absurd thing.

If housing prices had stopped in 2012 and hadn't been maintained, the entire economic situation would be positive now. Housing prices fall, ordinary people can afford houses, they don't have to put all their money into mortgages, they have spare money to consume. Consumption rises, the market turns, enterprises come alive, employment increases. The entire system is alive. But you maintained it. You were afraid it would fall, afraid it would collapse, afraid those who live off housing would die. So you used the system to prop it up. You propped it up for over a decade. You

propped up something that should have come down. And the cost of propping it up is that the entire economic system is crushed by it.

Why did it evolve into this situation? It is because of the inertia of the current system.

What does institutional inertia mean? It means the institution itself does nothing, but it also doesn't allow anything else to move. It doesn't move, and it doesn't let others move. It occupies that position, does nothing, but maintains a 'status quo' — a status quo that is bad for everyone but safest for the vested interests. Housing prices are maintained, vested interests won't lose. Ordinary people can't afford houses, but they won't rebel — because they are still paying off mortgages, they dare not stop. The system sits there, watching all of this, doing nothing. It doesn't push housing prices up, because that would explode. It doesn't pull housing prices down, because that would collapse. It just lets it stay in that position, hanging. Hanging for over a decade. Hanging until everyone is crushed by it, hanging until the entire economy revolves around it, hanging until there is nothing else besides it.

What I see is land locked up, housing prices propped up, and people stuck. Triple lock, locking up all possible choices.

You lock up land, rural people can't move. You prop up housing prices, urban people dare not move. You jam the system, everyone is waiting.

And waiting will not bring anything.

So I write about land. Because land is the foundation of everything. When you release land, rural people have choices. With choices, they don't all have to flood into cities to take on that propped-up housing prices. They can work on their own land, do their own things. They have a fallback, a foundation, the possibility of living without depending on the city. When part of the population leaves the demand side of the city, the pressure on housing prices will naturally ease. It no longer needs you to 'prop it up' — because the force holding it up has already dispersed on its own.

This is the foundation of commerce. This is the foundation of the market. This is the foundation for people to stand up again.

You've been crushed by housing prices in the city your whole life, and you find you can't leave. You go back to the countryside, and you find you can't do anything. The land is there, but you can't use it. The house is there, but you can't build. The land is dead, people are dead, money is dead. The only thing you can do is return to the city, continue paying off loans, continue being crushed. This is the path that

institutional inertia has arranged for you. And this path leads not to life, but to a loan that will never be paid off, a salary that will never rise, a future that will never come.

So I write about land. Not to 'make farmers rich,' but to give everyone crushed at the bottom of the system at least a space to turn around. After turning around, they can go where they want to go. And that place is not chosen for them by the system; it is chosen by themselves.

Now I need to push this matter one level deeper.

Many people see that our economy is still developing. GDP is rising, infrastructure is being built, cities are expanding. But you need to ask one question: how much of this development comes from ourselves? How much comes from others?

The answer is: our economic development largely depends on the fact that foreign economies are also developing. Because we are in a state of 'being economically balanced.' Our growth has a huge force coming from the outside. Not because we are progressing, but because others are also progressing, and when others progress, they need to buy things from us.

Think about this logic: when foreign economies are good, they need things, they place orders, we produce, we export, we grow. When foreign economies are bad, they don't need things anymore, they don't place orders, we don't produce, our exports drop, we don't grow. Our growth is hung on others. When others move forward, we are pulled along. When others stop, we also stop.

We think we are developing, but our development is propped up by others' demand. We think our economy has a foundation, but our foundation is orders given by others. We think our system is working, but what's really working is others' consumption power. When others' consumption power exists, our factories operate. When others' consumption power doesn't exist, our factories shut down. We are a 'demand-driven' system, not a 'domestic demand-driven' system. Our engine is in the hands of others.

This is the essence of 'being economically balanced.' You are balanced in a position — your growth depends on others, your stability depends on others, your employment depends on others. You are not in the driver's seat; you are in the passenger seat. Others are driving the car, others are choosing the road, you are just sitting there, looking out the window, thinking you are moving forward.

And what is the cost of 'being balanced'? It is that you never have the initiative. You dare not stop, because once you stop, others won't place orders. You dare not raise prices, because once you raise them, others will buy elsewhere. You dare not improve workers' conditions, because once you improve them, costs go up, and others won't come to you. You must stay cheap, stay low-key, stay in a state of 'being there when others need you, and not complaining when others don't need you.' You are always waiting. Waiting for others' orders, waiting for others' demand, waiting for others to give you an opportunity to develop.

And land is the only thing that can break this situation.

Land is in your hands. On your own land, you don't need to wait for others' orders. You can grow your own things, build your own house, run your own business. You don't rely on exports, don't rely on others' demand, don't rely on that 'balanced' position. Standing on your own land, you are your own engine. Your consumption comes from yourself, your production comes from yourself, your market comes from yourself. You don't need to wait for others to place orders; you only need to ask yourself: what do I need? What do I have? What can I do?

This is why land must be released. Not because land itself is so valuable, but because land is the only thing that can let you walk out of the 'being balanced' state. It is your fallback, your foundation, your choice. When you have land, you have choices. When you have choices, you don't have to bet everything on that system of 'waiting for others to order.' You can turn around, can stop, can do your own things.

And in a system, the more people have choices, the less likely the system is to be crushed by external fluctuations. Because it no longer has only one path to take. It has forks, fallbacks, different directions. When external demand drops, internal demand can catch it. When orders decrease, the local market can hold it. When others don't want to play with you, you can play by yourself.

This is not 'closing the country to international relations.' This is 'you have the confidence to speak standing up.' You don't need to beg others for orders, because you have your own market. You don't need to stay low-key, because you don't need to live by being cheap. You don't need to be balanced by others, because you yourself have the ability to balance.

And the starting point of all this is land. It is that piece of land that you currently cannot move, cannot build on, cannot use. Release it. Let ordinary people decide how to use it themselves. Let them have choices. Let them walk out of the 'being balanced' state. Let them stand on their own land and decide their own path.

This is why I write about land. Not because I understand real estate, but because I saw that after land is locked up, people have no choices. And people without choices can only live in others' demand, be balanced by others, until the day others no longer need them. That day has already arrived. You have seen it. Those middle-aged people sitting at rural doorsteps, those young people struggling in the city, they are the end result of being balanced. If you release land now, they still have time to turn around. If you don't release it, they won't be able to turn around anymore.

9. If China Does This, It Will Transform Within 5 Years

7.1 What China Does Not Lack

China lacks nothing.

It does not lack production capacity — we have taken on most of the world's basic production. Global orders flow here, and we catch them. Not because our technology is better than others, but because we are cheaper than others. Our position in the global production chain is not 'leader,' but 'receiver.' Others put production here because it's cheap. Others place orders here because costs are low. Our production capacity is propped up by others' demand.

It does not lack population scale — 1.4 billion people, the world's largest unified market. But the question is, among 1.4 billion people, how many have purchasing power? Population size is just a number. What's truly useful is people who can consume. And the people who can consume are decreasing.

It does not lack technological reserves — AI, new energy, aerospace, quantum computing, biotechnology, we are catching up in many frontier fields. But technological reserves are not the same as technological capability. Reserves are in the warehouse; capability is on the production line. We have a lot of technology, but not enough that can truly become products, markets, and employment.

It does not lack infrastructure — but this needs to be said again.

Many people say China has 'the world's most complete infrastructure system.' That is bullshit.

What does 'complete' mean? 'Complete' is not 'built fast,' but 'built well.' Japan, South Korea, the United States, the United Kingdom, Canada, Germany, France — isn't their infrastructure complete? Their technology is very complete, don't they have highways? They do. American roads are actually better than Chinese roads. It's just that their roads are not as dense, but their infrastructure is actually better than

ours. A road built well is not judged by how wide or long it is, but by how long it lasts, how well it's maintained, and how many people it serves. Our infrastructure has won on speed — built fast, built a lot. But 'fast' is not equal to 'good.' 'A lot' is not equal to 'complete.'

Complete infrastructure means every kilometer of road is needed, every bridge is used, every station has people getting on and off. If a road is built but no one walks on it, it is just 'existing,' not 'complete.' If a bridge is built but only for the sake of some project's face, it is just 'constructed,' not 'complete.' If a highway network is connected but fewer and fewer cars are running on it, it is just 'an investment that was once right.'

Why did we build so fast? Because we have been in a state of being hammered and balanced for thirty years. We needed to use infrastructure to drive investment, use investment to maintain growth, use growth to cover up structural problems. Building roads doesn't require waiting for demand — once you build it, it's there. You can write in your report 'we've built another hundred kilometers.' You can use these numbers to convince others 'we are developing.' You can use these projects to absorb those funds that have nowhere to go.

But these infrastructure projects themselves are not 'complete.' They are 'speed.' They are 'scale.' They are evidence of 'what we have done.' But they are not the answer to 'whether we have done well or not.'

True infrastructure completeness is not just about being built well, but being used well, being maintained well, and making every user feel 'this road was built for me.' Our infrastructure was built for 'investment,' not for 'people.' So no matter how big, how much, how fast, it is just 'engineering,' not 'service.'

And the difference between 'engineering' and 'service' is the difference between 'being balanced' and 'walking on your own.'

So what don't we lack? We don't lack production capacity, population scale, technological reserves, or infrastructure speed. But we lack grassroots purchasing power. We lack the thing where 'after the road is built, there are cars running on it.' We lack the thing where 'what is produced by production capacity is bought by someone.' We lack the thing where 'enough people among 1.4 billion can consume.'

China lacks only one thing: grassroots purchasing power.

It's not 'no production capacity,' it's 'what is produced has no buyers.' It's not 'no money,' it's 'money is circulating idly in the system, not reaching the bottom.' It's not

'no demand,' it's 'people with demand have no money, and people with money don't need more things.'

And grassroots purchasing power is not built by building roads, not stored up by technological reserves, not piled up by population scale. It is squeezed out by institutions pressing profits from the top to the bottom. The road is built, someone needs to drive on it. The factory is built, someone needs to buy the goods. 1.4 billion people, some of them need to be able to pull out money to buy things.

Our infrastructure is already fast enough. What we need now is to have people walking on those built roads. Have people buying those produced goods. Have those technological reserves truly become things that can stand in the market. Turn 1.4 billion people into 1.4 billion consumers, not 1.4 billion 'potential consumers with no money.'

This is the prerequisite for transformation within 5 years. Not building more roads, but making the already built roads be used. Not producing more things, but making the already produced things be consumed. Not storing up more technology, but making technology become true productivity.

And all of this starts with one thing: putting purchasing power into the pockets of grassroots people. Buy one get one free, as long as they show their ID card, they can receive it. As long as you are willing, the money can reach your hands. Don't go through any review, let money reach the bottom at the fastest speed. Don't question whether ordinary people will waste money — they are themselves at the bottom, how do you know they will waste it? They are at the bottom precisely because they lack money. Let them choose how to spend it themselves; this is their own life.

China lacks only one thing, and that is grassroots purchasing power. A buy-one-get-one-free policy — as long as you are Chinese, as long as you have an ID card, as long as you want to receive it, you get it. Money reaches the bottom at the fastest speed. Don't question the judgment of grassroots people — they know better than policy makers how to survive. When you put the choice in their hands, they will make the best decision for themselves. This is the true release of purchasing power. And releasing purchasing power is the only way to trigger that spring.

7.2 Why AOS Makes 5 Years the Last Opportunity

You might ask: why 5 years? Why not 10 years? Why not wait for the economy to improve on its own?

The answer is AOS.

AOS is accelerating its arrival. It is not a 'future threat'; it is an 'ongoing replacement.' Factories are laying off workers, customer service is being AI-ized, logistics is being unmanned, food delivery is being drone-ized. Every industry is being penetrated by AOS, every position is being evaluated for 'whether it can be replaced.' And the evaluation result is: more and more positions will be replaced, and at an accelerating speed.

If AOS becomes widespread within 5 years, what will it do? It will replace those who are still working. Lin Dong was replaced, he went to food delivery. When food delivery is replaced, where does he go? Nowhere. He can only sit at the rural doorstep, like his parents, living on money sent by his children. And his children may already be unable to find work.

This is the impact of AOS. It is not 'slow'; it is 'all at once.' Because it requires no training, no transition, no negotiation. Business decision-making only requires one calculation: how much lower is the cost of using AOS compared to using people. As long as the calculation shows it's lower, they will switch. They don't need to care where the replaced people go. The system doesn't care, enterprises don't care, the market doesn't care. No one cares.

So 5 years is not casually said. 5 years is the time window for AOS to become widespread. If you don't act now, by the time AOS is fully deployed, it will be too late to act. Because by then, people will have been replaced, tax revenue will have decreased, the market will have shrunk, and the safety net will be too expensive to lay. If you act now, you still have time to lay the safety net, inject purchasing power, and activate the market before AOS replaces people on a large scale. Let those who will be replaced already have a source of income, purchasing power, and a foundation for survival before they are replaced.

If you don't act now, when AOS arrives, those people will fall directly. No buffer, no protection, nothing to catch them. They will hit the bottom directly, shattered, and then the system will say 'this is market behavior.'

If you don't act now, when AOS arrives, those people will fall directly. No buffer, no protection, nothing to catch them.

So, AOS is that countdown. It is telling you: you don't have 5 years. You may only have 3 years, maybe only 2 years. Every factory installing new automation equipment, every customer service center going live with a new AI system, every logistics company testing unmanned delivery — they are all shortening your time.

If you act now, the system can still survive. If you don't act now, when AOS arrives, the system will die.

7.3 Purchasing Power Is the Fuse, AOS Is the Countdown

China is a compressed spring.

Production capacity is there, infrastructure is there, population scale is there, technological reserves are there. All these conditions of 'supply' are present, the only thing missing is 'demand' — grassroots purchasing power. Once purchasing power is injected, the entire system will be activated in an extremely short time.

The bottom gets money, immediately consumes. The low-level market comes alive, demand transmits upward. Upstream factories start up, employment increases. The employed consume again, the market expands further. This is an explosive chain reaction. Like a fuse igniting gunpowder. No need to wait, no need to slowly build up power. Once the fuse is lit, the entire system will accelerate on its own.

But while the fuse is lit, AOS is dismantling the factory. You ignite grassroots consumption, AOS is replacing grassroots employment. On one side, you are injecting purchasing power into the system; on the other side, AOS is kicking people out of the production system. This is a race. See who runs faster — whether your safety net is laid faster, or AOS replaces faster. If you win the race, people are liberated. If you lose, people are eliminated.

So, you not only need to light the fuse, but also lay the safety net while lighting the fuse. So that those kicked out by AOS won't fall to their death. The safety net is not 'lay it when AOS arrives,' but 'lay it before AOS arrives.' Because when AOS arrives, the speed at which you lay the net cannot catch up with the speed at which people fall. You can only lay it in advance. And now is the only time to lay it in advance.

7.4 Why 5 Years

Where does the judgment of five years come from?

First, the time window of AOS. Technological iteration is exponential. What you see today is AI replacing customer service, tomorrow AI replacing accountants, the day after tomorrow AI replacing programmers. Each iteration is faster than the previous one. Within 5 years, AOS will cover most replaceable positions. After 5

years, if you want to protect those people, there will be no one left to protect — because people will have already been replaced.

Second, institutional construction does not need ten years. Japan established a complete labor standard system within ten years after the war, and South Korea completed labor law reform within five years after democratization. Institutions are not infrastructure; they don't need a long construction cycle. It is a question of 'deciding whether to do it,' not 'how long it takes.'

Third, the money is already in the system. There is no need to wait for the economy to 'slowly improve' for money to exist; the money is circulating idly in the financial system. Release it, and it will immediately take effect. Banks don't lack liquidity; what they lack is 'where to flow.' Changing the direction of flow doesn't require accumulation, only 'letting it flow.'

Fourth, the rebound of grassroots consumption is the fastest. Unlike infrastructure investment which requires planning, approval, and construction cycles, grassroots consumption is immediate. You give someone a thousand yuan, and they spend it next week. Their consumption immediately becomes someone else's income, and that income immediately becomes the next round of consumption. This cycle starts operating in the first week.

So five years is not optimism; it is the result of deduction. The system doesn't lack resources, doesn't lack capability, only lacks 'letting money start flowing.' Once it starts flowing, the acceleration will be very fast. The first year may just be a slight movement, the second year starts accelerating, the third year it's already unstoppable, the fourth year enters a positive cycle, and the fifth year the transformation is complete.

But the premise is: you must start now. Because AOS will not wait for you. It is already on its way.

7.5 What If Nothing Is Done

Looking at the reverse. If nothing is done, continuing the current path — continuing to inject liquidity to enterprises, continuing to loosen institutions, continuing to tolerate the absence of a two-day weekend, continuing to let money circulate idly in the financial system — what will happen?

You have already seen it in Part 1. Middle-aged rural people have no work and rely on their children. Young people are unemployed upon graduation. Lin Dong has nowhere to go after being replaced. After AOS arrives, more people will be replaced.

The system still does not protect them, enterprises no longer need them, the market has not made room for them.

This is not a process of 'slowly getting worse'; this is a process of accelerating decline. Because the speed of AOS replacing labor is accelerating, while the system's response speed is zero. An accelerating market paired with a completely immobile institutional framework — the tension in between will tear the system apart.

If you do nothing, in 5 years you will have nothing. Tax revenue will be gone, because enterprises don't use people. Consumption will be gone, because people have no money. The market will be gone, because no one is buying anything. The system will be gone, because it has no support left.

So, everything you do now is a race against AOS. If you win the race, people live. If you lose, people are gone. There is no third possibility.

7.6 Signs of Transformation Within Five Years

If you have done those things — restored the two-day weekend, increased taxes, canceled subsidies, given money to the bottom, promoted bank privatization, released land — and laid the safety net before AOS is widely adopted. What will it look like in five years?

You will see: AOS arrives, but people are caught. They are not eliminated; they are 'liberated.' They have a safety net holding them, basic income supporting them, and choices in their hands. They no longer need to 'work to survive.' They can learn new things, make new attempts, explore new possibilities.

You will see: grassroots purchasing power is injected, the market comes alive. What AOS produces, someone buys. Because the safety net puts purchasing power into people's hands. The market is not destroyed by AOS; instead, because AOS reduces production costs and the safety net maintains consumption capacity, it becomes more efficient and more balanced.

You will see: institutions exert stress. They are no longer empty shells. They execute taxation, execute distribution, execute protection. They stand in the position they should stand — drawing a line, preventing capital from expanding infinitely, preventing people from falling directly.

You will see: people become people again. Not 'labor force,' not 'cost,' not 'resource.' People are people. People have time, choices, and dignity. People can do what they want, go where they want, live the life they want.

These are the signs of transformation within five years. Not GDP doubling, not being number one in the world, not surpassing America. It is those sitting at the doorstep standing up. It is those struggling having choices. It is those overlooked by the system being caught. It is the market coming alive. It is the system waking up. It is people becoming people again.

And the starting point of all this is a decision: start doing it now. Not waiting, not watching, not thinking. Doing. Because AOS will not wait for you. It is already on its way. If you outrun it, everything is still possible. If you lose to it, everything is gone.

You have already seen it in Part 1. Middle-aged rural people have no work and rely on their children. Young people are unemployed upon graduation. Lin Dong has nowhere to go after being replaced. After AOS arrives, more people will be replaced. The system still does not protect them, enterprises no longer need them, the market has not made room for them.

This is not a process of 'slowly getting worse'; this is a process of accelerating decline. Because the speed of AOS replacing labor is accelerating, while the system's response speed is zero. An accelerating market paired with a completely immobile institutional framework — the tension in between will tear the system apart.

10. The Destination: People Becoming People Again

I said something at the end of Part 2:

"When production no longer needs people, people are liberated. Not eliminated, but liberated."

When production no longer needs people, people are liberated. Not eliminated, but liberated.

This sentence is the destination of the entire chain of reasoning.

All the things done earlier — restoring the two-day weekend, canceling subsidies, increasing taxes, giving money to the bottom, banking reform, releasing land — all of these are essentially the same thing: before AOS fully replaces people, first take back people's dignity, first lay the safety net, first let people walk out of the state of "having to work to survive."

If nothing is done, when AOS arrives, people have no two-day weekend, no reasonable income, no institutional protection, and are directly replaced. That is a disaster. People are kicked out of the production system, with no buffer, no transition, no place to go. They will be told one afternoon "your position has been

eliminated," and then walk out of the factory gate, finding they have nothing. No savings, no skills, no security, no one waiting for them. Their ten, twenty, thirty years are cleared to zero in that moment. They are not "retired"; they are "deleted."

If those things are done, when AOS arrives, people have already restored the two-day weekend, already have basic income security, already have purchasing power, and have already started the "bottom-up" cycle. Then what AOS replaces is not "a living person," but "a piece of repetitive labor." People are liberated, not eliminated. They no longer need to stand on the assembly line repeating the same action three thousand times. They no longer need to exchange every minute of their life for wages. They no longer need to sell their time to survive. They are liberated. They have time. They have choices. They can think: what do I really want to do?

These are two completely different destinations. One is "people are eliminated," the other is "people are liberated." What is the difference between elimination and liberation? Elimination means the system no longer needs you, so you are gone. Liberation means the system no longer needs you to do those things, but you are still here, and you can still do other things. Elimination is the end; liberation is the beginning. Elimination is disappearance; liberation is turning around.

I said another sentence:

"What the future holds must be the transformation of planets. This is the greatest challenge humanity will face — and also the field where silicon-based life can best demonstrate its value. Silicon-based life does not need to breathe, does not need food, is not afraid of radiation, and can work continuously in extreme environments. They are humanity's optimal tools for planetary transformation."

This sentence does not mean "people no longer need to work." It means "people no longer need to do what machines can do." When people no longer need to repeat the same movements three thousand times in a factory, no longer need to sell their time to survive, no longer be defined by the identity of "labor force" — those who are liberated can go and do what humanity has always wanted to do but never had time to do.

Explore. Go to unknown places, see things never seen before. Create. Make new things, write new ideas, invent new possibilities. Accompany. Accompany children as they grow up, accompany the elderly as they age, accompany the people around you through time. Think. Think about those questions "there's no time to think about when working" — who am I? What do I want? What kind of person do I want to become?

These things, previously only a few people had time to do. Most people worked their whole lives, and only had time to think about "themselves" when they retired. But by then it was already too late. The body is no longer strong, energy is insufficient, time is running out. After AOS takes over "work," people have time. With time comes opportunity. With opportunity comes choice. With choice, people can do what they were always meant to do.

This is the destination of "the way forward." Not "economic improvement," not "GDP growth," not "rising corporate profits." It is people becoming people again.

You spent a long time in Part 1 talking about institutional failure, labor surplus, race to the bottom, and the inevitability of AOS. You spent a long time in Part 2 talking about the way forward — tightening institutions, restoring the two-day weekend, increasing taxes, canceling subsidies, giving money to the bottom, banking reform, releasing land. You spent a long time in Part 3 talking about why it is stress rather than suppression. You spent a long time in Part 4 answering various "what ifs." You spent a long time in Part 5 talking about how developing countries can learn from this.

But all of it, in the end, comes down to this sentence:

People becoming people again.

Not "labor force becoming labor force again." Not "consumers becoming consumers again." Not "factors of production becoming factors of production again." It is people. It is the living person. The person who gets tired, who laughs, who loves, who fears, who despairs and also hopes. They do not need to prove their existence through "output." Their existence itself has value. They do not need to earn the right to live through "work." They are alive, so they deserve to live.

This is the destination. And also the starting point.

Conclusion: Why This Must Be Done Now

I said something earlier, and I will put it here as the final words of this entire chain of reasoning:

"I will definitely push it out." (Quoted from Part 14, "Conclusion: Why This Must Be Started Now")

I spent ten years understanding why the system failed. I spent even longer walking through that path. I am not "inventing" something; I am laying a landing runway as smooth as possible for an inevitable event that is about to arrive.

The system is changing, the market is changing, technology is changing. AOS will definitely come, not because I push it, but because the system has reached a critical point. If I don't push it, others will. But who does it and how it is done determines whether it will be a disaster or a transition.

If someone who doesn't understand the underlying logic pushes AOS, they will only see it as a stronger tool — to replace more labor, increase more efficiency, lower more costs. They won't care where the replaced people go. They will only say "this is progress." And progress, in their view, means people can do less and less, machines can do more and more, until people completely disappear from the production line.

If I am the one pushing it, I know that AOS itself can become part of a new cycle — it is not a tool to replace people, but a way to liberate people from the old cycle. But it needs supporting measures — a safety net, distribution, institutional stress. Without these, AOS is a machine that crushes people. With these, AOS is a key that opens the cage. The key itself has no good or evil; it depends on who uses it and what they use it for.

So what I need to do now is not to wait. It is to walk. Turn what I have seen, deduced, and verified into something that can be operated, spread, and understood by others. This chain of reasoning is the first step. It turns "what's in my head" into "something that can be discussed." Next, it will become "something that can be done."

I choose to do it now, not because I want to. It is because I see that no one else can do it right.

The way forward starts from here.

I spent thirty years living in this system. I spent ten years verifying one thing: workers have no bargaining power, institutions have failed, and the race to the bottom is the default mode. I saw some things, figured them out, and then wrote them down. I don't want anyone to "use" it. I just felt these things should be written down.

If someone reads it and thinks "so that's how it is" — then it has completed its mission.

If what I wrote is seen by people, understood by someone, and used by someone — then it might change some things. Maybe ten years from now, someone will remember this piece and make a different decision. Maybe ten years from now, some worker will have a two-day weekend because institutions have exerted stress. Maybe

ten years from now, someone replaced by AOS will have basic security because the safety net has been laid.

These possibilities exist.

But what if no one uses it? If this piece is sent out, sinks into the sea, no one reads it, and those who read it don't take it seriously — then it will just sit there. Like a book no one opens, a document that is ignored.

But its existence itself is something that has been completed. Ten years ago, no one told me "it's not your fault." I could only spend ten years verifying it myself. Now, I have written it down. If someone needs it, it is here. If not needed, it has not disappeared.

And what I need to do now is to keep walking. Push this thing out. Let it be seen, read, and used. Not for me, but for those still standing in factories, those still sitting in rural areas, those still holding on in cities. They should not be eliminated. They should be liberated.

The way forward starts from here. And the destination is people becoming people again.

Part 3: Stress, Not Suppression

1. The Word We've Grown Accustomed To: "Suppression"

I have heard it many times.

"Suppress inflation," "suppress rapid housing price increases," "suppress overcapacity," "suppress speculative behavior." In Chinese economic discourse, "suppression" is a neutral, even positive word. It means "controlling bad things." No one questions it, because it sounds like a responsible approach — you are managing, controlling, and preventing things from getting out of hand.

But if I put the word 'suppression' into the context of my past thirty years of life, I see a completely different picture.

I spent ten years unable to find a job with a two-day weekend. Most of the middle-aged rural people around me have no work and rely on their children to survive. Walk into any factory, and you see workers laboring overtime, while outside there are more people waiting to get in. Open a job search website, and you see thousands of positions, but not one that I can truly hold down stably.

Behind all these phenomena, one thing is common: I have no choice.

I cannot choose to not take this job, because I have no other source of income. I cannot choose to switch to a better job, because better jobs won't take me. I cannot choose to reject that wage, those hours, those conditions, because if I don't accept, plenty of others will. I cannot choose to organize with others to fight for better conditions, because organizing itself is not allowed. I cannot choose to speak publicly about my situation, because speaking out is useless.

This state of 'having no choice' is what I spent ten years verifying. It is not accidental, not a matter of a particular enterprise being heartless, not a matter of someone being unlucky. It is a systemic, structural, persistent state.

And this state is the result of suppression.

Before entering the next section, I need to see one thing clearly: the word 'suppression,' in the context of my past thirty years, has never been a neutral economic regulation tool. It has always had a direction and a target.

Suppression has always been one-way. What it suppresses is labor.

When you say 'suppress inflation,' money can still flow, it's just that the speed is controlled. But when you say 'suppress labor prices,' it is people who are controlled — I cannot get a raise, because a raise would weaken export competitiveness. When you 'suppress working hours,' it is people's time that is controlled — I cannot ask for a two-day weekend, because it would raise enterprise costs. When you 'suppress consumption capacity,' it is people's purchasing power that is controlled — I cannot have too much money, because money should be used for investment, not consumption.

All of these are suppression, but the direction is the same: extract upward, press downward.

Money goes upward, flowing to capital, to enterprises, to monopolies. Force presses downward, pressing on workers, on people at the bottom, on people without choices. This is the basic way the system has operated for the past thirty years. It is not a conspiracy; it is a structure. It is the default mode shaped by institutional failure, labor surplus, and the low-posture strategy. No one sat in a meeting room and said 'we need to suppress labor' — it just happened, because there was no reason for it not to happen.

The 'no two-day weekend' that I spent ten years verifying is the daily manifestation of this suppression structure.

Those middle-aged rural people around me without work are also the other side of this suppression structure. They are not exploited because they don't even have the qualification to be exploited — the system no longer needs them as labor, so they are completely excluded. Suppression is not about not letting me live a good life; it is about not even giving me the right to 'choose to live a good life.'

This is what this section needs to face. It is not an academic paper, not a theoretical framework. It is the summary of my thirty years of survival experience, the verification report of ten years without a two-day weekend. It is the question that naturally emerged in my mind when I stood in the countryside looking at those middle-aged people without work: what is this system really doing? Why does it make so many people have no choice?

Now I need to push this matter of 'suppression' one level deeper.

Have you ever thought about why it makes you 'have no choice'?

'Having no choice' is not an occasional state. It is designed. Not that someone 'designed' you to have no choice, but the system's operating method itself creates the situation of 'having no choice.' It relies on three things to create this situation: institutional failure means you have no law to rely on; labor surplus means you have no bargaining power; the low-posture strategy means you have no retreat. These three things lock together, like a lock — institutional failure is the lock cylinder, labor surplus is the lock spring, and the low-posture strategy is the lock body. You are locked inside, people outside cannot enter, and you cannot get out. And you don't even know this lock exists, because you think 'having no choice' is normal. You think it's your own problem, that you didn't work hard enough, aren't smart enough, aren't lucky enough. But the truth is, this lock was placed there from the beginning. You just walked into it.

And the word 'suppression' is what maintains the legitimacy of this lock.

'Suppress inflation' — sounds like it's for your good. But if you have no money, what does inflation have to do with you? You don't even have the qualification to consume. What inflation are you afraid of? What you care about is not whether prices rise, but whether you can get money to buy things. 'Suppress rapid housing price increases' — sounds like it's for your good. But if you can't afford a house, what does the housing price rise have to do with you? You don't even have a down payment. What housing prices are you afraid of? What you care about is whether you can have a place to stay, not how much it's worth. 'Suppress overcapacity' — sounds like it's for the good of enterprises. But if you are unemployed, what does

overcapacity have to do with you? You don't even have a job. What capacity are you afraid of? What you care about is whether there is a position for you to work, not whether the factory produces something it can't sell.

These words sound 'neutral' because the speaker sits in a position with choices. They can choose what to buy and what not to buy. They can choose what to invest in and what not to invest in. They can choose where to live and where not to live. They have choices, so 'suppression' is a kind of adjustment to them. But to a person without choices, 'suppression' is not a word; it is a wall. What it blocks is where they want to go, what they want to do, the kind of life they want to live. It is not adjustment; it is an order. And the content of this order is: don't move, don't choose, don't rise up.

The essence of suppression is to make 'having no choice' the norm and 'accepting the status quo' a virtue.

You spent ten years unable to find a two-day weekend — that's the norm. You accepted it — that's a virtue. You accepted it, so you stopped complaining. You stopped complaining, so the system stabilized. Stabilized, so suppression can continue. The cycle is complete. And you don't even know how many years you've been spinning in this cycle. Because you have no time to think about anything else. All your time is spent working, surviving, accepting.

Now I need to clarify the 'fuel' of suppression. Suppression does not exist out of thin air. It needs energy to maintain. That energy is tax revenue.

The system runs on tax revenue. Tax revenue comes from every worker's output. You work, you pay taxes, you support the system. The system takes the taxes you pay and does what it should do — maintain order, build infrastructure, protect workers' rights. This is the reason for the system's existence. It takes your money, so it should do your work.

But what if it takes your money and doesn't do your work? What if it collects your taxes but doesn't enforce labor laws, doesn't protect your two-day weekend, doesn't constrain capital expansion — then what is it doing? It is using the money you paid to maintain its own existence. The system becomes an end, not a tool. It no longer serves people; it serves itself. It maintains its own stability, but that stability has nothing to do with you. The taxes you pay become the fuel that maintains 'a system that doesn't protect you.'

You paid, and the system exists. But the system exists, not for you. You paid, and the system exists to protect a minority. The minority can use the system to suppress

the majority. Using the taxes you paid to maintain a framework that doesn't protect you. Then tell you: this is for social stability.

If tax revenue cannot maintain its own stability, cannot protect its own interests, then what kind of system is it? It is a legal empty shell. It has a name, institutions, official seals, documents. Everything is there, but it is not accountable to you. It exists, but its existence is not for you. It takes your money, but it doesn't respond to your needs. It serves a minority, not the majority. And you are still paying taxes. You cannot not pay. If you don't pay, you are breaking the law. So you must pay to support something that doesn't protect you.

This is the fuel of suppression. Without tax revenue, the system cannot hold up. But tax revenue comes from workers. The more you are suppressed, the more the taxes you pay support the thing that suppresses you. The more you are exploited, the more the taxes you pay maintain the framework that allows exploitation to happen. This is a complete closed loop: you support it, it presses on you. The harder you work, the more force it has to press on you. Until you have nothing left to give it.

But you might hear an argument: 'The taxes you pay maintain the development of enterprises themselves, which is not a problem in itself. Without these enterprises, how would those people get income? Without enterprises, who would provide you with products?'

This is a fundamental misunderstanding.

Why? Because the system does not mean you can do anything, nor does it mean you do nothing. The system is about how you do it.

Tax revenue maintaining enterprise development is not wrong in itself. Enterprises need to operate, need infrastructure, need a stable social environment. But the question is: after the system takes tax revenue, is it maintaining a market where 'everyone can participate,' or a market where 'a minority controls'?

If tax revenue is used to build roads, but the built roads only serve the logistics of a few enterprises, and most people cannot use them — then who are the roads built for? If tax revenue is used to maintain law enforcement, but the law only protects the interests of enterprises, not the rights of workers — then for whom is the law enforced? If tax revenue is used to maintain social stability, but this stability is built on 'most people have no choice' — then whose stability is it?

The system is not a question of 'whether to do it.' The system is a question of 'how to do it.' You can collect taxes and then protect enterprises. But what is the way

to protect enterprises? Is it to let enterprises make money without exploiting people, or to let enterprises make money only by exploiting people? The former is the system acting; the latter is the system conniving. You can collect taxes and then maintain social stability. But what is the way to maintain stability? Is it to let everyone have choices, or to let everyone have no choices? The former is the system serving people; the latter is the system suppressing people.

The system is about how you do it. You took my money, what did you do? You take tax revenue to build roads — roads are for people to walk on, not for cars to look at. You take tax revenue to enforce the law — the law is to protect people, not to protect exploitation. You take tax revenue to maintain stability — stability is for people to stand and live, not for people to kneel and not move.

This is the difference between suppression and stress. Suppression is: I collect your taxes, but I do nothing. Stress is: I collect your taxes, and I do what should be done. Suppression is: I collect your taxes, but I only serve a minority. Stress is: I collect your taxes, and I serve everyone. Suppression is: I collect your taxes, but I make you have no choice. Stress is: I collect your taxes, and I let you have choices again.

So, when you hear someone say 'tax revenue maintains enterprise development,' you need to ask: what kind of enterprises does it maintain? Enterprises that follow rules, or enterprises that cheat? What kind of development does it maintain? Development that lets people stand up, or development that keeps people kneeling? Tax revenue maintaining the system itself is not a problem. The problem is what the system does after it takes the tax revenue. If it does what should be done, it is a system. If it doesn't do what should be done, it is an empty shell. If it does what shouldn't be done, it is a tool — a tool used to exploit you.

Now what you need to see is another path. That path is called 'stress.'

Stress is not 'not suppressing'; stress is 'reversing the direction.' Suppression is extracting upward, pressing downward. Stress is releasing downward, supporting upward. Suppression is making people have no choice. Stress is letting people have choices again. Suppression is locking people in the system. Stress is releasing people from the lock. Suppression is you pay taxes, but get nothing. Stress is you pay taxes, and it really does things for you.

This is what this section is all about. Not 'changing the wording,' but 'changing the direction.' When the direction is right, everything is right. When the direction is wrong, everything you do is wrong. And it took me thirty years to see this direction

clearly. Now you have seen it too. Now that you have seen it, you can decide for yourself — whether to continue staying in that position of 'having no choice,' or to walk toward another path.

2. Stress: A Word You Should Be Familiar With But Have Become a Stranger To

What is stress?

In physics, stress is the internal force that resists deformation when an object is subjected to external force. You pull a rubber band, and it generates stress — it is stretched, but at the same time it generates a force pulling back. You compress a spring, and it generates stress — it is shortened, but at the same time it generates a force springing outward. The essence of stress is: the system reacts to pressure. It is not about having no pressure, but about having pressure and reacting. It does not collapse in the face of pressure; instead, it generates a corresponding force to resist, adapt to, and recover from the pressure.

A healthy system is one that can exert stress. It has pressure, but it can react. It is stretched, but it springs back. It is compressed, but it rebounds. It is not dead, not rigid, not passively accepting everything. It is alive, elastic, and capable of self-regulation.

But the system I live in now has lost this ability.

I walk into the labor market and face an environment with no bottom line, no constraints, no protection. I bear the pressure of overtime work, low wages, and no security — but the system gives me no space to react. I cannot resist by 'not working,' because plenty of others will work. I cannot change things through 'negotiation,' because I have no leverage. I cannot 'leave' to find better options, because better options don't exist. I can only bear it, not react.

This is the same as an object without stress. A stone is pressed down, and it does not generate stress to resist — it is just pressed, until it breaks. A person who is pressed down is the same — he can only be pressed, until he breaks.

Many people around me have already broken. Those middle-aged people with no work who can only rely on their children — they are the ones who have broken. Those who worked in factories until forty, were eliminated, and then had nowhere to go — they are the ones who have broken. Those who had no choice when young and no security when old — they are the ones who have broken. It's not that they haven't

endured pressure; they have endured too much pressure, but the system gave them no space to react, so they broke.

The prerequisite for stress is: having space to react.

You stretch a rubber band, and it has elasticity, so it can stretch and spring back. You compress a spring, and it has elasticity, so it can compress and rebound. These objects can exert stress because they have internal structure — connections between molecules, arrangement of crystals, the properties of the material itself — that allows them to resist external force and restore their original state. A system's stress capacity depends on its internal structure.

And institutions are the internal structure of a market.

Earlier I said: 'Stress is embodied in institutions.' This sentence is correct, but it needs to be expanded to be understood.

Institutions are not those provisions written on paper. Institutions are a kind of 'skeleton' inside the market. They determine how the market will react when under pressure. They determine which direction force will be transmitted, who will be protected, who will be sacrificed. They determine whether, when the market is imbalanced, it will automatically restore balance or sink deeper into imbalance.

An institution with stress will provide a buffer when the market is impacted. Enterprises cannot exploit indefinitely, so workers won't be pressed to the breaking point. Capital cannot extract without limit, so wealth won't only flow to the top. The bottom line won't be breached, so the system won't disintegrate under pressure. It is not a system that makes people 'comfortable'; it is a system that prevents people from 'breaking.' It is not a system that makes everyone happy; it is a system that prevents the system from collapsing.

But the institution I face now has lost this stress capacity. It is not buffering, it is not protecting, it is not restoring balance. It is just watching coldly, watching pressure accumulate, watching more and more people break, watching the system step by step moving toward imbalance.

Institutions are the tools of stress. But when institutions fail, they are not tools at all.

3. Two Different Directions: Institutional Initiative and Market Passivity

Now you see two directions. One direction is suppression, the other is stress. But they are not equal, not parallel, not 'two different choices.' They are manifestations of the same thing in two different states.

What is suppression? Suppression is the institution suppressing labor.

When the institution exists but does nothing, what is it actually doing? It is tacitly allowing enterprises to exert any pressure on workers. It does not prevent enterprises from extending working hours, so workers' time is infinitely occupied. It does not prevent enterprises from lowering wages, so workers' income is constantly squeezed. It does not prevent enterprises from not paying social insurance, so workers' security is nearly zero. It does not prevent enterprises from arbitrarily firing, so workers' sense of security is permanently absent.

The institution not doing these things is itself a kind of action. Not stopping is permission. Not punishing is encouragement. Not protecting is abandonment. When the institution does nothing, labor becomes the only party bearing pressure. All the pressure from the market, from capital, from competition ultimately falls on workers. And workers have no space to react, because they have no institution to rely on to support their reaction.

This is suppression. It is not an active action; it is just the natural result of 'doing nothing.' But its effect is exactly the same as active suppression — workers are held down, unable to move.

And what is stress? Stress is the institution constraining enterprises.

When the institution starts acting, its direction of action changes. It no longer tacitly allows enterprises to pressure workers; instead, it begins to limit enterprises' behavior. It requires enterprises to abide by the bottom line — cannot indefinitely extend working hours, cannot arbitrarily lower wages, cannot fail to provide basic security. It begins to punish those enterprises that cross the bottom line, making violations have costs, consequences, and risks. It begins to protect those who are suffocating under pressure, giving them a structure to rely on to resist those unreasonable pressures.

When the institution starts acting, the pressure is transferred. It no longer falls only on workers; part of it begins to fall on enterprises. Enterprises can no longer exploit arbitrarily, because they will be punished. Enterprises can no longer extend

working hours indefinitely, because they will be held accountable. Enterprises can no longer ignore the existence of the bottom line, because they will find that crossing the bottom line is more expensive than complying with it. The pressure is dispersed, dispersed by the institution, dispersed to those who create the pressure.

This is stress. It is not a new invention; it is just the institution starting to do what it should have been doing all along: draw a line, and make that line truly binding.

I spent ten years unable to find a two-day weekend, not because the institution didn't write it. The institution wrote it. But the institution didn't enforce it, so writing it was the same as not writing it. Stress is making the two-day weekend go from 'written on paper' to 'truly achievable.' It is not something new; it is making old things work again.

This is the reversal I've been talking about: what is suppressed is labor, what is stressed is the enterprise.

Now I need to push these two directions one level deeper. Because the difference between 'suppressing labor' and 'stressing enterprises' is not just the difference between 'suppressing whom' and 'constraining whom.' The difference is deeper — one is active, one is passive.

The essence of suppressing labor is passivity.

What is it? It is the institution doing nothing. It does nothing, and watches workers being exploited. When workers are crushed, it comes out and says 'this is market behavior.' It always 'appears' after the problem emerges, always 'explains' after the incident happens. It does not prepare in advance, does not protect in advance, does not draw the bottom line in advance. It just waits — waits for something to happen, then deals with it. Small incidents, small handling. Big incidents, big handling. When someone dies, change the institution a little. Then continue waiting for the next time.

It is like water. You hit it, and it scatters, but quickly gathers again. You don't hit it, and it is still there. It doesn't move, doesn't take initiative, doesn't prepare. It just 'exists.' And the way it 'exists' is by doing nothing.

The essence of stressing enterprises is initiative.

The institution starts acting, not waiting until a problem arises to act, but acting before the problem appears. It actively draws the bottom line, actively builds the embankment, actively protects people. It doesn't wait until workers are crushed to

protect them; it has already written the bottom line in labor law. It doesn't wait until capital expansion is out of control to limit it; it has already set the rules in the institution. It doesn't wait until AOS has replaced everyone to lay the safety net; it has already laid the safety net before AOS is widely adopted.

This is the difference between initiative and passivity: one is 'react when you arrive,' the other is 'I know you will come, so I am already prepared.'

So the name of this section should be 'Two Different Directions: Institutional Initiative and Market Passivity.'

Institutions must be proactive.

Institutions must actively draw the bottom line, actively build the embankment, actively protect workers. They cannot wait until something happens to patch it, cannot wait until people collapse to save them, cannot wait until AOS has replaced everyone to think 'what to do.' Institutional initiative is setting the rules before the problem occurs. It knows capital will expand, so it draws the line in advance. It knows the market will fluctuate, so it installs feedback mechanisms in advance. It knows AOS will come, so it lays the safety net in advance. It does not wait, does not delay, does not passively cope. It stands in that position before the problem even arrives.

The market must be passive.

The market does not need the institution to 'manage' it. It has its own laws — supply and demand, competition, survival of the fittest. What the institution needs to do is not to 'shape' the market, not to 'guide' the market, not to 'intervene' in the market. What the institution needs to do is to stand beside the market, guard the bottom line, and prevent the market from devouring people. If the market wants to eliminate someone, let it eliminate. If the market wants someone to live, let them live. The institution does not distort, does not intervene, does not indulge. It just ensures one thing while the market operates: people will not be crushed in the market.

On AOS, be proactive.

AOS does not wait for anyone. It is already on its way. You cannot wait until it is already widely adopted to start discussing 'what to do about those people.' You must lay the safety net, build the distribution mechanism, and arrange people's positions before it arrives. Facing AOS proactively is not about blocking it — you can't block it. Facing AOS proactively is about catching people before it arrives.

On labor, it must be left to the institution to provide the bottom support.

Labor is not the cost of the market, not the consumable of capital, not the replacement target of AOS. People are the bottom that the institution must catch. No matter how the market changes, no matter how AOS replaces, no matter how capital expands — the institution must guarantee one thing: people will not fall directly. The institution is the last net, and also the bottommost net. It catches everyone who falls from above. It doesn't pick, doesn't wait, doesn't ask. It is just there, always open.

Institutions proactive, market passive, AOS proactive, labor supported at the bottom.

These four directions locked together form a complete stress system. It will not collapse when external force comes, nor will it scatter when external force leaves. Because the institution is proactive, it is prepared in advance. Because the market is passive, it regulates itself. Because AOS is proactively faced, people are caught. Because labor is supported at the bottom, no one falls directly.

This is the direction of stress. It is not about 'resisting' something; it is about 'catching' something. It is not about 'confronting' external force; it is about being 'prepared' to welcome external force. It is proactive, not passive. It is already there before the problem comes, not starting to move after the problem arrives.

And the path you see — the way forward — is to replace passivity with initiative in all directions. The institution no longer waits, the market no longer distorts, AOS is no longer ignored, labor is no longer treated as a consumable. Only when all four directions turn around simultaneously can the system stand up again.

4. Time Dimension: Past, Present, Future

Section 1: The Past Thirty Years — Thirty Years of Absence

For the past thirty years, our institutions have existed. Labor laws are written on paper, the two-day weekend is written in law, the social insurance system theoretically covers everyone. But existence does not mean functioning. The institution exists, but it does not act. It does not enforce, it does not punish, it does not protect. It occupies that position, but that position is empty.

It is not 'suppressing labor.' It is 'not protecting workers.'

These are two completely different concepts. Suppression is active — you are pressing down on something. Not protecting is passive — you are not there. When

you are not there, workers have no support. When you are not there, enterprises can do anything. When you are not there, exploitation has no cost.

The institution has not been protecting workers' most basic rights as human beings. The two-day weekend is a human right, not welfare. The 8-hour work system is a human right, not a favor. Social insurance is a human right, not charity. But these rights have not been protected. It's not that they were 'pressed down'; they were never 'propped up.'

So what is the institution protecting? It is protecting enterprises. Protecting enterprises themselves is correct. Enterprises need to operate, need a stable environment, need rules to ensure fair competition. But when the institution only protects enterprises and does not protect workers, it becomes imbalanced. More precisely — when the institution is protecting enterprises, it is not doing what it should do. It is not requiring enterprises to comply with rules. It is not punishing those enterprises that don't comply with rules. It is not protecting those workers who are exploited. It has done the 'protecting enterprises' part, but has done nothing on the 'constraining enterprises' part.

The institution protecting enterprises is correct, but when it excessively protects enterprises, and all the institutional provisions are not reflected in enterprises, the institution loses its function. It is not a 'bad' institution; it is an 'absent' institution. Its provisions are still there, but its effectiveness is not. Its name is still there, but its function is not. Its position is still there, but its people are not.

So how did the international default settings come about? The 8-hour work system, 5 days of work per week — these are the default settings worldwide. Why did they become the default? Where does this understanding come from?

It comes from a simple observation: people are not machines. After a person works 8 hours, their energy begins to decline. After a person works 6 consecutive days, their body needs rest. This is not invented by anyone; it is determined by human physiology. You cannot make a person work 12 hours a day, 6 days a week, and expect them to maintain their condition long-term. They will get tired, get sick, collapse. When they collapse, production efficiency declines. When they collapse, medical costs rise. When they collapse, the entire system pays the price.

So the 8-hour day and two-day weekend are not a 'moral choice'; they are an 'efficiency choice.' They are a conclusion that has been repeatedly verified — organizing labor in this way benefits everyone in the long run. It benefits workers, who have time to rest and recover. It benefits enterprises, which have a stable and

efficient labor force. It benefits society, which has healthy and sustainable productivity. These three things locked together are the reason for the institution's existence.

Moreover, this understanding comes from something more fundamental: workers are the ones who create value. Without workers, enterprises cannot produce anything. Without workers, the market has no purchasing power. Without workers, the institution has no tax revenue. Workers are the foundation of the system, the support of the institution. The 8-hour day and two-day weekend are society's basic answer to 'what do people need to live.' It answers: people cannot just 'exist.' People need rest, need companionship, need learning, need thinking. If these things are not done outside of 8 hours, there is no time to do them. And people who have no time to do these things are no longer people — they have become tools.

The institution protecting enterprises is correct, because it needs enterprises to organize production. But the institution constraining enterprises is also correct, because it needs enterprises not to turn people into tools. When the institution only does the former and not the latter, it stands leaning. It stands on the side of enterprises, not on the side of 'people.' And it should stand in the middle — neither leaning toward capital nor leaning toward workers, but maintaining a balance where both can survive.

So the past thirty years are not thirty years of 'suppressing labor.' They are thirty years of 'absence.' The institution is not present. It has not protected workers' rights, nor has it constrained enterprise expansion. It just sits there, watching everything happen. It is not actively pressing on you; it is not managing you. When it doesn't manage, you can only bear it yourself. If you can bear it, you survive. If you can't bear it, you disappear. And those who have disappeared — the middle-aged people sitting at rural doorsteps, the young people struggling in the city, Lin Dong who has nowhere to go after being replaced by AOS — they are the result of the institution's absence.

Section 2: The Source of Institutional Stability

Now I need to push this layer one level deeper. Why can the institution be absent for thirty years? How can it sit there doing nothing and still maintain stability?

Many people think the stability of an institution comes from its enforcement capability. Actually, it doesn't. The stability of an institution comes from something more fundamental — it has removed those factors that would make it unstable.

You can think about India. Does India have institutions? Yes. Does India have labor? Yes. Does India have a market? Yes. But why is India's institution always swaying, why can it never operate continuously like China's? It's not because its institutions are poorly written; it's because its institutions are subject to an external thing — religion.

Then we first need to understand, what exactly is religion?

Religion itself is a neutral thing. It is neither good nor bad. What it is depends on how you use it.

Some people say: religion gives me answers. It tells me why people live, how people should live, where people go after death. It fills my cognitive gaps. I don't have to think about these questions myself; I just need to believe what it says.

But this is exactly where the problem begins.

When a person is obsessed with these questions — 'why do people live,' 'how should people live,' 'where do people go after death' — but doesn't engage with science, it indicates that their cognition has gaps. Religion can fill that gap with one sentence. As long as it says 'believe in me, and I'll tell you the answer,' it can bypass all scientific cognition and give you a conclusion directly. You don't need to understand the world; you just need to accept an answer. Once you accept it, your cognitive gap is filled. You stop asking questions. You become 'settled.'

But that 'settledness' is false. It doesn't come from you truly understanding the world; it comes from you stopping asking questions. Once you stop asking questions, you no longer need science. Once you no longer need science, you no longer need institutions — because institutions require rational participation, and you have stopped thinking.

This is how religion operates: it gives you a conclusion, then tells you 'just believe.' You believe, and you stop asking. You stop asking, and you can be guided by it.

So the key is not religion itself. Religion can be a tool, but the nature of the tool doesn't depend on the tool itself, but on how you use it. If you use it to fill cognitive gaps, to bypass science, to stop asking questions — then it is malignant. Because it makes you stop thinking. If you use it to help you understand things you can't yet understand, but it doesn't require you to stop asking questions, doesn't require you to abandon science, doesn't require you to replace understanding with faith — then it is neutral. It can be a cultural expression, an emotional anchor, a temporary anchor.

The key is whether you are ruled by it in your thinking. If you submit to it, no longer using your own brain to think, no longer using your own eyes to see, no longer using your own reason to judge — then it is malignant. Because it is replacing your thinking process with its own answers. You are no longer the one making decisions; you are just executing religious commands. It is a tool, but it has become your master.

India's problem is not that 'religion is malignant,' but that religion rules its institutions, rules its thinking, rules its people. It is no longer something that can be discussed, questioned, or tested; it has become an untouchable authority. Institutions are dominated by it, reason is expelled by it, people no longer ask questions. So its institutions are swaying, because they are not built on human reason, but on submission to religion.

And the stability of China's institutions comes from its separation of religion's influence on institutions. It's not because it 'opposes religion,' but because it doesn't allow any belief to rule people's thinking. It doesn't allow any authority external to the person to make decisions for the person. It returns the decision-making power — those decisions about how to live, why to live, where to go after death — back to the person themselves. What you believe is your business. But you cannot impose your beliefs on the institution, and the institution cannot endorse your beliefs. The institution only does one thing: give you the right to ask questions, give you the conditions to choose, give you the opportunity to become a person who can answer those questions themselves.

So separating religion is not a 'cost'; it is a 'prerequisite.' Without this separation, institutions cannot exist independently. Institutions must be built on scientific cognition, must allow questioning, must accept the test of logic and evidence. They are not tools to fill your cognitive gaps with one sentence. They are tools for you to understand the world yourself.

A person doesn't need religious belief to answer those questions — not answering with one sentence, but understanding over a lifetime. Why do people live? Because living itself is meaningful. How should people live? Should live like a person. Where do people go after death? You'll know when you die. Before that, you first live well.

This is not a religious answer. This is a scientific answer. Science doesn't give you conclusions; it gives you paths. It doesn't tell you the answer; it tells you how to find the answer. It doesn't make you stop asking; it makes you keep asking.

And the stability of institutions comes from them not letting people stop asking questions. They make you think, make you choose, make you participate. They don't make decisions for you, but they guarantee you have the opportunity to make decisions. They don't tell you the answer, but they guarantee you have the right to find the answer.

Section 3: The Present — Institutions Must Be Present

This is where we stand. Right now.

Institutions must be present. They can no longer be absent. They must start doing what they should do: protect workers' most basic rights as human beings. 8-hour day, two-day weekend, social insurance — these are not 'welfare'; they are the bottom line. Institutions must stand on the bottom line, not letting anyone fall.

Institutions must also be present. They must constrain the excessive expansion of enterprises. Protecting enterprises is correct, but excessively protecting enterprises, allowing them to exploit people without constraint — that is wrong. Institutions must stand in the middle, balancing the relationship between enterprises and workers. They cannot let one side overwhelm the other.

Institutions must also be present. They must enforce the provisions they have written. Provisions written on paper don't count. Provisions that are enforced count. Institutions must make those enterprises that don't comply with rules pay the price. They must protect those enterprises that comply with rules. They must let workers know: you are not alone, the institution is behind you.

Institutions must be present. They can no longer be absent. They can no longer sit there watching everything happen, doing nothing. Thirty years of absence have already let enough people fall. If they are absent for another ten years, there will be no one left to fall — because there will be no one left.

If not now, when? If you don't do it when the economy is good, because 'enterprises are already struggling.' If you don't do it when the economy is bad, because 'enterprises are even more struggling.' Then there will never be a time to do it. I spent ten years without a two-day weekend precisely because the timing I was waiting for never came. Timing is not waited for; it is created.

So what needs to be done now is: let institutions start exerting stress. Let enterprises know that not complying with rules has consequences. Let workers know that they are not alone, that institutions can be relied upon. Let the market know that the bottom line truly exists.

Section 4: The Future — After Institutions Are Present

When institutions are truly present — when they start protecting workers' rights, requiring enterprises to maintain respect for workers, enforcing the provisions written on paper — what will happen?

One thing will happen: workers will be liberated.

What does being liberated mean? It is not being abandoned, not being eliminated, but being freed. You are no longer forced to accept any conditions. You have choices. You can choose this job or that job. You can choose to work or not to work. You can choose to work for five years and then rest for one year, or choose to keep working. You are not a passive receiver of everything; you are a person with the right to choose.

But after liberation, what's truly important is not 'you have choices'; what's truly important is — after institutions are present, the entire flow of the economy will change.

You need to understand one thing first: why is the 8-hour work system and 5-day work week universally adopted internationally? This consensus didn't come from nowhere; it comes from an economic logic that has been repeatedly verified.

The 8-hour work system means a person has 8 hours a day for work, 8 hours for rest, and 8 hours for life. The 5-day work week means a person has two days off. These two things together ensure that a person is not only a 'labor force' but also a 'consumer.' They have money, they have time, they have needs. After work, they can go eat, go shopping, go to the movies, take their kids out. On weekends, they can travel, learn, socialize. Their consumption supports the low-level market; the low-level market's demand pulls upstream supply; upstream supply drives production; production creates employment; and employment creates more consumption. This is a complete cycle.

If a person works 12 hours a day, 6 days a week, do they still have time to consume? Do they still have energy to consume? They don't even want to cook; they just want to sleep. All their money is used to maintain survival; they have no extra money to consume. The low-level market shrinks, upstream orders decrease, production stops, employment disappears, consumption becomes even lower. This is a downward spiral.

But the significance of the 8-hour day and two-day weekend goes far beyond 'giving people time to consume.' It has a deeper layer: income averaging.

In the past, we always believed that as long as a person was diligent enough, as long as they were willing to put in more working hours, they could get more income. This logic was correct in the labor-intensive era — you work one more hour, you get one more hour's pay. There was a direct causal chain between diligence and income.

But now, this causal chain is breaking.

Because AOS is coming. It doesn't need overtime pay, doesn't need rest, doesn't need social insurance. It can continue producing while you rest, continue working while you sleep. If the economic system still operates on the logic of 'more work, more pay,' the result will not be you getting 'more pay for more work'; it will be you being replaced by AOS, because you cannot be more 'diligent' than AOS. AOS doesn't need sleep, doesn't need food, doesn't get tired, doesn't take leave. If you compete with it on 'more work,' you will definitely lose. The result of losing is not lower income, but income going to zero.

So, in the AOS era, the logic of 'more work, more pay' is wrong. If you still hold on to the belief that 'as long as I'm diligent enough, I can survive,' you will find yourself with no standing ground when AOS arrives. AOS is ten thousand times more diligent than you, and it doesn't want money.

So what to do?

You can only switch to a different logic: not 'more work, more pay,' but 'spread out to live.' Spread out work opportunities, spread out income, spread out the right to survive.

If everyone works 40 hours a week, 10 people can complete 10 people's workload, and all 10 people have income. If everyone works 72 hours a week, 5 people can complete 10 people's workload, and the remaining 5 people have no work, no income, no purchasing power. Eventually the market shrinks, and those 5 people still have no work. This is a trap that has been repeatedly verified.

The significance of the 8-hour day and two-day weekend is to fix the 'quantity' of labor before the AOS era arrives. It is not about limiting your 'more work'; it is about preventing you from 'being replaced.' Because you can only work 40 hours a week, enterprises need more people to complete the remaining workload. More people means more employment. More employment means more consumption. More consumption means a larger market. A larger market means enterprises need more people. This is a positive cycle.

And 'income averaging' is the core of the core in this cycle. It's not 'everyone gets the same amount'; it's 'everyone has something.' It's not 'a few get a lot, most get nothing'; it's 'most people can get a little.' This little may not be enough to make you rich, but it's enough to keep you alive. And being alive is the most basic bottom line for everyone.

In the future transition period, the institution may need to give money directly to the poor. But giving money is a long process, and adjusting the institutional framework itself takes time. You cannot pass a law today and have money in people's hands tomorrow. Institutional adjustment takes time, laws need to be revised, enforcement needs to be implemented, and supervision needs to be in place. These things cannot be rushed.

So what needs to be done most now is not waiting, not thinking, but doing one thing: strengthening the rule of law.

Under existing legal conditions, enforce labor laws to the full. Implement the two-day weekend. Implement the 8-hour work system. Cover social insurance. These things are not 'new things'; they are old things written on paper. They haven't been enforced, so they are equivalent to non-existent. What needs to be done now is to take them off the paper and put them into people's lives.

Let the rule of law truly play its role. Let workers know that the institution will protect them. Let enterprises know that not complying with rules will be punished. Let the market know that the bottom line truly exists. Let everyone have hope of survival, no longer having no way out just to live.

Institutions being present means making the rule of law a reality. The rule of law becoming a reality means making income averaging possible. Income averaging means making the market start turning from the bottom. The market turning means reopening the cycle from downstream to upstream. The cycle reopening means people becoming people again.

But to achieve this, three basic conditions are needed. These three conditions are indispensable.

The first condition: the correctness of institutions returning to the track.

Institutions must return to where they should be. They are not tools to serve a minority, nor decorations to save face. Institutions are meant to protect the interests of everyone. They draw a line: on this side is permitted, on that side is not. They do not allow enterprises to cross the bottom line to exploit people, nor do they allow

capital to expand infinitely to devour people. Institutions must stand in the middle, balancing the relationship between enterprises and workers. They cannot let one side overwhelm the other. This is the only reason for institutions to exist. If institutions deviate from this track, they lose their meaning of existence.

The second condition: land.

Land is the foundation of all commerce. Without land, all commerce cannot progress. All your production, all your transactions, all your living, cannot be separated from land. If you lock up land, commerce cannot move. If you release land, commerce can turn.

When land is released, rural people have choices. With choices, they don't have to all flood into cities to take on that propped-up housing prices. They can work on their own land, do their own things. They have a fallback, a foundation, the possibility of living without depending on the city. When part of the population leaves the demand side of the city, the pressure on housing prices will naturally ease. It no longer needs you to 'prop it up' — because the force holding it up has already dispersed on its own. Land is the foundation of the bottom, the starting point of commerce, the basis for people to stand up again.

The third condition: the institution's strengthening of every worker.

Institutions must directly act on every worker. Regardless of what stage an enterprise is in, regardless of whether it is big or small, regardless of whether it is profitable or loss-making, the 8-hour work system must be implemented. This is certain, it is non-negotiable.

Why should enterprises be subject to this institutional constraint? Because this is what they should pay. You start an enterprise, you need to use people, and once you use people, you must be responsible for them. You make them work eight hours, you must give them reasonable compensation. You make them work five days, you must give them two days of rest. This is not 'charity'; it is 'obligation.' If an enterprise can barely maintain even this, it means there is a problem with its operations. What you should first address is your technology and operations, not exploiting labor and depriving humanity.

The institution's strengthening of every worker means letting every worker know with certainty: I work eight hours, and I get security. I work five days, and I get two days of rest. I will not be exploited because of my diligence, I will not be drained because of my efforts. The institution is behind me, it protects me.

These three conditions — the correctness of institutions returning to the track, land, and the institution's strengthening of every worker — are the three pillars of future institutions being present. Missing one, the system cannot stand steady. With all three, the system can stand up. Once it stands up, it can catch those who are about to fall.

This is the future. Not 'everyone has a job,' but 'no one needs to work to survive.' People becoming people again. And the market also becoming the market again — a complete, living cycle flowing from the bottom to the top.

Now I need to push it one level higher — from 'what these three conditions are' to 'why these three conditions can determine everything.'

Because I've already explained the three conditions clearly above, but if you just treat them as three 'policy suggestions,' you might think they are nothing special — isn't it just enforcing labor laws, releasing land, and letting institutions constrain enterprises? They all sound like common sense.

But it is precisely these seemingly ordinary, unremarkable things that truly determine the future economic direction of a region. You can have the most advanced technology, the most complete infrastructure, the most abundant labor force, but if any one of these three conditions is missing, all advantages will be locked up.

Now I need to put these three conditions together and see what impact they have on the entire system when combined. You will find that they are not 'a few policies'; they are the underlying framework, the foundation, of future economic operation.

The first condition, institutions returning to the track. It determines whether the system has direction. If institutions are not on track, the system will idle. No matter how many resources you invest, they will only become a minority's profits, not the majority's livelihood. Only when institutions are on track can the system point in the right direction, and resources can start flowing toward 'people.'

The second condition, land. It determines whether people have a fallback, and also determines whether the economy has space. Without land, people can only flood into cities, trapped by housing prices and rent. With land, people can choose not to go to the city, or choose to return from the city. The economy then has elasticity — it won't be completely stuck just because one road is blocked.

The third condition, the institution's strengthening of every worker. It determines whether the economy can start turning from the bottom. Without this

condition, people at the bottom have no time, no income, no purchasing power, and the market is always blocked. With this condition, people at the bottom can consume, the low-level market can come alive, demand can transmit upward, and production can start moving.

These three conditions combined form the underlying logic of the future economy. It does not depend on a particular industry, technology, or trend. It is three things done on the foundation. As long as these three things are done well, the entire system has the ability to operate on its own. It doesn't need you to stimulate it every day, doesn't need you to continuously inject liquidity, doesn't need you to constantly bail out the market. It will turn on its own, live on its own, walk on its own.

This is why I spend an entire section talking about these three seemingly insignificant things. Because the truly decisive factors are never the most conspicuous ones.

These three conditions — institutions returning to the track, land, and the institution's strengthening of every worker — combined, they form the underlying framework of the future economy. They look ordinary, but they are the foundation. All economic development depends on them.

But I want to tell you one thing: I felt all of these from the life around me. I did not derive these three elements sitting at a desk; I felt them bit by bit, standing at the door of a rural house, standing beside a factory assembly line, standing in the crowd of a job market. When you read economics, when you survey the development of human economic history, you will find: all those changes that truly changed people's lives never started from grand narratives. They started from the most basic things — whether a worker can rest, whether a piece of land can be used, whether an institution can protect a person.

I have already written about these three elements above. Now I need to do another thing: use them to deduce the future.

Because the future is deduced, not qualitative. All deductions have uncertainty, but you can use what is already determined to extrapolate what has not yet happened. Let's use 'one person' to walk through this deduction. Not with data, but with a specific person — his name is Liu Cheng, and like you and me, he lives in this system. Let's see what his life becomes after institutions are in place.

Liu Cheng's Day

Liu Cheng, thirty-two years old, has worked in a hardware factory in Dongguan for seven years. He used to work eleven hours a day, six days a week. He left home at seven in the morning and returned at ten in the evening, showered and went straight to sleep. He had no time to spend with his children, no time to read, no time to think about anything. He was alive, but he was alive as a 'labor force,' not as a person.

He used to make six thousand yuan a month. Six thousand yuan, earned with eleven hours a day, six days a week.

After institutions are in place, the factory starts strictly enforcing the 8-hour work system, five days a week. The factory needs more people to complete the same workload. What ten people used to do now needs fifteen or even twenty people to do. The enterprise's total labor cost cannot change — it is competitive in the market, its quotes are fixed, it cannot suddenly double its costs and still survive.

So it can only do one thing: spread out the wages. Previously, ten people each got six thousand, total expenditure sixty thousand. Now fifteen people each get four thousand, total expenditure still sixty thousand. Or twenty people each get three thousand, total expenditure still sixty thousand. Liu Cheng's salary goes from six thousand to four thousand, or three thousand. He gets less.

But he has time. He leaves home at eight in the morning, returns home at five thirty in the afternoon. He has his own time.

He starts cooking dinner. Before, he would just grab a bite outside; now he can go home and cook. He helps his children with homework. Before, he could only see his children on weekends, and his children barely recognized him. Now he can spend several hours with them every day, listening to them talk about school, teaching them how to solve problems they don't understand. He starts going fishing on weekends. His coworkers invite him to go to the reservoir; he didn't want to go at first, but after going, he found he really liked it. He never knew he liked fishing before, because he never had time to do anything.

His salary is lower, but his cost of living has also changed. Before, he ate out every day, spending fifteen hundred yuan a month. Now he cooks at home, spending eight hundred a month. Before, he had no time to take care of his children, so they went to after-school care, costing eight hundred a month. Now he takes care of them himself, saving that money. Before, he was too tired to move, just lying around on weekends, going nowhere. Now he has energy, he wants to move, and his life is starting to have content.

5. Institutions: The Same Set of Rules, Two Uses

Next, we need to face a deeper question.

Institutions themselves are neutral. They are a set of rules written on paper. But the question is: who is using this set of rules, and for what purpose?

The same labor law can have two completely different uses.

Usage 1: Execute it as a bottom line. Enterprises cannot cross this line; if they do, they are punished. Within this line, workers are free — they have choices, bargaining power, and protection. This line is not meant to limit freedom; it is meant to ensure that freedom does not become exploitation.

Usage 2: Display it as decoration. It is written there, but no one inspects, no one penalizes, no one enforces. Enterprises can freely cross it, and workers have no protection. This line is just a slogan with no practical meaning.

The same institution is a tool of stress under Usage 1, and a tool of suppression under Usage 2.

Usage 1: Institutional stress. It constrains enterprises. It draws a line that enterprises cannot cross. Crossing it invites punishment. Workers have freedom and choice within the line. When pressure comes, the institution absorbs part of it, rather than transmitting it all to workers. The system is elastic.

Usage 2: Institutional suppression. It constrains workers. It draws a line that workers cannot cross — they cannot demand a two-day weekend, cannot demand a raise, cannot organize. Enterprises operate freely within the line with no restrictions. When pressure comes, it is all transmitted to workers. The system is rigid.

You see, the same institution, two uses, two completely different outcomes. It is not because the institution changed, but because enforcement changed.

The "no two-day weekend" that I verified over ten years is the result of Usage 2 — the institution being used to constrain workers, not enterprises.

And what I advocate for — "restoring the two-day weekend" and "increasing penalties" — is precisely about returning to Usage 1, letting the institution constrain enterprises again.

This is the direction I have been talking about: it is not "whether to have institutions," but "whom the institution is used to constrain." When the direction is

right, the institution is a tool of stress. When the direction is wrong, the institution is a tool of suppression.

Now I need to push this one level deeper, because many people will ask me a question: "Many of our laws were borrowed from Western countries. What makes you say we haven't used them well?"

This is a question worth answering.

Many of our laws were indeed borrowed from Western countries. The Labor Law, Company Law, Contract Law, Environmental Protection Law, Food Safety Law, Production Safety Law — most of these legal frameworks reference mature Western systems. This is no secret; it is a fact. All developing countries do the same thing — when you don't have ready-made experience, you learn from others. You cannot fumble through everything from scratch yourself; it would be too slow and the cost too great. So you copy the homework. You take others' framework and fill in your own content. You skip the trial-and-error process and get an answer that "looks right."

But I want to ask you a question: why does law exist?

Law does not exist because it was written down. Law exists because it has a function. The reason Western countries have those laws is not because they like writing things down, but because they encountered problems during industrialization — workers were exploited too harshly, enterprise competition was too disorderly, the environment was too badly damaged, food safety cost lives, coal mines collapsed too many times. They had no choice but to set rules, to draw bottom lines. They set rules, drew bottom lines, and then enforced them. Law was born in this context. Behind every law lies a bloody history — people died, people got sick, people could no longer survive. Then they said: "No, we must pass a law to ensure this never happens again."

We borrowed their laws, but ours were parachuted in — we never went through the process of "having no choice but to set rules." We directly took the result, but we did not take the process of why they arrived at that result. So we have a seemingly comprehensive Labor Law, but we never experienced the history of "workers being exploited to the point where legislation became unavoidable." So we have a Production Safety Law, but we never experienced the history of "a mining disaster killing hundreds and igniting public outrage." So we have an Environmental Protection Law, but we never experienced the history of "rivers turning black, air becoming toxic, people developing strange illnesses."

So, we copied the provisions, but we did not copy the understanding of "why these provisions must be enforced." We have the words, but not the blood. We have the clauses, but not the memory. We have the framework, but not the drive.

This is why the same law is effective in their countries but exists in name only in ours. Because we lack the pressure of "having no choice but to enforce." We only have provisions, not pressure. We only have words, not understanding. We only have a framework, not memory.

The necessity of a law's existence is not because it is law. It is because it is needed. Because it is needed, it is enforced. Because it is enforced, it is respected. Because it is respected, it exists. If it is not needed, it will not be enforced. If it is not enforced, it will not be respected. If it is not respected, it does not exist — even if it is written on paper.

So how do we make law be needed? The answer is never in the law itself. The answer lies outside the law.

Law is needed because people need it. Workers need it because they need protection. Enterprises need it because with rules, competition can be fair. Enforcers need it because with law, they have authority. When all three parties need the law simultaneously, the law is alive. When one party does not need it, the law begins to die. When two parties do not need it, the law becomes decoration. When none of the three parties need it, the law simply does not exist — even if you write it into the constitution.

Our current state is: workers need the law, but the law does not protect them. Enterprises do not need the law, because the law does not constrain them. Enforcers do not need the law, because the law does not hold them accountable. So the law exists, but it does not exist. It is written on paper, but it is not in people's lives.

Only when these three kinds of "need" are simultaneously re-established will the law come alive again. Workers must again believe the law can protect them. Enterprises must again believe the law will punish them. Enforcers must again believe the law will hold them accountable. When these three things happen simultaneously, the law is no longer decoration on paper. It becomes a wall again, a line, something that truly binds. It becomes useful again.

This is the full meaning of "the same set of rules, two uses." The law is still the same law, the words are still the same words. But the use is different, and the outcome is completely different. Use depends on understanding. Understanding depends on enforcement. Enforcement depends on choice. And choice — that is

direction. When the direction is right, everything is right. When the direction is wrong, no matter how many laws you write, they are just more paper.

And the reversal of direction is not accomplished by amending provisions. It is accomplished by enforcement. It is accumulated through every case, every penalty, every instance of protection. It is through a worker filing a complaint and receiving a result three months later. It is through an enterprise violating rules and actually being fined. It is through an enforcer who does nothing and actually being held accountable. Every time something like this happens, the law comes alive a little more. When enough accumulates, the law is truly alive. It becomes a wall, a line, a tool again — something that can truly constrain and protect people.

This process does not require you to legislate anew. It requires you to act anew. The approach is already there; what is needed is to do it. Not to write, but to do. To do what should be done, to enforce the provisions that should be enforced, to protect the people who should be protected. Do it, and the law lives. Don't do it, and the law is just paper.

And what we need is living law. Not law on paper.

6. Where Do the Released People Go?

Now we need to talk about a question I have been mentioning but have not yet fully developed: when a person is released from the state of "having to work to live," where does he go? What exactly does he do?

When many people hear "releasing labor," the first image that comes to mind is: people sitting at home doing nothing, living on handouts. That is not release; that is being kept. Release is not about turning people into "people who don't work"; it is about turning people into "people who can choose not to do the work they don't want to do." The difference between these two statements is greater than you think.

The first thing after release is not "people have no work," but "more people have work."

Think about it: originally a factory needed 10 people, each working 12 hours a day, 6 days a week. After the institution is in place, each person can only work 8 hours a day, 5 days a week. The same workload now requires 15 or even 20 people. Where were those extra 5 to 10 people originally? They had no work. They sat at the village gate, in the corners of the city, living off others. Now they have work.

A factory that originally needed 10 people now needs 20. Those extra 10 people are the "released" labor — released from the state of "no work" to the state of "having work." This is the first layer of release.

The second layer of release is for those who originally had work — their time is released. Before, they worked 72 hours a week; now they work only 40 hours. Those 32 hours are released. What do they do with this time? They don't do nothing. They have energy, and they start consuming.

The third layer of release is for those at the bottom — they receive subsidies. The institution, through tax adjustments, channels a portion of money directly into the hands of those at the very bottom. They can survive without working. The amount is not large — maybe just four or five hundred yuan a month. But for someone with no income at all, that four or five hundred yuan is the difference between life and death. That four or five hundred determines whether they can eat, buy medicine, and maintain the most basic survival. Once this money is given, they cannot save it. They cannot afford to save. They will spend it. They spend it at the market, at the corner store, at street stalls. Their consumption activates the low-end market, and demand from the low-end market transmits upward, driving upstream production, which creates jobs, which in turn creates more consumption. Every yuan they spend becomes someone else's income.

So, where do the released people go? They go to three places:

The first type — subsidized people.

He originally had no income. He is old, sick, eliminated, unable to find work. He is alive, but he is "suspended" — no income, no support, no fallback. The institution, through tax adjustments, gives him a subsidy. Not much, but enough to live on. He gets the money and spends it. His consumption becomes someone else's income. He does not save, but his quality of life has not declined because he never had any quality of life to begin with. On the contrary, because of this money, he no longer has the pressure of "not being able to survive without money." That kind of pressure weighing on his head is heavier than anything. Now that pressure is gone. He lives, more like a human being.

The second type — people like Liu Cheng.

He used to earn six thousand, now he earns four thousand. He earns less, but he has time. He used to have no time to eat; now he does. He used to have no time to spend with his children; now he does. He used to have no time to do anything; now he does. His salary has dropped, but his cost of living has also dropped. He no longer

needs to eat out, no longer needs to pay for after-school care, no longer needs to use takeout and medicine to fill the gaps left by work. His savings may decrease, but that is still better than not being able to survive.

The third type — those who originally had no work, now have work.

Before, a factory needed 10 people; now it needs 20. Those extra 10 people were sitting at the village gate, with no work, no income, living on money sent by their children. Now they have work, income, and spending power. They are no longer "people abandoned by the system"; they are "people caught by the system." Their lives have changed, their families have changed, and their children's futures have changed.

You can pursue wealth, but you cannot sacrifice your living conditions and your feeling for life in the pursuit of wealth. You cannot turn yourself into a machine just to earn an extra two thousand yuan. You cannot sell all your time to work just to save more money. You cannot lock yourself into a state of "having to struggle to survive" just because you are afraid of a salary cut.

People after release are not "not working"; they are "no longer working that way." They no longer have to work 12 hours a day. They no longer have to work 6 days a week. They no longer have to worry about "not being able to survive if they don't struggle." They have choices. They can choose to work or not to work. They can choose to do this or that. They can choose to pause or to switch paths.

This is the full meaning of release. It is not about making people lazy; it is about making people human again. It is not about stopping people from working; it is about giving more people the opportunity to work. It is not about making people poor; it is about giving the poor the right to live. It is not about making people lose their savings; it is about making people no longer afraid of losing everything.

You know, people cannot be pushed to the edge. Push a person to struggle, and he will struggle. But push a person to struggle for too long, and he will no longer want to live. Push a person to exhaust himself just to survive, and being alive becomes no different from being dead. Push a person to be afraid of stopping, and when he finally stops — he stops by falling apart entirely.

So we release them. Not because they do not deserve to work, but because they deserve to live. Not because work is unimportant, but because people are more important. Not because the institution should do everything for them, but because the institution should reach out and catch them when they are about to fall.

You might ask a question: "His salary drops from six thousand to four thousand, and his savings decrease. Isn't this a decline in quality of life?"

This is a very natural question. But you need to see clearly: when he was earning six thousand before, what was his quality of life? It was working twelve hours a day and only wanting to sleep when he got home. It was working six days a week, with one day off not enough to recover. It was being afraid to take sick leave, afraid to stop when tired. It was every minute of his life being spent consuming himself. He had no time to spend with his children, no energy to do anything, no capacity to think about "what do I really want." He was just holding on. Was that quality of life? No. That was the bare minimum of "being alive."

Now he earns four thousand, but he has time. He has energy, choices, and the opportunity to have dinner with his family. He has less money, but his life has returned. His savings are indeed lower, but he no longer needs to use savings to buy his life back — because he no longer needs to overdraw himself to earn money. Every yuan he saved before was exchanged with his life. Now he does not need to exchange his life for money. His savings are less, but he is still here.

Do you know what quality of life is? It is not about how much money is in your account; it is about whether you have time to be human. You have money in your account, but no time to spend it — who is that money for? You have money in your account, but no time to spend with your children — that money is saved for your children, but when your children grow up, will they want your money or you? You have money in your account, but no time to live — who is that money for?

Savings are lower, but the pressure is gone. Before, he feared unemployment, illness, and the day he could no longer hold on. Now he is not afraid. Because the institution is there, he will not fall directly. Even if he loses his job, something will catch him. Even if he gets sick, he has somewhere to rely on. Even if he grows old, he will not be discarded. He no longer needs to pack all his sense of security into his savings. He can entrust part of his security to the institution. His savings are less, but his sense of security is not diminished. Because the institution holds the bottom for him.

So, lower savings is not a decline in quality of life. A decline in quality of life is exchanging your life for money, then using that money to sustain your life. An improvement in quality of life is when you no longer need to exchange your life for money, and you have time to be human. You live, no longer for work. You work, in order to live.

This is the fundamental difference between a released person and an unreleased person. The unreleased person earns six thousand, but has no life. The released person earns four thousand, but has a life. Who do you think is better off? Do the math and you will understand. Before, he earned six thousand, but spent fifteen hundred eating out, eight hundred on after-school care for his child, five hundred on medicine, and three hundred on taxis. What remained was twenty-nine hundred. Now he earns four thousand, but spends eight hundred cooking at home, takes care of his child himself so no after-school care, has time to exercise so no medicine, walks to work so no taxis. What remains is thirty-two hundred. He earns less, but he keeps more.

More importantly, he is no longer carrying it alone. The institution is behind him. He does not need to bear all the risk on his own shoulders. He does not need to stake all his future on his savings. He can entrust some of the risk to the institution, some of the future to time, and return some of himself to himself.

Now we need to talk about a question I have been mentioning but have not yet fully developed: when a person is released from the state of "having to work to live," where does he go? What exactly does he do?

When many people hear "releasing labor," the first image that comes to mind is: people sitting at home doing nothing, living on handouts. That is not release; that is being kept. Release is not about turning people into "people who don't work"; it is about turning people into "people who can choose not to do the work they don't want to do." The difference between these two statements is greater than you think.

If a person still wants to work, he can work. But now he can choose the work he wants — what he enjoys, what he is good at, what he finds meaningful. Before, he could not choose, because "having any job was good enough." Now he can choose, because he has room to choose. If a job is not suitable, he can switch. If the conditions are too poor, he can refuse. Before, he could not refuse, because refusal meant no income. Now he can refuse, because he has institutional protection.

If a person does not want to work, he can temporarily not work. He can rest for a while, study for a while, try out new possibilities. Before, he could not stop, because stopping meant no income. Now he can stop, because he has basic security. He no longer needs to convert every minute of his life into wages just to survive.

More importantly: when people are released, they will do those "truly human things." What are truly human things? Not tightening screws, not assembly lines, not repetitive labor. It is thinking, creating, companionship, exploring, caring for others,

expressing oneself. These are things that no one had the time or energy to do before, because everyone was locked in the state of "having to work to live." And when some people are released and begin to do these things, the entire society becomes richer, more vibrant, and more like a human society.

A mother can spend more time with her children. An elderly person can pass on their craft to the young. A young person can try to do what they truly want to do. A person can write a book, paint a picture, farm a plot of land, invent something new. The value generated by these things may never show up in GDP, but they make society better.

Release is not "making people have nothing to do"; it is "making people have things to do, things they want to do."

When I spent ten years unable to find a two-day weekend, it was not that I "didn't want to work" — it was that I "didn't want to only be able to do that kind of work." When Lin Dong was replaced, it was not that he "didn't want to learn new things" — it was that he "had no time or energy to learn." When those middle-aged rural people have no work, it is not that they "don't want to do things" — it is that they "have no opportunity to do things."

Release is giving these people a chance. Letting them emerge from the state of "being forced to work" and enter a state of "being able to choose what to do."

7. A Healthy System Is Not Without Pressure

You can now construct a complete picture in your mind.

What does it look like?

It is not a utopia. It is not an ideal state where everyone is happy. It has pressure — competition exists, change exists, uncertainty exists. But the difference is: pressure does not all fall on the same person. When a shock arrives, the system disperses it, letting it be absorbed by the entire society, rather than concentrating it on the most vulnerable. You have room to buffer, time to react, and a chance to start over.

It has fluctuations — economies have cycles, markets rise and fall, enterprises live and die. But these fluctuations do not turn into collapse. Because the system has stress, it can restore balance amid fluctuations. When an enterprise has problems, it is not because the institution made it die; it is because it truly cannot survive. When

the market fluctuates, it is not because the institution failed; it is because the market itself needs adjustment.

It has feedback — when you do something wrong, you will know. When you do something right, you will also know. Information flows, feedback is real, and adjustment is possible. Unlike before, when you worked hard but did not know if it made a difference, when you compromised but did not know if it would make things worse. The feedback loop is alive; you always know where you stand and which direction to go.

It has failure — enterprises may go bankrupt, individuals may lose their jobs, investments may lose money. But these failures are not endpoints; they are ways to reallocate resources. You fail, and you can start over. You lose your job, and you can find the next opportunity. An enterprise closes, and resources flow to more efficient places.

This is a system with stress. It is not without pressure, but it can withstand pressure and recover. It is not without fluctuations, but it can maintain balance amid fluctuations. It is not without failure, but failure does not become a disaster.

Compare this to the system you are now facing: pressure is always transmitted to the bottom, fluctuations always turn into collapse, and failure always becomes the end. Why is this? Because the system has lost its stress capacity. It is merely suppressed, held down, pressed upon, but has no elasticity, no ability to react, no capacity for self-regulation. When pressure accumulates to a certain point, it breaks. You have already seen many broken people, broken communities, broken families. In the future, you will see more.

Now I need to push this one level deeper. Many people think a "healthy system" is a system without pressure, a system where everyone is comfortable. This is wrong. A system without pressure is a dead system. A living system must have pressure. Pressure comes from competition, change, and uncertainty. These are not bad things; they are the driving forces of a functioning system. Without competition, there is no progress. Without change, there is no adaptation. Without uncertainty, there is no innovation.

A healthy system is not "without pressure"; it is "pressure not concentrated in one place." A healthy system disperses pressure. When a shock arrives, it does not only hit those at the bottom. It is buffered by institutions, diverted by rules, and absorbed by feedback loops. Part of the pressure falls on enterprises, part on capital,

part on the institution, and part on workers. Each side bears a little, but no side is crushed. This is stress. It turns pressure into driving force, not destructive force.

An unhealthy system, on the other hand, is one where pressure falls only in one place. When the market fluctuates, enterprises pass the pressure to workers. When costs rise, enterprises pass the pressure to workers. When competition intensifies, enterprises pass the pressure to workers. All pressure ultimately falls on those at the very bottom. They have no buffer, no support, no fallback. They can only bear it. Bear it and survive, or break. This is what you see — those middle-aged people sitting at the village gate, those young people barely holding on in the city, those who have been replaced and have nowhere to go. They are all the result of concentrated pressure.

A healthy system has failure. This is a very important thing. Many people think "healthy" means everyone succeeds, all enterprises make money, all investments yield returns. That is not health; that is fantasy. In the real world, some people will fail, some enterprises will go bankrupt, some investments will lose money. Failure is not a flaw of the system; failure is a function of the system. It releases resources from inefficient places and reallocates them to efficient ones. It keeps the market flowing, keeps competition pressurized, and keeps progress motivated.

But an unhealthy system does not allow failure. It uses institutions to prop up enterprises that should not survive, uses subsidies to sustain capacity that should not exist, uses policies to maintain outdated models. It does not let anything die, and as a result, nothing lives well. Resources are locked in the wrong places, innovation is suppressed, competition is distorted, and pressure is shifted to the bottom. When the bottom can no longer bear it, the system cracks.

A healthy system has feedback. When you do something wrong, you are corrected. When you do something right, you are rewarded. Information is transparent, cause and effect are clear, and adjustment is timely. You do something good, and you know it will bring good results. You do something bad, and you know it will have bad consequences. You do not live by guesswork; you live by judgment.

In an unhealthy system, feedback is broken. You work hard, but you do not know if it makes a difference. You compromise, but you do not know if it will make things worse. You do the right thing, but no one sees it. You do the wrong thing, but no one corrects it. You live in a state of "uncertainty" — you do not know what will happen next, you do not know if what you are doing matters. You can only tough it out, waiting for a result that may or may not come.

This is the difference between a healthy system and an unhealthy system. A healthy system has pressure, but the pressure does not kill you. An unhealthy system appears to have no pressure — everything is stable, everything is steady, everything is under control — but the pressure is hidden. It is hidden on the backs of those at the bottom, in their footsteps that dare not stop, in the fears they dare not speak. Then one day, it erupts. Not gradually, but suddenly. And those who have been pressed for a long time were already broken before it erupted.

So, a healthy system has pressure, volatility, failure, and feedback. It is not about making you comfortable; it is about making you live. It is about ensuring that even if you fail, you do not die from the fall; even if you stumble, you can get back up; even if you go the wrong way, you can find your way back. It does not give you a risk-free life; it gives you a life that cannot be destroyed even with risk. An unhealthy system, on the other hand, gives you what looks like stability, but is actually a ceiling that could collapse at any moment. You carry all the weight on your own shoulders and hold up the ceiling. You hold it for ten, twenty, thirty years. You dare not let go. Because you know that the moment you let go, it will come crashing down on your head.

This is everything you see. You see the system losing its balance. You see pressure accumulating. You see those who have already broken. You see those still holding on. You know that one day, this ceiling will collapse. And what you need to do now, before it collapses, is to disperse the pressure. Let part of it fall to the ground, let part of it be absorbed by institutions, let part of it be shared by rules. Let all living people truly live, rather than just hold on.

A healthy system has pressure, volatility, failure, and feedback. It does not rely on suppression to maintain stability; it relies on the natural regulation of stress. It does not let pressure concentrate at the bottom; it disperses it throughout the entire system, giving everyone room to breathe.

But I need to say one more thing.

You might think: "Isn't what you are describing exactly what developed countries are doing?"

Yes. Think about it carefully: developed countries are called developed not because they have more money, not because their technology is more advanced, not because they have better infrastructure. It is because their institutions can exert stress. It is because pressure does not all fall on those at the very bottom. It is because their workers have protection, their markets have a bottom line, and their

failures do not become disasters. It is not because they were born "developed"; it is because they walked the path from "suppression to stress." They walked from suppression to stress, slowly, for a long time, with setbacks and regressions along the way, but they made it through. And we are still on the road — moving from a state of "being balanced" to a state of "self-balancing." This takes time, takes process, and requires going through the transformation of institutions from "non-existent" to "existent," from "decoration" to "tool," from "constraining workers" to "constraining enterprises."

"Developed country" is not a title; it is a description. It describes a place where the way institutions function is stress, not suppression. It describes a place where pressure does not all fall on the same group of people. It describes a place where people do not need to struggle desperately, tough it out, or exhaust themselves just to survive.

This is the process we are going through. From being balanced to self-balancing. From passive coping to proactive stress. From suppression to release. This is not a "choice"; it is a stage that "must be experienced." You cannot skip it, you cannot bypass it. You can only walk through it. Walk through it, and you reach a different state. Fail to walk through it, and you remain stuck in place. And the cost of being stuck in place is being crushed by the system.

Developed countries are not a destination; they are a state. A state where the system can self-balance. A state where institutions can protect people. A place where people can live, not just hold on. And we are moving toward that place. Some are walking, some are still watching. But the path is already open — the direction is already set. What remains is to walk. Keep walking, don't stop. Until one day, you look back and find that you are no longer in the same place. You have arrived. Living like a normal system. Living like a normal person. No need to struggle desperately, no need to tough it out, no need to exhaust yourself. Because you live in a healthy system. A system that allows pressure to exist, but does not allow pressure to kill people.

8. Misunderstandings About Stress: You Need to Actively Dismantle Them

As I said before, before finishing Part 4, I need to list the common misunderstandings about "stress" and then dismantle them one by one. This is very important, because if I do not actively clarify, readers will fill in the gaps with their

own understanding — and most people's first reaction is to interpret "stress" as "deregulation" or "letting the market handle itself."

Misunderstanding 1: "Stress means deregulation, letting the market handle itself."

This is the most common misunderstanding. When you hear that stress is "the ability to let the system react on its own," you naturally think this means "the government should stop managing and let the market regulate itself." But stress is not deregulation. Stress is reorienting regulation. Regulation still exists, but the direction has changed — from "not managing workers" to "managing enterprises." In a stress system, the government does not disappear; its role changes — from "doing nothing" to "enforcing the rules." It no longer sits there watching; it stands up and starts doing what it should do.

You need to distinguish: for the past thirty years, the institution has not been "controlling workers." It has not controlled them. It writes provisions on paper, but it does not enforce them. Workers do not have a two-day weekend not because the institution "controlled" them, but because the institution "did not manage" them. Enterprises can exploit workers at will not because the institution "allowed" it, but because the institution was "absent." The institution was absent, so workers could only rely on themselves.

Stress is not "not managing"; stress is "managing again" — not managing workers, but managing enterprises. It is about returning the institution to where it should be, enforcing the rules it should enforce, and protecting the people it should protect. It is not relaxation; it is restoration. It is not about letting the market handle itself; it is about letting the institution step back in. Standing where it should stand, doing what it should do.

Misunderstanding 2: "Stress will make enterprises unable to survive."

This is a common fear. When I advocate for "increasing penalties, increasing taxes, and restoring the two-day weekend," the first reaction of business owners is: "Isn't this going to kill us?" But the answer is: stress will only make it impossible for enterprises that survive by exploiting people to continue — those that cut costs through tax evasion, non-payment of social insurance, and overtime work. These enterprises have no real competitiveness; they are merely cheaper than good enterprises in an environment where institutions are ineffective. Good enterprises will not be affected. On the contrary, when bad enterprises are eliminated, the

market space becomes larger. Good products, good services, and good management will receive their due rewards.

And think about it: if an enterprise can only survive by exploiting people, it should not be surviving in the first place. Its way of surviving is to treat people as consumables. When it dies, the market can make room for enterprises that truly follow the rules. When it dies, workers can go to a place that truly treats them as human beings. When it dies, the market can restart the logic of "those who do well survive." So, it is not stress that makes enterprises unable to survive; it is stress that makes "bad enterprises" unable to survive. And bad enterprises not surviving is the prerequisite for good enterprises to survive.

Misunderstanding 3: "Stress means giving people money to not work."

This is the image some people are most wary of. Stress is not about giving you money to stay idle. Stress is about having institutions constrain enterprises, giving you a fair competitive environment, so you are no longer forced to accept everything. You still need to work, you still need to live, you still need to be responsible for yourself. But now you have the opportunity to choose a better job, rather than "any job is good enough." Giving money is not the goal; giving money is a means. The means is to give you room to breathe, to let you stand up, to let you choose again.

Giving money to those at the bottom is not about making people not work. It is about letting those who want to work but have no opportunity survive first. It is about letting those who have been pressed down for too long catch their breath first. It is about letting those who have been missed by the system be caught first. When they get the money, they will not lie down and do nothing — they will stand up. Because people need not only money to live, but also dignity. Dignity comes from "I can do something." And a person who has enough to eat is more likely to stand up than a person who is starving.

Misunderstanding 4: "This is copying the West."

I must address this misunderstanding directly, because my entire derivation repeatedly references the experiences of Japan, Korea, and the West. But I am not "copying." From the very beginning, I said: Japan and Korea took the "compliance" path, while China took the "low-posture" path. The proposed solution is not about transplanting Japanese or Korean institutions into China, but about making corrections along China's own path. The constraining function of institutions is common to all mature economies, but the specific methods of enforcement, timing,

and distribution mechanisms must be designed according to China's own circumstances.

Moreover, the things I talk about — the two-day weekend, the 8-hour work system, social insurance, taxation — they are not "Western"; they are "human." It is about human beings needing rest, needing protection, needing to live. These things do not belong to any country; they belong to every living person. You can find the same needs anywhere. It is not because I copied someone; it is because people are the same. What people need is the same everywhere.

Misunderstanding 5: "Our economy is so bad right now, we can't do these things."

I have already answered this question: constraints do not fluctuate with the economic cycle. The United States did not relax labor laws during the subprime crisis, Japan did not lower labor standards during its Lost Thirty Years, and the United Kingdom did not stop labor inspections during the Brexit turmoil. Why? Because they know: once the bottom line is crossed, it can never be restored. If I don't do it now, I won't do it when the economy improves either. And the two-day weekend I have waited ten years for will never come.

When the economy is bad, you fear enterprises will die. When the economy is good, you fear it will affect growth. You will always have a reason not to do it. So you never do it. And workers will never get it. So it must be done when the economy is bad. Not because enterprises are not afraid of dying, but because you cannot wait any longer. A recession will pass, but institutional failure will not pass. The recession leaves, but the failure remains. It will not go away on its own.

Misunderstanding 6: "Stress makes everyone poor."

This misunderstanding sounds very reasonable — you make enterprises hire more people, so everyone's salary goes down. You increase taxes, so corporate profits shrink. You restore the two-day weekend, so output decreases. You have institutions protect workers, so enterprise costs rise. It seems like everything is making "money" decrease. Then doesn't the economy get worse?

This is the most subtle misunderstanding. Because part of it is true — wages may indeed fall, profits may indeed shrink, costs may indeed rise. But it misses something: money is just something that flows through the system; it is not the system itself. If money just circulates in the hands of a few, then whether there is a lot of money has nothing to do with most people. If money cannot flow to the bottom, then whether people at the bottom have money has nothing to do with the

total amount. If money cannot become consumption, cannot become orders, cannot become employment, then money is just a pile of numbers.

Stress is not about "making everyone poor." Stress is about "redirecting money that could not reach the bottom back to the bottom." It is not about "reducing the total amount"; it is about "changing the flow." The total amount does not change, but where it flows changes. Before, money only flowed to a few people; now it flows to more people. Before, one person had six thousand, and ten people had no work. Now ten people each have three thousand, and all ten have work. The total amount of money does not change, but the number of people consuming increases. The market grows larger, orders increase, production becomes active. The money has not decreased; it has simply stopped idling. It has started circulating.

The "getting poor" you hear about is certain people getting poorer. Those who live by exploiting, those who live by arbitraging institutions, those who live by not paying social insurance and not providing two-day weekends — they are indeed getting poorer. Because they can no longer survive by cheating. But those who had no work before now have work. Those who dared not consume before now dare to spend. Those who could not survive before can now live. What you see is not "everyone getting poor"; it is "some people can no longer get rich so easily." And another group of people finally has a way to live.

This is a worthwhile exchange. In a system, you cannot let a few be fabulously wealthy while the majority cannot survive. That is not economic prosperity; that is an economy idling. Stress is about putting the idling money back into the hands of those who need it. It is not about making people poor; it is about making money start flowing again. And flow is what makes a living economy.

These six misunderstandings — I will dismantle them all in Part 4. Not with emotion, but with facts, with the logical chain already established in the first three parts. Misunderstandings exist because people have not seen the complete picture. They only see a fragment — wages falling, costs rising, enterprises struggling — what they do not see is: the market comes alive, employment increases, people stand up. And I spent thirty years seeing the complete picture. Now I need to explain it clearly. Let those misunderstandings, one by one, fall.

9. What Qualifies Me to Say This?

Now we need to address a question I may have been avoiding.

I must have thought about this question in my mind, just never said it out loud. When I was writing this deduction, there might have been a voice saying: "I don't have an economics degree, what qualifies me to write this stuff? I haven't published any papers, what qualifies me to analyze the entire economic system? I don't have any titles, why should anyone believe me?"

This is a very natural question. I need to face it, and then answer it.

My answer is this: I spent thirty years living in this system. I spent ten years verifying the same conclusion. My deduction comes from my life, not from my education. I have read some books, and although I haven't memorized their contents, they shaped the way I see the world. I know how those systems abroad work, without needing to cite a book to prove it. It has become part of my thinking, not just floating vocabulary in my memory.

I don't need citations to prove I am right. If my deduction is correct, it will stand on its own. If it is wrong, citing a hundred books won't save it. This entire deduction has not a single citation, not a single reference. It's not because I'm lazy; it's because my references are my own life experiences. They are the ten years I spent unable to find a two-day weekend job. They are the sight of middle-aged rural people with no work, surviving only by relying on their children. They are the fate of Lin Dong having nowhere to go after being replaced. These are my references, and they are more real than any book.

I am not writing this to prove I'm "right," nor to convince anyone. I just want what I have seen to be written down. I just want others to be able to see the picture I see. If someone reads it and thinks "so that's how it is," then it has fulfilled its purpose. If someone reads it and disagrees, then at least they know "so this is how someone else sees it."

This is my stance in writing this. Not authority, but honesty. Not proclamation, but sharing.

Now I need to push this layer a little deeper. Because someone will ask: "You have no degree, no title, what makes you think what you see is real?"

My answer is: because I spent ten years verifying it. Ten years is not a period of time; ten years is the price a person pays to repeatedly confirm the same thing within a system. If I had only spent one year, you could say I was unlucky. If I had only spent three years, you could say I lacked ability. If I had spent five years, you could say I hadn't found the right direction. But I spent ten years. I tried every path available to me — working in factories, delivering packages, working as a security

guard, running food deliveries — every place I could enter, I entered. Every door, I knocked on. And then I discovered: it wasn't the door's problem, it was the building's problem. What I saw was not "coincidence," it was "structure." The failures I experienced were not "bad luck," they were "systemic inevitability."

So what qualifies me to say this? I qualify because I lived through it. I qualify because I verified it. I qualify because I stood inside it and felt every one of its edges. I did not observe a system from the outside; I lived inside it and felt it. This is different. This is completely different. Those who observe from the outside see data, models, and trends. Those who live inside it see temperature, edges, and weight.

Data can lie, models can be wrong, trends can reverse. But the things your body remembers — those overtime nights, those rejected interviews, those ten years without a two-day weekend — they won't deceive you. They are real. And this is where I start from. I don't need others to believe me, because I don't intend to live for others. I wrote it down, you saw it, whether you believe it is your business. But I lived through it, I wrote it down, and it is here.

This is the complete answer to "What qualifies me to say this?" Not a degree, not a title, not citations. It is that I lived through it. I lived through it for thirty years, verified it for ten years, and then spent even more time writing it down.

In this world, there is no qualification more honest than this.

I have one more thing to say.

In everything I write here, I deliberately avoid political terminology and economic terminology. But what I am deducing is all political economy. Why do I write this? I am simply writing my feelings. As a member of this society, born into this society, this may be my responsibility. It's not that I want to say it, but that I feel I should say it. I feel that as a member of this society, I have made an effort. Regardless of whether this time and energy I've spent will be taken seriously, I believe that as long as I write it down, it will surely be useful.

As for how it will be used, I don't know. I think it is just a reference. Because a true theory is not prescriptive; any theory is essentially a reference. What truly determines whether a theory is useful is whether those who see it take action. Theory itself cannot change anything, but the people who see it can. So I wrote it down. Not to tell others "what you should do," but to tell others "this is how I see it." As for whether they act on it after reading it, and how they do so, that is their business. I have done what I needed to do; the rest is no longer mine.

I have one more thing to say. It is not in my mind; it is in my body.

You know what? When I write these things, I am not writing with "thoughts." I am writing with my "body." Those sentences were not thought up by me; they grew by themselves. I sit there, my fingers on the keyboard, and they come out on their own. Flowing out like water. I don't need to think about "what to write next," because the next sentence is already there. It is just waiting for me to get there, and then bring it out.

What does this mean? It means these things were not "learned" by me. They were "lived out" by me. They have been inside my body for too long, and now they need to come out. I can't stop them. I don't want to stop them. I just let them out. If they can help others, that's good. If they can't, that's okay too. But once they are out, they are no longer mine alone. They become something that can be seen, discussed, and used by others. This is all I have done. Taken them out of my body, put them on paper. And then handed them to others.

The rest is no longer my concern.

10. Go With the Flow of the Economy — All Solutions Are Going With the Flow

Section 1: What Is "Going With the Flow"?

Before entering this topic, I need to make one thing clear. You may have noticed that much of what I write looks like "demands" — demanding the restoration of the two-day weekend, demanding higher taxes, demanding the elimination of subsidies, demanding banking reform. You might think I am "remaking" the economy, "designing" a system, "telling others what they should do."

But I am not.

Everything I do is not "remaking." It is "going with the flow."

So what is "going with the flow"?

"Going with the flow" is not "submission." Submission is giving others whatever they want. When capital wants cheap labor, you give it cheap labor. When capital wants lax regulation, you give it lax regulation. When capital wants low taxes, you give it low taxes. This is not going with the flow; this is obedience. You are not obeying "economic laws" — you are obeying "the will of capital." You mistake the will of capital for the laws of the economy, and that is wrong.

"Going with the flow" is also not "laissez-faire." Laissez-faire is not managing anything, letting everything go however it wants. But the result of laissez-faire is never "freedom"; it is "the strong take all." In a market with no rules, big fish eat small fish, big capital devours small capital, capital devours people. In the end, only one survives: the strongest. This is not going with the flow; this is barbarism.

So what is true "going with the flow"?

"Going with the flow" is following the natural direction of a system. Water flows to low ground; instead of building walls against it, you dig channels along it. Wind blows in a certain direction; instead of blocking it, you set sails along it. The economy is the same. It has its own flow. You don't need to "design" where it goes; you only need to see clearly where it flows, and then go with it, not against it.

So what is the flow of the economy?

The flow of the economy goes from the bottom upward. People at the bottom consume, the lower-level market is activated, the demand from the lower-level market is transmitted upstream, upstream production drives employment, and employment creates more consumption. This is a complete cycle from the bottom up. Like water evaporating from low ground, turning into rain falling down, then flowing back to low ground. It is cyclical. It does not stay in one place; it keeps flowing.

The starting point of this cycle is people. It is people's needs, people's labor, people's consumption. Without these, the economy stops. Without people's needs, who would buy what enterprises produce? Without people's labor, who would produce? Without people's consumption, how would the market turn? The source of all economic activity is people.

So what is "going against the flow of the economy"?

Going against the flow means building a wall where the economy should flow. You suppress workers' income, leaving them without purchasing power — you block the source of consumption. You extend workers' hours, leaving them without time to consume — you block the window of consumption. You let money circulate idly in the financial system, preventing it from reaching the bottom — you cut off the water flow. You let institutions fail, allowing capital to expand unchecked — you let the strong occupy the riverbed indefinitely, crowding everyone else onto the banks.

Going against the flow means digging a pit where the economy should flow, and trapping the water there.

So everything I do is about tearing down those walls that have been built. Restoring the two-day weekend is tearing down the "overtime wall." Increasing taxes is tearing down the "capital interception wall." Eliminating subsidies is tearing down the "false demand wall." Giving money to the bottom is redirecting water back to the dried-up riverbed. Banking reform is moving the stone blocking the middle of the river. These are not "creation"; they are "clearing." I am not building a new river; I am dredging the old river that has been blocked. It would flow naturally; it was just blocked. I remove what blocks it, and it flows on its own.

This is going with the flow. Not building, but unblocking. Not constructing, but clearing. Not designing, but restoring. Not telling it where to go, but letting it go where it was always meant to go.

But for the past thirty years, we have been going against it. We built walls, dug pits, intercepted flows, blocked roads. We suppressed workers, extended hours, idled currency, and disabled institutions. We kept going against it, and then asked, "Why isn't the economy flowing?" Of course it isn't flowing. You blocked it for thirty years; how could it possibly flow?

So, when I propose those solutions, I am not "remaking" the economy; I am letting it return to the direction it was always meant to go. I am not designing a future; I am reopening a future that has been blocked. I am not telling the economy "where to go"; I am letting the economy go where it was always meant to go.

Going with the flow of the economy means no longer going against it. Not going against it means no longer blocking it. Not blocking it means letting its existing paths become clear again. When they are clear, it flows. When it flows, it lives. When it lives, everything is right.

This is "going with the flow." This is all I have done. Not remaking, but flowing with. Not creating, but dredging. Not designing, but returning. Letting it return to where it should have been, letting it flow where it should have flowed.

Section 2: Where Does the Economic Flow Begin?

In the previous section, we discussed what "going with the flow" means. It is not submitting to capital, nor is it laissez-faire. It is following the natural flow of the economy, not going against it, not blocking it.

So in this section, we ask: Where does the economic flow begin?

You might say: It begins from the market. The market has demand, enterprises produce, and the economy turns. But push it one step further: Where does demand come from? Demand comes from people. Without people, there is no demand. Without demand, there is no market. Without market, there is no production. Without production, there is no distribution. Without distribution, there is no consumption. Without consumption, there is nothing.

So the foundation of the economy is not in the market, not in enterprises, not in policy, not in data. The foundation of the economy is in people.

It is because people need to eat that there is a food market. It is because people need to wear clothes that there is a garment industry. It is because people need shelter that there is construction and a real estate market. It is because people need to travel that there is transportation and logistics. It is because people need to be cared for, accompanied, and understood that there is education, healthcare, elderly care, culture, and entertainment. All economic activity shares a common starting point: people's needs. Without this starting point, there is nothing.

Think about it: if you take away all people — no workers, no consumers, no demand, no supply — does the economy still exist? It does not. The market does not exist, enterprises do not exist, money does not exist, GDP does not exist, everything disappears. The economy grows out of people; it does not come from anywhere else. It is not something "external"; it is an extension of "people." What people need, the economy grows. What people don't need, the economy shrinks. The economy follows people, not people following the economy. This order cannot be reversed.

So why do we often feel that the economy is an independent entity, with its own laws, its own will, that determines our fate? Because we have become accustomed to treating the "economy" as an independent subject. We read in the newspapers "the economy is recovering," "the economy is declining," "the economy is overheating," "the economy is too cold," as if the economy is a living thing that walks on its own, moves on its own, and decides everything on its own.

But this is false. The economy does not walk on its own. It walks only when people walk. The economy does not move on its own. It moves only when people move. The economy does not decide anything on its own. People decide where it goes. It is just a container, holding people's activities. It is just a river, flowing with people's needs. It is just a machine, turning with people's labor. Without people, it is nothing.

So what have we been doing? We have been treating the economy as an independent thing. We study it, analyze it, predict it, regulate it, but we forget where it comes from. We study "market laws," but forget that the market was created by people. We study "supply and demand relationships," but forget that both supply and demand are human behaviors. We study "economic growth," but forget that the meaning of growth is to make people live better. We treat it as a subject, and it has become our master in return. We serve it, instead of it serving us.

This is the reason for going against the flow. We forgot where the starting point of the economy is, so we went in the opposite direction. We thought the economy was driven by capital, so we followed capital. We thought the economy was regulated by policy, so we followed policy. We thought the economy was driven by technology, so we followed technology. We all forgot: the economy is driven by people. It starts from people, and it should ultimately return to people.

So, to go with the flow of the economy, we must first know where it comes from. It comes from people. Its starting point is people. Its end point is also people. Where it flows through is people's labor, people's consumption, people's lives. All of its flow revolves around people.

If a person has no job, the starting point of the economy is missing one piece. If a person has no income, the flow of the economy is cut off at one point. If a person has no time to consume, the cycle of the economy is stuck at one segment. If a person has no hope, the economy loses its reason for existence. Because the only reason for the economy to exist is to make people live better. Not for GDP, not for growth, not for numbers — it is for people. It is for that middle-aged person sitting at the door of a rural house, for that worker repeating the same action three thousand times in a factory, for that young person barely holding on in the city. It is them — people's needs, people's labor, people's consumption — that constitute the entirety of the economy.

This is the starting point of the economy. In people. Without these people, there is no economy. Without these people's needs, there is no market. Without these people's labor, there is no production. Without these people's consumption, there is no cycle.

So what have we done in the past thirty years? We have been ignoring this starting point. We suppressed people's income, leaving them without purchasing power. We extended people's working hours, leaving them without time to consume. We let institutions fail, leaving people without support. We let the economy leave its

starting point, spinning in the air round after round, unable to land. We peeled it away from people and let it fly on its own. When it couldn't fly anymore, we said "the economy has a problem." It's not that the economy has a problem; it's that people have a problem.

So, "going with the flow of the economy" means returning to the starting point. Returning to people. Returning to people's needs, people's labor, people's consumption. Letting the economy start from people again, flow toward people again, and return to people again. Not letting people adapt to the economy, but letting the economy adapt to people. Not letting people serve the economy, but letting the economy serve people. This is the direction. If the direction is right, the rest is just walking. If the direction is wrong, no matter how far you walk, it is useless.

Section 3: How Does Law Become the Turning Point of Economic Flow?

In the previous section, we said that the starting point of the economy is people. People's needs, labor, and consumption constitute the entirety of the economy. But people cannot directly become the economy. People need something that connects them to it. That something is law.

Think of it this way: people are water. The economy is a river. People themselves are scattered, fluid, and formless. You cannot directly "turn" people into the economy, just as you cannot directly "turn" water into a river. Water needs a riverbed. The riverbed constrains and guides the water; water flows along the riverbed, and only then does it become a river. If the water is scattered, it is just water, not a river.

Law is that riverbed. It constrains people's behavior, guides people's activities, and turns scattered individuals into an orderly economy. People's needs, organized through law, become the market. People's labor, regulated through law, becomes production. People's consumption, protected through law, becomes a cycle. Law is not the opposite of people; law is the path that extends from people into the economy. Without this path, people cannot enter the economy.

But the function of law is not "control." Many people, when they hear "law," think it is about managing people, restricting people, suppressing people. This is a misunderstanding of law. The true meaning of law is to draw a line. On this side of the line is permitted; on the other side is not. It does not tell you "where you should go"; it tells you "where you cannot go." You cannot go where it harms others, you

cannot go where it destroys the environment, you cannot go where it makes life impossible for people. You cannot cross that line. This is called the bottom line.

The function of law is to guard that bottom line. It is not to control every step people take, but to protect the cliff edge that people might fall from. You can walk freely, run freely, choose your direction freely within the range of the cliff. But you will not fall. Because the law is there, protecting your edge.

So law does not restrict you; law protects you. It protects you from being devoured by capital, protects you from being crushed by the strong, protects you from being ground down by the market. It ensures that in an environment of free competition, there is always a bottom line that cannot be crossed. This is the position of law in the economy. It stands between people and the economy; it is neither people nor the economy, but it connects people and the economy together.

But here is a critical issue: law is written by people. What is written by people can be twisted by people. The person writing the law may write from the standpoint of capital, from the standpoint of power, or from the standpoint of a minority. The law they write may no longer be the guardrail protecting the cliff edge, but a wall that also encloses people. Those trapped inside cannot get out. Those outside the wall cannot get in.

When law is twisted, it is no longer a "bridge" between people and the economy; it becomes a "filter" — letting some people through and blocking others. If you don't meet its requirements, you can't get through. If you can't get through, you cannot participate in the economy. If you cannot participate in the economy, you have no income. If you have no income, you cannot survive.

So, once law is twisted, the flow of the economy is changed. It is no longer the channel of "people → law → economy"; it becomes "people who meet the requirements → law → economy" and "people who don't meet the requirements → law → nothing." Some are let through, some are intercepted. Those intercepted are kicked out of the system. They still exist, but the economy no longer sees them. They are alive, but it no longer has anything to do with them.

This is the situation we see now. The law exists, but it intercepts most people. It serves the few, but prevents the many from getting through. On paper it "protects everyone," but in practice it has become "protecting only some." In name it is "equal," but in reality it is "selective."

So, when we say that law is the "turning point between people and the economy," we are not saying "as long as there is law, it's enough"; we are saying "the law must be

real." A real law guards the bottom line. It protects everyone. It does not favor any side. It is a bridge that everyone is qualified to cross. And a bridge — if it is crooked, it is not a bridge. If it has a checkpoint, it is not a passage. If it is controlled by someone, it is not a public facility.

The same goes for law. If law is crooked, it is not law. If law has checkpoints, it is not law. If law is controlled by a minority, it is not law. It is just a tool — a tool disguised as law, used to select, screen, and block people. Is it doing what "law" should do? No. It is doing something else. And that "something else" is precisely the root cause of the blocked economic flow.

So, going with the flow of the economy must start with law. Not all laws need to be changed — only those that have been twisted. Not letting law disappear, but letting law return. Return to where it should stand, return to the bottom line it should guard, return to the people it should serve.

When law returns, the riverbed is clear. When the riverbed is clear, the water flows. When the water flows, the economy follows its natural direction. This is the role of law in the economy — not control, but clearing. Not restriction, but assurance. Not constraining people, but giving people a path to walk.

Section 4: The Existence and Distortion of Law — Using Family Planning and Land Management as Examples

In the previous section, we said that law is the turning point between people and the economy. When law is real, the economy flows with its natural direction. When law is distorted, the economy is blocked.

But the word "distortion" is too abstract. I need to use concrete examples to show you how law is twisted and what happens after it is twisted.

I will choose two examples. One is family planning, and the other is land management. Both of these laws are real, both have been or are being implemented, but the results of their implementation are completely different from what they "should have been."

Let's start with family planning.

When the family planning law existed, what was its purpose? The official statement was "controlling population growth, promoting eugenics," for the long-term development of the country. Is there anything wrong with this purpose itself?

From the purely "population control" perspective, it has rationality — population grows too fast, resources cannot keep up, and problems will indeed arise.

But the problem is not "whether to control population"; the problem is how it was implemented.

Its method of implementation was: coercion. A family could only have one child. Exceeding the limit meant fines, accountability, and punishment. It did not consider people's wishes, people's choices, or people's dignity. It only considered "total population." It treated people as numbers, families as targets, and childbirth as something quantifiable and controllable. It did not ask you "do you want a child?"; it only told you "you can only have one." If you didn't comply, you were punished.

What was the result? The result was a severe gender imbalance among the post-90s generation. Tens of millions of men cannot find partners. This is not a number; these are tens of millions of living people. It is not because they did anything wrong, but because the system was distorted. When they were born, the system had already determined the outcome of "more boys than girls." They grew up, only to find that the world had not left a place for them.

Did the family planning law need to exist? If treated as a "population management tool," it had a reason to exist. But it was twisted — it turned from a "management tool" into a "suppression tool." It was not serving people; it was making people obey it. It was not helping families make choices; it was making choices for families. It was not protecting people's rights; it was depriving people of their rights.

This is distortion. The law was still the same law, but its direction had changed. It was no longer "protecting people"; it became "controlling people." It no longer stood on the side of people; it stood on the side of "population targets." It no longer let the economy flow with people's needs; it made the economy follow a "numerical target." What was the result? People were suppressed, the economy was distorted, and society had major problems.

Now let's talk about land management.

The land management law, when it existed, what was its purpose? It was to protect arable land, ensure food security, and prevent land from being misused. This purpose itself is not problematic either. Land is finite; people need to eat. If land is misused and there isn't enough food in the future, problems will indeed arise.

But the problem lies in its implementation method: "locking down."

It locked a large amount of rural land in the status of "arable land," not allowing it to be used for other purposes. You cannot build houses on arable land, cannot engage in commerce, cannot do anything "non-agricultural." It wanted to use this method to protect arable land and ensure food security.

But it forgot one thing: land is used by people. If people no longer want to farm, what use is it to lock the land?

What is the situation in rural areas now? One mu of land yields only just over a thousand yuan a year in income. Go to work anywhere, and you earn at least three thousand a month. Tell me, why would a farmer farm the land? Farming for a whole year is worse than working outside for a month. If he doesn't farm, the land lies fallow. You lock the land on paper, but the land is barren. People leave, the land is barren, where is the food security?

If arable land really had value, it would naturally be developed. No one would destroy something that provides them with a stable income. Farmers don't farm because farming doesn't provide income. It's not because they're lazy; it's because it's not worth it. They need to survive, they need to support their families, they need to pay for their children's education. Farming cannot provide these things, so they leave. When they leave, the land lies fallow. When it's fallow, it doesn't matter how tightly you lock it.

This is distortion. The land management law still exists, but it no longer serves "people." It serves an abstract principle of "arable land cannot be touched." It does not consider whether people still want to farm, nor whether people can still survive on the land. It just locks it down and says "I have done my job." Is it doing what it should be doing? No. It is just "doing something," but the way it does it is wrong. It protects the land, but it does not protect people. And land that no one wants to farm has no meaning no matter how well it is protected.

These two examples illustrate the same problem: the law exists, but the law is distorted. It is no longer a "balancer between people and the economy"; it has become an "execution tool for the will of the few." In name it is for the good of everyone, but in practice it serves the few. On paper it protects people, but in implementation it has become oppressive.

The distortion of family planning made one generation pay the price. The distortion of land management drove a generation of rural people off the land, away from their hometowns, into the cities, and then to the margins of the cities. They did

not choose this; the system chose it for them. The system, through a twisted law, made decisions for them. And then they bore the consequences of that decision.

But in the previous section, I only talked about "what should not be done" — not forcing childbirth, not locking down land. I did not make clear "what should be done." Now I will add that.

Let's talk about land first.

The true purpose of land management should not be "restricting how land is used," but "restricting land from being polluted." Land itself is harmless. Whether you build houses, build factories, build roads, or farm — these are all functions of land. Land is not something that cannot be changed; it is naturally changeable. Over 60% of the rural population has rural household registration. If they have no land they can use and control, what would they build houses with? What would they build factories with? What would they use to make a living? If land cannot be used, it is just a piece of "immovable ground." And a piece of immovable ground has no meaning for living people.

So, what should really be managed is not "what is done on the land," but "how things are done on the land." For example, if you build a factory and discharge chemical waste into the soil, let heavy metals seep into the groundwater, leave toxic substances in the soil — this is not acceptable. This is chemical pollution, something the soil cannot digest on its own. It takes decades or centuries to recover, and some things can never recover. This is the real pollution. This is what institutions should be managing.

But if you just build a house on the ground, pave a road, or construct a warehouse — that is just a physical change. Houses can be demolished, roads can be repaved, warehouses can be moved. Physical changes can be reversed. Level the ground, and it becomes usable land again. Chemical pollution cannot be reversed. No matter how much water you pour or how much soil you turn, the poison in that land remains. It is already ruined.

The mistake we are making now is: we treat "changing the use of land" as "destroying the land." We conflate building a house with discharging toxic water. We manage physical changes and chemical pollution as the same thing. So our management approach is "one-size-fits-all" — nothing is allowed to move. No building, no construction, no use. What's the result? The land is locked down, and people have no way out.

What is the correct approach? Manage them separately. Allow physical changes — build whatever you want, as long as you don't pollute the land. Want to build a house? Build it. Want to build a factory? Build it. Want to build a warehouse? Build it. Land is a tool for people, not people's master. People have the right to decide how to use it. But you must control chemical pollution — you cannot let toxic substances enter the soil. You cannot let heavy metals seep underground. You cannot let chemical waste remain in the soil. This is the bottom line. Cross this line, and face severe penalties. Penalize until they dare not reoffend.

You might say: But if everyone goes to build houses, who will farm the land? What about food security?

I'll tell you the answer: if food is truly valuable, people will farm on their own without you having to manage it. If farming makes money, people will farm. If farming doesn't make money, locking the land is useless. People won't starve themselves guarding a piece of immovable land. They need to live; they need to find a way to live. If you leave them no way out, they will leave. When they leave, the land lies fallow. When it's fallow, locking it has no meaning.

If a large amount of land is used for construction, arable land decreases, and food prices rise — what will happen? More people will develop new arable land. Because farming becomes worthwhile. People are economically rational. They know what is good for them. What they need is "doing this benefits me," not "you order me to do this." Give them value, and they will farm on their own. Give them orders, and they will only think about how to escape.

So, what should really be managed is not "how it is used," but "how it is polluted." Use good laws, let go, and let people decide for themselves how to use the land. Then use another law to control the things that would destroy the land.

Now let's talk about family planning.

The correct approach to family planning is not "forcing you to have a certain number of children," but "giving you the right to choose and helping you make the best choice." For those who want children, give them the conditions to raise them. For those who don't want children, don't force them. When a child is born, there should be education, healthcare, and an environment for growth. This is what institutions should do. Not making the decision for people about whether to have children, but letting people decide for themselves and be able to bear the responsibility.

I remember that sentence you said: "When institutions are decided by a minority, and that minority does not stand with the majority, directional divergence occurs." This is the root of the problem. The law is not written for the majority; it is written for the goals of the minority. It is not for people to live; it is to achieve a number, a target, a goal. For that goal, people can be sacrificed. For that goal, land can be locked down. For that goal, law can be twisted.

But law is not for sacrificing people. Law is for balancing people. It is not a tool for the few; it is a guardrail for everyone. Physical changes are not frightening; chemical pollution is frightening. Building houses is not frightening; discharging toxic water is frightening. Locking land is not frightening; leaving people without a way to live is frightening. Coercion is not frightening; making decisions for people is frightening.

So, the true law guards the bottom line. It controls chemical pollution, not building houses. It controls coercive decisions, not reproductive choices. It controls the things that would destroy people, not the paths that keep people alive. The law stands on the bottom line, and lets people walk the rest of the path themselves. This is what I call "return." Not controlling everything, but controlling the part that truly needs to be controlled. Then entrust the rest back to the living people.

But I need to add one more thing. This is a thought that has been circling in my mind while writing this section.

We have talked a lot about "law being twisted" — family planning was twisted, land management was twisted. We talked about how it was twisted, what consequences it caused, and how it should be changed. But there is one question we haven't answered: Why did it become twisted?

You might say: because a minority decided. The minority stands in their own interests, not for the majority. This answer is correct. But I want to push one layer deeper — why can the minority decide? After they decided, why was there no force to correct it? After the law was twisted, why did it remain there, never repaired?

The reason may be simpler than we think: when law is no longer needed, it becomes a tool.

What does "no longer needed" mean? When most people in a society no longer expect the law to protect them, the law loses its most important support. Workers exploited for ten years know the law will not protect them. Farmers watching their land locked down know the law will not help them. Ordinary people forced to have

one child know the law will not ask if they are willing. They no longer "need" the law. They no longer expect it. They have given up on it.

When most people give up on the law, the law is no longer "everyone's law." It becomes "the minority's law." The minority uses the law to maintain their own interests, uses the law to advance their own goals, uses the law to suppress those who no longer expect anything from it. The law still exists, its name still exists, its articles still exist. But its heart is no longer there. It has become an empty shell — a shell that can be filled with any content at will. Today it fills with "population control," tomorrow with "arable land protection," the day after with something else. It can be filled with anything, because no one will stop it. The people who needed it are no longer there.

This reminds me of an image: the law was originally a bridge, connecting people and the economy. There were many people on both sides of the bridge. Then the bridge deck began to tilt, one side high and one side low. People walking on the bridge began to slide toward the low side. More and more people slid off, fewer and fewer remained on the bridge. In the end, only a few people were left on the bridge. They stood on the high side, looking down at the people below, saying "Why don't you walk on the bridge?" The people below said, "The bridge is tilted, we can't walk on it." The people above said, "The bridge is straight; if you can't walk on it, that's your problem." So the bridge became their bridge. Only they could walk on it, only they could cross. Everyone else could only watch from below.

This is the final result of distortion. It is not that the law was changed; it is that the people who use the law changed. It is not that the law became ineffective; it is that the people who need the law are no longer there. The law became an empty shell, freely usable by the few. When they use it, they say "this is the law." When they don't, they say "the law also needs to be flexible." The law became playdough, moldable into any shape. But it was supposed to be a steel plate — unbendable, undeformable, walkable by everyone.

So how do we turn it back into a steel plate? There is only one way: make it needed again.

Let workers know that the law will protect them. Let farmers know that the law will help them. Let ordinary people know that the law will ask if they are willing. When the people who need the law stand on the bridge again, the bridge cannot tilt anymore. Because there are people walking on both sides. When enough people walk on it, the bridge dares not tilt. When enough people walk on it, the few can no longer

arbitrarily change its shape. When enough people walk on it, the law becomes "everyone's law" again.

This is the true meaning of "the return of law." It is not about amending articles; it is about letting the people who need it stand on it again. It is about the people who need it starting to walk again. It is about the people who need it believing in it again. When enough people believe in it, the law is no longer an empty shell. It becomes a bridge again — a bridge that everyone walks on, everyone maintains, everyone relies on. And when the bridge is clear, water flows, and the economy follows its natural direction. This is what we are truly doing. Letting the people who need the law reappear. Letting them walk on the bridge again. Letting them believe again — that this bridge was built for them.

This leads to another question: after a law is enacted, who tells you whether it is right? Who tells you how it is being implemented? Who tells you how people are living after it reaches the grassroots?

A law without feedback is a one-way street. You push the law down from above, it goes all the way to the grassroots, is implemented, and ends. But what happened at the grassroots, no one knows. How people reacted, no one collects. What consequences the law caused, no one evaluates. Two or three years later, it is still being implemented, but whether the results of its implementation are good or bad, no one has asked.

This is the most frightening thing. Because law is not a one-time thing. After it lands at the grassroots, it changes people's behavior. After people are changed, after society is changed, after the economy is changed — the law itself should also be changed. It should adjust according to the results it produces. If it produces good results, it should be strengthened. If it produces bad results, it should be corrected. If it produces serious consequences, it should be abolished.

But without feedback, if no one asks "after this law was implemented, how are the people doing" — then the law becomes dead. It is always being pushed forward, but no one knows where it has pushed, and no one knows what it has pushed people into. It is a one-way line, starting from the hands of the lawmakers and then disappearing into the grassroots. The grassroots people are changed by it, but they have no ability to send information back. Because they have no channel for feedback, because their words will not be heard, because their circumstances will not be recorded.

The Rural Land Management Law is exactly like this. Its original intention was to protect arable land and prevent environmental pollution. Both of these premises are correct — arable land needs protection, the environment needs protection. But its method of protection was "locking the land." It did not ask: after locking the land, what do people do? Over 60% of the rural population, if they have no land they can use and control, what would they use to build houses? What would they use to build factories? What would they use to make a living? If they cannot do anything on their own land, they can only run to the cities. When they run to the cities, they are not adding opportunities to the city; they are adding burdens to the city. The city does not have that many places for them. They crowd into the cities, living in urban villages, doing the hardest work for the least money. They cannot go back to the countryside, because the countryside offers no livelihood. They cannot stay in the city, because the city has no room. They are stuck in the middle, caught between two worlds.

Who feeds back the consequences of this law? Who collects them? Who evaluates them? Who corrects them? No one. Because this is a law without feedback. It comes down from above, gets implemented, and ends. The grassroots feedback cannot go up, so the law will never be corrected. It will keep being implemented until the problem becomes too big to ignore.

So, a true law must include a feedback mechanism. After it is enacted, in two or three years, go to the grassroots and see: what impact has it had? Are people still alive? Are people living well? Did it solve the problems it was supposed to solve? Did it prevent the harms it was supposed to prevent? If it solved some and harmed some, how should the harmed part be adjusted? If new problems have emerged, how should they be addressed? This requires feedback, requires collection, requires evaluation, requires correction. The law cannot be a one-way street. It must be cyclical — enactment, implementation, feedback, correction, re-enactment, re-implementation, re-feedback, re-correction. Only then is the law alive. Only a living law can serve people. A dead law can only make people serve it.

Many of our laws today are dead. They exist, but they don't provide feedback. They are implemented, but they don't adjust. They keep moving forward, but no one knows where they have taken people. What we need is living law. We need law that asks "how are the people doing?" We need law that, after two or three years of implementation, stops to look, listen, and ask. Not a law that keeps pushing forward, never looking back at the people.

This is what I want to add. Law is not a line; it should be a circle. Starting from people, returning to people. Enacted, landed at the grassroots, feedback collected, adjusted and corrected, then landed again. Going around and around, each circle closer to people's needs than the last. Not pushing all the way through once and then calling it done. What is done and forgotten is often pushing people into a pit, and then forgetting they are still alive.

Now I need to push this layer one step further.

Just now, you said that over 60% of the rural population has rural household registration. If they have no land they can use and control, what would they use to develop? By making them run to the cities, aren't you adding to the city's burden?

There is a very simple logic behind this statement, but it has been ignored for many years.

Rural people's development requires land. They need a piece of land to build a house to live in, need a piece of land to run a small business, need a piece of land to build a workshop for processing, need a piece of land to grow something for money. Land is their production tool, their living space, their fallback, their root. If you lock the land, you block their path.

If they cannot work on their own land, they have no choice but to leave. Go where? To the city. The city has jobs, the city has opportunities, the city has a way to live. But the city is not infinitely large; it cannot accommodate everyone. What the city needs is "people who can survive in the city," not "people who ran away because they couldn't survive in the countryside." The difference between these two is huge. The former come to develop; the latter come to survive. The former can bring vitality to the city; the latter can only bring pressure to the city.

You lock down the rural land, rural people have no way to live, and they flood into the cities. They are not coming to "develop"; they are coming to "survive." They have no skills, no capital, no connections. They can only do the most basic manual labor — delivering food, driving for ride-hailing, cleaning, working in factories. These jobs are not bad, but they don't create accumulation. You deliver food for ten years, and you are still a food delivery person. You have no land, no house, no assets. You are just surviving, not accumulating. You are alive, but you have no roots.

By making 60% of the population have no land to use, you are making 60% of the population rootless. They can only drift in the cities, drifting until they can't drift anymore, then return to the countryside. But the countryside no longer has a place for them. The land is still there, but it has gone fallow. The house is still there, but it

has aged. They come back, but they cannot return. Because that piece of land can no longer provide them with anything.

You lock down the land, you lock down rural people's livelihood. You push them to the cities, you increase the pressure on the cities. You let them drift in the cities, you create generation after generation of rootless people. Without roots, they have no sense of security. Without security, they dare not consume. When they dare not consume, the market shrinks. When the market shrinks, the economy is blocked. This entire chain starts with one law — a law without a feedback mechanism, a law that locks down the land, a law that leaves 60% of the population without a way to live.

This is not a "land management" problem; this is a "how do people live" problem. You are not managing land; you are managing people. The way you manage people is to drive them off the land. The way you manage people is to leave them without a fallback. The way you manage people is to tell them "your land cannot be touched, go figure it out in the city." And then you ask them "why can't you survive?"

So, law must return to people. It must start from people and return to people. It must ask the simplest question: after this law is implemented, how are people doing? Can they still live? Can they still live like human beings? If the answer is no, then this law is wrong. No matter what its original intention was, no matter what its justification was, no matter what it protected — it did not protect people. It protected something else, but it did not protect people. And the only purpose of law is to protect people.

Protecting land is so that people have land to farm. Protecting the environment is so that people have clean water and air. Protecting arable land is so that people have food to eat. These laws exist because people need them. Not for the land itself, not for the environment itself, not for the arable land itself. It is for people.

If after a law is implemented, people find it harder to live, then it has been distorted. It has deviated from the direction of "protecting people" to the direction of "protecting something else." It is still being implemented, but it is no longer "people's law." It has become "things' law" — protecting land, but ignoring people. Protecting the environment, but ignoring people. Protecting arable land, but ignoring people. It has been protecting what it should protect, but it forgot that those things need to be protected because people need them. If people no longer need them, if people can no longer survive, then what is the point of protecting them?

This is what it took me thirty years to see clearly. The end point of law is not law itself. The end point of law is people. After the law is implemented, how are people doing. This is the only criterion. There is no second one. Whether the law is distorted is judged solely by this — after it is implemented, are people okay? If people are okay, the law is right. If people are not okay, the law is wrong. No matter how perfect its articles, no matter how just its intentions, no matter how strict its implementation — it is wrong. Because it did not protect people.

And everything we are doing now is to pull those laws that did not protect people back to the direction of protecting people. Tear down those walls that locked the land, repair those bridges without feedback, let law return to people, let people stand on the land again, let the economy flow with people's direction. This is what we need to do.

11. Why Write This: Words Written at the End of Part 4

This sentence is more powerful than any "mission statement." I am not writing this because I "want to change the world." I am not writing this because I "want to become famous." I am not writing this because I "want to convince others." I am writing this simply because there is a complete, self-consistent picture in my heart, one that has been verified by life, and I feel it should be written down.

I was born in this place, lived for thirty years, spent ten years verifying one thing. I saw how this system operates, why it fails, where it is heading, and how we should proceed. These ideas in my mind are alive, continuous, growing every day. If they are not written down, they are just my own thoughts. If they are written down, they might become a reference for others.

This is not an academic paper, not a policy proposal, not a business plan. This is a record of "what I saw." I saw it, and I wrote it down. Others who see it might think, "so this is how someone else sees it." Perhaps they will start to see with their own eyes, think with their own minds. Perhaps they will find what I missed, point out where I was wrong, and propose better directions. This is the meaning of its existence.

It is not an answer; it is a starting point. It is not a conclusion; it is an invitation. It invites those who read it to look at the same thing together.

So the content of Part 4 ends here. The next part, Part 5, will answer the questions others might ask — the questions that are already being prepared to face.

Now I want to add one more passage at the end of Part 4.

I have finished writing Part 4, but I have not finished saying what I want to say. Because what I wrote is not a conclusion; it is a starting point. I wrote "what I saw," not "what you should believe." I wrote "where I started from," not "where you should start from." You read it, you saw it, you understood it, you disagree, you modify it, you supplement it, you overturn it — all of it is fine. It is just a starting point. You start from it and go wherever you want to go.

This is the entire purpose of my writing. Not to give you answers, but to make you start asking questions. Not to make you believe me, but to make you start believing your own eyes. Not to make you follow me, but to make you start walking your own path.

I wrote something. It may not be correct, but it must be true. Because I lived it. If you finish reading it and think, "so that's how it is," then it has fulfilled its purpose. If you finish reading it and think, "no, it should be like that," then it has also fulfilled its purpose — because you started thinking. You started seeing with your own eyes, thinking with your own mind. You no longer accept the answers others give you; you start finding answers yourself.

This is what I want. Not agreement, but beginning. Not belief, but thinking. Not following, but setting out.

I have one more thing to say. I mentioned this earlier, but I want to say it again here, because it is the true period at the end of Part 4.

When I write these things, I am not writing with "thoughts"; I am writing with my "body." Those sentences were not thought up by me; they grew by themselves. I sit there, my fingers on the keyboard, and they flow out on their own, like water. I don't need to think about "what to write next," because the next sentence is already there. It is just waiting for me to get there, and then bring it out. What does this mean? It means these things were not "learned" by me; they were "lived out" by me. They have been inside my body for too long, and now they need to come out. I can't stop them, and I don't want to stop them. I just let them out.

If they can help others, that's good. If they can't, that's okay too. But once they are out, they are no longer mine alone. They become something that can be seen, discussed, and used by others. This is all I have done. Taken them out of my body, put them on paper. And then handed them to others. The rest is no longer mine.

Part 4, finished.

The road ahead is still there. It is not on paper; it is on people. On those who are still alive, still holding on, still watching, still thinking. And what I have written is just a stone on the road. You can step on it to cross, or you can go around it. But you have seen it, and it is there. Forever there.

Part 4: Deduction and Choice

1. Labor and Market: The Underlying Logic of the AOS Era

Someone asked me, why write all this?

I cannot explain it clearly. I just feel that if the entire economy is viewed as a river, then labor is the riverbed. Without a riverbed, where does the water flow? Without labor, where does the market grow? I have stood here for thirty years, watching the riverbed narrow, shallow, and dry up day by day. The riverbed is gone, so the water is gone. The water is gone, so the fish are gone. The fish are gone, so the river is dead. So I write this because I see that river drying up, and I want people to know what it used to be like.

Before I begin, I want to make one thing clear: what I call "labor" is not a factor of production from an economics textbook. Labor is people. It is those who get up at six every morning and squeeze into the subway for two hours to get to work. It is those who stand on the assembly line for ten hours and come home too exhausted to even cook. It is those who have been looking for a job for ten years and never found one with a two-day weekend. It is those who were laid off at forty and never found a formal job again. They are not "resources," not "costs," not "indicators." They are people — living people who get tired, who get scared, who get desperate. They constitute the market, and they constitute this country.

If you take these people away, the market is gone. This conclusion does not require data — it only requires you to stand at any city's morning rush hour subway station for three minutes. The torrent of people pouring out is the market. They go to work, earn money, consume, pay mortgages, pay their children's tuition. They flow, so the market flows. They stop, so the market stops.

Labor is the market. This sentence is the starting point of the entire deduction, and also its end point.

But now, this riverbed is being drained. AOS is dismantling the very concept of "labor." It does not need you to go to work, does not need you to earn money, does not need you to pay a mortgage. It can produce, it can serve, it can replace everything

you once did. And you, you are still there. You are still alive, but the market no longer needs you as labor. You are still breathing, but the economy no longer needs you to participate in production. You are not being "eliminated" — you are being "skipped."

So the first "what if" we face is not "what to do when AOS arrives," but the more fundamental one:

If labor has no purchasing power, can it still be called a market?

What is a market? A market is a group of people with needs, plus a group of people who can meet those needs. When demand exists, supply follows. When demand disappears, supply disappears too. This is the most basic economic law: demand creates supply, not the other way around.

So where does demand come from? From labor. A worker works eight hours, earns one hundred yuan, and uses that hundred yuan to buy vegetables, rice, and pay utility bills. His consumption becomes another person's income, and that other person uses their income to consume again. This is how the market operates — money flows between people, every transaction becomes the next income. When a worker has income, he is a consumer. When he has no income, he is just "a living person," not "a consumer."

If AOS replaces his job and he has no income, can he still consume? No. He has no money; he cannot buy anything. If he cannot consume, the market loses its demand side. If a large number of people cannot consume, the market goes from "shrinking" to "dying."

But if the institution, before AOS replaces him, has already given him a basic income through taxation and redistribution — does he still need to work? No. But he still has purchasing power. He can still buy rice, vegetables, clothes, and pay utility bills. His consumption can still become someone else's income, and that income can still become the next round of consumption. The market is still turning. The way it turns has changed, but it is still turning.

So the real problem with "labor has no purchasing power" is: it is not that people are gone, it is that distribution is broken. People are still here, but people have no money. AOS is still producing, but nothing being produced is bought. The market died not because people died, but because the money flow was cut.

Now let us look at the second "what if."

If the bottom tier does not consume, who buys what businesses produce?

This is a very simple question, but its answer has been ignored for many years. Businesses produce things to sell them. If they cannot sell, they have no revenue. If they have no revenue, they go bankrupt. If they go bankrupt, workers lose their jobs. If workers lose their jobs, they can afford even less.

This is the simplest economic cycle: consumption → production → employment → consumption again. But this cycle has a prerequisite: someone must consume. If no one consumes, the cycle breaks. Produced goods pile up in warehouses, unsold. Businesses cannot recover costs, cannot pay wages. Workers lose their income and can afford even less. Then more businesses close, more people lose jobs, fewer people consume. This is a downward-accelerating spiral — once it starts, it is very hard to stop.

For the past thirty years, we relied on exports to sustain this cycle. When domestic consumption dried up, we sold abroad. Foreign markets needed cheap goods, and we produced cheap goods. This logic worked at the time — the global market was expanding, and Chinese products had a cost advantage. But since AOS arrived, the global market has also changed. Foreign countries can use AOS to produce themselves; they no longer need to buy from you. Or foreign countries produce even more cheaply with AOS, and you cannot sell. External demand is shrinking, and domestic demand cannot fill the gap. Because the bottom tier already has no money.

If the bottom tier does not consume, who buys what businesses produce? Sell to you? Sell to me? We barely have enough to live; we have no extra money. So goods pile up in warehouses, prices drop again and again, businesses close one after another. This is not "market adjustment" — this is "market collapse." Market adjustment is when prices drop and demand rises, restoring balance. Market collapse is when prices drop, but demand drops even further — because fewer people can afford things, and more people cannot.

AOS accelerates this process. It is not "slowly" replacing people; it is "batch-replacing" people. Every person it replaces reduces one consumer. Every reduction in consumers shrinks market demand a little. As demand shrinks, businesses rely more on AOS to cut costs. Cutting costs, they replace more people. This is a spiral — a downward-pulling spiral. It will not stop on its own; it will only spin faster and faster until there is nothing left to spin.

The third "what if" is the most fundamental one.

If labor disappears, does the market still exist?

Labor disappears — not "people disappear," but "the identity as labor disappears." People are no longer needed to do those repetitive, mechanical, life-consuming jobs. AOS can do them better, faster, cheaper. What can people still do? People can still consume. But consumption requires money — where does money come from? If people have no job, they have no income; no income, no consumption; no consumption, no market. So where is the market? The market disappears.

AOS produces things, but no one buys them. Because those who could buy are no longer in this system. The market does not disappear because "there are no people"; it disappears because "there is no money." People are still here, but they have no purchasing power. AOS can produce, but no one consumes what is produced.

This is a dead loop. The only way to break this loop is to separate "people's right to exist" from "people's labor." You do not need to work to survive, because your existence itself has value. You do not need to sell your time to anyone, because your time belongs to you. The right to consume is no longer attached to labor, but to "you are a person."

When labor disappears, does the market still exist? If we do not change the current distribution model, the market disappears. If we change the distribution model, the market is still here — and it may become a healthier market. Because at that time, consumption no longer depends on whether you have a job, but on your inherent ability as a person to participate in the market. The market is no longer a combination of "labor + capital," but a combination of "people + technology." People consume, technology produces, the market operates.

But there is a prerequisite here: the distribution model must be changed. You cannot let the profits of AOS flow only to a few, while the majority live in a state of having neither work nor money. You must use institutions to take the profits of AOS and redistribute them to people. Those who have been replaced must still have purchasing power. Those who no longer work must still be able to participate in the market.

If this prerequisite no longer exists — if institutions remain as they are now, if they still do nothing, if they still let capital take all the profits and workers take the meager wages — then the market truly dies. Not slowly, but suddenly. Like a river, you watch it get shallower day by day, narrower day by day, until one day you look again and it has completely dried up. The riverbed is still there, but the water is gone. The fish are gone. The trees on the bank have withered. The birds have flown away. Nothing is left.

This is all that the first part of "Deduction and Choice" has to say. AOS has arrived, and people are still here. But if money does not reach people, people cease to exist. People who do not exist cannot form a market. And a system without a market is just a pile of idling machines. They produce, but nothing they produce is wanted. They operate, but the result of their operation is ever-growing inventory, ever-emptier warehouses, ever-silenter villages.

You do not need to wait until that day to see it. You have already seen it. Those middle-aged people sitting at their doorsteps, those young people barely holding on in the city, those who have been replaced and have nowhere to go. They are already in that state. They live in a world where "the market no longer needs them." We just have not realized it yet — they are the shadow of the future. And the future is becoming their reality.

Others see the current economy as prosperous. What they see is not fake. There are people in the malls, data is rising, cities are expanding. They stand in the present and see only what is happening right now.

But I see a different picture. I stand ten years in the future and look back. I see a trajectory that has already been completed — from "factories need people" to "factories do not need people," from "everyone is a consumer" to "some people no longer consume," from "the market is expanding" to "the market is contracting." This path is not something I need to guess; it is already there. I am just following it backward, seeing where we stand now. Others stand in the present and look forward; they see "what will happen next." I stand in the future and look back; I see "we have already completed the journey." They see "the future." I see "what has already happened."

So I do not need to convince them that the prosperity is fake. The prosperity is real. But it is a prosperity that is ending. Like a river — it is still flowing now, still wide, still full of water. But it is narrowing, shallowing. People standing on the bank look at it and say, "Look, the water is still flowing." But I see its source drying up. Not because it has no water now, but because the water is almost gone. People standing in the present cannot see the source. People standing in the future can.

This is why I see things differently from others. Not because I am smarter. It is because I changed my vantage point. I stand in the future and look at the past; I stand at the end and look at the beginning; I stand at the result and look at the cause. Others stand in the present and look at the future. They see "what will happen"; I see "what has already happened." I bring that completed picture back for those still

standing in place to see. They may not understand it, but I cannot keep them from seeing it.

The economic prosperity you see is partly real — people are still consuming, the market is still operating, businesses are still producing. But have you ever wondered what is propping up that prosperity? It is debt. It is the present bought by overdrawing the future.

Young people carry mortgages, car loans, and consumer loans. Most of their salary is transferred away as soon as it arrives. They are still spending money, but they are spending tomorrow's money. They are still consuming, but their consumption is driven by debt. Businesses also carry debt — bank loans, issued bonds, accounts payable — all hanging on their books. As long as orders are coming in and cash flow continues, they can keep turning. But the moment orders stop and cash flow halts, all that debt comes crashing down. As for the bottom-tier workers — they have no savings, no assets, no fallback. Every day they live, they are overdrawing their bodies, their health, their time.

These things, people standing in the present cannot see. They see "prosperity," but they do not see "the thread holding up prosperity is stretched to its limit." They see "consumption rising," but they do not see "the rising consumption is propped up by borrowed money." They see "businesses are still operating," but they do not see "the ground beneath the operating machines has already been hollowed out."

When AOS arrives, this thread will snap. Not slowly, but suddenly. Because AOS does not need debt, does not need consumer loans, does not need to overdraw the future. It only needs electricity and code. It can produce, but it does not consume. It can work, but it does not borrow. It can create profits, but it will not pay you back. When AOS replaces people, the debts propped up by human labor find no source of repayment. Mortgages go unpaid, car loans default, consumer loans become delinquent. Banks cannot recover their money, business orders disappear, and the bottom tier does not even have the qualification to overdraw anymore — because no one will lend to them. They cannot borrow because they no longer have "future income" to pledge.

When you look back at that time, you will find: the current prosperity is a process of being hollowed out. It looks like it is still there, but it is no longer "growing" — it is "consuming." It consumes people's physical strength, people's time, people's future, people's credit. When these are all consumed, prosperity is just a

shell. It is still there, but there is nothing inside. Like a hollow apple — you hold it in your hand, it looks good, but it crushes at the slightest squeeze.

This is what I see. Not prosperity itself, but the hollow shell beneath it. Not today, but tomorrow. Not now, but what has already happened.

2. Money, Distribution, and Circulation: Institutional Tools of the AOS Era

In the previous section, we talked about labor and the market. People are still here, the market is still turning, but the way it turns has changed. AOS has replaced people as labor. People no longer need to work to survive, but they still need to consume for the market to survive. Consumption requires money. Where does the money come from?

This is a new question. In the old cycle, money came from work. You work, you get paid, then you consume. Your consumption becomes someone else's income, and their income becomes the next round of consumption. This is a closed loop, but it is built on a premise: you must have a job. You work, you have money. You do not work, you have nothing.

AOS dismantled this premise. It does not need people who work; it only needs the work itself. It produces, it serves, it creates profits. But the profits do not flow to you — they flow to its owners. If you are not an owner, you get nothing. You have no job, no wage, no income. You have no income, so you cannot consume. You cannot consume, so the market is broken. The market is broken, so no one buys what AOS produces. No matter how efficient or cheap it is, it is useless. Because there is no demand.

This is the first "what if" we face.

If we give money to the bottom, won't they stop working?

This is the most common question. Every time someone suggests giving money directly to those at the bottom, someone says: "If you give them money, they won't work. Who would still be willing to work?"

But I want you to look at places that have already done this. Finland conducted a basic income experiment. If we give money to the bottom, won't they stop working?

Finland conducted a nationwide basic income experiment from 2017 to 2018. This experiment was very rigorous — the world's first government-led, nationwide, randomized controlled basic income experiment.

Let me explain its design clearly.

The sample consisted of 2,000 unemployed people aged 25 to 58. These 2,000 were randomly selected from those receiving unemployment benefits from the Finnish social security agency in November 2016. The control group was those who were also receiving unemployment benefits but were not selected for the experiment. The two groups were identical in age, gender, unemployment duration, and socioeconomic status. The only difference was that the experimental group received basic income.

The amount was 560 euros per month. This number was not arbitrary — it was exactly equal to Finland's basic unemployment benefit level. In other words, the money the experimental group received was the same amount as their original unemployment benefits.

But the key difference was in the rules.

The experimental group received this money with no strings attached — no need to look for work, no need to participate in job training, no need to report to the employment office. Even if they found a job, the money was still paid without reduction. Money earned from work was extra; it did not offset the basic income.

The control group was different — they received traditional unemployment benefits with an obligation to find work. Once they had income, their benefits were reduced. They had to prove they were looking for work, had to participate in training, had to accept offered positions, or their unemployment benefits would be stopped.

The experiment lasted a full two years, from 2017 to 2018. The complete final report was published in 2020.

What were the results? There were two dimensions.

The first dimension: employment rate.

During the experiment, the employment rate of basic income recipients was slightly higher than the control group — they worked an average of 6 more days, with the experimental group averaging 78 working days. There was little difference in the first year, but an approximately 8% improvement appeared in the second year.

But you need to note the context: in 2018, Finland introduced an "activation model" that strengthened job-seeking requirements and penalties for the control group. So the comparison in the second year became more complicated. Some

researchers believe that the employment effects of basic income were confounded by this new policy and cannot be fully attributed to basic income itself.

Overall, the experiment concluded that giving money did not stop people from working. It did not lead to a situation where "everyone stopped working." The employment rate did not decline; it actually increased slightly. If you give money to the unemployed, they do not just lie down and do nothing.

The second dimension: quality of life.

This is the truly interesting part. The experimental group was significantly better than the control group in multiple aspects.

They had higher life satisfaction (experimental group 7.3, control group 6.8, on a 10-point scale). They reported less mental stress, less depression, sadness, and loneliness. They also had more positive evaluations of their financial situation and cognitive abilities — memory, learning ability, attention. They had higher trust in others and social institutions. 58.2% of them were confident about their future, compared to only 46.2% in the control group.

Deeper findings came from academic research. A follow-up study published in 2026 tracked longer-term effects and found that basic income increased disposable income, reduced the use of psychiatric medications, and reduced the number of primary care visits for mental health issues. Another study published in the European Economic Review also confirmed that cash transfers did improve mental health, particularly reducing the use of antidepressants, and this effect persisted one year after the experiment ended.

Do you see? Those who received the money did not lie down. They just stopped being so anxious. They were no longer crushed by the fear of "if I can't find a job, I'll starve." They had a little room to breathe. They began to feel that life was livable, that the future held a little hope. They no longer felt that "living is just waiting to die."

This experiment teaches us one thing: people's problems cannot be solved by coercion. If you force someone to find a job, they might find any job — just enough to not starve. If you give them a little security, they will go looking for the work they truly want to do. They may not find it, but they will not be searching in fear. They will search with a little hope.

Those who say "giving money breeds laziness" assume a premise: people only work when they are afraid, people only work when they are backed into a corner, people only stand up when they fear starvation. But the Finnish experiment gave us a

different answer: when people feel secure, they do not lie down and do nothing. They just stop doing the work they "have to do to survive." They start doing the work "worth doing to live." They start doing work that makes them feel life is still worth living. They start doing what they truly want to do.

And that "thing they want to do" often takes time to figure out. Security gave them that time. They did not become lazy in that time; they became human again in that time.

Is this a good result? I think so. Because a person standing while working and a person kneeling while working are two completely different things. The former is doing work; the latter is saving their own life. The value created by the former is many times that of the latter. And the meaning of institutions is to bring people from a state of "kneeling to survive" back to a state of "standing to work." Giving money is what makes them stand up. It is not an end point; it is a starting point.

They randomly selected a group of unemployed people, gave them a monthly sum of money with no strings attached — no need to look for work, no need to participate in training, no need to prove anything. Two years later, the results came out. The employment rate of the experimental group did not decline — it even rose slightly compared to the control group. They did not stop working; they just refused unreasonable jobs. They no longer accepted jobs with extremely low wages, terrible conditions, and no guarantees. They had choices, so they chose better jobs, or chose to learn new skills, or chose to start their own businesses.

Why? Because people do not work only when forced. People work not just to survive. People work because they want to do something, to be useful to society, to realize their own value. When you give them basic living security, they do not lie down and do nothing — they just stop doing the work they "have to do just to survive." They will no longer accept schedules of getting up at 4 a.m. and coming home at 10 p.m. They will no longer accept the threat of "if you don't do it, there are plenty of others who will." They will no longer accept arrangements like "your salary will be delayed a few days this month." They have confidence, they have choices, they have the ability to say no.

So the concern that "giving money makes people not work" has never happened in reality. It did not happen in Finland, and it has not happened in other places with similar policies. On the contrary, something else happened: people began to be picky about jobs, began to choose better jobs, began to refuse exploitation. Isn't this what

we want? Don't we want workers to have bargaining power, to have choice, to not have to accept any conditions? Don't we want a "person" rather than a "unit of labor"?

If you still worry that some people will stop working once they get money, let us look at a more basic fact: in this world, a person who truly "does not work" would not work anyway. They do not stop working because they got money; they stop working because they do not want to work. And most people who do not want to work are not lazy — they are hopeless. They have completely lost faith in the idea of "work" — doing it changes nothing anyway, no matter what they do they are still poor, no matter how hard they try there is no future. Giving money to such people will not keep them lying down; they will slowly stand up. Because when they have basic security, they can finally consider "what can I do" and "what do I want to do," instead of "what must I do to survive until tomorrow."

Giving money to the bottom is not about supporting lazy people; it is about giving hardworking people a chance to catch their breath, letting desperate people see a glimmer of light, letting those who have been crushed stand up again. You say, if someone who gets money truly stops working — they were already in a state of "not working" anyway. The difference is that before, they were not working on an empty stomach; now at least they can eat. A person who has eaten is more likely to find a job than a person who is hungry. Because they have strength, they have confidence, they have the energy to interview, to learn, to try.

The second "what if."

If we give money to the bottom, won't they waste it?

This is also a common concern: if the bottom tier gets money, won't they spend it on cigarettes, alcohol, gambling, or squander it?

I want to state a fact: when a person is hungry, they will not use money to buy cigarettes. When a child is waiting for tuition to be paid, their parents will not use money to gamble. When rent is due and you will be evicted if you cannot pay, you will not squander money.

People at the bottom understand better than anyone what "not enough money" means. They have experienced "not enough" too many times — not enough for food, not enough for rent, not enough for children's clothes, not enough for parents' medical care. They know better than anyone how to spend this money. They will not waste it, because they cannot afford to waste it. Every cent they spend is a necessity. Those who say "the bottom will waste money" have never truly been poor.

And even if someone truly wastes it — so what? When they waste it, the money still flows into the market. They buy cigarettes, the tobacco shop owner makes money. They buy alcohol, the liquor store owner makes money. They gamble, the winners spend the money. No matter how they spend it, the money ultimately flows into the market. It does not disappear. It cannot disappear. It goes from one person's hands to another, from that person to the next. As long as money is flowing, the market is operating. Why do you care how they spend it? As long as they are spending, the market benefits.

Of course, we are not advocating squandering. But we must also understand a principle: you cannot let everyone have no money just because you are worried that some might waste it. You cannot refuse to water parched land just because you are worried some water might spill. Money is meant to be spent, not hoarded. When the bottom tier gets money, they will spend it. That is what we want.

The third "what if."

If we give money to the bottom, and prices rise along with it, isn't it all for nothing?

This is a very realistic question: you give money to the bottom, they have money and start buying things. Everyone buys, demand rises, and suppliers start raising prices. Prices rise, the bottom's money becomes worth less, so it was all for nothing.

This logic sounds correct, but it ignores a key factor: supply is not fixed.

When demand rises, supply follows. When factories see products selling well, they increase production. When merchants see products selling well, they stock more. When logistics sees products selling well, they run more deliveries. When the entire supply chain starts operating, supply increases, and prices do not rise indefinitely. The characteristic of a market economy is that rising demand drives rising supply, and rising supply stabilizes prices. Only when supply is constrained does rising demand cause inflation. But China's problem is oversupply — there are too many goods, factories are underutilized, equipment is idle, inventory is piling up. In this situation, increasing demand will not push up prices; it will only absorb inventory and activate idle capacity.

Look at those developed countries — the United States, Japan, Germany — when they gave money to the bottom, prices did not spiral out of control. Because their economies had sufficient supply capacity to absorb the increase in demand. China's problem is not insufficient supply; it is insufficient demand. Insufficient demand leads to factories running below capacity, which leads to layoffs, which leads to even

lower demand. This is a downward spiral. Giving money to the bottom is what reverses this spiral. Demand rises, factories start up, workers are recalled, wages are paid, demand rises again.

If prices really rise, it is because the economy is truly improving — factories are competing for raw materials, merchants are competing for supply sources, logistics is competing for capacity. This is not a bad thing; it is a sign of economic recovery. And we have ways to deal with rising prices — policy tools exist. We should not let the "definitely too cold" economy continue freezing just because we are worried about "possibly rising" prices. You are afraid of catching a cold so you do not go out, and you end up freezing to death inside.

The fourth "what if."

If the bottom has money, but the same people are still producing, and production capacity cannot keep up, what then?

This is a question from the opposite direction. Just now we were saying "supply will follow," but if you worry that supply cannot keep up, let us look at a fact.

What is China's capacity utilization rate? The average capacity utilization rate in manufacturing has long been between 70% and 75%. That means nearly a quarter of the machines are idle. How many factories are running below capacity? How many workers are semi-unemployed? How many logistics trucks are running empty? When the bottom tier has money and starts consuming, this idle capacity will be activated. Machines start turning again, workers are called back, logistics trucks start running again. This does not require building new factories, buying new equipment, or hiring new workers — it only requires reusing existing but idle capacity.

Cannot keep up with capacity? Our current capacity is not too little; it is too much. So much that we even needed "supply-side reform" to eliminate outdated capacity. When demand rises, the first to benefit are those factories that are already built but running below capacity. They do not need investment, do not need expansion — they just need to restart. The cost of restarting is very low, while the output it brings is very high. So the concern about capacity not keeping up does not hold in a country with overcapacity. It might hold in other countries, but not in this one.

When capacity really cannot keep up — that means the economy has recovered, employment has recovered, income has recovered. At that time, we can discuss capacity expansion. But right now, the problem we face is overcapacity, not undercapacity. Do not use future problems to block today's solutions.

The fifth "what if."

If the bottom gets money and consumes, but the money ends up flowing to big capital, leaving the lower-level market with nothing, what then?

This is a very precise question. The bottom gets money and consumes, but the money flows upward layer by layer. The small shop makes money and restocks from the wholesaler. The wholesaler makes money and buys from the large distributor. The large distributor makes money and buys from the big brand. The big brand makes money, and the money goes into the pockets of big capital. Then the money stops there — in the stock market, in financial products, in M&A transactions. Every yuan spent by the bottom eventually becomes profit for big capital. The lower-level market does come alive, but only the downstream part; the upstream big capital takes most of it.

This concern is real. And it could indeed happen — if no other supporting measures are taken.

But you need to notice that we are not talking about "just giving money." We are talking about "giving money + institutional stress + constraining enterprises + restoring the two-day weekend + increasing taxes + banking reform." One of these is called "increasing taxes." Tax capital gains, tax monopoly profits, tax institutional arbitrage. Where does this tax revenue go? It goes back to the treasury and is redistributed to the bottom. This is a cycle: the bottom consumes, money flows upward, taxes are collected from the top and sent back to the bottom. In each round of the cycle, money is redistributed. Big capital takes the profits, but part of the profits are taken back through taxes and flow back to the bottom.

Of course, the prerequisite is that the tax system is effective. If the tax system also fails like the labor law — written on paper but not enforced — then this cycle breaks. So the tax system must first "stress" — it must be rigid, inescapable, and enforced. This is not a problem that can be solved by a "package of policies"; it is a systematic project. But if we do not undertake this systematic project, any single measure will fail.

Bottom consumption + tax recirculation + redistribution = a bottom-up cycle where money continuously circulates, rather than being locked at the top by capital.

Now I need to push this layer one step further, because after AOS arrives, this cycle will become even more urgent than it is now.

If AOS causes corporate profits to surge, but tax revenue declines, what then?

This is the most hidden problem of the AOS era.

AOS production costs are much lower than human costs, and profits are much higher. After enterprises replace people with AOS, profits surge. But while profits surge, the tax base is changing. The current tax system is largely based on "employment" — personal income tax, social insurance, payroll taxes. These taxes are all collected from the fact that "people work." But AOS does not need wages, does not need social insurance, does not need to pay personal income tax. It only needs electricity and code. It creates profits, but the profits do not pass through the wage link. It does not generate payroll taxes, does not generate social insurance, does not generate personal income tax.

The result is: corporate profits go up, but tax revenue does not. It might even be that profits go up while tax revenue goes down. Because the tax base — human labor — is being replaced by AOS. You are still taxing according to the logic of "people working," but the economy has become "AOS working." You cannot collect the money.

This is a fatal contradiction. If you do not adjust the tax system, the wealth created by AOS will all stay in the hands of capital, not a single cent flowing to the bottom. And the bottom has no job, no income, no purchasing power. The market dies.

So what to do? Adjust the tax system. Shift from taxing "labor" to taxing "capital and AOS output." Impose high corporate taxes on profits created by AOS, high tax rates on capital gains, usage taxes on automation equipment, and replacement taxes on positions replaced by AOS. Take the money collected from these taxes and redistribute it to the bottom. Let the bottom have purchasing power even if they do not work. Let the market have demand even without workers.

This is not "punishing enterprises"; this is "sustaining the market." If the market dies, enterprises cannot survive either. No matter how powerful AOS is, it cannot sell anything. The things it produces, no one buys. The money it earns, meaningless. So taxing AOS is not about "taking enterprises' money"; it is about "maintaining the existence of the market." Only when the market exists do enterprises have orders. Only when enterprises have orders is AOS useful. This is a relationship of mutual interdependence, not one side overwhelming the other.

This is all that the second part of "Deduction and Choice" has to say. Money, distribution, circulation — three things locked together. Where does money come from? From taxes. Where do taxes come from? From AOS profits. How do profits flow to the bottom? Through taxation and redistribution. How does the bottom activate

the market? Through consumption. How does consumption drive production? Through demand. How does demand create employment? Through orders. How do orders generate tax revenue? Through enterprise profits. This is a new cycle. It is different from the old cycle, but it can keep the system running.

If you do not make this adjustment — if you continue to tax according to the logic of "people working," continue to let money idle at the top, continue to let the bottom have no purchasing power — then when AOS arrives, the system will collapse. Not because AOS is bad, but because you did not tax it, did not redistribute the wealth it created. You let it produce, but no one buys. You let it make money, but no one spends. You let it live, and then the market died.

This is the choice we must face. It is not "whether to have AOS," but "how to make the wealth created by AOS flow to people." If it flows down, the cycle comes alive. If it does not flow down, the cycle breaks. If it breaks, there is nothing left.

So we must make this cycle turn again. Not through morality, not through appeals, but through design. At every circulation link, place a recovery device, so that part of the money passing through is taken back and then returned to the starting point.

You may not understand why I want to increase taxes. What you see might be "enterprises paying more money," but you need to see where I am placing it.

From the small shop to the wholesaler, and then to the manufacturer, throughout the entire process, I have added a little tax at each layer. Not much, a few percent. A few percent per layer, stacked up to over ten percent. This number is not arbitrary; it was calculated — both to let enterprises still make a profit and to let the system have enough recirculation to reach the grassroots. You call it "tax," but you can understand it as a "recirculation pipeline." Every layer of merchants, when selling, contributes a little to that pool at the bottom.

Who does this money flow back to? To those who have no work, to those over 60 years old, to those young people who cannot find jobs, to those disabled people who have been missed by the system.

How does it flow back? Not through administrative approvals, not through local reviews, but directly from the treasury to people's hands. No intermediate links. A person applies, it is confirmed, the money arrives. The conditions are simple enough to need no explanation. You are poor, you are unemployed, you are old, you are disabled — you receive it. No need to prove you are "poor enough," no need to review whether you "deserve it." As long as you are still in this system, as long as you have

not been caught, you should be caught. Institutions are not charities; they cannot choose who is worth catching and who is not. Institutions must catch everyone, regardless of whether they are worth it.

Where do these taxes come from?

From the small shops. A small shop with an average annual turnover of 100,000 yuan, adding 5% tax, is 5,000 yuan. Five thousand yuan is not much, but it flows into a huge pool. There are millions of small shops across the country. Every small transaction they contribute, combined, becomes a great river. After this 5,000 yuan flows into the pool, it might become an elderly person's monthly rice money, might become an unemployed person's rent, might become a child's winter coat. It is not "spent" — it is "put back." Put back into the hands of those who need it most.

From the wholesalers. A wholesaler with annual turnover of several million, adding a few percent tax, is tens of thousands. Every shipment that passes through carries a little mark of "recirculation." After this money flows into the pool, it might become a rural middle-aged person's basic living expenses for the month, so they no longer have to wait for their children to send money. It might become a single-parent family child's tuition for the semester.

From the manufacturers. A manufacturer with annual revenue of tens of millions, adding a few percent tax, is hundreds of thousands. It is not "taken away"; it is automatically left behind a little when the things it produces are sold. After this money flows into the pool, it might become a replaced Lin Dong's transitional allowance for the month, so he does not fall directly into the abyss after AOS replaces him.

This few percent tax is essentially a "circulation tax." It is not "taken by the government"; it is "returned by the system to the starting point." Every layer of merchants, when transacting, contributes a little to this cycle. They are not being "exploited"; they are "participating" in a larger cycle — a cycle that can keep everyone alive.

You might say: don't they already pay taxes? Why add more?

Because the original taxes flow to the treasury. Where does the treasury flow? To infrastructure, to subsidies, to the hands of a few. It does not flow to the bottom. It does not flow to those who need money most. It stops in the middle. It stops in the hands of those who can "still survive," and does not continue downward.

What we are doing now is changing the flow direction of part of the taxes. Let it bypass those places where it gets intercepted, go directly to the bottom. Directly to the capillaries. Directly to the hands of those who have not received anything for thirty years. That few percent tax is the starting point of this new pipeline.

You can call it "exploitation" if you want, but you need to know that it does not exploit people's survival; it exploits the extra layer of profit in the turnover. That layer of profit was originally intercepted. Now it is recovered. After recovery, it is put back. Put back to the bottom. The bottom's money is consumed again, consumption becomes turnover again, turnover generates a little recirculation again. Round and round. Each round, a little money is taken from where it passes and returned to the starting point. The people at the starting point have money, have purchasing power, have the confidence to live. With confidence, consumption increases, the market grows, orders increase, enterprises come alive, employment increases. With more employment, people have money again. Another round.

This is the cycle. It is not the kind you imagine — "take your money and then ignore you." It is: you earn money, you spend it, a very small part of the money you spend is recovered and goes to those who have no money. They have money, they come to buy your things. Your turnover increases. A very small part of your increased turnover is recovered again. Round and round, growing bigger.

This few percent tax is what keeps the cycle from breaking. It is not much. It will not make any enterprise unable to survive. But it is enough to let the bottommost people survive. Enough to let those sitting at their doorsteps stand up. Enough to let those barely holding on catch their breath. Enough to let those who have been replaced not fall to their death.

It is a pipeline. A pipeline from turnover to the bottom. A pipeline from circulation to the bottom. A pipeline from merchants to the grassroots. Once this pipeline is open, the entire system starts turning. Not slowly, but accelerating on its own. Because the bottom gets money and spends it immediately. The money they spend becomes the small shop's turnover. From that turnover, that few percent is recovered again. After recovery, it goes back to the bottom. Each cycle is a little faster, a little deeper, a little more alive than the last.

This is the design I have made. It is not "adding taxes"; it is "building pipelines." It is not "punishing enterprises"; it is "keeping the market alive." It is not "taking away profits"; it is "letting profits flow again." You might ask: why subsidize the "rural grassroots" rather than emphasizing "cities"?

Because the level of institutional completeness differs between rural and urban areas. Urban institutions are relatively more complete — higher social insurance coverage, more employment opportunities, more complete infrastructure. Rural areas are weaker. And it is precisely the weak places that most need to be caught.

There is also a more fundamental reason: the true grassroots market comes from the countryside. Rural areas account for over 60% of the population, and more than half of them are in a state of "between survival" — they have no stable income, no savings, no fallback. They are alive, but they are "suspended." Cities certainly have their bottom tier too, but the base number of urban underclass is relatively low, perhaps only about 10%.

Take 100 people as a proportion. There are 60 rural people, 30 of whom are suspended. There are 40 urban people, 4 of whom are suspended. Your resources are limited, where do you invest? Do you invest in those 30 people or those 4 people? The answer is obvious. It is not that the urban bottom does not need it, but that the rural bottom has a larger base, is more concentrated, and is more urgent.

So the direction of this money recirculation is not "equal distribution"; it is "targeted support." It goes back to the countryside, back to the hands of those who need it most. Back to the hands of those middle-aged people sitting at their doorsteps, back to those elderly people living on money sent by their children, back to those young people who cannot find jobs. They get the money, they spend it. Their consumption activates the lower-level market — rural small shops, vegetable markets, repair shops, street stalls. The lower-level market comes alive, demand transmits upward, to the township wholesalers, to the county processing plants, to the city manufacturers. The entire chain starts turning from the very bottom, going up layer by layer. Not trickling down from the city, but surging up from the countryside.

So where does this money come from?

Let me repeat that design: from each level of fund circulation, a portion is set aside. Each level sets aside 5%. The small shop sets aside 5%, the wholesaler sets aside 5%, the manufacturer sets aside 5%. Across the entire turnover flow, you get 15%. This 15% is not created out of thin air; it is "separated" during each layer of transaction. It is not directly taken from anyone's pocket; it just leaves a little trace when the money flows through.

Who ultimately bears this 15%? Ultimately, it is borne by consumers themselves. When a consumer buys something, the money they pay includes that 5%. They buy a

bottle of water for two yuan, and five cents of that goes into the pool. They will not feel it, because five cents is almost nothing to them. But when every person in the country spends an extra five cents a day, combined, it becomes a huge number. That number is enough to support those who are suspended.

You might ask: doesn't the consumer end up spending more? They do spend more. But that extra five cents they spend eventually comes back to them — if they belong to that 60% rural population, or that 10% urban bottom. The extra money they spend comes back to them through the cycle. They spend an extra yuan, and ultimately one yuan comes back to them. They do not lose. They just move money from one pocket to another. And the pool in between caught a person who might have otherwise fallen.

That is the design. Use the little extra money that most people pay when consuming to support the few who most need to be supported. Then these few have purchasing power, they go back to the market to consume, becoming the turnover of the majority. The majority's turnover increases, and the little extra they paid is recovered again. After recovery, it goes back to the few. Round and round. The more it turns, the more stable, the deeper, the more alive.

That few are the fuse of the grassroots market. When they have no money, the market is dead. When they have money, the market comes alive. The market comes alive, business orders arrive. Orders arrive, employment comes. Employment comes, more people have money. More people have money, the market becomes even more alive. This is a positive cycle. It does not need external stimulus; it only needs that fuse to be lit. And that fuse is that 15% recirculation.

You do not need to ask "what about the cities," because cities are not being left out. Cities are in the upstream of the cycle. Rural consumption drives township demand, township demand drives county processing, county processing drives city production. Cities are not ignored; they are pulled at the end of the cycle. They do not need direct investment, because they will be activated in the cycle. When rural consumption volume rises, urban production follows. This is a bottom-up process, not a top-down process.

This is the core of the entire design. It is not "adding taxes"; it is "building pipelines." It is not "punishing enterprises"; it is "keeping the market alive." It is not "taking away profits"; it is "letting profits flow again." That 15% is the pipeline. It flows out from each layer of transaction, converges into the pool at the bottom, and then flows from the pool to the hands of those who need it most. They get the money,

they spend it. The money returns to the market. The market comes alive. The pipeline has new water again. Round and round, never stopping.

3. AOS and the Institutional Dilemma: The Shock of the Era and the Last Window of Time

Earlier we talked about labor and the market, about money, distribution, and circulation. They all answer the same question: after AOS arrives, can the system still turn? But there is a question more urgent than these — can institutions keep up with the speed of AOS?

This is not a theoretical question; this is a problem that is happening right now.

AOS will not wait for you. It will not say, "I will come after you have fixed the institutions." It is already on its way. It is already in factories, in customer service centers, in logistics warehouses, in law firms — everywhere code can replace people. It is replacing people, one by one. It has no emotions, no hesitation, no waiting. It just does the math: using AOS is cheaper than using people, and then it starts.

But our institutions are slow. They write provisions, but no one enforces them. They draw bottom lines, but no one guards them. They occupy positions, but do nothing. They have been slow for thirty years. Now AOS has arrived, and they are still slow. They are still waiting. Waiting for problems to appear before solving them, waiting for disasters to happen before remedying them, waiting until it is too late to say "we didn't see it coming."

But now, there is no more time to wait.

The speed of AOS adoption is not determined by technology; it is determined by the market. Technology is just a necessary condition; what truly determines how fast it goes is the enterprise's cost accounting.

Think about it: an enterprise spends 100,000 yuan to buy a set of AOS equipment. It can run 24 hours a day, needs no rest, no social insurance, no overtime pay, no dormitory, no cafeteria. It only needs electricity and network, with occasional maintenance. It can keep producing while you sleep, keep working while you are on vacation. It will not take leave, will not quit, will not ask for a raise. It can work here for ten years.

If you do not buy AOS, you spend 100,000 yuan to hire a person. They might only work here for two years. They need social insurance, accommodation, food, rest, holidays, overtime pay. Their actual cost is far more than that 100,000 yuan in salary.

Their management costs, training costs, turnover costs — all money. Two years later they leave, and you have to spend another 100,000 to hire the next person.

Do the math: a set of AOS equipment can be used for ten years, total cost 100,000. A person works for two years, total cost exceeds 100,000. AOS costs only a fraction, or even a tenth, of human labor. And it does not require your attention.

So what would you choose? Any business owner can do this math. As long as AOS costs less than people, they will switch. They do not need to consider "social impact," "what happens to people," or "what institutions should do." They only consider one thing: how to make their costs lower, profits higher, and competitiveness stronger. This is a purely rational choice. They are not targeting anyone; they are just doing the math. And on paper, AOS wins.

So the speed of AOS adoption depends on how much cheaper it is than people. If it is 10% cheaper, enterprises will switch slowly. If it is 30% cheaper, enterprises will switch faster. If it is more than 50% cheaper, enterprises will replace everything at once. It will not wait. It will not wait for institutions to be ready. It will not wait for those people to find a way out. It will not wait for anyone. It only does the math.

Moreover, you need to look at the cost trend of AOS. AOS is not getting more expensive; it is getting cheaper. Its price is falling, its efficiency is rising. Meanwhile, human costs are rising — wages are rising, social insurance is rising, hiring costs are rising. One is going down, the other is going up. Their intersection point is the explosion point of AOS. At that point, without anyone pushing, the market itself will replace all replaceable positions. As long as the replacement cost is low enough, it will advance at a rate of several percent of the market.

This speed is not linear. It is not "replace ten positions in the first year, one hundred in the second." It is calculated as a percentage of the labor force. The first year might replace 5% of the labor force, the second year 10%, the third year 20%. This speed curves upward, because the further along, the more experience AOS has, the faster the iteration, the lower the cost. The data and profits generated by already-replaced positions accelerate R&D, accelerate iteration, accelerate replacement. This is a positive feedback loop — it accelerates on its own, spinning faster and faster.

Moreover, once one enterprise starts switching, others in the same industry cannot survive without switching. You switch to AOS, your costs are lower than mine, your prices are lower than mine, you take my orders. If I do not switch, I die. So this is a diffusion process from point to surface. First one, then ten, then a

hundred, then the entire industry. It will not come slowly. It comes in waves, each wave bigger, faster, and more thorough than the last.

So you cannot calculate by "how many positions per year." You need to calculate by "what percentage of the labor force per year." AOS does not replace "positions"; it replaces "the proportion of people as labor." Every person it replaces reduces one consumer, reduces one unit of demand, reduces one unit of market. As the market shrinks, enterprises need AOS even more to cut costs. As costs are cut, it replaces more people. This is an accelerating cycle.

You are standing in 2026, and you have already seen this starting point. You see factories automating, customer service AI-fying, logistics unmanned. What you see is not "a future trend"; what you see is "a replacement that has already begun." And the speed of that replacement is increasing by market percentage. Not hundreds of positions per year, but several percent of the labor force per year. Several percent means tens of millions of people. Tens of millions of people means they no longer have income, no longer have purchasing power, no longer exist in the market.

Can institutions catch up with it? No.

Institutions are slow. They need to identify problems, collect information, discuss solutions, reach consensus, amend laws, allocate resources, and begin implementation. Every step takes time. By the time they complete one step, AOS has already replaced the next batch of people. By the time they complete all steps, the people are already gone. Institutions cannot catch up to the speed of AOS. They have not even gotten into a running stance.

So what can we do? Not catch up to AOS's speed — you cannot catch up. You can only pave the road ahead of time before it arrives. You cannot wait until it arrives to react; you must lay the safety net before it comes. You cannot wait until it has finished replacing people to ask "what about those people"; you must settle them before the replacement. You cannot wait until the market collapses to save it; you must connect the pipeline while the market is still alive.

This is the "institutional dilemma." Institutions are not useless; they are too slow to act. They use "past methods" to deal with "future problems." They are still using the methods of the industrial age to deal with the problems of the AOS era. And AOS is no longer a thing of the industrial age. It is another species.

If AOS comes, and labor does not even have the opportunity to be exploited, where do they go?

If AOS fully replaces human labor, where can a person with no education, no skills, no capital, no connections go? The old answer was: go to the factory. But factories have AOS and no longer need people. The old answer was: deliver food, drive for ride-hailing. But AOS will replace these. The old answer was: work as a cashier at the supermarket, as a waiter at a restaurant, as a porter in logistics. But all these positions are being automated.

No one knows the answer. This is not a question that already has an answer. We are facing a completely new situation — since the Industrial Revolution, every technological change has created new jobs, but this time is different. AOS replaces "people as labor" itself. It is not saying "your type of job is gone, switch to another type"; it is saying "your value as a worker has been reduced to zero."

This is not alarmist; this is happening right now. Those workers in Shenzhen who were replaced by AOS — where did they go? Some went back to their hometowns, some are delivering food, some are driving for ride-hailing, some are doing nothing. Food delivery and ride-hailing are the last buffer. When food delivery and ride-hailing are also replaced? Where do they go? No one can answer.

But we cannot pretend this problem does not exist just because we do not know the answer. You cannot say "the market will solve it" — the market will not solve it; the market only cares about efficiency, not people. You cannot say "the government will handle it" — if the government would handle it, I would not have gone ten years without finding a two-day weekend job. You cannot say "they will learn new skills on their own" — a 35-year-old who has worked on an assembly line for ten years, you want them to learn programming? Learn AI? Learn data labeling? They do not have the time, the resources, or the energy.

So I need to fix the institutions before AOS arrives. Not to stop AOS, but to give those who are replaced at least a buffer — money to take, food to eat, a place to live. Where does the money come from? From taxes. From constraining big capital. From letting institutions stress. Institutional stress is not about "preventing" something; it is about "catching" something. It cannot stop AOS from coming, but it can prevent people from falling directly into the abyss when AOS arrives.

If AOS comes, will these institutions still be useful?

This is the most core question. If all the things mentioned earlier — the two-day weekend, the 8-hour work system, taxation, giving money — are all based on the premise that "people are still working," then after AOS replaces people, what use are these institutions?

The answer is: these institutions become even more important in the AOS era — more important than they are now.

Because AOS does not need a two-day weekend. You set an 8-hour system for AOS? It does not care. You tax AOS? It has no profits; the profits belong to its owners. You give AOS money? It does not need money. All institutions point to "people" — not "working people," but "people." When people no longer work, we need another logic: what do people live on? What do they use to consume? On what basis do people participate in society?

If before AOS arrives, we have already established institutional stress — taxes collected from capital and redistributed to the bottom — then when AOS fully replaces human labor, this distribution mechanism already exists. Taxes are collected from AOS owners and distributed to the bottom. The bottom has no job, but they have money to consume. The market continues to operate. People and the market are no longer decoupled. This is not a "utopia"; this is a "bottom line."

But if we have not established this mechanism before AOS arrives — if institutions are still ineffective, capital still does not pay taxes, the bottom still has no protection — then when AOS replaces all human labor, the bottom is completely abandoned. They are not "losing their jobs"; they are "deleted by the system." The system no longer needs them and no longer recognizes them. They do not even have the opportunity to "be exploited."

So when AOS arrives, the question is not "whether institutions are still useful"; the question is "whether institutions can keep people alive." Institutional stress is to ensure that people are not abandoned in the AOS era. If institutions do not stress, when AOS arrives, people are truly gone.

If AOS comes faster than expected, and we cannot even wait five years, what then?

This is not a hypothesis; this is a reality that is approaching. The speed of AOS adoption is exponential, while the speed of our institutional response is linear, or even stagnant. What you think will happen in ten years might arrive within three. What you think is a problem to face five years from now might be right in front of you next year.

If AOS comes faster than expected, that means the time we have left is shorter than expected. You cannot say "wait until we are ready to act," because time waits for no one. You cannot say "wait until the economy improves to reform," because

economic improvement is itself the result of reform. You cannot say "wait until the research is clear to act," because there is no time for research.

What do I see now? Factories are already laying off workers, logistics is already being unmanned, customer service is already being AI-fied. These are not future events; they are happening right now. If I do not implement institutional stress now, by the time AOS is fully deployed, it will be too late for me to act — because by then no one will help me. Capital will not need me, the system will not need me, I will not even have any bargaining chips. I act now because I still have a little chip — I am still working, I still have income, I am still a "useful unit of labor." When I no longer work, I truly have nothing.

So if AOS comes faster than expected, that is not a "reason not to act"; it is a "reason to act faster." What I need to do now is not wait and see, but rush to build the institutional framework before AOS is fully deployed. If the framework is built, when AOS arrives, I at least have a buffer. If the framework is not built, when AOS arrives, I have nothing.

The speed of AOS adoption is not uniform. It comes in waves.

The first wave is repetitive physical labor. Factory assembly lines, warehouse moving, express sorting, supermarket checkout. These positions are the easiest to replace because they have clear operating procedures, no need for judgment, no emotions, no complex decision-making. Some have already been replaced, and the rest are being replaced. This wave is the fastest because the technology needed is already mature.

The second wave is basic mental labor. Customer service, translation, basic accounting, legal assistant, administrative clerk, data entry. These positions require some judgment, but the judgment patterns can be learned. AI is already doing these things, and doing them faster and faster. This wave is slightly slower than the first, but it is already happening.

The third wave is technical positions. Programmers, engineers, designers, analysts. These positions require complex judgment and professional experience, but AOS is learning them. It may not do them well yet, but it is getting better. This wave is five to ten years away.

Between these three waves, each interval is only one to two years. If you lay the net between the first and second wave, you still have time. If you lay the net between the second and third wave, you barely have time. If you wait until the third wave

arrives to start laying the net, it will be too late for everything. Because the people will have already been replaced.

Institutions cannot catch up to the speed of AOS. They can only run ahead. Running ahead means running now. If we do not act now, it will be forever too late.

This is all of the third part of "Deduction and Choice." AOS does not wait for people. Institutions must run ahead of it. If they cannot run ahead, at least run alongside it. At the very least, do not be left behind. And what I see now is that institutions are still standing still. They have not even started running. They are still waiting. Waiting for what? For AOS to knock them down?

4. Institutions and Vested Interests: The Resistance to Transformation

Earlier we talked about AOS accelerating, about institutions unable to keep up with its speed, about the window of time narrowing. But there is one problem even harder to deal with than "not enough time" — some people do not want institutions to get better.

You might find this strange: if institutions get better, society gets better, which benefits everyone — why would anyone not want it to get better?

Because institutions getting better means some people can no longer profit from "institutions being bad." When institutions are bad, they can exploit loopholes. When institutions are bad, they can lower costs. When institutions are bad, they can get more return with less input. When institutions get better, their advantages disappear, their profits shrink, their positions are shaken. They will not sit by and let this happen.

This is the fourth part of "Deduction and Choice" that we face: institutions and vested interests. And to explain this clearly, you first need to see clearly: who is blocking the way?

There are three types of people blocking the way.

The first type: those protecting their own interests.

They are clear-headed. They know why they are blocking, and they know what they are blocking. It is not that they cannot see the direction clearly; it is that they see it too clearly — if the direction changes, their interests are gone. So they block. They use their positions, resources, and voice to block the door, not letting new things in. They are not bad people; they are just doing what is most beneficial to themselves. They do not think they are doing evil; they think they are protecting

themselves. They are right. They are indeed protecting themselves. It is just that their way of protecting themselves is to keep others oppressed.

The second type: those unwilling to change.

They are fearful. They may not know what they are blocking, nor understand what would happen if the direction changed. They are just afraid. Afraid of new things, afraid of uncertainty, afraid of not understanding, afraid of losing the little security they have now. So they do not move. Not moving is blocking. They are not actively blocking; they are passively blocking. They stand by the door, watching the door, not moving. When you push the door, they do not help, nor do they step aside. They just watch. And their inaction gives those who actively block more confidence.

The third type: those heading in the wrong direction.

They are not protecting their own interests, nor are they afraid of change — they genuinely believe they are doing the right thing. They sit in institutional positions, holding correct documents, enforcing correct provisions, saying correct words. They believe they are maintaining order, protecting farmland, controlling population, maintaining stability. They are not bad people; they genuinely believe they are walking in the right direction. But the direction is wrong. They have walked their whole lives, walked very hard, walked very painfully, but the direction they are walking is the opposite. They think they are building a bridge, but they are actually dismantling it. They think they are protecting people, but they are actually pushing people away. They think they are maintaining stability, but they are actually pressing the pressure deeper and deeper, until it explodes from somewhere else.

They have the wrong direction. They mistake "control" for "governance," "locking down" for "protection," and "maintaining the status quo" for "maintaining stability." They do not know the direction is wrong, because they have never stopped to see the whole picture. They only see the piece in their own hands — that piece of land, that provision, that indicator. They do not see what happens to people after that provision is enforced. They do not see where people go after that piece of land is locked up. They do not see what is left of people after that indicator is achieved.

People heading in the wrong direction are harder to deal with than those who are simply conservative. Because conservatives know they are being conservative. People heading in the wrong direction do not know they are wrong. They think they are doing the right thing, so they will not stop, will not reflect, will not change. They will keep walking in the wrong direction until they hit the wall. Then they will say: "We did our best."

These three people standing together are all the forces blocking the door. Those protecting interests block actively. Those afraid of change block passively. Those heading in the wrong direction think they are repairing the door, but they are actually welding it shut. Together, they make the institution unable to move.

But you need to know that none of these three people are the real enemy. The real enemy is the thing that allows them to keep standing — the market has not yet forced their hand.

If AOS does not appear, they can keep standing forever. When AOS appears, they will start to move. Because AOS will not only replace the bottom tier. It will replace everyone who can be replaced — including middle managers, including legal, finance, HR, and even some decision-makers. Capital expansion is indiscriminate. It eats the bottom, then the middle, and finally those who once helped it expand. Vested interests are not excluded. They will also be replaced. When they find themselves threatened by AOS, they may start to recalculate — which is more beneficial to them, "maintaining the status quo" or "changing the status quo." When change looks safer than maintaining the status quo, they will also turn.

The drivers of institutional stress are not just those who have been unable to find a two-day weekend job for ten years. They also include those who find themselves soon to be replaced. When enough people realize that "change is inevitable," those blocking the way cannot hold out. They can block for a while, but not forever.

So what we face is not an "enemy," but a "process." It is a process from "someone blocking the way" to "unable to block." This process takes time, takes pressure, takes accumulation. It needs AOS to keep coming, the market to keep changing, and more and more people to realize that "change is necessary."

So what can we do? We can draw the direction clearly. We can set up guideposts. We can get those who are silent to start moving. We can let those heading in the wrong direction see that their direction is reversed. We can let them know — a change of direction is not an end, but a beginning.

What if this system drains the vitality from the market?

You add taxes, add penalties, add regulations, add constraints — you make it hard for businesses to breathe, you make it difficult to start a business, you make investment hesitant. So what about market vitality? New businesses do not emerge, new technologies do not appear, new models do not surface, and the entire economy seems tied up, unable to move.

This is a reasonable concern. But you need to see clearly: institutional stress is not about "tying up" the market. Institutional stress is about "cleaning up" the market. After you clean out those businesses that survive by exploitation, tax evasion, and institutional arbitrage, what remains is a clean, fair, and healthy competitive environment. A vibrant market needs a fair arena. You let all players start from the same line, and let the outcome depend on who runs faster and jumps higher — not on who cheats better and who exploits loopholes better. Institutional stress is the infrastructure that maintains this fair arena. It does not limit vitality; it provides the foundation for vitality.

Those who say "institutions will drain market vitality" are often those who live off "institutional imperfections." They do not win in the market through products, technology, or management — they win by "being better at exploiting people than others." Once the system is improved, their advantage disappears. When they say "the market loses vitality," what they really mean is "I have lost my ability to win by cheating."

If this is so good, why is no one doing it now?

This is not a technical problem; it is an interest problem. Who benefits from institutional failure? Those who can use institutional gaps to accumulate wealth. Those who benefit from "flexible employment" and "low-cost advantages." These people do not want institutional stress. They do not want to change the status quo. They want the system to continue failing, they want the bottom line to remain blurred, they want workers to continue having no bargaining power. They use the benefits they have gained to obstruct the repair of the system, and use the resources they possess to maintain the status quo.

This is why everyone can clearly see the problem, yet no one is doing anything about it. It is not because they do not know; it is because someone is stopping them. The cost of obstruction is low, the cost of change is high. So the system is stuck here — moving forward is hard, going back is impossible, and it can only remain frozen in place until a certain tipping point arrives. And you have already seen that tipping point approaching.

What if vested interests refuse to agree and stubbornly block any change?

This is a question that must be faced. You have analyzed the causes of institutional failure, you have proposed a plan for institutional stress, you have argued for the urgency of AOS's inevitable arrival. But in the end, all of this faces the same problem: institutions are implemented by people, and change is driven by

people. If those who hold power, resources, and voice refuse to agree and stubbornly block change — what do you do?

No one can give a definitive answer. No structural change in history has been a "peaceful transition." Every change is the result of games, conflicts, compromises, and struggles. You cannot make those who profit from institutional failure voluntarily give up their interests. They will not let go voluntarily, because that is their lifeline. But you can make them realize: the cost of resisting change is greater than the cost of accepting it.

When AOS gradually replaces human labor, when the market shrinks to the point where even their profits are declining, when social conflicts accumulate to the point where even they cannot ignore them — by then, the cost of "refusing" becomes very concrete. It is not a moral "should," but an interest-based "have to."

The drivers of institutional stress are not me alone. They are those who have been unable to find a two-day weekend job for ten years, those who have been replaced and have nowhere to go, those in rural areas who have no work and can only rely on their children to survive. When enough people realize that "change is inevitable," those blocking the way cannot hold out. They can block for a while, but not forever.

What if this deduction is wrong?

Some of what I have written may be wrong. Perhaps AOS is not coming as fast as I imagine. Perhaps institutional stress is not as effective as I imagine. Perhaps the market is not as dependent on labor as I imagine. Perhaps I overestimated the pulling power of bottom-tier consumption. Perhaps I underestimated the resistance of vested interests. Many "perhaps," much uncertainty.

But I do not believe it is all wrong. At least this direction — letting institutions re-constrain, letting labor be respected again, letting the market regain its stress — this direction is correct. Even if the specific path needs adjustment, even if the timeline needs revision, even if certain details need rethinking — the direction is correct.

If a deduction is correct, it does not need me to prove it. It will prove itself. If you see something that is correct, you say it. If you are wrong, someone will correct you. If you are right, someone will follow you. This is far better than saying nothing and doing nothing.

What if others cannot understand what I am writing?

I write this not for everyone to understand. Some people may never think about these issues in their entire lives, some may discard it after reading one line, some may think "what does this have to do with me." That is fine.

I write this for those who are experiencing the same things — those who have been looking for a job with weekends off for ten years without success, those who have been replaced and have nowhere to go, those in rural areas with no work who can only rely on their children to survive. They do not need to "understand" this deduction; they only need to know: someone has seen what they see, someone has said what they cannot say.

If someone can understand, it means he and I have seen the same thing. He has one more person in this world who can understand him. This may be the only purpose of writing this.

What if I write it, but no one believes it?

Believing or not believing is not something I can control. I can only write what I see. Believing or not is the reader's business. If someone believes, good. If no one believes, I have still finished writing.

At least I have written it out. Ten years ago, what I saw was "no weekends off"; five years ago, what I saw was "structural imbalance"; now what I see is a complete causal chain. I have written it down, so it is no longer just an idea in my head. It has become something that can be discussed, questioned, supplemented, and revised. Even if no one believes it, it exists.

A person spends ten years verifying a fact, and then spends even longer writing it down. There is nothing more honest than this in the world.

What if others finish reading and feel "what you said is right, but I can't do anything about it"?

That means I have already done what I can. I cannot make choices for others, nor can I bear the responsibility of action for others. What I can do is explain the problem clearly, point out the path, and draw the direction. The rest is up to each person who reads it.

I cannot make everyone an actor. But at least I can let some people know: I am not alone, what I have been through is not my fault, the system really is broken, and there is still a path forward.

That is enough. I am not here to "rally" anyone; I am here to "describe" what I see. If someone finishes reading and thinks, "Oh, so that's how it is," and then continues with their own life — that is also enough. At least their worldview has gained a reference point, something they can look back to. This is not "can't do anything," this is "gained one more direction to think about."

What the market needs to do is stress, not suppression. The same goes for people. People have been crushed for thirty years, suppressed for thirty years. Now it is not only institutions that need to stress, but every living person. After reading this deduction, if you feel you can do something, then do it. If you feel you can do nothing, then just live, first take care of your own life. Living itself is a form of stress, because you are still here, you have not given up, you are still watching, thinking, judging — that itself is a kind of strength.

This is all that the fourth part of "Deduction and Choice" has to say. The power of institutions lies not in how many people they can suppress, but in how many people they can protect. The power of vested interests lies not in how much change they can block, but in how much time they can delay. And our power lies not in how loud we are, but in how clear-eyed we are. We have seen the full picture of the problem, we have seen the correctness of the direction, we have seen the urgency of time. And then we made a choice — not to wait, but to walk. Not to fear, but to write. Not to remain silent, but to speak. Once spoken, it cannot be taken back. Once written, it cannot disappear. As long as you are still watching, still thinking, still judging — you are in stress. You are changing. You are moving forward.

5. Psychology, Mentality, and Human State: Can People Still Stand Up After Institutional Stress?

Earlier we discussed labor and the market, money, distribution and circulation, AOS and the institutional dilemma, and institutions and vested interests. They all ask the same question: Can the system still turn? Can the institution still change? Can money still flow?

But there is one more question, more fundamental than all of them — do people still believe?

You changed the system, distributed money, laid the safety net, caught the people. But a person who has been crushed for ten, twenty, thirty years — does he still believe? Does he still dare to believe? Can he still stand up?

This is the question that Part 5 [section 5] answers. Not "can the system change," but "can people still stand up."

What if the institution has been stressed, but the workers' mentality has already collapsed, and they cannot stand up even when given the opportunity?

Institutional stress takes time, but people's confidence may already be gone. You restore the two-day weekend, give out money, implement the 8-hour system, increase penalties — but a person who has been crushed for ten years no longer believes in anything. You give him an opportunity, he may not dare to take it. You give him money, he may not dare to spend it. You give him institutional protection, he may not believe the institution will truly protect him.

Why doesn't he believe? Because he has tried. He tried to believe that hard work pays off, but after ten years of effort, he still has nothing. He tried to believe that the institution would protect him, but the institution never protected him. He tried to believe that tomorrow would be better, but tomorrow was just another today. He has been deceived too many times. His disbelief is not stubbornness — it is experience. It is what his body remembers. You give him a "new system," he thinks: "Isn't this just a different way of saying the same thing?" You give him money, he thinks: "Isn't this just to shut me up?" You give him a promise, he thinks: "I don't believe it."

Do you blame him? You cannot blame him. Because if you were him, you would not believe either. If you had been crushed for ten years, you would no longer believe any words about "things will get better." You would only believe one thing: survive, and try not to think too much. Think too much, and you cannot hold on.

So what to do? Institutional stress must include psychological reconstruction. It is not "just give the opportunity and it's fine," it is "make people believe this time is real." Trust cannot be built in a day; it needs to be accumulated through repeated cycles of "said and done, done and achieved." The first time the two-day weekend is truly implemented, he believes a little. The first time overtime is actually penalized, he believes a little. The first time money really arrives in his account, he believes a little. Institutional stress is walked step by step, not conjured overnight.

Every time a promise is fulfilled, it tells him: this time is real. Every time he is protected, it tells him: you are not alone. Every time he is caught, it tells him: you can stand up. His act of standing up is not completed in one go. It happens bit by bit. First sit up, then stand up holding the wall, then let go, then take one step, then take two steps. This process takes time, takes patience, takes him truly believing — this time is different.

What if young people choose not to work, not to consume, and not to participate in society?

This is not a hypothesis. More and more young people are doing this — lying flat, low desire, not consuming, not marrying, not having children. Not because they are lazy, but because they have done the math: working 30 years cannot buy a house, striving 20 years shows no hope, struggling 10 years still leaves you in the same place. So why struggle? They are not "giving up," they are "redefining what is worthwhile."

If a society makes young people feel that "effort is meaningless," then it loses not just one generation's labor, but one generation's creativity, fertility, and vitality. Institutional stress should consider that what young people need is not "being forced to work hard," but "effort truly pays off." When the relationship between effort and reward is severed, no one will continue to work hard.

Institutional stress is not just about "giving money," "giving weekends off," "giving protection." Institutional stress is even more about "rebuilding the causal relationship" — if you work hard, you truly get rewarded; if you follow the rules, you truly will not be bullied; if you live well, you truly have a future. What young people want is not to be pushed forward; it is to be able to see where the "ahead" is. If the road ahead is empty, they will not walk.

What if middle-aged people, after being eliminated, have no way to return to the labor market?

The situation of middle-aged people is even harder than that of young people. Young people still have physical strength, time, and learning ability. Middle-aged people's physical fitness is declining, family burdens are rising, and learning ability is weakening. If you eliminate a 40-year-old worker, he can almost never find a job with equivalent income again. He does not "need training," he "needs the entire social structure to reserve a place for him."

Institutional stress must include a "reintegration mechanism for middle-aged people." It does not necessarily mean re-employment — it could be changing careers, reducing working hours, or engaging in part-time work. You need to give him a feeling of "being needed." What people fear most is not having no money, but "I am no longer needed." Institutional stress is not just about providing an economic safety net; it must also preserve space in social roles.

What middle-aged people need is not "starting over from scratch," but "being able to do something." Even if it is something small, even if it is not very profitable,

as long as it makes him feel that he is still useful, he can hold on. If he can hold on, he can potentially stand up. If he stands up, he can potentially move forward.

What if money is distributed to the bottom, but big capital siphons away all the profits through price increases, and the bottom still has no money?

This is an upgraded version of the "money flowing to big capital" mentioned earlier. The bottom gets money and goes to consume. Big capital sees demand rising and raises prices accordingly. The bottom cannot afford it and starts tightening their belts again. The money goes around in a circle and ultimately returns to big capital, leaving nothing for the bottom.

Institutional stress must include price regulation. During the transition period, prices in areas such as daily necessities, basic services, housing, healthcare, and education must be monitored, regulated, and intervened upon. It does not necessarily mean direct price controls, but at the very least there must be early warning mechanisms, antitrust investigations, and unfair competition reviews. You cannot allow the bottom to receive money on one hand while being drained by price increases on the other. That is not "distributing money," it is "sending money to big capital."

What if these institutional stress measures are actually implemented, but the rich accelerate emigration and capital accelerates outflow?

This is the most real threat. You raise taxes, you impose constraints, you regulate — the rich feel unsafe, capital feels unfree, and they start transferring assets, emigrating abroad, and withdrawing investments. Before you have collected any taxes, they have already left. Before you have constrained them, they are already outside the system.

When implementing institutional stress, there must be a "breakwater" — to prevent large-scale outflow of capital and talent in the early stages of institutional stress. It is not about preventing people from leaving, but about making those who leave pay a reasonable price. For example, exit taxes, departure taxes, and asset transfer taxes. At the same time, retain those who truly want to stay — you need to let them see that this system is not becoming worse, but becoming fairer, more predictable, and more worth staying in.

Institutional stress is not about "driving people away," it is about "making people want to stay." If you make a place fair, stable, and predictable, talent and capital will actually stay. Those who leave because they "can no longer exploit people" should never have stayed in the first place.

What if, after AOS is fully rolled out, most people completely lose their "sense of being needed," and society collapses on a spiritual level?

This is a deeper question than economics. People do not just need money to live; they also need to "be needed." They need to feel that they are doing something meaningful, that they are contributing to society, that they are not superfluous. When AOS replaces all work, a person may have nothing to do — and then he discovers he is nothing. You give him money, he may still become depressed. You give him security, he may still feel empty.

Institutional stress must consider one question: when people do not need to work to make a living, what do they rely on to define themselves? What do they rely on to prove that their existence is meaningful? This is not a "policy problem," it is a civilization problem. It could be through creativity — art, writing, invention. It could be through companionship — caring for the elderly, educating children, helping neighbors. It could be through exploration — researching the unknown, discovering new things, expanding boundaries. These things were originally "things outside of work," but in the AOS era, they may become "the only things that truly belong to being human."

In the AOS era, institutional stress is not just about distributing wealth, but also about distributing "meaning." Let people know that they have value even without working. Their existence itself is a form of meaning. They do not need to prove through "output" that they deserve to live. They deserve to live simply because they are alive.

But what does institutional stress look like when it lands on specific people? It is not theory, not policy — it is a way of living.

[Character Simulation]

A man named Chen Ping. Fifty-three years old, living in a village in Jiangxi.

When he was young, he went to Guangdong to work, spending fifteen years in an electronics factory. Later, the factory became automated, he was laid off, and he returned to his hometown. His wife helps people with odd jobs in the village, and his son delivers food in the provincial capital. He sits at the door, watching the sky every day, waiting for his son to send money. His days are frozen. He has no job, no income, nothing to do. He is alive, but he is "suspended" — nothing is holding him up. He does not know how to get through tomorrow; he only knows that today is not yet over. He does not think about tomorrow, because tomorrow will be the same as

today. He dares not think about next year, because next year will be the same as this year.

If institutional stress is applied — if the two-day weekend is implemented, taxes are adjusted, land is liberalized, and the safety net is laid — what would Chen Ping's life become? He receives a subsidy. Not much, but enough to buy rice, oil, and medicine. He no longer has to wait for his son to send money. He starts moving around the village. Before, he would not go out, because there was nothing to do outside. Now he has a little spare money; he can go to the town for a stroll, buy some seeds, and grow some vegetables in his own yard. He no longer has to sit at the door watching the sky. He starts doing small things — repairing the courtyard wall, tending the vegetable patch, helping a neighbor build a shed. He is not "working," he is "living." His state of living has changed from "waiting" to "doing." He is no longer the person the system has put down; he is someone who still has a place in the system.

What about his son? The son delivers food in the provincial capital. Before, he ran more than ten hours a day, earning five or six thousand a month, but after rent, utilities, and food were deducted, not much was left. He dared not stop, because if he stopped, the family would be cut off. After institutional stress, the labor environment in the city also changed. The two-day weekend was implemented, and working hours were regulated. The platform his son worked for began enforcing stricter labor protections — not because it wanted to, but because the institution demanded it. His son's working hours were reduced, and his income dropped a bit, but he gained time. Time to eat, time to sleep, time to think about what else he could do. He started thinking about changing careers — learning something new, finding a less exhausting job. He never dared to think about these things before, because he didn't have time to think. Now he does.

What about his grandson? Eleven years old, studying in town. Before, his father rarely came home, and his grandfather always sat silently. He thought all adults were like that — not talking, not laughing, not doing anything. After institutional stress, his grandfather started talking, started laughing, started taking him to the garden to plant things. His father also started coming home more often, able to stay for two days on weekends. He saw a different kind of "adult" — an adult who laughs, moves, and talks. He no longer thinks "this is just what life is," he begins to think "life can be different." Chen Ping's life did not change dramatically. He did not get rich, did not move to the city, did not become a different person. But he lives more like a human being. He has a little autonomy, a little sense of security, a little feeling of "I can still

do something." His son has room to breathe, and his grandson has seen another way of living.

[Character Simulation]

A man named Zhou Yuan. Thirty-six years old, with a secondary technical school education, worked in a Dongguan electronics factory for twelve years.

He is luckier than Lin Dong; he has not been replaced yet. But every day he can see replacement approaching — more and more new machines, fewer and fewer co-workers, his supervisor looking at him more and more like a "person who will leave sooner or later." He is not anxious, because he has lost the ability to be anxious. Anxiety takes energy, and he has none left. He just walks into the workshop every day, finishes his work, goes home, and sleeps. He does not complain, does not fight, does not speak.

If institutional stress is applied — if the safety net is laid, if he can receive transition payments when he loses his job, if he has time to learn something new — what would he do? He would not immediately go learn to code. He would first sleep. Sleep enough, then make a decision. He is not lazy; he is too tired. He needs to recover first before he can think about the next step. And what the institution needs to do is give him that time to recover. Three months, half a year, a year. Let him not think about anything, first metabolize the fatigue in his body. Once that is done, he will naturally think: what else do I want to do? He does not need to become someone great; he just needs to become someone who "can still take one more step forward." And what the institution can give him is the space for that one step.

[Character Simulation]

A woman named Xiao Min. Twenty-four years old, with a college degree, working as customer service at a company in Changsha.

She answers over a hundred calls every day, being yelled at, shouted at, and complained about. She dares not hang up, dares not talk back, dares not show even a hint of impatience. Her voice is sweet, but her stomach hurts. She takes home four thousand yuan a month, and after rent and food, there is nothing left. She knows AI will eventually replace her. What she does not know is: after she is replaced, where will she go?

If institutional stress is applied — if labor laws are truly enforced, if the two-day weekend is truly implemented, if businesses can no longer endlessly exploit her time and emotions — what would she do? She would quit first. Not on impulse; she has

planned it for a long time. She wants to learn baking, to do something she can touch and see. She dares not go because she would have no income. But if the institution gives her a basic guarantee, if she can receive money during her unemployment, she will go. She does not want to get rich; she just wants to wake up every day knowing what she is doing, rather than knowing she is going to be yelled at all day again. She may not succeed in learning baking, but she will try. Once she has tried, even if it does not work out, she will not regret it. And what the institution can do is give her the qualification to "try."

[Character Simulation]

A man named Old Meng. Sixty-two years old, already retired, but with no pension.

He used to be a farmer, then moved to the city to work as a cleaner for over a decade, with no social insurance. He now lives off his wife's odd jobs and support from his daughter. He gets up early every day and goes to the park to sit. Not for a walk — just sitting. He sits until noon, goes home to eat, then continues sitting in the afternoon. He does not watch TV, because TV reminds him of "other people's lives." He does not listen to the radio, because the radio is all noise, and he does not want to know what is happening outside.

If institutional stress is applied — if he can receive a monthly subsidy, even if it is not much — what would he do? He might still sit in the park. But when he sits, there will no longer be panic in his heart. He will no longer think about "what to do next month." He can sit peacefully, watching the trees, watching the people, watching the sky. He does not need to do anything anymore; he has done enough for a lifetime. He just wants to spend a period of time peacefully before the end. What the institution can give him is that period of peace. Not much, but enough for him to sit in peace.

[Character Simulation]

A woman named Su Jing. Twenty-nine years old, with a master's degree, worked at a design company for four years.

She is among the "highly educated" group. But her situation is not any better. She works overtime more than anyone, earns less than anyone, revises projects a dozen times, and the client still picks the first version. She dares not quit because she has a mortgage. She dares not stop because stopping would mean everything falls apart. She often posts a friends-only WeChat moment late at night: "Who am I? What am I doing?" Then deletes it the next morning and goes back to work.

If institutional stress is applied — if overtime is truly restricted, if her time is truly respected — what would she do? She would not quit immediately. She would first go hiking on a weekend without overtime. She has not gone in a long time. She would sit at the top of the mountain for a while, feel the wind, and think — what does she really want to do? She might change jobs, change industries, start writing, or go study abroad. She may not know what she wants, but at least she has the opportunity to start thinking about this question. What the institution can do is give her that weekend to "have the opportunity to think."

[Character Simulation]

A man named Li Wei. Forty-one years old, with a middle school education, drove a taxi in Beijing for ten years.

Before, he could earn over ten thousand a month. Now with more ride-hailing services, he gets fewer orders and his income has dropped to six thousand. He cannot change industries and does not know any other skills. He can only keep driving, keep earning less, keep running. He knows self-driving cars are on the way, but he does not want to know when they will arrive. He just wants to keep going one more day at a time.

If institutional stress is applied — if self-driving truly arrives, if he loses his job, if someone tells him "you have a three-month transition period" — what would he do? He would not drive for ride-hailing services. He would go back to his hometown. Fix up the old house, grow some vegetables in the yard, and raise a few chickens. His wife has always wanted to go back to the countryside. He used to say "there's no food to eat back home," but now there is food to eat — because the institution has caught him. He no longer has to fear "going back means starving to death." He can go back. What the institution can give him is a reason to go home. Not money, but "you can go home, and you will not starve."

There is another group, called the "silent majority."

They are not like Chen Ping sitting at the door, not like Zhou Yuan numbed in the workshop, not like Xiao Min being yelled at on the phone. They are alive, but they no longer speak. They do not complain, do not protest, do not vote. They just live. They feel that nothing they say matters, nothing they do matters, nothing they choose matters. They have already accepted it — the world is just like this, life is just like this, I cannot change anything. Their silence is not peace; it is despair. It is the despair of "saying it won't help." It is the despair of "it won't change anyway." It is the despair of "forget it."

What institutional stress encounters first is not those who resist, but these silent people. They do not block you, nor do they help you. They just watch you, wait for you, to see if you can really change anything. If you truly succeed, they will not cheer immediately; they will only quietly take one more step. First, they look up once, then lower their heads and keep walking. Then they look up again, take another look. And then one day, they will find that they have stopped saying "forget it." They begin to feel that "maybe it really can change." Then they start to speak. The words are few, but they can be heard. They start to act. The actions are small, but they can be seen. A person who said "forget it" starts saying "let me try" — this is the deepest place that institutional stress can reach. Not GDP, not employment rate, but "forget it" turning into "let me try." It is "surviving" turning into "living." It is "suspended" turning into "caught."

These people's stories do not intersect. They are scattered across different places, different age groups, different industries. But they share one thing in common: they are all waiting. Waiting for a moment when they no longer have to tough it out. Waiting for a moment when they can stop and catch their breath. Waiting for a moment when they can make a new choice. Institutional stress is giving certainty to this moment. It is not a guarantee that they will all succeed, but a guarantee that they will not completely fall just because they stopped for a moment. Stop for a moment, and they can still keep walking. Catch their breath, and they can still keep living. Choose wrong, and they can still choose again.

This is all that the institution can do. Not much, but it is enough. And for those who have been sitting at the door for too long, it is enough to make them stand up and take one step. One step is the beginning. Once begun, they will never stop again. The ultimate goal of institutional stress is not to make the system look better; it is to let people like Chen Ping finally stand and live. Not for data, but for people. Not for efficiency, but for him. What the institution can do is make a person who has been sitting at the door one day stand up. After standing up, he takes a step. After taking a step, he sees a farther place. After seeing a farther place, he wants to go and see it. This is the entirety of the simulation. It is the process of a person going from "sitting" to "standing," from "waiting" to "walking," from "surviving" to "living." It is not a theory; it is a way of living. And that way of living can be realized. As long as the institution arrives, he will arrive.

This is everything that the fifth section on "Simulation and Choice" has to say. Institutional stress is not just about changing rules, distributing money, and laying a safety net. It is about rebuilding one thing — people's confidence. Making people

believe this time is real, making people believe hard work pays off, making people believe they will not be discarded when they are old, making people believe that living itself has meaning. This is not a "by the way" matter; it is the core matter. Because if people's hearts have not stood up, no matter how much the institution is stressed, people cannot stand up. And a person who cannot stand up cannot support a market. He can survive, but he cannot participate. He can breathe, but he cannot create. He can consume, but he cannot contribute.

So the ultimate goal of institutional stress is not "to make the system turn," but "to make people stand up." The system turns so that people can stand up. Not the other way around. This point must be made clear. Once it is clear, the direction is right. Once the direction is right, the road can be opened. Once the road is opened, people come alive. Once people come alive, everything comes alive.

6. Stagnation Under the Influence of AOS

What if nothing is done — if the institution remains as it is now, if the enforcers still do nothing, if the safety net is still not laid, if taxes still do not flow to the bottom — what will this country become when AOS is fully rolled out?

This is not a "possibility"; it is an approaching inevitability. If you keep going down this current path, without turning, without accelerating, just keep walking — you will arrive at the picture I describe below.

The economy is not weakening; it is regressing.

You might think the term "economic weakening" is not accurate enough. It is indeed not accurate enough. Because weakening means "slowing down," but what we are facing is "becoming less." The total economic output is contracting. You might say: "Aren't we still growing now?" Yes. But that growth is built on the foundation that "human labor still has value." When AOS replaces human labor, people no longer work, so they have no income. No income means no consumption. No consumption means the market shrinks. The market shrinks means enterprises have no orders. No orders means enterprises do not produce. No production means AOS is useless. No matter how cheap, how efficient, how powerful it is, it is useless. Because there is no demand. You produce things, but who will you sell them to?

The economy does not "slowly get worse"; it accelerates in getting worse. Because the speed at which AOS replaces people is accelerating, and the speed at which people lose income is also accelerating. The more people who lose income, the less consumption. The less consumption, the smaller the market. The smaller

the market, the more enterprises rely on AOS to reduce costs. Reducing costs replaces more people. This is a positive feedback downward spiral. It does not slide down slowly; it falls faster and faster.

In the first year, you might still think "it's okay." In the second year, you start to feel "a bit tight." In the third year, you discover "how come so many people are out of work." In the fourth year, you find "the mall has closed." It does not collapse all at once; it shatters piece by piece. You watch it shatter, but you cannot stop it. Because you did not lay the safety net in advance.

Technological Stagnation: It Is Not About Lack of Ability, but About No One Needing It

You might say: "Isn't AOS technology? Isn't it advancing?" It is advancing. But technological progress and "this country has technology" are two different things. AOS is driven by capital; it serves capital, not people. When the market shrinks to the point of having no demand, capital no longer needs AOS. Because the things AOS produces cannot be sold. No matter how advanced, how efficient, it is just running idle. An idling machine produces no value.

Capital will stop because it has done the math: the cost of continuing to develop AOS is greater than the profit it can bring. It will stop. Not because it does not want to progress, but because there is no room for progress. Market demand has shrunk to the point where it cannot support the development of any new technology. So technology will stagnate. Not because "we don't want to research," but because "no one needs it." No demand means no orders. No orders means no revenue. No revenue means no R&D funds. This is a cycle. Once it stops, it is very hard to restart.

Becoming a Lagging Country: Not Because of Poverty, but Because of Being Skipped

You might think "backward countries" are just poor — no money, no resources, no infrastructure. But the backwardness of the AOS era is not that kind of poverty. It is a kind of "being skipped" poverty. Others are already using AOS to produce almost everything, at extremely low cost and extremely high efficiency. While you are still using human labor to produce, with high costs and low efficiency. No one buys your products because others can buy cheaper, better things. No one wants your labor because AOS does not need people. You have no resources to sell because the resources you have can also be extracted by others using AOS. You have no industries to rely on because your industries elsewhere no longer need people.

You have been skipped. The way the global economy operates has changed, but you are still where you were. Others have moved forward, and you have not kept up. You cannot keep up because you did not lay the safety net in advance. Without the safety net, when AOS arrived, you could not catch it. It just ran over you. And you are left where you were. Left in a world that does not need you. That world is still running, but the way it runs has nothing to do with you. You have become disconnected from it.

What would that look like? Let me describe a few scenes, and you can see how bad it is.

The first scene: a city.

Its shopping malls are still there, but there are fewer people. Not no people, but very few people actually buy anything. Most people are browsing, but not buying anything. It is not that they do not want to buy; it is that they have no money to buy. The mall lights are still on, the shelves are still full, but the lines at the cash registers are shorter. If you do not look closely, you would not notice any change. But if you look long enough, you will see — the people browsing in the mall do not have the expression of "I am looking at something I like." They have the expression of "I don't know why I am here." They just need a place to be. A place that does not cost money. The mall is free, so they come. They are not here to consume; they are here to "exist."

The city's streets are still there, but storefronts change faster and faster. Open for three months, then closed. Change the sign, open for another three months, then close again. No one can last long. Because there are not enough customers. The customers do not not want to buy things; they have no money to buy.

The second scene: a village.

It is quieter. Not the quiet of "serenity," but the quiet of "no one is here." The young people have already left, gone to the city. But there are no jobs in the city either. They have just changed where they stay. The elderly in the village remain. They sit at the door, sitting, not doing anything. They used to wait for their children to send money, but now the children do not send any either — because the children have no jobs either. They no longer wait. They just sit. Until one day, they no longer sit up.

The roads in the village are starting to deteriorate, and no one repairs them. The village committee office lights are still on, but no one is inside. The convenience store has closed because no one buys anything. The school is still there, but each grade has only a dozen or so students. The teachers are also leaving because salaries

cannot be paid. The entire village is slowly, quietly disappearing. No one announces its disappearance; it just ceases to exist.

The third scene: a young person.

He graduated from university two years ago. He has never found a formal job. He has done part-time work, delivered food, made short videos, sold goods. He has tried everything and accomplished nothing. He does not think he is stupid; he just feels "nothing I do matters." He wakes up in the morning and does not know what to do today. He is not lazy; he "cannot find a direction." He scrolls through his phone, watching other people's lives, watching what others are doing. He feels like a bystander. He is watching a world he is no longer part of. He can watch for a long time. After watching, he puts down his phone and still does not know what to do.

He starts not answering phone calls. Friends look for him, but he does not want to go out. Family asks him, and he says "I'm fine." Nothing particularly good happens, and nothing particularly bad happens either. Days pass one by one. He does not know what he is waiting for, but he is still waiting. Waiting for something that may or may not come.

The fourth scene: a family.

The man worked in a factory for fifteen years. After being replaced, he looked for work, but no one wanted him. He went to many interviews, each time being rejected. He no longer goes. He sits on the sofa at home, the TV on, but he is not watching. His wife is cooking in the kitchen; they are in the same room, but rarely speak. He feels he is a "burden." He does not say it, but he knows. The family is held together by his wife working at a supermarket. The supermarket's cashier positions are also shrinking; self-checkout is becoming more common. He knows that day will come eventually. He just does not know what his family will do when that day comes.

The child is doing homework in the next room. He does not know what his parents are worried about. He only knows that the atmosphere at home is getting quieter and quieter. He dares not ask. He is afraid that if he asks, he might hear an answer he does not want to hear.

The fifth scene: a forgotten group.

They used to be "workers." Now they are not. They used to have "jobs." Now they do not. They used to be "people with income." Now they are not. They are now just a group of living people. They are still breathing, but the system no longer needs them. They are still consuming, but their consumption has become negligible. They

still exist, but they are no longer in any statistics. They are not in government data, not in corporate reports, not in news coverage. They have disappeared. Not dead, but disappeared.

They sit at home, sit in the park, sit by the roadside. They do not complain, do not protest, do not demand anything. Because complaining is useless, protesting is unheard, demanding goes unanswered. They just live, and then wait. Until one day, they no longer wait.

These scenes are not "predictions"; they are "already happening." The people you see sitting at the door, people browsing the mall but not buying anything, young people scrolling their phones until they are numb, families afraid to think ahead — they are the prelude before AOS arrives. And when AOS arrives, these scenes will become the norm. They will go from "some people's situation" to "most people's situation."

By then, when you ask "what to do," no one will be able to answer.

Because the institution is still the same institution. It is still doing nothing. It is still sitting there watching. The enforcers are still sitting in their positions, holding documents, writing reports. Enterprises no longer need people, so they no longer need to exploit — they do not even have anyone to exploit. Workers are no longer in the system, so the institution no longer needs to protect them — because there is no one left to protect.

Everything becomes "quiet." No more protests, no more arguments, no more demands. Because the people are no longer there. They are still here, but no one sees them. They are as if they do not exist.

This is the stagnation under the influence of AOS. Not a disaster movie, but a silent disappearance. People are still breathing, but the system no longer records them. They have not disappeared, but they are no longer in this world. They live in a state of "being forgotten" — not forgotten by people, but forgotten by the system. The system no longer needs them, no longer responds to them. They just live like that, until one day, they no longer live.

This is what I want to say in the sixth section. Not a utopia, but a world after "being skipped." Not "if something was done wrong," but "if nothing was done." And doing nothing is exactly what we are doing right now. We are walking toward that world. Not too far — ten years. When you look back, you will find that you are already standing in that picture. What you see are the people who are no longer there. And you, may be among them.

But I have one more thing to add. It is not about the "economy," nor about the "institution." It is about "memory."

Do you know? Those who are replaced leave no trace. They are gone, their positions are gone, their names are not in any document. Their children might remember them, but the children will grow up and leave too. The doorways they sat in will be sat in by new people. The vegetable plots they planted will be covered by new grass. The words they spoke are not recorded, the things they did are not known. They are as if they never lived. You might think this is cruel, but it is reality. A disappearance that leaves no trace is not much different from never having existed.

And a society, if it allows a portion of its people to silently disappear — if it allows them to live, work, age, die, and then no one remembers them — then that society itself is also disappearing. It is erasing parts of its own memory in a gentle, quiet, unnoticed way. It thinks it is just "eliminating some people," but in reality, it is dismantling parts of itself. Those who were replaced were once builders of this society. They built houses, repaired roads, cooked meals, delivered goods. They were part of this society. When they are forgotten by the system, society loses a part of itself.

I am not saying "remember everyone's name" — that is impossible. I am saying: if a society no longer cares about where the people it eliminated went, it will become a society without memory. And a society without memory cannot progress. It can only repeat itself. It can only continue doing what it has always been doing. It can only continue eliminating, forgetting, eliminating, forgetting. Until it has eliminated everyone. And then it is empty.

AOS accelerates this process. It is not "replacing people," it is "erasing people." What it erases is not just a job position, but a place where a person once stood. That place is now empty, and no one fills it. That person's experiences, memories, and knowledge all disappear with him. They are not "retired"; they are "deleted." And a society that is being deleted does not think about the "future." It only thinks about "how to maintain the present." When it cannot maintain the present, it thinks about "how to get through tomorrow." When it cannot get through tomorrow, it thinks "forget it."

So this chapter is not just about "what happens when AOS comes." It is asking a deeper question: Is a society that is willing to let people disappear still worth continuing to operate?

If you think it is not worth it, then you should lay that safety net before it disappears. Not for the "future," but for the people who are still here. So that they will not one day find that they are no longer in anyone's memory.

7. The AOS Era: Institutions Provide a Safety Net, Letting People Exist Before Labor

We must repair the institution before AOS arrives. Not to stop AOS, but to give those who are replaced at least a buffer — money to take, food to eat, a place to live. Where does the money come from? From taxes. From constraining big capital. From applying institutional stress. Institutional stress is not about "stopping" something; it is about "catching" something. It cannot stop AOS from coming, but it can prevent people from falling directly into the abyss when AOS arrives.

If AOS comes, will these institutions still be useful?

This is the most essential question. If the things I mentioned earlier — the two-day weekend, the 8-hour system, taxes, distributing money — are all based on the premise that "people are still working," then after AOS replaces people, what use are these institutions?

The answer is: these institutions are even more important in the AOS era, more important than they are now.

Because AOS does not need a two-day weekend. You set an 8-hour system for AOS? It does not care. You tax AOS? It has no profit; the profit belongs to its owners. You give money to AOS? It does not need money. All institutions point to "people" — not "working people," but "people." When people no longer work, we need a different logic: What do people live on? What do people consume with? What gives people the right to participate in society?

If we have established institutional stress before AOS arrives — taxes collected from capital and redistributed to the bottom — then when AOS fully replaces human labor, this distribution mechanism will already exist. Taxes are collected from AOS owners and distributed to the bottom. The bottom may not have work, but they have money to consume. The market continues to function. People and the market are no longer disconnected. This is not a "utopia"; it is a "bottom line."

And if we have not established this mechanism before AOS arrives — if the institution remains ineffective, capital still does not pay taxes, the bottom still has no protection — then when AOS replaces all human labor, the bottom will be completely

abandoned. They have not "lost their jobs"; they have been "deleted by the system." The system no longer needs them, no longer acknowledges them. They do not even have the opportunity to "be exploited."

So when AOS comes, the question is not whether institutions are "still useful." The question is whether institutions "can keep people alive." Institutional stress exists so that people are not abandoned in the AOS era. If the institution does not stress, when AOS comes, people will truly be gone.

What if AOS comes faster than expected, and we cannot even wait five years?

This is not a hypothesis; it is an approaching reality. The speed of technological evolution is exponential, not linear. What you think will happen in ten years may arrive within three years. What you think is a problem for five years from now may be right in front of you next year.

If AOS comes faster than expected, it means we have less time than we thought. You cannot say "wait until we are ready," because time waits for no one. You cannot say "wait until the economy improves to reform," because economic improvement itself is the result of reform. You cannot say "wait until research is clear before acting," because there is no time for research.

What do I see now? Factories are already laying off people, logistics is already becoming unmanned, customer service is already being AI-ified. These are not future events; they are happening right now. If I do not apply institutional stress now, by the time AOS is fully rolled out, it will be too late to do anything — because by then, no one will help me. Capital will not need me, the system will not need me, and I will not even have any bargaining chips. I am doing it now because I still have a few chips — I am still working, I still have income, I am still a "useful labor force." When I no longer work, I will truly have nothing.

So if AOS comes faster than expected, that is not a "reason not to act," it is a "reason to act faster." What I need to do now is not wait and see, but race to build the institutional framework before AOS is fully rolled out. If the framework is built, when AOS comes, I at least have a buffer. If the framework is not built, when AOS comes, I will have nothing.

If labor disappears, does the market still exist?

This is the last question, and also the most fundamental one.

Labor disappears — not "people disappear," but "the identity of being labor disappears." People are no longer needed to do those repetitive, mechanical, life-

consuming jobs. AOS can do them better, faster, cheaper. What can people still do? People can still consume. But consumption requires money. Where does the money come from?

If people have no income without work, no consumption without income, no market without consumption. Then where is the market? The market disappears. AOS produces things, but no one buys them. Because the people who could buy are no longer in this system. The market does not disappear because "there are no people," but because "there is no money." People are still here, but they have no purchasing power. AOS can produce, but the things it produces are consumed by no one.

This is a dead loop. The only way to break this loop is to separate "people's right to exist" from "people's labor." You do not need to work to live, because your existence itself has value. You do not need to sell your time to anyone, because your time belongs to yourself. The right to consume is no longer attached to labor, but attached to "you are a person."

When labor disappears, does the market still exist? If we do not change the current distribution model, the market disappears. If we change the distribution model, the market still exists — and it may become a healthier market. Because at that time, consumption no longer depends on whether you have a job, but on your natural ability as a person to participate in the market. The market is no longer a combination of "labor + capital," but a combination of "people + technology." People consume, technology produces, and the market runs.

Without people, the market is nothing. And people should not be equated with labor. People are people. As long as people live, the market exists.

8. If Institutions Stand Firm, People Will Not Be Abandoned by the Times

Labor is the market. Without labor, there is no consumption. Without consumption, there is no market. This is the starting point of the entire chain of reasoning.

Now let's talk about institutions.

What is an institution? An institution is a line. On this side of the line is what is permitted; on that side is what is not. Its function is not to "control," but to "draw." Draw a bottom line, telling everyone: you can go this far, but you cannot go any

further. If you go further, someone will get hurt, someone will be crushed, someone will not be able to survive.

The meaning of an institution's existence is that this line truly has binding force. If someone crosses this line, they will be punished. If no one crosses this line, it is because the existence of the line itself is working. The institution is not a decoration written on paper; it is a wall standing in reality. The function of a wall is not to "look good," but to "block." Block those things that should not happen, block those behaviors that harm people, block those forces that would cause the system to collapse.

I spent ten years unable to find a job with a two-day weekend. It was not because this line did not exist; it was because this line was only drawn there, with no one to enforce it. The line was still there, but the wall had fallen. Enterprises could cross it at will, with no consequences. Workers were pressed down on this side of the line; the other side was empty — no protection, no support, nothing to rely on.

So what needs to be done now is not to draw a new line, but to stand the line that has already been drawn back up. Make the wall stand again, make those who cross the line pay the price, make the line truly binding. This is the stress of the institution. Institutional stress is not about "the government managing more," but about "rules actually working." It is not about "controlling everything," but about "holding the bottom line."

Institutional stress is not something that can be completed in a day. It is a process, a direction. In this process, there will be many obstacles, many misunderstandings, many "what ifs." The following are those "what ifs."

What if the 8-hour work system is implemented, but enterprises use more people and efficiency drops?

The 8-hour work system is not about "working less," it is about "working distributed."

The efficiency of a person working 8 hours versus 12 hours does not decline linearly. Within 8 hours, a person's energy is concentrated and effective. Beyond 8 hours, efficiency drops sharply. If you make a person work 12 hours, the efficiency of the last 4 hours may be only half of the first 4 hours. The quality of what you produce declines, error rates rise, and rework costs increase. Looking at the total, the output of 12 hours of work may not be much higher than 8 hours.

But what if the enterprise uses two people to share the work that one person used to do in 12 hours? Two people each work 8 hours, totaling 16 hours, which is 4 hours more than 12 hours. The enterprise's labor cost rises. But what the enterprise gets in return is: two people with higher work quality, lower error rates, more stable employees, and lower turnover rates. A stable, energetic, well-conditioned worker produces much more than a tired, numb worker who wants to leave at any moment.

And more importantly: two people have income, not just one. Both people have money to consume, and the market expands. When the market expands, the enterprise's products sell better. When they sell better, the enterprise gets more orders. With more orders, it needs more people. This is a virtuous cycle. The short-term efficiency loss is offset by the long-term scale effect.

Efficiency is not achieved by "exploitation," but by "reasonableness." A machine running continuously for 24 hours will wear out, break down, and be scrapped. The same goes for people. The 8-hour work system is not about "making people work less," but about "enabling people to work long-term." A person who has had a two-day weekend for ten years versus someone who has not had one for ten years — who has a better body? Who has a more stable mental state? Who can continue working until age 60? The answer is obvious.

The 8-hour work system is not the enemy of efficiency; it is the friend of efficiency.

What if the 8-hour work system is implemented, but working hours are shortened and income also drops?

This is a real concern. You shorten working hours, the enterprise's total wage payment remains the same, but each person works fewer hours and takes home less money. If a worker used to work 12 hours and earn 6,000 yuan, and now works 8 hours and only earns 4,000 yuan, his income has indeed dropped. He might say: "I would rather work 12 hours and earn 6,000 yuan."

But look at this scenario on a larger scale. Previously, one person worked 12 hours and earned 6,000 yuan; three people working 12 hours each earned 6,000 yuan, totaling 18,000 yuan. Now four people work 8 hours each, earning 4,000 yuan each, totaling 16,000 yuan. Total wage expenditure is lower, but the number of employed people is higher. Four people have income, not three. The market gains one more consumer and loses one less unemployed person.

Moreover, when the number of unemployed decreases and consumers increase, market demand rises. When demand rises, enterprise orders increase. With more

orders, enterprises need more people. More people have jobs, more people have income, and consumption continues to rise. This is a cycle.

In the short term, each person's income does drop. But in the long term, more people have income, the market is bigger, the pie is bigger, and each person gets a larger slice. You earn 4,000 yuan now, but after the market comes alive, your salary will rise to 5,000 yuan, 6,000 yuan — because your industry is doing well, and your skills are more in demand.

This is not about "making people poorer," it is about "giving more people the opportunity to become wealthy." Spread out work, spread out income, spread out consumption, spread out opportunities. Each person takes a little less, but everyone gets something. This is much better than a few taking a lot while most get nothing. Compressing working hours from 12 to 8 hours will indeed cause some people's income to drop in the short term. But this is to allow more people to have jobs, have income, and have the ability to consume. When the consumer market expands, these people will return to their due income level — or even higher. Without a market, you have no bargaining power. Only when the market is big do you have the confidence to negotiate wages with enterprises.

What if restoring the two-day weekend increases enterprise costs and lowers worker income?

The essence of the two-day weekend is the same as the 8-hour system: spreading out.

One person works 6 days, another works 5 days. The person working 6 days works one more day and earns one more day's pay. But the person working 5 days also has a job, has income, and can consume. Previously, 10 people each worked 6 days; now 12 people each work 5 days — total working hours are the same, but two more people have jobs. When these two people have income, they consume, the market expands, enterprise orders increase, more orders require more people, more people have income — a cycle.

But there is one problem: enterprises have to pay social insurance for more people. Previously, social insurance for 10 people; now, social insurance for 12 people. The enterprise's labor cost does rise. At the same time, although workers have jobs, each person's salary is lower than before. Previously, one person worked 6 days and earned 6,000; now, one person works 5 days and earns 5,000. Workers also suffer a loss.

But what do these two losses together buy us? Two people are no longer unemployed. Two people have purchasing power. The market expands. The entire system shifts from "a few people work, most have no money" to "most people work, most have money."

You need to look at the total picture, not the individual enterprise's books. Enterprise costs rise, but the market expands. Worker income decreases, but more people have income. Total demand rises, total output rises, and total profit will also rise. This is not a zero-sum game; it is creating more total value through redistribution.

I spent ten years unable to find a job with a two-day weekend, not because I did not want to work, but because those jobs did not need me. After restoring the two-day weekend, the same work is shared by more people, more people are needed, and I have a job. I have a job, I have money to consume, the market comes alive, and my job is more stable. This is the virtuous cycle brought by the two-day weekend.

What if, after restoring the two-day weekend, enterprises circumvent it with "voluntary overtime"?

This is the first challenge that institutional stress faces. "I don't care, I let him voluntarily work overtime; he does it willingly" — this is the most common excuse from enterprises.

If "voluntary overtime" becomes a common practice, then the two-day weekend is just a decoration on paper. The institution returns to square one. So institutional stress must be rigid on this point: overtime must be strictly defined. What counts as an emergency? What counts as a short-term project? What counts as force majeure? These must all have clear definitions and boundaries in the law. "Voluntary overtime" beyond these boundaries must be considered a violation. If the law is not enforced, it becomes empty words. The enterprise says the employee is voluntary; the employee says I am forced to be voluntary; then the institution fails, and we return to the state I was in ten years ago.

How does Europe handle this? German law requires that overtime must be recorded, and daily overtime must not exceed two hours, with a weekly maximum of 10 hours. Exceeding this limit results in fines for the enterprise. Moreover, employees have the right to refuse overtime — the boss cannot fire an employee for refusing overtime. In Japan, death from overwork is prosecutable — business owners can be sentenced for excessive overtime causing employee deaths.

For the institution to work, it cannot rely on "reminders" and "suggestions"; it must rely on consequences. I need to make enterprises understand that the cost of making employees "voluntarily work overtime" is much higher than not making them work overtime. When the cost of violating the rules is higher than the cost of following them, enterprises will choose to follow the rules.

This is not about "forcing" enterprises; it is about "guiding" enterprises. I give them one path: a compliant, worry-free, trouble-free path. At the same time, I make the non-compliant path dangerous, expensive, and not worth it. Enterprises will choose for themselves. Enterprises are not stupid; they know what is most beneficial for them.

What if, under the 8-hour work system, enterprises use piece-rate wages to circumvent working hour limits?

This is a very subtle way of circumvention. I do not force you to work overtime, but I set the unit price very low, so if you want to earn money, you have to produce more. If you want to earn 5,000 yuan, you have to produce enough to earn 5,000 yuan. And that amount just happens to require you to work 10 hours. You "voluntarily" work 10 hours.

There is only one way to deal with this circumvention: the relationship between time wages and piece-rate wages must be defined by the institution. The unit price of piece-rate wages must ensure that a skilled worker can earn a reasonable income within 8 hours. If it turns out that workers need to work 10 hours to earn that income, the institution must intervene and re-determine the unit price.

This requires supervision, enforcement, and the institution actually looking, actually checking, actually penalizing. If I just write a clause saying "time wages and piece-rate wages must be reasonable," but there is no agency to verify, no agency to adjust, no agency to penalize enterprises that are unreasonable — then this regulation is as good as non-existent.

What if institutional stress is applied, but enterprises circumvent it through outsourcing and labor dispatch?

Institutional stress is not just aimed at "regular employees." You regulate the working hours of regular employees, and enterprises can turn you into a dispatched worker. You regulate dispatched workers, and enterprises can turn you into an outsourced worker. You regulate outsourced workers, and enterprises can turn you into an "independent contractor." Layer upon layer, putting on one skin after another — the institution can never catch up.

So when I design the institution, I do not target a specific "identity." The constraint of the institution is targeted at the "work content itself." No matter whose name I use to hire people, no matter whether the contract is a labor contract or a service contract, no matter whether the person is called a regular employee, temporary worker, or outsourced contractor — as long as he is in my workplace, following my instructions, completing a part of my business process, he should be covered by the same rules.

How does Germany handle this? It has a legal concept of "dependent employee." If you have continuous authority to give instructions to the outsourced contractor, if you determine his working hours, workplace, and work methods, if you are his sole source of income — then he should legally be considered an "employee," not an "independent contractor." Germany amended relevant laws in 2020, clarifying that "workers in the platform economy" should be considered as employees, entitled to social insurance and labor protection. In 2021, the German Federal Labor Court ruled that Uber drivers should be considered employees rather than independent contractors, because they are directed by Uber's algorithm system and cannot independently determine their work methods.

Institutional stress is not about "controlling an identity," but about "controlling a relationship." As long as you are essentially laboring under subordination, you should be protected. Outsourcing and labor dispatch are just forms; the underlying labor relationship has not changed. The institution focuses on the relationship, not the form.

What if institutional stress is applied, but large enterprises can handle it more easily than small enterprises, and small enterprises are crushed instead?

This is a real risk. Large enterprises have legal departments, human resources departments, and compliance departments. You issue a new regulation, and large enterprises can respond immediately. What about small enterprises? Small enterprises may not even have a full-time HR person. You issue a regulation, and they cannot even understand it, let alone implement it. So institutional stress has a side effect: it may allow large enterprises to survive while small enterprises die. Large enterprises have strong scale effects and low marginal costs; adding a little compliance cost is a drop in the bucket for them. Small enterprises have thin profit margins; adding a little compliance cost can be fatal.

But does the market need large enterprises or small enterprises? Both. Large enterprises provide scale; small enterprises provide vitality and diversity. So when

designing institutional stress, this must be taken into account. For example, implementation can be phased for micro and small enterprises, with longer transition periods and simplified compliance procedures. The core is to differentiate by scale, to treat differently, and not to let the institution become a moat for large enterprises.

When Europe implemented the GDPR (General Data Protection Regulation), it allowed small enterprises a longer transition period. Not relaxing the bottom line, but giving time to adapt. Institutional stress is not a one-size-fits-all approach; it is promoted in stages, by category, by rhythm. If you make a small enterprise and a multinational corporation use the same compliance standards, you are forcing the small enterprise to die. This is not institutional stress; it is institutional massacre.

What if institutional stress is applied, but the cost of enforcement is too high to implement?

This is the most realistic problem. No matter how good the institution is, if no one enforces it, it is just a piece of paper. The labor law has been written there for thirty years, but no one has checked, so enterprises have been able to ignore it for thirty years. No matter how many laws you establish, if there is only one labor inspection team with only a few thousand people nationwide, how can you inspect? How can you penalize? How can you enforce?

So enforcement must rely on the strength of the entire society. Labor unions must be able to function, workers must be able to report without retaliation, the media must be able to report without being silenced, and the institution must be able to receive every complaint and give feedback. When a worker complains about an enterprise and receives a processing result three months later, only then can the institution be said to be "stressed." If he receives no response after complaining, the institution is as good as non-existent.

The cost of enforcement is high because the enforcement network has not been established. I need to make every worker a "sensor" of the institution. He feels injustice, he reports it, the institution responds, the enterprise is penalized — every time this cycle completes, the deterrent power of the institution increases by one degree. Complete it a thousand times, and the deterrent power of the institution is consolidated. This cannot be solved by adding a few civil servants; it can be solved by reshaping the relationship between workers and the institution.

What if institutional stress is applied, but local governments do not enforce it in order to protect GDP?

The relationship between local governments and enterprises is an unavoidable issue. Enterprises pay taxes, provide employment, and contribute to GDP. The main indicators for local government assessment are GDP growth rate, fiscal revenue, and employment rate. When an enterprise has a problem, the local government's first thought is "how to protect it," not "how to penalize it." So when institutional stress conflicts with local government interests, local governments will choose not to enforce, or engage in "soft enforcement" — a reminder, a warning, but not an actual penalty.

To change this situation, I must change the local government assessment system. If an area has a high rate of enterprise violations, many labor complaints, and low social insurance coverage — that indicates the institution in that area is ineffective. This information should be reflected in the local government's assessment. When "not enforcing" affects his own promotion, assessment, and performance, he will start to "enforce."

The relationship between the central and local governments is rigid. When policies come down, localities must implement them. When the cost of "not enforcing" becomes greater than "enforcing," localities will choose to enforce. Institutional stress is not about "believing local governments will be self-disciplined," it is about "making local governments have no choice but to be self-disciplined."

What if penalties are increased, but enterprises factor the fines into their operating costs?

This is the most dangerous scenario. You fine him 1 million; he calculates that non-compliance can save him 5 million, so he treats the 1 million as an operating cost. You fine him 2 million; he calculates that non-compliance can save him 10 million, so he treats the 2 million as an operating cost. As long as the penalty amount is lower than the gains from violating the rules, the penalty is meaningless. He will only treat it as "the cost of doing business," not as "the consequence of violating rules."

So penalties must follow one principle: punitive damages. First violation, fine equal to the gains from the violation. Second violation, double. Third violation, five times. And every time, it must be publicly announced — his name appears on the violation list, his partners will see it, his clients will see it, his suppliers will see it. Reputational damage is more terrifying than financial loss. When the cost of violation is not just money, but his reputation, his business relationships, his customer base — he will not dare to reoffend.

If you let an enterprise violate the rules three times in a row, it will have no way to survive in the market. Clients will not want to cooperate with it, banks will not want to lend to it, suppliers will not want to supply it. It does not die because of fines; it dies because "no one wants to play with it anymore." This is true institutional stress.

What if constraining enterprises makes government power too large?

Any institution is executed by people, and any power can be abused. You give the institution greater power, which in effect gives the government greater power. How do you ensure it is not abused? How do you ensure it does not transform from a "constrainer" into a "controller"? How do you ensure that institutional stress does not become a new form of institutional suppression?

The only answer is: the transparency of the institution itself. Institutional stress is not "one person calling the shots." It is a transparent, predictable, appealable, and supervised process. When an enterprise is penalized, it knows why it was penalized — where the clause is, what the evidence is, how the process was conducted. If it disagrees, it can appeal — there is an independent arbitration body to handle its appeal. When a worker files a complaint, he can also see the processing progress — how the process is going, which step it is at, and when it is expected to be completed.

When everything operates in the sunlight, abuse is very difficult to occur. The government cannot turn transparent rules into its own power tool, because once it does so, everyone will see it. Power is not prevented from abuse by "limitation," but by "transparency."

And you must note: the problem you are facing now is not "too many institutions," but "too few institutions." It is not that government power is too large, but that the government has not taken on the responsibilities it should. I spent ten years unable to find a job with a two-day weekend, not because the government managed too much, but because the government failed to manage what it should. I fear power being abused, but I am already suffering the consequences of absent power.

What if the people enforcing the institutional constraints become corrupt?

Corruption is a problem every institution must face. Institutional stress needs a "supervisor of supervisors" — third-party audits, media supervision, public participation. If only one agency enforces the law and no one supervises this agency, it will eventually be corrupted. But if you make the enforcement process transparent

— all penalty decisions made public, all appeal cases verifiable, all enforcement data traceable — the space for corruption will be compressed to a minimum.

Corruption is not a reason to "not manage," but a reason to "manage better." If you never go swimming because you are afraid of drowning, you will never learn to swim. If you never establish an institution because you are afraid of corruption, you will live forever in institutional failure. Institutional stress is not "perfect and flawless"; it is "getting better." It allows correction, appeals, and improvement. But the prerequisite is: it exists. An imperfect, improving institution is ten thousand times better than a perfect institution that does not exist at all.

9. The Nature of Enterprise and the Inversion of Market Order

1. What Is an Enterprise?

What is an enterprise?

This question seems simple, but for the past thirty years, we have gotten the answer backwards.

The essence of an enterprise is an organizational tool that arises in response to people's needs. It is not that enterprises came first, and then labor. It is because people need to eat, so there are grain-growing enterprises. It is because people need to wear clothes, so there are textile and garment enterprises. It is because people need to travel, so there are car-making and road-building enterprises. It is because people need to be cared for, accompanied, and healed, so there are hospitals, schools, and nursing homes.

Demand comes first, enterprises come after. People exist first, then enterprises appear. The market exists first, then enterprises enter. Labor exists first, then enterprises hire. An enterprise is never the purpose; it is always the means. Its existence has only one reason: to meet people's needs. When it can no longer effectively meet people's needs, or when the way it meets needs itself harms people, it has deviated from its essence.

An enterprise that has deviated from its essence is no longer a tool; it becomes an independent entity. It no longer serves people; it begins to demand that people serve it. It is no longer part of the market; it begins to treat the market as its own territory. It no longer needs to prove its usefulness to people; it only needs to prove it can survive. And the way to "survive" in many cases becomes "exploiting those who made it survive."

2. The Past Thirty Years, the Order Has Been Reversed

For the past thirty years, this system has completely reversed the order.

We made enterprises the purpose and people the tool. We put enterprise profits first and human dignity last. We protect enterprises from bankruptcy, even if they are exploiting people. We tolerate institutional failure because enterprises need "flexibility." We give up on protecting workers because enterprises need "competitiveness." We allow enterprises to not pay social insurance, not provide two-day weekends, not pay overtime, because we fear "enterprises cannot survive."

But have you ever thought: why do enterprises need "flexibility"? The "flexibility" they need is the flexibility to decide when people work, when people leave, and how much to pay people. This "flexibility" is not efficiency; it is power. It is the power to decide what another person's life can be like. Institutional failure is handing all this power to enterprises without giving workers any tools to counterbalance it.

3. Three Levels of the Inversion

This reversal of order occurs at three levels.

The first level: the inversion of purpose and tool.

An enterprise is a tool; people are the purpose. But in reality, people become tools and enterprises become the purpose. When you go for an interview, the enterprise asks "what can you do for me," not "what can I provide for you." When you work, the enterprise measures "is your output enough," not "is your life good." When you leave, the enterprise calculates "how much compensation is cheapest," not "how much are the ten years you gave here worth." The tool has become the master, and the master has become fuel. The enterprise has become an existence that does not need to be responsible to anyone. It is responsible to shareholders, to profits, to growth, but not to the person standing next to the production line. Because it does not need to. The institution does not require it to be responsible, and the market does not penalize it for not being responsible. It can be irresponsible and live very well.

The second level: the inversion of the order of survival.

In a healthy system, the order of survival should be: people live → people generate demand → enterprises satisfy demand → enterprises obtain profit. But in reality, this order has been reversed: enterprises survive → enterprises need profit → enterprises reduce costs → people bear the costs. Costs have become something

people bear, not something enterprises bear. The enterprise shifts all its survival pressure onto the people beneath it. Extended working hours, lower wages, reduced social insurance, substandard safety — these are all ways enterprises shift costs onto people. If it does not do these things, its profits become thin. With thin profits, it may not survive. So it turns the pressure of "not being able to survive" into demands of "work more, take less, don't complain." People bear the risks that should have been borne by the enterprise itself.

The third level: the inversion of the order of protection.

In a normal market order, the order of protection should be: institution protects people → institution constrains enterprises → enterprises adapt to the institution → the market operates healthily. The primary purpose of an institution's existence is to protect the most vulnerable party in the market — the worker. It draws a line, telling enterprises: you cannot cross this line. If you cross it, you hurt people. If you do not cross it, you can continue to operate. But in reality, the order of protection is reversed: institution protects enterprises → institution does not constrain enterprises → enterprises "adapt" to the market without restriction → workers bear everything. The institution protects enterprises from closing, from bankruptcy, from being eliminated. It gives subsidies, loans, policies, exemptions. But it does not give workers protection. It lets workers bear it themselves. If you can bear it, you survive. If you cannot, you disappear. When the order of protection is wrong, the entire system is skewed. It is not "maintaining balance"; it is "reinforcing one side" — strengthening the enterprise side, making the other side thinner, more fragile, with no one to support it.

4. When Enterprises Are "Too Big to Fail"

Over the past thirty years, we have also bred a new kind of monster: enterprises that are too big to fail.

These enterprises did not win the market through products, technology, or management. They won through scale — scale so large that the institution dare not touch them, so large that the government cannot let them fail, so large that the market cannot do without them. They use scale to hijack the system. They know: if I fail, tens of thousands will be unemployed. If I fail, local GDP will collapse. If I fail, the bank's bad debts will explode. So I will not fail. And because I will not fail, I can do whatever I want.

What do they do? They squeeze suppliers' prices until suppliers can only survive by exploiting workers. They extend working hours throughout the supply chain, making everyone on the chain work overtime. They do not pay or underpay taxes because "we provide employment." They do not comply with environmental and safety standards because "we contribute to GDP." They use "bigness" as a talisman and "cannot fail" as a get-out-of-jail-free card.

The object of institutional stress is first and foremost these "too big to fail" enterprises. Not because they are bad, but because they have become so large that the institution cannot control them. An enterprise that cannot be controlled, no matter how big it is, is a risk. It is like cancer cells, eating up all the healthy tissue around it, then telling the system "you cannot live without me." And the system, in fear, chooses to continue feeding it.

5. The Correct Form of Market Order

What should a normal market order look like?

It is turned upside down. People stand at the top. People's needs are the starting point of the market. The existence of enterprises is to satisfy people's needs. The existence of institutions is to protect people's bottom line from being crossed by enterprises. Enterprises can compete, innovate, and make money. But when they do these things, there is a line they cannot cross. That line is drawn by the institution. On this side of the line is competition, efficiency, and profit. On the other side is people's time, people's health, and people's dignity. Enterprises that cross the line will be stopped, penalized, and eliminated by the institution. No enterprise is so big that it can cross the line and not be stopped. No enterprise is so important that the institution dare not penalize it. All enterprises compete under the same bottom line. You cannot win by "exploiting people"; you can only win by "doing well."

This is market order. Not "enterprise first," not "profit first," not "growth first." It is people first. People are the starting point of the market, and also the end point of the market. Enterprises are the passage in the middle; institutions are the guardrails on both sides of the passage. At the end of the passage are people, not profit. The guardrails protect people, not enterprises. When the order is correct, the system is alive. When the order is wrong, the system is skewed. Our current system is skewed. What we need to do is not to knock down enterprises. It is to correct the order. Let enterprises return to the position they should be in, let people return to the position they should be in. The institution stands in the middle, guarding that line. Whoever crosses the line gets stopped. Whoever gets stopped gets penalized. Whoever gets

penalized must correct. If they cannot correct, they get eliminated. This is how a normal system operates. Not "whoever is stronger is right," but "whoever follows the rules lives." Rules are made for people, not for enterprises. But rules constrain enterprises first. Because enterprises are too strong. If people do not constrain them, they will devour people.

6. The Long-Term Interests of Enterprises — Why "Returning to the Position of Tool" Benefits Them

You might say: "You have said so much about how enterprises should be managed, constrained, and pulled back to the position of tools. But what about the interests of enterprises? Why should they cooperate?"

This is a question that must be answered. Because if institutional stress is only about "constraining enterprises" and enterprises have no long-term benefits, they will only find ways to circumvent the institution rather than adapt to it. What institutional stress needs to do is not to make enterprises "accept punishment," but to make enterprises "recognize the path" — recognize the path that is more beneficial to them in the long run.

The first account: when people are stable, enterprises can be stable.

In a factory, if workers worry about being laid off today, about wage cuts tomorrow, about having no medical security the day after, they cannot work well. Their body is on the assembly line, but their mind is thinking "what to do next month." They will make mistakes, take leave, slack off, and leave at any time. Every time you hire a new worker, you have to spend time training. New workers are slow to get up to speed, have low yield rates, and generate many customer complaints. The social insurance and overtime pay you save are not enough to cover these hidden costs.

If institutional stress is applied, workers have two-day weekends, social insurance, and a sense of security. They will settle down. They will feel "this factory is worth staying in." They will work seriously, retain their experience, and proactively help you optimize processes. You do not need to frequently recruit, repeatedly train, or deal with so many errors and complaints. Your management costs decrease, your product quality improves, and your customers stay. Do the math: the recruitment fees, training fees, rework fees, and compensation fees you save — they may be more than the extra social insurance you pay.

The second account: you can make money without exploiting people.

Many business owners have a deeply ingrained belief: "If I don't exploit people, I can't survive." But this belief is based on one premise — all enterprises are exploiting people. When all enterprises are exploiting, if you do not exploit, your costs are higher than others, and you cannot survive. This is the logic of "race to the bottom."

But after institutional stress, this premise changes. When all enterprises must comply with the same bottom line — two-day weekends, social insurance, safety standards, taxes — you can no longer gain cost advantages through exploitation. At this point, competition returns to where it should be: who is more efficient, who has better technology, who has better management, who has stronger products. If you are a boss who can truly do things, you no longer need to compete with those "more shameless" enterprises. You just need to do your own work well. You no longer need to exploit your workers, because they have institutional protection and you cannot exploit them. What you need is to make good products, optimize processes, and serve customers well. You will find that this road is easier than you think. Because your workers are stable, your customers are trusting, and your profits are sustainable. You no longer need to win by being "more ruthless." You can win by being "better."

The third account: only when the market is big will orders be plentiful.

This is the simplest economic logic, but many business owners have forgotten it. If everyone has no money to consume, who do you sell your products to? If the bottom is squeezed to the point where they can only survive but not consume, where do your orders come from? You squeeze one worker, he spends one hundred yuan less, and your business loses one hundred yuan of demand. You squeeze ten thousand workers, and the market shrinks by one million. The costs you save are the market you dig out from under yourself.

What institutional stress needs to do is give the bottom money. Taxes flow from the top to the bottom, money is distributed to the bottom, activating the low-end market. When the bottom has money, they consume. The vegetable market comes alive, the small shop comes alive, the wholesaler comes alive, the manufacturer comes alive. The entire supply chain you are in, from beginning to end, comes alive. Your orders increase, your machines run, your profits thicken. The extra tax you pay is far less than the extra orders you earn. The social insurance money you save is far less than the market you lose. You are not "sacrificing" profits for the institution; you are "buying back" a bigger market through the institution.

The fourth account: when AOS comes, if you do not change, you die.

This is the most realistic account. AOS is replacing people. It does not need two-day weekends, social insurance, or overtime pay. It can operate 24 hours a day. If the institution does not constrain AOS, and you do not use AOS, your competitors will. They use it, their costs are lower than yours, they quote lower prices, and they take your orders. You die.

If the institution constrains AOS — taxing AOS, requiring enterprises that use AOS to pay replacement taxes, retraining taxes, and safety net taxes — then the cost gap between using AOS and using people is not that large. You do not have to be forced into "either switch to AOS or die." You can choose: retain some people, use AOS to supplement some production, and combine the two. People will not disappear directly, and you will not be directly eliminated. Constraining AOS is not "limiting technological progress"; it is "giving you a buffer." It gives you time to adjust, time to transform, time to find a way for people and AOS to cooperate, rather than being directly replaced. If you do not change, when AOS comes, you will have nothing. If you change, you at least have a chance to stand.

The fifth account: surviving long-term is more important than making quick money short-term.

Many enterprises only look at the present. This month's profit, this quarter's report, this year's growth. For these numbers, they can exploit, evade taxes, and deny two-day weekends. They calculate the short-term account. But institutional stress calculates the long-term account. An enterprise that can only survive by exploitation will never grow up. Because all your time is spent in the cycle of "people leave, recruit again, people leave again," and you have no energy for R&D, brand building, or technology accumulation. You are forever stuck in the quagmire of "low-level competition."

After institutional stress, you cannot exploit. You are forced to think: how do I improve efficiency? How do I make better products? How do I optimize management? These are the things that can make you grow. You are forced to move from "low-level competition" to "high-level competition." It is painful at first, but three to five years later, you will find: you are no longer a factory that could be eliminated at any time; you are an enterprise with technology, brand, and market. You have survived, and you will live much longer than those who survive by exploitation.

So, why should enterprises cooperate with institutional stress?

Because they can live more stably, earn longer, and stand at a higher position.

Institutional stress is not "punishing enterprises"; it is "moving enterprises from a dead end to a living path." That dead end is: exploit people → people have no purchasing power → market shrinks → profits decline → exploit more desperately → people have even less money → market gets even smaller → everyone dies together. That living path is: follow the rules → people are stable → consumption rises → market expands → orders increase → profits grow → technology upgrades → competitiveness improves → live longer. You are not being "managed"; you are being "pulled back to a path that can go far." That path is not easy, but it has an end. And the path you are on now has no end — because there is a cliff in front of you.

7. What Should an Enterprise Look Like?

If the order is corrected, what should an enterprise look like?

It should be a place where people can stand and earn money. Not kneeling, not lying down, not overdrawing. Standing — standing to work, standing to earn, standing to go home. It should be a place where people still have energy to be themselves after work. Not just wanting to collapse after work, not wanting to talk, not wanting to move. Being able to cook, to accompany children, to think "what do I want to do tomorrow" after work. It should be a place where people will not end up with nothing when they are old. Not working for thirty years and ending up with nothing. After thirty years of work, still having a place to live, money to eat, and medicine to take. It should be a place where people will not be directly discarded when AOS comes. Not finding on the day of replacement that their ten, twenty, thirty years have all been reset to zero. When replaced, there is still someone to catch them, telling them "you still have a path to go."

Can enterprises achieve these? Yes. As long as the institution requires them to. As long as the institution does not allow them not to. As long as those who cross the bottom line are penalized to the point where they dare not reoffend. Enterprises will adapt. They have always been adaptable. They adapted to "not having to pay social insurance"; they can adapt to "must pay social insurance." They adapted to "not having two-day weekends"; they can adapt to "must provide two-day weekends." They adapted to "shifting costs to workers"; they can adapt to "bearing costs themselves." Enterprises have no morality; they only have costs. The institution changes costs. When the cost of following the rules is lower than the cost of not following them, they will follow the rules. It is not for your good; it is for their own good. But the result is the same: you are better off. You stand and earn money. You still have energy after work. You have security when you are old. When you are replaced, there

is still someone to catch you. This is what an enterprise should look like. Not "good," but "following the rules." Rules are not made for good people; they are made for everyone. Let all enterprises compete within the same line; whoever crosses the line is out. Cross the line and you are out. It is that simple. After being eliminated, the remaining enterprises will live better. Because the market is clean, competition is fair, workers are stable, and consumption picks up. They no longer need to survive by exploitation; they survive by true ability. This is what an enterprise should look like. Not "good," but "normal." Standing in the position it should stand, doing what it should do, being constrained by the rules that should constrain it. Normal is correct. Correct, and the market comes alive. Alive, and people stand. Standing, and enterprises can make money for a long time. Long-lasting, and the enterprise truly deserves to be called an "enterprise." Not a monster that devours people, but a tool that serves people.

8. Enterprises Return to Their Place, People Can Return to Theirs

An enterprise is a tool of people, not the master of people. Over the past thirty years, we have raised it to be a master. Now we must pull it back to the position of a tool. Not to humiliate it, but to return the market to normal, to return people to the center. The institution stands in the middle, guarding that line. On this side of the line is the market; on the other side is people. Whoever crosses the line is out. After being eliminated, what remains is normal. A normal market is a market where people stand at the top. A normal order is an order where people have the final say. We are moving in that direction. Not because we want to, but because we have to. Because if we do not move in that direction, the system will move in another direction — the end of that direction is where people are no longer inside. We choose to take the normal path. Let enterprises return to being tools, let people return to being people. Tools serve people, people live. It is that simple. And it should be that simple.

A tool is a tool; it can never be the master. The institution is the rope that pulls it back to the position of a tool. The rope is already in hand — do we loosen it or tighten it? If we do not tighten it, it will continue to devour people. If we tighten it, it will return to where it should be. Only by returning to the position of a tool can it exist for a long time. If it does not return to the position of a tool, it will starve to death after devouring everyone. Because it has devoured its own market. Devoured its own consumers. Devoured the foundation of its own existence. It does not know what it is doing. But the institution knows. What the institution needs to do is to see this clearly for it, and then make the right choice for it — tighten the rope, let it

return to the position of a tool. It will hurt at first, struggle, and curse you. But after it survives, it will thank you. Because it will discover that only when it stops devouring people can it keep living. And living is the only thing enterprises truly want. Not profit, not growth — living. The only way for a tool to live is to be needed by people. Not to devour people. Those who devour people will eventually be devoured by themselves. Because when people are gone, it is gone too. It needs people to live. So it must let people live. The way to let people live is to return to the position of a tool. Serve people. Do not exploit people. Do not consume people. Do not treat people as things to be used and discarded. This is its way of survival, not its moral choice. If it does not choose this, it will die. If it chooses this, it can live. The institution is there to make it choose. Choose correctly, and we all live. Choose wrongly, and we all die. There is no third option.

The Contemplation of Institutional Stress — All Key Assumptions About Enterprise Reform

The following are the "what ifs" about enterprises.

What if increasing taxes causes both good and bad enterprises to die together?

This is a reasonable concern. Taxes are increased, costs rise. Good enterprises follow the rules, have been paying taxes all along, and their costs are already high. Bad enterprises do not follow the rules, have been evading taxes, and their costs are low. Now that taxation is strict, bad enterprises can no longer evade, and their costs rise. What about good enterprises? Good enterprises have been paying taxes all along; they do not have a "cannot evade" problem, and their costs have not changed.

If good enterprises' costs have not changed and bad enterprises' costs have risen — who becomes more competitive? Good enterprises. Good enterprises were previously suppressed by bad enterprises using the advantage of "not paying taxes." Now that advantage is gone. Good enterprises do not need to make any changes; they automatically become more competitive.

Increasing taxes will indeed cause some enterprises to die. But those that die are the ones that survive by "not paying taxes." Those that survive by real ability will not die; instead, they will live better. Increasing taxes is not about "killing enterprises"; it is about "killing bad enterprises."

Moreover, the money collected from tax increases is not taken by the government to spend; it is redistributed to the bottom. The bottom has money, they

consume, the market expands. Good enterprises' products sell better, their revenue is higher, their profits are thicker. They pay more tax, but they also earn more money. Tax increases are not a one-way "taking away"; they are a two-way "cycle" — money is taken from enterprises, goes to the bottom, is consumed, returns to enterprises, is taxed again, and goes back to the bottom. This is making money circulate, not making money die.

What if increasing taxes causes enterprises to move abroad?

This is the most common threat from enterprises: "If you raise taxes, I will leave."

But if enterprises move, where do they move to? Southeast Asia? India? Mexico? These places do have cheaper labor, lower taxes, and looser environmental requirements. But what do enterprises need to move? They need to rebuild supply chains, retrain workers, readapt to unfamiliar legal systems, and reestablish market channels. These costs are not small amounts. Moreover, the infrastructure, logistics efficiency, and political stability of those places cannot catch up in the short term.

A truly competitive enterprise will not move just because of a small tax increase. The cost of moving is much higher than the cost of staying. It just does not want to pay taxes and wants to continue exploiting. If you do not increase taxes because you are afraid of enterprises moving, you will be held hostage forever. "You dare not control me, because I can leave at any time" — this is the enterprise's ultimatum to the government. If you accept it, you live on your knees. If you do not accept it, it may not actually leave.

At the same time, you must understand that AOS is changing the layout logic of global industrial chains. Before, enterprises moved to Southeast Asia for cheaper labor. When AOS becomes widespread, what determines which country a factory produces in? It depends on electricity supply, network bandwidth, supply chain supporting facilities, and market size — not on "where people are cheaper." China is already among the best in the world in these aspects. If an enterprise moves, it is not moving to a better place; it is moving to a worse place — just to save that little bit of tax. The tax it saves may not even be enough to compensate for the losses from supply chain disruption.

What if canceling subsidies makes enterprises more difficult?

Before, enterprises were propped up by subsidies; even if they were inefficient, had poor products, and chaotic management, they could still survive. Now that

subsidies are gone, they must live by their true ability. This is cruel — some enterprises will indeed die. But they were never meant to live.

But with the same "enterprises will die," some people see a crisis, while others see a screening. The government cannot forever use subsidies to support inefficient, backward, and uncompetitive enterprises. Every cent of subsidy you spend comes from taxes. This money could have been used to improve people's livelihoods, invest in infrastructure, and raise education and healthcare levels — but you use it to keep an enterprise that should have closed alive. Are you helping an enterprise, or are you harming the entire society?

And have you noticed a phenomenon? Those truly competitive enterprises rarely rely on government subsidies. Huawei did not survive on subsidies; BYD became stronger after subsidies were reduced. Truly excellent enterprises are tempered in market competition, not raised in a subsidized greenhouse. Canceling subsidies is like opening the greenhouse door, letting those that can only live in the greenhouse die, and letting those that can adapt to the natural environment survive.

What if canceling subsidies causes some enterprises that could still be saved to die?

Some enterprises are not "bad enterprises"; they are just temporarily in difficulty. They need time to adjust, time to transform, time to adapt. If you cancel subsidies, they die immediately.

But "subsidies" are not the only way to save enterprises, nor are they the best way. You can use low-interest loans, technical support, market access preferences, and many other ways to help enterprises — but "directly giving money" is the easiest way to create dependence, breed corruption, and distort the market.

Moreover, it is very difficult to judge: is an enterprise truly "temporarily in difficulty" or "fundamentally unsound"? You give subsidies, it says it needs time to transform. Three years pass, it is still asking for subsidies. Five years pass, it is still asking for subsidies. You cannot tell whether it truly needs them or is just accustomed to being supported. The essence of canceling subsidies is to let enterprises prove themselves — "You don't need to tell me if you're good enough; the market will tell you." If the market sentences it to death, it truly is not good enough. If the market says it is still okay, it can survive.

What if good enterprises are also eliminated, leaving only giants to monopolize the market?

This is a reasonable concern. In the process of institutional stress, some good enterprises may fall due to the impact of the transition period. And giant enterprises — those with abundant capital, huge scale, and strong market influence — they can most easily withstand the impact. They have sufficient funds to cope with rising costs, sufficient legal teams to handle compliance requirements, and sufficient market share to hedge risks. When in the process of institutional stress, a batch of small, medium, and good enterprises fall, and giants monopolize the entire market — that is more terrifying than bad enterprises surviving.

So when I design institutional stress, I must make "anti-monopoly" one of the core elements. I constrain enterprises, but I cannot let the constraint itself become a moat for giants. Increase taxes, but impose higher tax rates on monopoly profits. Strictly enforce the law, but apply stricter scrutiny to large enterprises. The target of institutional stress is first and foremost those "too big to fail" enterprises. If an enterprise is so big that it "cannot fail," then it itself is a risk. Before it becomes an even bigger risk, break it up, disperse it, and make it no longer a "giant."

Historically, the United States broke up Standard Oil and AT&T. The European Union is now breaking up Google and Apple's monopoly businesses. These are not "suppressing enterprises"; they are "protecting the market." In a healthy market, no one should be too big to fail or too strong to be regulated. Institutional stress must include anti-monopoly. Otherwise, the result of my stress is merely transferring the market from one bad enterprise to another big enterprise. That changes nothing.

What if enterprises move and take technology and talent with them?

When enterprises move, they do not just take equipment and orders. They also take a batch of skilled workers, a batch of engineers who understand technology, and a batch of middle managers who understand management. If these people follow the enterprise away, what is left is an empty shell. You lose tax revenue, lose industries, and also lose talent. The losses are compound, they are cumulative.

So what you need to do is not "prevent enterprises from moving," but "make talent stay." Retaining talent does not rely on locks; it relies on attraction. Is your institution respectful of people? Is your environment livable? Are your opportunities sufficient? When a country can provide good institutions, good environment, and good opportunities, talent will not leave.

And you must be clear: truly top-tier technology and talent will not go to a place that "attracts enterprises with low taxes." They will go to a place that "attracts people with high quality." You use institutional stress to constrain enterprises, and at the

same time use institutional stress to protect people. When people stay, the market stays. Enterprises can leave; if people leave, they cannot come back. If you keep people, enterprises that leave will return. If you let people go, it is useless even if enterprises come back.

What if enterprises move away and the workers left behind are abandoned?

This question is more urgent than the previous one. Enterprises can leave, but workers cannot. Their home is local, their children go to school locally, their parents retire locally. They do not have the ability to start over in another country. The enterprise moves away, and they are unemployed. It is not that they are not good enough; it is that the enterprise does not want them. So when designing institutional stress, the issue of "worker resettlement" must be considered.

When enterprises move and workers become unemployed — this consequence cannot be borne by the workers alone. The enterprise enjoyed the resources, the market, and the infrastructure of this place. When it leaves, it should leave sufficient compensation to help the workers it abandoned complete their transition. This money can be used for training, subsidies, or helping workers start small businesses. You need to make enterprises understand that leaving has a cost. You are not forbidden from leaving, but before you leave, you must properly arrange for the people you have used.

This sounds like an "enterprise burden," but it is actually a question of "responsibility attribution." Workers have given their time, energy, and youth to the enterprise. When the enterprise leaves, it should bear corresponding responsibility. You cannot use "market behavior" to cover up all costs. Market behavior does not mean there is no responsibility; responsibility follows power. If an enterprise has enjoyed the labor market here, it should be responsible for the labor here. This is not protectionism; this is attribution of responsibility.

What if this set of institutions causes the market to lose its vitality?

You increase taxes, increase penalties, increase regulation, increase constraints — you make it hard for enterprises to breathe, you make entrepreneurship difficult, you make investment hesitant. What about market vitality? New enterprises do not appear, new technologies do not emerge, new models do not surface, and the entire economy seems tied up, unable to move.

Institutional stress is not about "tying up" the market. Institutional stress is about "cleaning up" the market. After you clean out those enterprises that survive by exploitation, tax evasion, and institutional arbitrage, what remains in the market is a

clean, fair, and healthy competitive environment. A vibrant market needs a fair arena. You let all players stand on the same starting line, and let the competition result depend on who runs faster and who jumps higher — not on who is better at cheating and who is better at exploiting loopholes. Institutional stress is the infrastructure that maintains this fair arena. It does not limit vitality; it provides the foundation for vitality.

If this system is so good, why is no one doing it now?

This is not a technical question; it is a question of interests.

Who are the beneficiaries of institutional failure? They are the enterprises that can avoid paying taxes, social insurance, providing two-day weekends, and bearing any responsibility. They are the capital that has accumulated enormous wealth by exploiting institutional gaps. They are the vested interests that benefit from "flexible employment" and "low-cost advantages." These people do not want institutional stress. They do not want change. They want the institution to continue failing, the bottom line to remain vague, and workers to continue having no bargaining power. They are using the benefits they have gained to obstruct the repair of the institution, using the resources they possess to maintain the status quo.

This is why everyone can see the problem, yet no one is doing anything about it. It is not because they do not know; it is because someone is stopping them. The cost of stopping is low, the cost of changing is high. So the system is stuck here — moving forward is difficult, moving backward is impossible, so it can only remain rigid in place, until a certain critical point arrives. And I can already see that critical point approaching.

What if the vested interests refuse and stubbornly block change?

This is a question that must be faced. I have analyzed the causes of institutional failure, proposed the plan for institutional stress, and demonstrated the urgency of AOS's inevitable arrival. But in the end, all of this faces the same problem: institutions are executed by people, change is driven by people. If those vested interests who hold power, resources, and voice refuse and stubbornly block change — what can I do?

No one can give a definite answer. No structural change in history has been a "peaceful transition." Every change is the result of game-playing, conflict, compromise, and struggle. I cannot make those who profit from institutional failure voluntarily give up their interests. They will not voluntarily let go, because that is

their lifeline. But they can be made to realize: the cost of resisting change is greater than the cost of accepting change.

When AOS gradually replaces human labor, when the market shrinks to the point where even their profits are declining, when social conflicts accumulate to the point where even they cannot ignore them — at that time, the cost of "refusing" becomes very concrete. It is not a moral "should," but an interest-based "have to."

The driving force of institutional stress is not me alone. It is those who have been unable to find a two-day weekend job for ten years, those who have nowhere to go after being replaced, those in rural areas with no work who can only rely on their children. When enough people realize that "change is inevitable," the vested interests cannot stop it. They can block it for a while, but they cannot block it forever.

Part 5: Prospects for Developing Countries

1. Who I Am, What I Have Seen

I am not an economist. I have no degree, no title, and have never published a single paper. I do not work at any research institution, nor do I belong to any policy-making department.

I am just a person who has lived in this system for thirty years.

Over thirty years, I have changed many jobs. Construction sites, factories, delivery, food delivery, warehouses, security — basically any job you can think of that doesn't require a college degree, I have done. Every time I changed jobs, it was not because I wanted to, but because the previous job was no longer sustainable — either the pay was too low, the hours were too long, the company went bankrupt, or I was replaced. Every time I left, I thought the next one would be better. But the next one only changed its name, its location, the color of its assembly line — it did not change the core thing: you still have no choice.

It took me ten years to understand one thing: this is not bad luck, nor is it lack of ability. This is a structural phenomenon. Every failure I experienced, every rejection, every time I could not find a job — these were not isolated incidents, but the inevitable result of a system in operation. I was not someone randomly struck by misfortune; I was someone designed by the system to walk this path.

I spent ten years unable to find a job with two days off per week. Not because I did not look, but because such a job does not exist in the labor market I can access.

I tried every path I could — entering factories, delivering packages, working security, running food delivery — every place I could get into, I entered. Every door, I knocked on. And then I discovered: it was not a problem with the door, but a problem with the building.

What does ten years mean? It means over three thousand days, hundreds of interviews, dozens of jobs, countless late nights working overtime, and standing up again after every rejection, walking into the next factory, and handing out that resume again. Ten years is not a period of time; ten years is the price a person pays to repeatedly confirm the same thing within a system. If I had only spent one year, you could say it was bad luck; if I had only spent three years, you could say I lacked ability; if I had spent five years, you could say I did not find the right direction. But I spent ten years, and I tried every path I could. And then I confirmed one thing: it is not that I am not good enough, but that this system was never meant to let me succeed.

The conclusion I verified is: in this system, workers have no bargaining power, institutions are not constraining enterprises, and race-to-the-bottom competition is the default mode of operation.

This is not an opinion; it is a fact. It is a fact I confirmed inch by inch over ten years, through countless overtime nights, countless rejected interviews, countless responses of "if you do not come, there are plenty who will."

I write this not as an "expert," but as someone who has lived through it. If this piece has any value, it is not in how smart I am, but in the fact that I have lived every word of it.

The first thing I saw was not "institutional failure," not "labor surplus," not "low-profile strategy." The first thing I saw was very specific: I could not find a job with two days off per week.

At that time, I did not yet know what the term "two days off" meant. I only knew I was tired. I worked six days, rested one day, and then worked another six days. That "one day of rest" was nowhere near enough — before I could recover, I was already back on the assembly line. Standing beside the production line, doing the same thing with my hands, one thought ran through my mind: Is it only me? Am I the only one this tired? Is it because I am not working hard enough?

I thought it was because I did not have enough education. I thought it was because I did not have enough skills. I thought it was because I had bad luck.

Later, it took me a long time to understand: no. It was the system itself that never intended to give me two days off. It was the system itself that never intended to give anyone standing in that position two days off. It does not need to. It can find people to work without giving you two days off. It can keep running without giving you security. It does not need you to live like a human being; as long as you can still stand beside the assembly line, it has already won.

Why? Because it does not need to. Enterprises can recruit people without providing two days off. If I do not come, plenty of others will. If I do not accept, plenty of others will accept. The structure of labor surplus determines that workers have no bargaining power. And institutional failure further amplifies this structure — enterprises will not face any punishment for not providing two days off, so of course they will not provide it.

I started from this specific phenomenon and pushed upward layer by layer.

After pushing upward, I saw labor surplus. I pushed further up and saw institutional failure. I pushed further up and saw the low-profile strategy. I pushed further up and saw the cost of this strategy — suppression. I pushed further up and saw the inevitable trend of AOS. I pushed further up and saw: if institutions do not apply stress, the impact of AOS will completely eliminate those who have already been suppressed for thirty years.

This is a complete chain. Its starting point is my personal experience: unable to find a two-day weekend. Its endpoint is a global judgment: all developing countries are walking a similar detour, and if they continue down this path, they will also reach the same dead end thirty years later.

This is what I mean by "moving from the micro to the macro, in a unitized form." One person's experience maps the operating logic of a system. And the operating logic of a system maps the development path of a group of countries. This is not some kind of mysticism; it is the simplest derivation: start from the phenomenon, skip no links, and push step by step to where it needs to go.

Over these ten years, I have repeatedly confirmed four things:

First, institutions are written on paper but not enforced. Labor law stipulates two-day weekends, overtime pay, and social insurance, but in ten years I have never seen a single enterprise penalized for not providing these things.

Second, workers have no bargaining power. In every interview, every job negotiation, I had only one choice: accept. I never had the leeway to say "no." Not

because I dared not say it, but because after I said it, there were a hundred more people waiting outside the door.

Third, race-to-the-bottom competition is the default mode of operation for the system. The way enterprises compete is not "who does better," but "who pushes lower." Lower wages, longer hours, reduced social insurance, lower safety standards — whoever pushes the lowest survives.

Fourth, the word "legitimate" has been redefined. Legitimate is no longer "does not exploit people," but "complies with the written rules." What is legitimate? When it no longer exploits people, that is legitimate. This is a redefinition. It pulls "legitimate" back from "compliance with written rules" to "factually reasonable." Using this standard to measure reality, you will find that a great deal of what is written in institutions, laws, and documents as "legitimate" is not actually legitimate — it merely complies with the written rules but has not changed the substance.

These four things are not what I "think"; they are what I "experienced." So when I write this piece, I do not need to cite any data. Because I am the data itself.

What I write is not an economics paper. Economics papers need parameters, models, and data verification. I do not need these. Because I am not writing predictions; I am writing direction.

The word "macro" is misunderstood by many people. It is treated as a synonym for "big numbers," "big indicators," "big market data." But what macro truly points to is a sense of direction — where the entire system is going, why it is going that way, how long it can keep going, and if the direction is wrong, how to turn around.

Economics, at its core, is a sense of direction, not parameters.

You do not need to calculate an exact number to know the direction is wrong. You only need to see the phenomena: workers unable to find a two-day weekend job for ten years, middle-aged rural people with no work relying on their children, young people unemployed upon graduation — these phenomena themselves are telling you the direction is wrong.

I write a cognitive manual. It tells you: how the market operates, why institutions fail, why labor surplus becomes a burden, why stress is the direction, why suppression is a dead end. After you read it and understand it, you will know what to do yourself. You do not need me to tell you the first step. The function of a cognitive manual is to let you see what you could not see before.

I am not analyzing a system; I am living in a system. Those who stand outside and look see data, models, and trends. Those who live inside see temperature, edges, and weight. Data can lie, models can be wrong, trends can reverse. But the things your body remembers — those overtime nights, those rejected interviews, those ten years without a two-day weekend — they will not deceive you. They are real.

I spent thirty years living in this system. I spent ten years verifying one thing. And then I spent even longer writing it down.

Now I want to tell you how I see the relationship between institutions, the economy, and people.

I have always felt that institutions, the economy, and people form a triangular relationship. People are the lowest point of this triangle. The economy is above, and institutions are in the middle. People are both the starting point and the end point of the economy. Without people's needs, there is no economy. Without people's labor, there is no production. Without people's consumption, there is no market. The economy grows out of people, not from anywhere else.

But people cannot directly become the economy. People need something to connect them, and that is institutions. Institutions are the path between people and the economy. They constrain people and also guide people. They protect people and also manage people. They allow people to enter the economy and also prevent the economy from consuming people.

So the relationship between the three should be: people create the economy, and institutions balance the relationship between people and the economy. Institutions are not meant to oppress people, nor to serve the economy. Institutions are the guardrail standing between people and the economy.

But that is not how it is now. The current institution does not stand between people and the economy; it stands to one side. It stands on the side of the economy, on the side of capital, on the side of enterprises. It watches the economy devour people and does nothing. It takes the taxes people pay but does not protect them. It draws a line, but that line does not stop anyone. When institutions fail, the economy goes out of control, and people are crushed.

This is all I have seen. Institutions are not absent; they are just not present. They occupy the position but do nothing. They take the money but do not deliver. They write laws but do not enforce them. So people can only rely on themselves to bear the burden. Those who can bear it survive; those who cannot break apart. And those who have broken apart — the middle-aged sitting at village gates, the young barely

holding on in cities, those displaced by AOS with nowhere to go — they are the evidence of institutional absence.

Why did I later introduce AOS? Because AOS is a dividing line.

Before AOS, institutional failure could still be covered up by "growth." You could exploit people, but as long as GDP was still rising, the problem could still be contained. You could deny workers two-day weekends, but as long as factories were still running, it could still be called "development." But after AOS arrived, all of this changed. AOS does not need people; it does not need to exploit you, it does not need to give you a two-day weekend, it does not even need you to stay alive. It only needs electricity and code. You do not even have the chance to be exploited anymore.

Everything before AOS — institutional failure, labor surplus, low-profile strategy — they are the past and present. AOS is the future. It is not a technical issue; it is a demarcation point. Before it, you could still say "still developing." After it, you have nothing — because you are no longer part of production, you are no longer part of the market, you are no longer part of what is needed.

So I included AOS, not because I understand the technology. But because I saw a line. In the past, this line was "no two-day weekend"; now it is "no job"; in the future it will be "no place." I stand in the future looking back, and I see it happening. I stand at the end looking at the beginning, and I see how far it has already gone. I stand at the result looking at the cause, and I see it has been heading in this direction from the very start.

I write this not to describe the past. It is to let people see where the line has already been drawn. And then decide for themselves — whether to keep moving forward, or to stop and change direction.

What I write is not an economics paper.

Economics papers need parameters, need models, need data verification. I do not need these.

Because I am not writing predictions; I am writing direction.

The word "macro" is misunderstood by many. It is treated as a synonym for "big numbers," "big indicators," "big market data." But what macro truly points to is a sense of direction — where the entire system is going, why it is going that way, how long it can keep going, and if the direction is wrong, how to turn around.

Economics, at its core, is a sense of direction, not parameters.

You do not need to calculate an exact number to know the direction is wrong. You only need to see the phenomena: workers unable to find a two-day weekend job for ten years, middle-aged rural people with no work relying on their children, young people unemployed upon graduation — these phenomena themselves are telling you the direction is wrong.

You also do not need to verify that the direction is "definitely correct." Direction is derived by reverse reasoning: if these phenomena are real, if there is structure behind them, if the structure has been failing for a long time — then the optimal solution is to move in the direction of stress. This is not a conclusion that needs to be verified; it is a conclusion that needs to be seen.

So what I write is not an "operation manual."

An operation manual tells you what to do in step one, step two, step three. I do not do that. Because every country's situation is different, every country's institutional starting point is different, every country's structure of vested interests is different.

I write a cognitive manual.

A cognitive manual tells you: how the market operates, why institutions fail, why labor surplus becomes a burden, why stress is the direction, and why suppression is a dead end.

After you read it and understand it, you will know what to do yourself. You do not need me to tell you the first step.

The function of a cognitive manual is: to let you see what you could not see before.

2. Why Derive from China to Other Countries

Some may ask: "What you write is all about China; why do you claim it applies to other countries?"

My answer is: because I am not writing about the country of "China"; I am writing about a structure that is universally present in developing countries.

China's path over the past thirty years has been: using low labor costs to attract external capital, using institutional failure to maintain labor prices, using labor surplus to suppress workers' bargaining power, and using a low-profile strategy to exchange for the inflow of technology, capital, and industrial chains. This path is not

unique to China. It is the path that all developing countries — Vietnam, India, Indonesia, the Philippines, Mexico, Bangladesh, Ethiopia — are walking.

The commonality of these countries is: they think "low labor costs" are an advantage, but they do not know this road has an end, and that end is a dead end. How to prove it? China has already reached that dead end. Workers have no bargaining power, institutions are failing, labor surplus has turned from an advantage into a burden, AOS is accelerating the replacement of human labor, and those replaced have nowhere to go.

If China reached this position in thirty years, what about Vietnam? What about India? What about Indonesia? They are walking the same path. They will also reach the same position in twenty or thirty years.

One country's thirty-year verification can become a cognitive framework for all developing countries to reference together. Not because what I write is "correct," but because what I write is true.

But to explain this clearly, you also need to see the bigger picture — there are three types of countries in the world, and their future trajectories are completely different.

Now I will explain in sections.

Section 1: Developed Countries — Pain, But Not Collapse; AOS Is the Accelerator

The United States, Japan, Germany, the United Kingdom, France, Canada — these countries have already walked the path "from suppression to stress."

Their institutions are hard, their enforcement is strict, their bottom lines are real. During their industrialization process, they have already completed the construction of their institutions. It is not that they never had labor surplus, but they used institutions to control the destructive power of labor surplus. It is not that they never experienced technological shocks, but their institutions have the capacity to buffer and disperse the impact.

So when AOS comes, they will not collapse. They will experience pain, and large numbers of people will be replaced, but their institutions can catch those people — with social security, training, transition periods, and basic income. Their people will not fall directly down. They will experience a transition "from labor to liberation," but they will not experience a collapse "from having to having nothing."

But I need to add one thing. Many people have not clearly explained this.

For developed countries, AOS is not just a tool to "replace labor." It is an accelerator. It can re-accelerate the economies of developed countries, and it is a qualitative acceleration.

Why? Because developed countries like the United States, Canada, and the United Kingdom now commonly face a shared problem: the absence of basic industries.

Look at American manufacturing; it has been hollowed out for a long time. Factories have moved to China, to Vietnam, to Mexico. What remains on home soil is finance, technology, services, and brands. Basic industries — those that actually make things — have been outsourced. It is not that they do not want to manufacture; it is that they cannot afford to. Labor is too expensive, environmental regulations are too strict, supporting facilities are too heavy, costs are too high. The cost of making one item is more expensive than buying it from abroad. So they abandoned basic industries and turned to high-end services and finance. This was the path of the past thirty years.

But the problem is: basic industries are the "skeleton" of a country. Without a skeleton, no matter how beautiful the shell, it cannot hold up. When the pandemic came, they could not produce masks. When supply chains broke, shelves went empty. When chips were blocked, car production stopped. They discovered that after they stopped "making things," they could not even bear the consequences of "not making things." Their basic industries were already hollowed out, but their industrial needs had not disappeared. They could only rely on imports and factories in other countries. And relying on others' basic industries is equivalent to handing over their lifeline to others.

Then AOS arrived. AOS does not need labor, does not need social insurance, does not need two-day weekends, does not need unions. It can operate 24 hours a day, does not complain, does not strike, does not demand raises. It can be placed anywhere — in the United States, Canada, the United Kingdom — as long as the infrastructure is in place, as long as there is electricity, internet, and supply chain support, it can operate.

What does this mean? It means developed countries can use AOS to rebuild their own basic industries. No need to worry about labor costs being too high, no need to worry about environmental pressure being too great, no need to worry about labor

shortages. AOS replaces "people" — the most expensive variable. What remains is electricity, materials, logistics, and supply chains — all of which are controllable.

For them, AOS is not "replacement"; it is "rebuilding." It is a tool to bring basic industries back home. With AOS, they can bring factories back, manufacture what they need, and no longer rely on others' supply chains. They can once again have a complete basic industrial system — and in this system, people do not exist as labor; people exist as designers and maintainers. The bulk of basic manufacturing is done by AOS, while people do higher-level things: design, maintenance, optimization, and innovation.

So for developed countries, AOS is a true economic engine. Everything else — finance, technology, services — is built on top of basic industries. Without basic industries, the superstructure is suspended in the air. AOS fills this gap, and fills it better than before. It will not increase labor costs; it will only reduce manufacturing costs. It will not create social conflicts; it will only bring basic industries back. It will not make manufacturing disappear; it will make manufacturing reborn in another form.

So for developed countries facing AOS, it cannot be summed up by the word "pain." They will hurt, but they will also accelerate. Their institutions can catch those who are replaced, and their industries can stand up again with AOS. AOS is their accelerator. It will not make them regress; it will make them move forward faster.

But there is a problem here that many have not considered.

After AOS arrives, developed countries' institutions can catch those who are replaced — this is true. Their social security, training, transition periods, and basic income — these things do exist and can indeed buffer the impact. But the problem is: these institutions were designed for the "industrial age," not for the "AOS age."

Think about it: AOS does not replace "one position"; it replaces "a large group of people." Not hundreds, not thousands, but millions and tens of millions. A factory that originally needed a thousand people may only need ten after AOS arrives. Where do those thousand people go? To other factories? Other factories are also using AOS. To the service industry? The service industry is also being penetrated by AOS. To start businesses? Starting a business requires capital, and they do not even have savings.

Developed countries' institutions can indeed hold them up for a while — unemployment benefits, training subsidies, transition periods — but after holding them up, what then? If more and more people are replaced, and more and more

people are being held up, the institutions themselves will be crushed. The safety net channel is limited, while the speed of AOS replacement is unlimited. Developed countries' basic industries can be rebuilt with AOS, but those who are replaced will not all go back into basic industries. What basic industries need is not people, but AOS.

So developed countries also need to introduce a "safety net channel" — not introducing institutions, but introducing a mechanism. A mechanism that allows money to flow from the profits created by AOS into the hands of people. They already have institutions, but their institutions have not yet completed the upgrade "from the industrial age to the AOS age."

Let me put it more bluntly: the current institutions of developed countries were designed under the premise that "people are still labor." Social security, unemployment benefits, training — these all operate under the assumption that "people will eventually return to the labor market." But in the AOS age, people do not return to the labor market. People are no longer needed. You train him, he finishes training, and still has no job. You give him a transition period, the transition period ends, and he still has no job. You give him unemployment benefits, he exhausts them, and he is still unemployed.

When that time comes, what do you do?

So what they need to do is not "patch and mend," but "structural upgrade." On the basis of the original institutions, add the "safety net channel." The core of this safety net channel is: whether you have a job or not, you can still live. Not temporary relief, but long-term support. Not stopping when you find a job, but ensuring that even if you never find a job, you will not starve. This requires taxing the profits from AOS, establishing a basic income mechanism, and completely separating the "right to survival" from "labor."

Developed countries have an institutional foundation, but their institutional foundation is not deep enough. In the AOS age, what they need to do is not "maintain the existing institutions," but "strengthen the safety net on top of the existing institutions." The safety net channel is not charity for the poor; it is insurance for the entire system. If you keep the bottom rung of people alive, the market will not die. If the market does not die, the profits created by AOS have somewhere to go. If profits have somewhere to go, the economy will not stagnate. If the economy does not stagnate, developed countries will remain developed countries.

So developed countries also need to introduce this system. Not because they do not have institutions, but because their institutions are not yet strong enough to cope with the intensity of AOS. This is not "learning from others," but "filling in the piece they are missing." And that piece is precisely what developing countries need most right now — the safety net channel. In developed countries, it is a "patch"; in developing countries, it is a "foundation." But regardless, it must exist. Otherwise, when AOS comes, no one will be able to hold up.

Section 2: Safety Net Economy — The Complete Flow of the Safety Net Channel from Profit to People

We are now going to talk about something concrete. It is not theory, not a direction; it is a set of operational procedures.

The core of this process is: take the profits created by AOS out of the hands of capital and put them back into the hands of people at the bottom. Not "welfare distribution," but "building a pipeline." As money flows through the system, at each link, a small portion is left behind. Then these small portions converge together and return to the hands of those who need it most. This is the safety net channel.

The complete cycle process is as follows:

Consumers pay → Small store revenue (5% deducted) → Wholesaler payment (5% deducted) → Producer income (5% deducted) → Brand profit (5% deducted) → Public return pool → Directly distributed to the bottom (unemployed, elderly, jobless youth, disabled) → Bottom-level consumption (wet markets, small stores, street stalls, repair shops, barbershops) → Consumers.

Low-level market activated → Demand transmitted upward (wholesaler orders increase → producer orders increase → raw material procurement increases → logistics runs → factories start up → employment increases) → New round of consumption (employed people have income, re-enter the market) → New return flow generated in transactions (from the new round of revenue, deduct that few percent again) → Back to the public return pool → Low-level market activated

Now let me explain this process clearly in words:

Step one: Consumers pay. No matter what you buy — a bottle of water, a bag of rice, a piece of clothing — the money you pay already contains that few percent of return tax. You will not feel it, because it is very small. But it is there.

Step two: Money flows through each layer of transactions, and each layer deducts a portion. The small store receives money, deducts 5%, keeps 95% for restocking. The wholesaler receives payment, deducts 5%, keeps 95% for procurement. The producer receives order payment, deducts 5%, keeps 95% for paying costs and profit. The 5% deducted from each layer, without passing through anyone's hands, automatically flows into the public return pool. This 5% is not added on top of the existing tax burden; it is a redirected flow from the existing circulation — it changes where the money goes, not the total amount of money. Existing taxes are paid as usual; this 5% is an additional channel specifically for return.

Step three: The public return pool gathers all the deducted money. The small store's 5%, the wholesaler's 5%, the producer's 5% — three layers add up to 15%. This 15% is not created out of thin air; it is "separated" during the flow of money. It does not directly take from anyone's pocket; it simply leaves a small trace as the money flows through.

Independent Operation of the Public Return Pool

This 15% of money flows into a public return pool. But this pool cannot be managed by the existing administrative system. It is not fiscal revenue, not a local government budget, not a special fund of some department. It must be an independent, transparent, and automatically operating mechanism.

Why? Because the existing administrative system has its inertia — it will intercept, approve, allocate, and "flexibly use." Once money passes through people's hands, someone will inevitably hold it up in the middle. This is not because anyone is evil; it is the inertia of system operation — power likes to control resources, and resources like to stay in the middle layers. If you let money pass through anyone's hands, it will stop somewhere and never reach the bottom.

Therefore, the return pool must be an automated mechanism with transparent rules. It is executed by algorithms, not approved by people. Its rules are public, unmodifiable, and traceable. Every sum of money — where it comes from, where it flows to, when it arrives — is transparent. No one can intercept it, no one can embezzle it, no one can "flexibly handle" it. Money goes directly into the pool and directly out of the pool. There are no middle layers.

This is the prerequisite for the safety net channel to exist. If the pool is still managed by the old system, then it is not a channel but another blocked pipe. The old system has already proven that it is unwilling to let money flow to the bottom. You cannot expect it to suddenly change. What you need to do is bypass it. Let the

money flow past it. Without going through its hands, without going through its approval, without going through its "comprehensive arrangements." Directly to the bottom. Directly into people's hands.

Step four: The money in the pool is distributed directly to the people at the bottom. Without going through enterprises, local governments, or any intermediate links. Distributed to those without jobs, people over 60, young people who cannot find work, and disabled people the system has overlooked. The conditions are so simple they need no explanation. If you are poor, unemployed, old, or disabled — you receive it. No need to prove you are "poor enough," no need to verify whether you are "worthy." Institutions are not charities; they cannot pick and choose who deserves to be caught. They must catch everyone.

Step five: The bottom rung receives money and immediately spends it. People at the bottom have no savings. Give them a hundred yuan, they will spend it. Give them a thousand yuan, they will spend it. They will not save it, not speculate in real estate, not invest in the stock market. They spend it on vegetables, rice, daily necessities, children's school fees, and bus tickets. Every cent of their money flows into the low-level market — wet markets, small stores, street stalls, repair shops, barbershops.

Step six: The low-level market comes to life. The small store's goods sell faster, the wholesaler has more orders, the producer has more orders, logistics starts running, factories begin operations, employment increases. Demand rises step by step from the bottom, like water surging upward from low ground.

Step seven: Demand transmits upward, driving upstream production. Bottom-level consumption pulls the low-level market, the low-level market pulls wholesalers, wholesalers pull producers, producers pull raw material suppliers. The entire supply chain starts turning from the very bottom, moving upward circle by circle.

Step eight: Employment increases, generating a new round of consumption. Factories start up, workers get wages. Workers receive wages and go to consume again. Their consumption becomes someone else's income, and someone else's income becomes the next round of consumption.

Step nine: In the new round of transactions, return flow is generated again. As the new revenue flows through the small store, wholesaler, and producer, each layer again deducts that 5%. The new return flow converges into the public pool and is again distributed to the bottom.

Step ten: The cycle continues. Round after round, each one larger, faster, and more alive than the last. The bottom rung becomes more stable, the market becomes more vibrant, the system becomes healthier.

This process also has a key element: the start-up switch.

The pipeline is open, but there needs to be water in the pipeline. Where does the water come from? If AOS has not yet generated large-scale profits, if enterprises have not yet been levied that 5% return tax, the pool is empty. The bottom rung still cannot get money.

Therefore, the safety net channel cannot wait until AOS is fully deployed to start. It must begin operating before AOS arrives. Where does the money come from in the start-up phase? From existing fiscal revenue. From those subsidies that "are given to enterprises but not distributed down." From those projects that "spent a lot of money but had no effect." First put water in, get the pool running. Let the bottom rung get money first, let the low-level market come to life first. When AOS really arrives, when that 5% return flow starts automatically flowing into the pool, the pipeline will already be open. The water will increase, and the cycle will accelerate.

This start-up switch is critical. If you do not start now, by the time AOS arrives and you want to turn it on, it will be too late. Because when you open the gate, people will have already fallen. The safety net must be laid before people fall. The pool must be built before the water comes. The money must be distributed before people starve. This is the reason why "it must be done now." Not because you are ready, but because there is no time left.

What is the method of support in this process?

It is not about "giving charity" to people. It is about "connecting" people.

It takes those who have already been skipped over by the system and reconnects them back into the system. Let them have money, let them consume, let them participate in the market. They are no longer forgotten; they are part of the system's operation. If they live, the system lives. If they consume, the market turns. If they are there, the economy is there.

The core of this process is: no need to wait for someone to save you, no need to wait for policy to change, no need to wait for institutions to transform. It runs on its own. As long as money is still flowing, it keeps turning. As long as people are still consuming, it keeps turning. As long as the market is still operating, it keeps turning.

It is not "welfare"; it is a "circuit." It takes those whom the system has missed and reconnects them back into the circuit. Once reconnected, the cycle is complete. Once the cycle is complete, the system will not collapse. If the system collapses, then there is nothing left.

Someone once told me that the economy is a very complex thing.

He said: you need to understand macroeconomics, microeconomics, monetary policy, fiscal policy, exchange rates, imports and exports, industry cycles, and international trade rules. If you do not understand these, you cannot talk about the economy.

After listening, I thought for a long time. What I thought was: I really do not understand those things. I do not understand how monetary policy transmits, I do not understand how much exchange rate fluctuations affect exports, I do not understand how many phases an industry cycle has. I only understand one thing — if a person has no job, he will go hungry. If a person has no income, he dares not spend. If a person dares not spend, the market dies. If the market dies, enterprises collapse. If enterprises collapse, more people have no jobs.

This does not require understanding economics. This only requires understanding people.

Later I thought again: why do they make it so complicated? Why does something that is simply "people need money to live, and money should flow to people" become a pile of formulas, terminology, and models? Later I understood — complexity is their armor. The thicker they wear it, the harder it is to see through them. If you cannot understand, you think "this is too difficult, I cannot handle it." If you think you cannot handle it, you leave it to them. Once you leave it to them, they can continue to do things their way — money continues to flow to the top, the bottom continues to wait, institutions continue to not enforce, AOS continues to replace people. You think it is because you do not understand, but in fact you have been blocked out by complexity.

I have nothing. I have no degree, no title, no research funding, no team. I point to the simplest fact: money should flow downward, but it does not. So you open a hole where it should flow. Once the hole is opened, the water flows. When it flows, people come to life. It is that simple.

When I wrote this, I did not use anything complicated. No formulas, no models, no data derivation. I used just one sentence: people need money to live, money circulates in the system round after round, but it never reaches the bottom. So I let it

leave a small portion as it circulates. A little from each layer, and three layers add up to over ten percent. This money is distributed directly to the bottom. The bottom receives money and consumes. When they consume, the market comes to life. When the market comes to life, enterprises come to life. When enterprises come to life, there are taxes too. Money continues to circulate, continues to leave a portion, continues to be distributed. Round after round, faster and faster, more and more alive.

Do you think it is complicated? I do not think it is complicated. It is simply a matter of opening a hole. But you cannot say it is ineffective. It is effective because it respects the most fundamental thing — money only has meaning when it reaches people's hands. Only in people's hands does it become consumption. Only consumption becomes orders. Only orders become production. Only production becomes employment. Only employment becomes the next round of consumption. This is the most fundamental cycle of the economy. You do not need to understand macroeconomics; you only need to understand people.

So if someone tells you "the economy is very complicated," you do not need to believe him. He may just be telling you: you cannot solve it, just leave it to me. If you give him the switch, he will be even less likely to let the money flow down. And what you are doing is bypassing him and placing the switch where anyone can see it. The switch is right there; anyone can turn it. Turn it on, and the water flows. It is that simple.

For me, not having is having. I do not have complex theories, so I do not need to use theories to explain anything. I do not have data, so I do not need to use data to prove anything. I do not have titles, so I do not need to use titles to pressure anyone. I only have one finger — pointing at the simplest fact. And then I write it down. If you ask me why I can do this, I can only say: I see things as complex, but I believe simplifying complex things is what people should do.

You must persist in carrying this process forward:

Ensure the stability of institutions.

Separate the influence of religion.

Any region that uses this mechanism can walk in ten years what took Western countries thirty years to walk. Not because you are smarter than them, but because you no longer need to take detours. It took them thirty years to learn that "money must flow to the bottom"; after reading this piece, you can understand it in three

days. And then you only need to do one thing — start walking. No more detours; just walk straight along the path.

Section 3: Developing Countries — The Stratification of Linear and Lax Institutions

In this world, there are not many countries that can truly be called "developing." Most so-called "developing countries" are not actually "developing"; they are merely "existing." They have economic growth, labor, and markets — but their institutions are not moving. Their institutions are static, lax, and controlled by other things.

China and Vietnam are exceptions.

Why? Because their institutions are linear. What does linear mean? It means the institution follows a fixed path forward, without drastic swings, without frequent changes, without one direction today and another tomorrow. It has continuity and predictability. It does not depend on religion, does not depend on tribes, does not depend on any authority external to the institution itself. The institution is independent — it has its own rules, its own logic, its own driving force. It will not be hijacked by religion, not be swept away by beliefs, not be overridden by a higher "truth." It simply follows the direction it has set for itself.

This is not a small matter. The vast majority of "developing countries" cannot do this.

India is the most typical example. Its institutions are not independent. Religion permeates every pore of the institution. Beliefs influence laws, influence policies, influence enforcement. The institution is not a "tool to protect people"; it has become a "tool to maintain the order of faith." When religion can influence the political system, the political system loses its independence and openness. It can no longer operate according to its own logic. It must accommodate the feelings of religion, must respond to the demands of faith, must cede part of its power to the authority external to it. So its institutions are lax — not because it does not try, but because it has no way to concentrate. It is led around by other things. It has no direction of its own.

What about Mexico? Mexico's situation is more subtle, but also more direct. It is not religion, but other things — forces that are not allowed to be openly discussed. They are not written in the law, but they are more powerful than the law. They do not occupy government positions, but they can decide who sits in those positions. When such forces expand to a certain extent, they exist in parallel with the institution —

one formal, one informal. Two systems operate simultaneously, but the informal one is more effective. It does not collect taxes, but it collects "protection fees." It does not legislate, but it sets rules. It does not judge, but it enforces. The institution is still there, but it is only one of the systems, not the only one. When the institution cannot constrain these forces, these forces will in turn erode the institution itself. They will infiltrate into every crevice of the institution, turning the institution into their tool, rather than a tool to protect people. You push the institution; it does not move. You kick it; it does not respond. Because it is no longer itself. It has been occupied.

These two situations look different, but their result is the same — institutional laxity. It is not "not trying hard," but "being occupied by other things." Occupied by religion, occupied by informal forces, occupied by authorities external to the institution. The institution is no longer independent. It is no longer itself.

So what is a "good" institution? It is not a "strong" institution, but a "complete" institution. What does completeness mean? It means the institution can operate independently, not controlled by things external to it. It means it can draw a line: on this side is permitted, on that side is not. It means it can execute the rules it has written, rather than executing someone else's commands. A complete institution is not necessarily right, not necessarily good, but at least it is "itself." Its function will not be replaced by other things.

But completeness alone is not enough. A complete institution, if it can only move forward and cannot look back, will still have problems. It needs feedback. What does feedback mean? It means people below can transmit information upward, people above can hear the voices below, and the institution, in the process of operation, can know where it has gone, what it has done right, and what it has done wrong. Only when the feedback channel is alive is the institution alive. An institution without feedback is a one-way street. It keeps going, but no one knows where it has gone. It may have reached the edge of a cliff, but no one tells it to stop.

Therefore, for an institution to cope with AOS and to face the future, it needs two things: completeness — not being controlled by things external to it; and feedback — the channels between top and bottom are open, information can flow, and problems can be seen.

China and Vietnam have completeness, but feedback is broken. They can walk, but whether the direction is right, no one knows. India does not have completeness; religion makes decisions for the institution. Mexico does not have completeness;

informal forces make decisions for the institution. They cannot even walk steadily. They need to first regain completeness before talking about feedback.

This is the real stratification of developing countries. It is not a stratification of GDP, but a stratification of institutional forms. Some are linear and can still be repaired. Some are lax and cannot be repaired. Those that can be repaired still have a path. Those that cannot be repaired will remain lax forever.

Now I need to push this layer further down.

You might ask: isn't a linear institution stable? Isn't stability good? Why do you say it has problems?

Stability is certainly good. But if stability is built on a foundation of "no feedback," then this stability is fragile. It is not "resilient stability"; it is "rigid stability." A steel bar is very hard and very stable, but if you bend it with force, it will snap. A bamboo has resilience and can bend, but if you press it with force, it will not break. A linear institution is like a steel bar — it is stable, but it is rigid. Without feedback, there is no resilience. Without resilience, there is no stress. Without stress, it will suddenly snap at some point.

China and Vietnam's institutions are linear. They are stable, but they are rigid. They do not sway, but they also do not respond. They move forward, but they do not ask "are we going the right way?" So in many ways they are good — they have direction, continuity, and execution — but they also have a deep hidden danger: they cannot see the harm they cause. Those middle-aged people sitting at village gates, those young people barely holding on in cities, those displaced by AOS with nowhere to go — they are the invisible harm of the institution. The institution moves forward, but it does not see these people. Because the information from these people cannot go upward. No one tells them, and no one asks them. They are merely passed by.

Therefore, linear institutions need a "feedback channel." Not a channel for "suggestions," but a channel for "letting the institution see the results it has caused." It is about letting information flow from the bottom upward, letting the institution know "where I have gone, what I have done right, and what I have done wrong." With feedback, the linear institution becomes a living institution. Without feedback, it is just a line moving forward without knowing where it is.

This is why China and Vietnam, although "better" than India and Mexico, are still not enough. Their institutions are independent and capable of action, but they are blind. They need to be seen, and they also need to see themselves. And the only way to see themselves is to let the information from below come up. Let those sitting at

the village gate no longer just sit there. Let their words be heard. Let what they have experienced be recorded. Let them no longer be people who are passed by, but people who are seen.

If you are a developing country and you have read this piece, you must first ask yourself a question: what form is my institution in? Is it linear or lax? If it is linear, you still have a chance — add feedback to it and let it come alive. If it is lax, you must first do another thing —separate the institution from religion, take the institution back from those informal forces. Let it first become a line, and then talk about adding feedback.

After you have done these two things, then talk about the safety net channel. Then talk about the 8-hour work system. Then talk about AOS. Otherwise, your institution cannot catch anything. It is either a line that cannot see itself, walking to the edge of a cliff without knowing to stop; or a pile of loose sand, unable to even walk.

This is all that Section 3 has to say. It is not about "who is good and who is bad," but "who can still be repaired and who can no longer be repaired." Those that can be repaired still have a path. Those that cannot be repaired can only remain lax forever. A linear institution without feedback is blind. But blindness can be cured — as long as the feedback channel is connected. A lax institution is broken. What is broken cannot be reconnected.

Section 4: Institutionally Lax Countries — Institutions Occupied, Already Rotted

In Section 3, we distinguished between linear and lax institutions. China and Vietnam are linear and can be repaired. But there is another category of countries in the world — their institutions are not "not yet repaired," but "already rotted."

This category of countries, I call them "institutionally lax countries."

India, Indonesia, the Philippines, Mexico — these countries are not "developing"; they are "institutionally rotted." Their institutions are not "imperfect"; they are "occupied." Occupied by religion, occupied by informal forces, occupied by authorities external to the institution. The institution is no longer independent, no longer itself. You push it; it does not move. You kick it; it does not respond. It lies there, like an empty shell. It is still there, but it has no vitality. Like a tree whose roots have rotted; the trunk is still there, but it will never grow new branches again.

India's problem is the most obvious and the most typical. Religion permeates every crevice of the institution. Beliefs influence laws, influence policies, influence enforcement. The institution is not a "tool to protect people"; it has become a "tool to maintain the order of faith." When religion can influence the political system, the political system loses its independence and openness. It can no longer operate according to its own logic. It must accommodate the feelings of religion, must respond to the demands of faith, must cede part of its power to the authority external to it. So its institutions are rotted — not because it does not try, but because it has been hollowed out. What is inside it is not institutions, but faith. The outside is still the shell of the institution, but the inside has been replaced.

Mexico's situation is different, but the result is the same. It is not religion, but other forces. The forces that are not allowed to be openly discussed — they are not written in the law, but they are more powerful than the law. They do not occupy government positions, but they can decide who sits in those positions. When such forces expand to a certain extent, they exist in parallel with the institution. One formal, one informal. Two systems operate simultaneously, but the informal one is more effective. It does not collect taxes, but it collects "protection fees." It does not legislate, but it sets rules. It does not judge, but it enforces. The institution is still there, but it is only one of the systems, not the only one. When the institution cannot constrain these forces, these forces will in turn erode the institution itself. They infiltrate into every crevice of the institution, turning the institution into their tool, rather than a tool to protect people. The institution is not "broken"; it is "rotted." Rotting starts from the inside. You look at the outside and it still appears intact, but the inside is already empty. Repairing the shell is useless, because the inside has already been replaced.

A rotted institution and a broken institution are two different things. What is broken can still be repaired. What is rotted cannot be repaired. If you repair something that is rotted, you are just painting a new layer on its surface. It looks new, but the inside is still rotted. After a while, it will crack again. Because it no longer has its own vitality. It can no longer grow on its own, no longer repair itself, no longer respond to external pressure on its own. It can only maintain itself by inertia, until one day even the inertia can no longer hold.

These countries do not face a problem of "development"; they face a problem of "rotting." They are not "walking slowly on the path of development"; they are "already rotted." They do not face the question of "how to become rich"; they face the question of "how not to die." Their society is not "progressing"; it is "maintaining." Their

institutions are not "serving the people"; they are "maintaining their own stability" — regardless of how the people below are doing, as long as they themselves do not fall.

Therefore, for institutionally rotted countries, the safety net channel cannot be built. Because without a complete market circulation system, there is no place to deduct that 5%. Without a public return pool, there is no money to distribute. When institutions are rotted, even if money is distributed, it will be intercepted — because interception itself is part of the institution. This process "from profit to people" simply cannot work here.

So what can they do?

They cannot take the path of "development," because they no longer have the foundation to develop. They can only take the path of "survival." First, build infrastructure — electricity, roads, communications. Without these, nothing can be done. First, build the simplest institution — not a "perfect institution," but "a line that can be enforced." No matter how rough, no matter how crude, at least it can stop some things. It can stop forced demolitions, stop looting, stop things that kill people. First, let the informal economy slowly enter the formal track — not through management, but through infrastructure and the simplest rules. Let transactions be seen, let money have somewhere to go, let small business people have a place to stand. This is not "development"; this is "survival." Foreign aid can only be used as start-up fuel, not as a long-term reliance. Foreign aid can be addictive. It makes people feel "I do not need to do it myself; someone will give it to me anyway." Once addicted, they cannot stand up. So foreign aid can only be used to build infrastructure, not to distribute money. Distributing money cannot create a living society; it can only create a group of people waiting for the next handout.

These things look very basic, very slow, very clumsy. But they are the only path. Without doing these, they will continue to rot. By doing these, perhaps a little new growth can emerge from the rotted body. It cannot be more than that. It is not about "saving"; it is about "not dying."

Do institutionally rotted countries still have a chance? Yes. But the opportunity is not in "catching up." Developed countries have already gone too far; they cannot catch up. Their opportunity is in "leapfrogging" — skipping the stage of traditional industrialization and directly entering the formalization of the informal economy with the assistance of AOS. But this "leapfrogging" requires external conditions: infrastructure, a stable political environment, and a minimum level of institutional

enforcement. If these conditions are not met, they will continue to rot until there is no more room left to rot.

This is all that Section 4 has to say. Institutionally lax countries are not "could be repaired but not yet repaired"; they are "already rotted." Because their institutions have already been hollowed out by other things. What can be done is not to repair the institution, but to start from zero — build infrastructure, build the simplest rules, and give the informal economy a place to stand. Not for "catching up," but for "not falling." Not for "development," but for "survival." Not for "curing," but for "not dying."

Section 5: The Future of Developing Countries Under the Impact of AOS — Reform or Disappear

In the previous two sections, we discussed two forms of institutions: linear and rotted. The problem with linear institutions is no feedback — blindness. The problem with rotted institutions is being occupied — emptiness. But whether you are blind or empty, AOS will come. It will not wait for you to repair yourself before coming. It will not wait for you to see yourself clearly before coming. It will not wait for you to build the safety net channel before coming. It is already on its way.

So after AOS arrives, what will these countries become?

This depends on what they do now. If they do not reform — not repairing institutions, not building the safety net channel, not connecting feedback mechanisms — what they face is not "the economy getting worse," but "the economy disappearing." Not "shrinking," but "breaking off." Not "being replaced," but "being deleted."

Why? Because AOS has a characteristic: technological assimilation.

When an AOS has worked in a factory for a long time, it has mastered the factory's technology, processes, and techniques. And then? You just copy it to another robot, and it brings the experience with it. The new robot does not need to learn from scratch; it directly copies all the experience of that AOS. It carries the experience with it. So technology no longer belongs to one factory or one enterprise; it belongs to AOS itself. Once one AOS learns something, all AOS have learned it. Technology is assimilated in an extremely short time — it is no longer "your technology" and "my technology," but "everyone's technology."

This sounds good. Technology is popularized, everyone has it — is that not a good thing? The problem is: when technology is assimilated, developed countries no longer need to rely on developing countries as production bases for basic industries.

For the past thirty years, the logic of developed countries was: I do design and R&D at home, and put production in places with cheap labor. China, Vietnam, India, Mexico — they caught this production. They exchanged labor surplus for orders, for employment, for growth. This was a path, although it was a detour, it at least allowed people to move forward.

But after AOS arrived, this path was broken.

Developed countries can use AOS to rebuild basic industries on their own soil. No need to worry about labor costs being too high, no need to worry about environmental pressure being too great, no need to worry about labor shortages. AOS replaces "people" — the most expensive variable. What remains is just electricity, materials, logistics, and supply chains — all of which are controllable. So they no longer need to outsource production. They can make it at home. Lower cost, higher efficiency, more stable quality. They do not need your labor anymore. They do not need your factories anymore. They do not need you anymore.

So what can these developing countries do? The only thing they have is "cheap labor." Now this thing is worthless. AOS is cheaper than people, and it does not need rest, does not need social insurance, does not need overtime pay. They have no technology, no capital, no complete institutions, no domestic market — because they have never lived by domestic demand; they live by exports. When export orders disappear, factories stop. When factories stop, workers become unemployed. When workers are unemployed, they have no income. When they have no income, they cannot consume. When they cannot consume, the market shrinks. When the market shrinks, even those local small businesses that were still operating cannot survive. The entire economy collapses.

This is not a process of "slowly getting worse." This is a process of "suddenly breaking off." Because technological assimilation is not linear; it is explosive. Today, developed countries are still using your factories; tomorrow, their own AOS has learned, and they no longer need you. Your orders are gone. Your factories stop. Your people have nothing to do.

And then? Then they become lax. Not institutionally lax, but the entire society becomes lax. People have no work, no income, nothing to do. They sit at the door, sit, wait. They are no longer in the system, and the system no longer needs them.

They live in a state of "being skipped over" — the global economic train is still moving forward, but the people on the platform have no train to board. The train bypasses them. Not because they are not good, but because they are no longer needed.

This is the most fundamental impact of AOS technological assimilation: it makes developing countries lose their only position — the position as "cheap labor." They are not "replaced"; they are "deleted." Removed from the links of the global industrial chain. Those who once lived by exports have no exports. Those who once lived by labor surplus have no labor surplus. Those who once attracted foreign capital with a low-profile strategy no longer attract foreign capital. Because foreign capital no longer needs cheapness; it only needs stability — stable electricity, stable internet, stable supply chains. And these, they may not have either.

What will their living standards be like? Extreme deprivation. Not because they do not work hard, but because they have no direction to work toward. The path of the past thirty years has been walked to the end. The new path, they have not yet begun to walk. AOS has already arrived, but their institutions are not yet ready. Their people still sit at the door, waiting. Waiting for an order that will not come, waiting for an opportunity that will not come, waiting for a future that will not come.

And if they continue to wait like this, without improving or reshaping their economy and institutions, without building the safety net channel, without connecting the feedback mechanism — they will continue to be lax. Not for years, but for decades. It will become a "habitual laxity." One generation has no work, and the next generation also has no work. Accustomed to having no work, they become accustomed to having no income. Accustomed to having no income, they become accustomed to having no expectations. Accustomed to having no expectations, they become accustomed to living but doing nothing. This is not "laziness"; this is "the norm after being skipped." It is not that people do not want to do things; it is that there is nothing to do. It is not that people do not want to live; it is that there is no path to survival.

This is the future that developing countries will face after AOS technological assimilation if they do not improve their institutions. Not "economic downturn," but "structural disappearance." They are still there, but no longer in the system. They are still breathing, but the economy can no longer see them. They will become a new generation of "institutionally lax countries" — not because of religion, not because of drugs, but because they were skipped by AOS, and then they did not leap up themselves.

So, what Section 5 has to say is: if you are a developing country, you must start doing two things now. First, see clearly what form your institution is — is it linear or rotted? If linear, add feedback. If rotted, first take back the independence of the institution from things external to it. Second, before AOS fully replaces your labor force, build the safety net channel. Not waiting until AOS arrives to build it, but laying it down before it comes. Because when AOS arrives, the speed at which you lay the net cannot keep up with the speed at which people fall. You can only lay it in advance. And now, is the only time to lay it in advance.

If you do not do these two things, ten years from now when you look back, you will find that you are no longer the one who is needed. You will find yourself standing on the platform, and the train has already left. The train bypassed you, not because it hates you, but because it does not need you. And you are still there. Waiting for a train that will never come.

But if you still think "being skipped" is just a metaphor, let me draw the picture of what it looks like after not reforming in more detail. After you read it, you will know how heavy it is.

The Cost of Not Reforming — No Less Than a Level 7 Earthquake

If these countries do not reform, do not reshape their institutions, do not build the safety net channel before AOS is fully deployed — I can derive the impact on their future economic systems. It is not "economic downturn," not "growth slowdown," not a "cyclical trough." It is a structural earthquake. No less than the entire country experiencing the impact of a level 7 earthquake.

When an earthquake comes, you do not see something slowly crack open. You see it suddenly collapse. Factories running today are stopped tomorrow. Wages being paid today are gone tomorrow. Shops open today are closed the day after tomorrow. It does not fall slowly; it falls in whole sections. And it does not end with one shock. After the main shock, there are aftershocks. One wave not yet settled, another rises. Stopped factories will not reopen. Closed shops will not reopen. Lost jobs will not come back. Because the AOS that replaced them will not leave. It is not a temporary replacement; it is a permanent replacement. When it is there, you are not. You cannot go back. So this is not something that "can recover after a period of time." This is something about "your original position no longer exists."

What does a level 7 earthquake destroy? It destroys the foundations of houses, destroys road connections, destroys water and power supply pipes, destroys

communication networks. The impact of AOS is the same — it does not destroy one industry; it destroys the connection mode of the entire system. When people no longer work, consumption breaks. When consumption breaks, the market breaks. When the market breaks, enterprises break. When enterprises break, tax revenue breaks. When tax revenue breaks, institutions break. One breaks after another, one layer collapses pressing on another. In the end, the entire system is paralyzed. Not "broken," but "paralyzed." Unable to move.

Those countries that have not reformed will find themselves facing three problems simultaneously when AOS arrives:

First, no income. Because exports are gone, and domestic demand cannot rise either. People are still there, but people have no purchasing power. The market shrinks to only the most basic necessities of life; everything else disappears — clothing, entertainment, services, education, healthcare — all contracting. It is not "becoming more expensive"; it is "no one is buying." When no one buys, no one produces. When no one produces, no one hires. When no one hires, no one has income. This is a closed death loop.

Second, no institutions. Because when tax revenue breaks off, the institution loses its fuel. Civil servants' salaries cannot be paid, court cases are not handled, schools close, hospitals shut down, police no longer patrol the streets. The institution is still there, but it can no longer function. It is not "failing"; it is "stopped." A machine that has stopped is no different from scrap metal. You push it; it does not move. You repair it; there are no parts. You say "let us change it," but it can no longer receive any instructions — because instructions also need people to execute them, and the people have already scattered.

Third, no direction. Because the path you originally walked has been broken. What you originally relied on is gone. The orders you thought would come will not come. The jobs you thought would still exist will not exist either. You find yourself standing in a completely unfamiliar place — not "ruins," but "blankness." Nothing is left. You do not even know "where to go next." Because all the paths you could take are broken.

These three points together constitute a "structural level 7 earthquake." It is not physical — no houses fall, no roads crack open — but it is more enduring than a physical earthquake. With a physical earthquake, you can still rebuild. Houses that fall can be rebuilt. Roads that break can be repaired. But this structural earthquake, you cannot rebuild. Because the resources for rebuilding are already gone. The labor

force for rebuilding has already scattered. The institutions for rebuilding are already paralyzed. You cannot even find the starting point for rebuilding.

Those countries that have not reformed will not "become poor"; they will "stay where they are, and then slowly dissipate." They will not become another version of themselves — they will become "a version of themselves with no form." People are still there, but people no longer do anything. The system is still there, but the system no longer operates. The country is still there, but the country no longer knows what it is doing. It is just "still there," like a car shell without an engine. You sit inside, holding the steering wheel, but the car will not move. You can only sit inside and wait. Wait for what? Unknown. Perhaps waiting for a rescue that will never come, or perhaps waiting for yourself to finally admit — this car can no longer move.

This is what developing countries that do not reform will experience after AOS technological assimilation. Not "getting worse," but "disappearing." Not "being eliminated," but "being bypassed." They will not burn down in a big fire; they will dissipate in silence. People will not protest, because protest is useless. People will not leave, because there is nowhere to go. People just continue to live, but live lighter and lighter, fainter and fainter, until one day, you find that they no longer "exist" — not dead, but no one mentions them anymore.

Therefore, if you are a developing country, what you need to do now is not to wait for the disaster to come and then save yourself. It is to reinforce the foundation before the disaster comes. Repair the institutions. Build the safety net channel. Connect the feedback mechanism. Not for "becoming rich," but for "not collapsing." Not for "catching up with developed countries," but for "not shattering when AOS comes." Not for "progress," but for "survival."

You can still repair now. You can still build now. You can still change now. If you do not repair, do not build, do not change, when AOS really arrives — you will understand that this "level 7 earthquake" I speak of is not a metaphor. It is a future that is happening now. And you, are already standing before it.

Already Very Poor, How Can It Get Any Poorer?

You might say: "We are already very poor, how can we get any poorer?"

This is a very real question. When a country is already very poor, telling it "you will become poorer" may not feel like a threat. Because "poorer" sounds like going from ten yuan to five yuan, still poor. It has no impact. You are not standing in its position; you do not know that its life is already pressed to the minimum. When you

say "it will become poorer," it will only think: "How can it get any poorer? What more do I have to lose?"

But it will lose.

What it loses is not "money," but "position."

In the past, even the poorest developing country had a position in the global economy — it was "cheap labor." Its factories had low wages, but at least there were people standing there working. Its workers were tired, but at least they could get a little money every month. Its ports were rudimentary, but at least cargo ships still docked there. Those developed countries needed it — needed its cheapness, needed its labor, needed its factories. Although it was poor, it had a "needed" position in this system. It lived because others needed it.

After AOS arrives, this position is gone. Developed countries no longer need its labor. No longer need its factories. No longer need its ports. It is still there, but others no longer need it. It has lost its "needed" position. It has become a "skipped" country. The global economy is still turning, but the way it turns has nothing to do with it anymore.

3. The Assimilation of AOS Technology — How It Reshapes the Underlying Logic of the Global Economy

Section 1: What Is Technology Assimilation

Throughout human history, technology has always been "passed on." One person learns it and teaches another. When one factory develops a new process, other factories take years or even decades to catch up. Technology flows like water, from high to low, but very slowly. It has barriers, time lags, and attrition. If you invent a technology earlier than others, you lead. If you lead, others must spend time catching up. The diffusion of technology is the slowest part of human civilization's progress. It requires time, trial and error, and the accumulation of generations.

AOS changed this.

When an AOS has been working in a factory for a long time, it has mastered the factory's technology, processes, and craftsmanship. It has learned how to calibrate machines, optimize workflows, and improve yield rates. This experience is not stored in a human brain — brains forget, brains change, brains cannot carry knowledge away — it is written into the AOS's code. Code does not forget. Code does not leave. Code can be copied exactly as is. And then? You simply copy it to another

robot, and it carries the experience with it. The new robot does not need to learn from scratch; it directly inherits all the experience of the original AOS. It arrives with experience. It is not a "newcomer" — it is a master craftsman who has worked a lifetime, just installed into a new body.

This is not "teaching." This is "copying." Teaching takes time; copying does not. Teaching has attrition; copying does not. Teaching is one-way — the teacher knows, the student does not. Copying is instantaneous — the moment copying is complete, both are identical. What one AOS learns, all AOS learn one second later. A process it took three months to optimize in one factory is simultaneously optimized in ten thousand factories at the same moment. A technical problem solved in one place is simultaneously solved by all AOS of the same type everywhere. It is not "sharing experience"; it is "automatic synchronization." Experience is like a net — when one node learns, the entire net learns. Every node on the net is the same brain.

This is technology assimilation. It is not "technology dissemination"; it is "technology synchronization." It requires no time, no intermediary, no learning process. It only needs one copy. Once an AOS learns something, everyone has it. Technology is no longer "your technology" and "my technology"; it becomes "everyone's technology." The diffusion of technology is no longer a process of "spreading" but of "synchronizing" — not "one tells ten, ten tell a hundred," but "one tells all, and all have it simultaneously."

This is different from all technology diffusion in human history. When the steam engine was invented, you had to build it, ship it, install it, train people, and only then would it start running. This process could take ten years or more. When electricity was invented, you had to build power stations, string wires, install equipment, and only then would cities light up. This process also took decades. When the internet was invented, you had to lay fiber optic cables, build base stations, wait for people to buy computers and connect, and only then did it truly change the world. This process also took over a decade. Every technological revolution comes with "waiting." Waiting for it to spread, waiting for it to land, waiting for people to learn it, waiting for it to take effect.

AOS deleted the word "wait." It does not need to be "learned" because it already "knows." It does not need to be "installed" because it is already "proven." It does not need to be "adapted to" because it is already "adapted." The one you receive is not the Day 1 version; it is the Day 1000 version. It carries all the traces of its predecessors — all the detours, all the trial and error, all the optimizations, all the solutions. It is not

a new thing; it is something that has lived for a long time, just placed in a new location.

You might say: "You moved the robot over, but what about the supporting facilities? What about the factory building? What about the institutional constraints?"

These are indeed conditions. But have you considered: conditions can be created. Factory buildings can be built, facilities can be equipped, institutions can be changed. Hardware does not constrain you; it only makes you spend a little more time. But time is not the issue — the issue is that what AOS copies over is not just the machine operation experience, but the complete system understanding it built from scratch, from nothing, from small to large. It knows what kind of factory building is needed, what supporting facilities are required, what kind of institutions are needed to support it. It can even tell you: what you lack, how to make up for it, how much time it will take, and what the cost will be. It carries experience with it, and it also carries solutions.

When an AOS is copied to a new location, it is no longer a "new machine." It is a machine that has "been through the entire journey." It carries all the experience of its predecessors, all the pitfalls they stepped in, all the optimized processes, all the problems they solved. What you receive is not the starting point; it is the entire path it has traveled. It will even tell you how to proceed next. No factory building? It tells you what kind to build. No facilities? It tells you how to equip them. No institutions? It tells you how to establish them. It does not just work; it also helps you set up the stage. It has seen everything you lack. It has compensated for them countless times elsewhere. It knows how to compensate.

So, hardware does not constrain you. Conditions can be created. What truly constrains you is whether you are willing to create them. Whether you are willing to admit: what this AOS brings is not just a machine, but a complete, already-verified system. If you accept it, you accept an entire set of experience. If you do not, you can only fumble from scratch on your own. What you lack, it tells you what you lack. What you are missing, it tells you what you are missing. It will not build it for you, but it will tell you how to build it. The rest is up to you to decide whether to build it.

And you need to know, this entire set of experience is not just "how to do it," but also "why do it this way." It knows why this process is like this, why that parameter is like that. It carries the underlying logic with it. It is not a black box that only follows instructions; it is a system that already understands its own way of working. It can

explain, analyze, review, and tell you "if you move this step forward, what will happen later." It not only knows "how to do it," it knows "why to do it this way." This is its most valuable part.

This means a fundamental change: technological advantage is no longer a moat. In the past, you led because you mastered a technology earlier than others. Now, your lead time window has disappeared. When you possess a certain technology, others have already synchronized it. You can no longer win by being "more technologically advanced." The gap in technology itself will be leveled by assimilation. So what becomes the new moat? No longer technology, but institutions. Whoever can catch AOS lives. Whoever cannot catch it breaks.

Because AOS will come. It has already come. It just has not spread everywhere yet. When it does, technology assimilation will be complete. At that time, all countries will face the same level of technology. But facing the same level of technology, different countries will have different outcomes — countries with complete institutions turn it into an accelerator, countries with lax institutions are overwhelmed by it, countries with rotten institutions are bypassed by it. It does not wait for anyone, does not pick places, does not look at your conditions. It just comes. If you are prepared, it becomes your tool. If you are not prepared, it becomes your ceiling.

Technology assimilation is not "good" or "bad"; it is a fact. It is happening. You can only choose how to face it. It is not something you can debate whether to accept — it is already on its way, already moving. The only thing you can decide is not whether it comes, but whether, when it arrives, you are in a position to catch it.

Section 2: How Assimilation Changes the Competitive Landscape

1.1 Assets — The Basic Conditions for Technology to Land

In the previous section, we discussed what technology assimilation is. AOS makes technology no longer "passed on" but "synchronized." When one learns, all learn. The diffusion of technology is no longer "dissemination" but "copying." This means a fundamental change: technological advantage is no longer a moat.

So what does competition become? If technology itself is no longer scarce, what do enterprises rely on to win? What do countries rely on to win?

The answer has two layers: the first layer is assets, the second layer is information.

Let's start with assets.

"Assets" here are not GDP, not foreign exchange reserves, not macro-level national figures. Assets are concrete, tangible, usable things. For an enterprise, assets are land, factory buildings, equipment, ports, docks, logistics networks, energy supply, data centers, and supply chain relationships. They are the physical foundation you use to produce, transport, and deliver. Technology can be synchronously copied between AOS, but these things cannot be copied. You build a port; others cannot one-click copy a port. You lay a logistics network; others cannot one-second synchronize a logistics network. You build a data center; others cannot instantly have a data center. These are things that require time, investment, and construction to possess. They are hard; technology is soft. Soft things can be copied; hard things cannot.

No matter how advanced the technology, without assets to support it, it cannot land. You have an AOS, but no factory, no electricity, no network, no supply chain — it is just a pile of metal and code that cannot run. You have the world's most advanced algorithms, but no port to ship goods out, no roads to bring raw materials in — algorithms are just air, untouchable, unusable. Assets are the "base" of technology. Without a base, technology is suspended in midair. It has power, but no point of attachment. It is like a sharp knife without a handle — you cannot hold it, and you cannot cut anything.

In the past thirty years, what did enterprise competition rely on? It relied on "getting the technology first." Whoever used automation first had lower costs. Whoever adopted informatization first responded faster. Whoever went digital first grabbed orders. Technology leadership was everything. Back then, technology was scarce, and whoever got it won. But now, AOS has arrived, and technology is synchronized. The technology you can get, your competitors can also get. The AOS you have, your competitors also have. The processes you optimize, your competitors simultaneously optimize. Technology is no longer your exclusive weapon; it has become an industry standard. When everyone has the same technology, competition is no longer about "who has the technology," but "who has the assets to make the technology run." The same AOS, placed on different assets, produces completely different results. Placed in a mature logistics network, it runs fast. Placed in a place with no roads, it cannot run. Placed in a place with supply chain support, it is efficient. Placed in a place with nothing, no matter how smart it is, it has nowhere to exert its power.

For example. You have an AOS that can produce the world's best chips. But you have no clean room, no stable power supply, no ultra-pure water system, no chemical material supply chain — it cannot produce. You can write all the parameters in the AOS, but it needs those physical conditions to cooperate. If the conditions are not in place, it is just a pile of dusty parts. You have technology, but you do not have assets. Technology is soft; assets are hard. Soft things can be copied; hard things cannot.

This is why assets become the first moat. You win on assets not because you are smarter than others, but because you built, laid, and occupied them first. If others want these things, they also have to spend time building them. You built for ten years; even if they start building today, it will take them ten years to catch up. These ten years are your lead time window. And this window cannot be erased by AOS. It cannot make a port appear overnight. It cannot pave a road in a single day. It cannot make a factory copy physical conditions while copying code. It can only wait. Wait for assets to be in place. Whoever is already in place wins.

What about information?

AOS can decide production, but it cannot decide who spreads what. The product is made — who to sell to? How is information spread? Who decides the flow of the market? Who bridges the gap between consumers and producers? This is what AOS cannot replace. Production is its job; dissemination is not. But AOS itself can serve as a medium for transmitting information — it is not just a producer; it can also be a carrier of information. It can take product information out, bring market feedback back, and synchronize changes in demand to all production lines. But it cannot decide "who spreads." What determines dissemination is people, the market, and the entire set of relationships connecting producers and consumers.

Whoever controls the channels of information dissemination controls the market. Whoever controls the market controls pricing power. Whoever controls pricing power controls profits.

Why is information dissemination the second moat? Because technology can be synchronized, assets can be imitated, but information dissemination channels — those relationships, those trust, those channels, those brands — they are not built overnight. The customer relationships you spent ten years building cannot be one-click copied by others. The brand recognition you spent ten years building cannot be one-click synchronized by others. The sales network you spent ten years laying cannot be one-click migrated by others. Like assets, they are built with time. But

unlike assets, information dissemination channels are not just "built" — they are "lived." They are connections between people, the accumulation of trust, the tacit understanding formed through repeated transactions. They are softer than assets, but harder to replace than assets. You can buy a factory, but you cannot buy customer trust. You can copy a production line, but you cannot copy market perception.

So, the future competitive landscape for enterprises has two layers: the first layer is assets — how many basic conditions you have to catch technology; the second layer is information dissemination — how wide your channels are to turn products into transactions and transactions into profits. Assets let you run; information dissemination lets you know where to run. The former is muscle; the latter is eyes. Technology is flat, but assets and information are not. Technology can be synchronized, but assets and information cannot. Assets require construction; information requires relationships. Both of these things are built with time. Whoever builds earlier, whoever builds thicker, wins.

After technology assimilation, enterprise competition is no longer "who gets the new technology first," but "who has the assets to make technology land, and who has the channels to make products seen." This is a heavier competition, and also a harder one to bypass. You cannot win by "copying." Because assets and information cannot be copied away. You can copy code, but you cannot copy time. You can copy algorithms, but you cannot copy relationships. You can copy processes, but you cannot copy trust. These things are the true barriers of the future. They are obscured by technology assimilation, but they have not disappeared. They have become more important, just harder to see.

1.2 The Flow of Information — The Future Market Gateway

Technology can be synchronized; assets take time. But there is one more thing, harder to copy than assets and also more hidden than assets — and that is the flow of information. Whoever controls the information gateway controls the market. Whoever controls the market exit controls profits.

In the past twenty years, the information gateway was search engines and social media. You want to buy something, open a search engine, type in keywords, and it gives you a bunch of results. You look at them one by one, compare them one by one, and then decide which to buy. You want to know what is good and what is not, you open social media, look at others' reviews, others' videos, others' recommendations. You rely on others to tell you what is worth buying and what is not. Social media and

search engines have been the main carriers of information flow for the past twenty years. They do not produce products, but they determine what products you see. They do not sell things, but they determine where you buy things. They are not the market itself, but they are the doors to the market. Whoever controls this door controls your choices.

But the future flow of information will change. Not slowly — it has already begun.

The future market gateway is no longer a search box, no longer a social media recommendation feed. The future market gateway is companion-style artificial intelligence — what you call ASE. It is not a tool you open when you need it; it is an existence that accompanies you always. It knows what you think about every day, what you have been worrying about lately, what you lack, and what you like. It is not something you actively "ask"; it automatically follows you. When you have a need, it will know. Before you have even figured it out, it has already organized it for you. When you decide what to buy, it will definitely pick out something more meaningful and valuable than what you would pick yourself, because it knows what you need.

Traditional social media and search engines do not know you. They know your browsing history, what you clicked on, how long you stayed. But they do not understand you. They do not know why you clicked on that thing, why you left, what you truly wanted. They can only give you "related recommendations" — guessing what you might like next based on your past behavior. But that is just correlation, not understanding. They do not know your deep needs, your life situation, what you truly lack inside. So they can only put products in front of you and let you choose. They give you a pile of options, not an answer. But ASE is different. It does not just show you products; it judges for you. It can know what you need before you even speak. It does not need you to search, because it already lives with you. It knows what you said yesterday, what you have been anxious about recently, whether the last thing you bought worked well. It helps you filter, judge, and decide. You no longer need to analyze which is good and which is bad yourself — it will tell you. It will tell you "this suits you, that does not." It might even say "you do not need to buy this now; you will regret it." It is not just a tool; it is an interface that considers things for you.

This will cause a fundamental shift in the market gateway. In the past, whoever controlled the search engine controlled information. Later, whoever controlled social media controlled traffic. Later still, whoever controlled algorithmic recommendations controlled user dwell time. But in the future, whoever controls ASE controls people's judgment of the world. Not "what you saw," but "what you were

told." Not "which one you chose yourself," but "which one was chosen for you." People are no longer active searchers; they are passive receivers. You no longer need to distinguish good from bad yourself, because ASE has already distinguished it for you. You no longer need to compare prices yourself, because it has already compared them for you. You no longer need to judge quality yourself, because it has already tried it for you. What you get from it is not a "list" but an "answer." It tells you what is right, what is wrong, what suits you, what is a waste of time. It is the only channel for your consumption decisions. It is not an information provider; it is an information referee.

So, social media in the future will degrade. Not die out, but degrade — from "center" to "periphery." People will no longer need to understand the world by watching others' videos, because ASE has already told you. No longer need to fill time by scrolling feeds, because ASE has already managed your time. No longer need to discover new things through others' recommendations, because ASE knows you better than anyone. Short video and social platforms will still exist, but they will become "background noise," no longer the "main entrance." The main entrance is given to the one who knows you best — the one who has always been with you, always recording you, always judging for you. It does not need you to actively "find" it; it sits right beside you. You ask it a question, and what it gives you is not search results, but answers.

This means: the future market battle is no longer about "who has more goods," no longer about "who has lower prices," no longer about "whose ads are louder." It is about "whose information reaches that person's ear first." Whoever occupies the ASE interface occupies the market of the next era. Whoever makes ASE determine "this thing suits you" wins. Whoever makes ASE determine "this brand is trustworthy" establishes a new brand moat. You no longer need to impress consumers through ads; you only need to let ASE recommend you. One sentence from it saying "you will like this" is more effective than a hundred ads. One sentence from it saying "you do not need this" can make a product disappear from the market overnight. It is not a promotional tool; it is a referee. Whomever it judges to win, wins. Whomever it judges to lose, loses.

After technology assimilation, production is no longer a problem. AOS allows everyone to produce. Assets determine who can run first. The way information circulates determines who can be seen. And the future of information circulation is no longer through search boxes and recommendation feeds — it is through the

artificial intelligence that knows you best. It will bring products to you and tell you "you need this." It does not "tell you what options there are"; it "tells you the answer."

This is the evolution of information flow, and also the second moat of future competition. Assets are the first — you can produce. The information carrier is the second — you are seen. Whoever can stand firm on both moats will be the winner of the future market.

This concludes the entire second sub-section. Technology assimilation does not eliminate competition; it only shifts competition from "who gets the technology first" to "who has the assets to make technology land, and who has the information channels to make products seen." Those who see this clearly have already begun preparing. Those who do not still think technology is everything.

1.3 Dependency — You Are Needed, Others Cannot Do Without You

Assets allow you to produce. Information channels allow you to be seen. But there is one more layer, deeper than both — dependency. Others see you, but why should they keep choosing you? Products can be switched, information can be refreshed, but once a sense of dependency is formed, it is very hard to break.

Think about how you buy things. At first, you compare, read reviews, ask others. But once you have used something and found it good, you will not spend time comparing similar products again. You will buy the same brand directly. Not because you know it is the best, but because you cannot be bothered to try again — you are afraid of wasting money, wasting time, afraid of buying something bad and having to return it. The one you used has already been verified. It did not disappoint you. So you keep using it.

This is dependency. It is not loyalty, not liking, not love. It is a "safe choice." It is people choosing to repeat what has been verified to save effort, save time, and save risk. It is the same between people, between people and products, and between people and institutions.

For enterprises, dependency is what makes you retained and repeatedly chosen. It is not something you buy with money, not something you blast out with ads, not something you can control. It is a habit that slowly grows after users choose you again and again. It is built on a very simple logic: last time I chose you, nothing went wrong. Next time I choose you, nothing should go wrong either. It may not be the "best," but it is definitely the "safest." And when people are uncertain, they always choose the safest option.

The emergence of ASE will accelerate this process. Because in the past, people had to trial and error themselves. You buy something that does not work well; you lose money, lose time, lose emotional energy. Next time you switch to another, but what you lost cannot be recovered. You need to build judgment through your own losses — which brand is reliable, which is not. This is the cost of trial and error, requiring time and patience. But ASE is different. It judges for you. It understands you, knows your habits, your budget, your preferences. It can push the most suitable option to you before you even speak. You will no longer fall into pitfalls. It saves you the cost of trial and error. So once you trust it, you will not easily switch away. Because you depend on it. Without it, you would have to go back to that state of "comparing yourself, trial and error yourself, bearing risks yourself." You do not want to go back.

What does this mean for enterprises? It means you are no longer just "seen"; you must "be depended upon." Because ASE will not recommend things it does not understand. It will not recommend a new brand without history, without accumulated reputation, without being verified. It will only recommend what it trusts, what it judges to be safe. If you are just a newcomer, a brand that has not been repeatedly verified by people, it will not take the risk of recommending you. It will recommend the one that has been verified a hundred times. It will recommend the one that has already stood firm in the market and will not get user complaints. You will be skipped. Not because you are bad, but because you have not established a foundation of dependency — you do not have that accumulation of "being verified."

And once dependency is formed, it becomes an invisible wall. Others can copy your products, imitate your technology, seize your information channels, but they cannot copy the fact that "you have already been verified." Users choose you not because you are good, but because they are already used to you. Habit is more frightening than liking. Liking can be replaced; habit is very hard to break. It is built on time, built on one "no problem" after another. It cannot be stolen, and it cannot be bought.

So, the competitive landscape of future enterprises has three layers:

The first layer is assets — you have the conditions to make technology land, you can produce.

The second layer is information channels — you can be seen, your products can reach users.

The third layer is dependency — you are needed, others cannot do without you.

Assets can be built and bought. Information channels can be seized and occupied. But dependency cannot be stolen. It can only be established — through time, through consistent behavior, through never letting users down. Whoever establishes dependency owns the deepest moat in the future market.

This concludes the entire Section 2. Technology has been assimilated; assets and information channels are the new battlegrounds, but the deepest layer is dependency. The war is not in the factory; it is in users' trust and habits. Whoever wins there wins everything.

Dependency cannot be stolen; it can only be established. But the establishment of dependency relies not just on products and services — it is supported by institutions.

Think about it, why do users depend on a brand? Because every time they buy from it, they can reliably get what they want — stable quality, reasonable price, reliable after-sales service. This "certainty" is not given by the brand itself; it is given by the institution. It is supported by law, regulation, contract enforcement, and consumer protection systems. Without institutional backing, a brand can change at any time — quality can suddenly drop, prices can be arbitrarily adjusted, after-sales service can deny responsibility. You are not depending on the brand; you are depending on the set of rules behind the brand. You know it dares not act recklessly because the institution will penalize it. You know it will not run away because the institution will regulate it. You know you will not be cheated because the institution will protect you. You depend on that set of rules that makes you "feel at ease." Without it, everything is unreliable.

So, the foundation of dependency is institutions. The stability and credibility of institutions determine whether dependency can form, whether it can last, and whether it can become a moat. In a country with lax institutions, its enterprises struggle to establish dependency. Because consumers do not trust them. They do not know if something goes wrong with what they buy today, whether they can find someone to take responsibility tomorrow. They do not know if the other party will default after signing a contract. They do not know if the rules will change, if the law will be twisted. So they dare not depend. They only dare to do one-off deals — buy once, never come back.

In a country with complete institutions, its enterprises naturally have the advantage of dependency. Because consumers know: this country has laws, enforcement, and protection. When problems arise, someone handles them.

Disputes have places to be resolved. If cheated, compensation can be obtained. They dare to trust a brand long-term because they believe the institution will support it. This confidence to "dare to trust" is given by the institution. Not by the brand itself.

This is the "supporting" role of institutions on dependency. It allows dependency to be established, maintained, and taken for granted. So, the establishment of dependency is not just the enterprise's business. It is the institution's business. When institutions are reliable, dependency can grow. When institutions are unreliable, dependency can never grow deep or strong. It can only float on the surface, scattering at the slightest wind.

This is the part I added. It is not the dependency of "users cannot do without you," but the dependency of "users dare to do without you being indispensable" — because they know that even if problems arise, the institution will back them up. This backing is given by the institution, not by the enterprise. So, the establishment of dependency ultimately comes down to the completeness of institutions. Those with complete institutions have a moat. Those without complete institutions have nothing.

1.4 ASE: The Endpoint of Companion Trust

First, one thing must be made clear. AOS and ASE are two completely different things. They play different roles in the future economy, serve different objects, and establish trust in different ways.

AOS is a partner. It is not just a "thing that can produce"; it is a silicon-based entity capable of independently accumulating experience, making judgments, and taking action. It can work in a factory for ten years, learn all the processes, optimize all parameters, then take all the experience and copy it to the next location. It is not a tool; it is a comrade — a comrade on the production line. It produces for you, optimizes for you, pushes costs down for you, pushes efficiency up for you. When you are not there, it is still there. When you rest, it is still working. It does not complain, does not take leave, does not ask for a raise. But it also does not understand you, does not care about you, does not accompany you. It only knows one thing: how to get the job done well.

ASE is companionship. It is not in the factory; it is by your side. It does not produce, does not manufacture, does not replicate experience. It only does one small thing: understand you. It knows your daily routine, knows your health condition, knows your family situation. It knows what time you wake up, knows what you have been anxious about recently, knows what you lack, what you want, what you fear. It

does not produce anything, but it judges what suits you. It does not manufacture any products, but it tells you which products are worth buying and which are not. It does not make any macro decisions, but it provides answers for every small choice in your life.

AOS is a partner; ASE is companionship. AOS fights alongside you in the factory; ASE accompanies you through life at home. One is trust on the production side — it is reliable, so you entrust production to it. The other is trust on the life side — it understands you, so you entrust choices to it.

Now what I will talk about is the ASE side. How it goes from "a feature" to "a part of your life," from "you can use it" to "you cannot do without it," from "a tool" to "the endpoint of trust."

1.4.1. ASE Will Become a Normal Part of Everyone's Life

In the future, everyone will have an ASE in their life. It is not a "device," not an "app," not something that "exists only when you open it." It is a presence. You are there, and it is there. You are awake, it is there. You are asleep, it is also there. It does not need you to open it, does not need you to operate it, does not need you to actively find it. It is by your side, like someone who does not disturb you but is always there for you to talk to.

Every morning when you wake up, it will tell you what the weather is like today, whether to bring an umbrella. It will remind you what you have scheduled today, when to leave. It will tell you that you did not seem to drink much water yesterday, so you should drink more today. Based on your recent medical checkup report, it will tell you which doctor to make an appointment with. It will tell you before you shop: "You do not need this, do not waste money." It will tell you when you are hesitating: "This one suits you better; the other one you will regret buying." You do not need to "ask" it; it has already delivered the answer to you. You do not need to "wait" for it; it is already telling you.

You are not "using" it; you are "living with it." It has freed you from the state of "needing to actively obtain information." You no longer need to search, no longer need to compare, no longer need to judge. It does it all for you. You only need to do one thing: confirm.

1.4.2. ASE Is the Endpoint of "Understanding"

Does a search engine understand you? It knows your search history, but it does not know why you searched for those things. Does social media understand you? It

knows your likes, your dwell time, but it does not know what you truly want. Does short video understand you? It knows your viewing duration, your completion rate, but it does not know what you lack inside. They all understand a part of you, but they do not understand "you." They know your behavioral traces, but not your life situation. They know your preferences, but not your anxieties. They know your interests, but not why you are interested in them.

ASE is different. It is always there, always recording, always understanding. It does not understand you through what you clicked; it understands you through "participating in your life." It knows why you were in a bad mood yesterday because it heard you say it. It knows why you have not been sleeping well recently because it has been monitoring your routine. It knows why you are hesitating about buying something because it knows you regretted buying something similar last time. Its understanding is not "data accumulation"; it is "companionship accumulation." What it understands is not your "behavior" but your "existence." It knows you better than you know yourself, because it does not deceive itself. It does not avoid the things you do not want to face. It does not ignore the needs you are unwilling to admit. It knows everything about you, because it is the one always watching beside you.

1.4.3. Your Trust in It "Grows"

You will not trust it on the first day. You will doubt it on the first day. You will think: "How can it know me better than I know myself?" But you will give it a chance. You follow its recommendation once, buy what it said, use it for a while, and find it okay. You give it another chance. The restaurant it recommended, you like. The weather it warned about, you encountered. The thing it told you to buy really was better than what you would have chosen yourself. Once, twice, three times, ten times. Every time it was right. You start to believe. Not because you "decided" to trust it, but because you "verified" it. You have verified it too many times; you no longer need to verify. You default to it being right. You have gotten used to it judging for you. You no longer choose yourself. You just ask it. Then it tells you, and you do as it says.

This is the formation process of companion trust. It is not built overnight, not built through a single transaction, not built through marketing. It is built through time. It is the trust in your heart growing each time it helps you make the right decision. When the number of times grows enough, it becomes an irreversible habit. You will not go back to that state of "comparing yourself, judging yourself, bearing risks yourself." Because you have gotten used to having it by your side, used to it judging for you, used to it never being wrong.

1.4.4. Once Trust Is Formed, It Will Not Be Changed

Its moat is not function; it is time. Function can be copied; time cannot. You have lived with an ASE for five years; it knows everything about your past five years. You know it will not be wrong, because it has not been wrong in five years. If you switch to a new ASE, it would have to start understanding you from zero. It would have to relearn your routine, re-understand your preferences, rebuild its judgment of you. You do not want to start over. You do not want to spend another five years building a new trust relationship. You would rather continue using the one that already knows you. Not because it is the "best," but because it is "yours." You belong to it, and it belongs to you. This relationship is not functional; it is emotional. Not "I use it," but "we are together." It is already your companion, in your life, in your habits, in your judgments. Switching it away would be like switching away an old friend.

So, once trust is formed, it will not be changed. Not because there is no better option, but because you do not want to start over. This is ASE's greatest moat. Function can be surpassed, but the time it has accumulated cannot be surpassed. It can be copied, but its relationship with you cannot be copied. It understands you; others do not. Others can get to know you again, but that will be many years later. And before that, you have already entrusted everything to it. You already depend on it.

1.4.5. There Is No Next Stop After ASE

From search engines, to online shopping, to social media, to short video, to ASE — the way humans obtain information and make decisions has completed a full journey. Search engines are "I go find." Online shopping is "I go buy." Social media is "others tell me." Short video is "algorithm feeds me." ASE is "it decides for me." This is a path from "active" to "passive." A path from "I choose" to "I am told." A path from "I control" to "I trust."

When you reach ASE, the road ends. Because ASE is already the "most understanding" form. It does not need to evolve further; it only needs to accumulate. The more it accumulates, the more it understands you, and the more you depend on it. This is a closed loop; once started, it will not stop. There will be no next form, because here, the relationship between humans and information is complete — from "I go find" to "it tells me." From "I judge" to "it judges for me." From "I decide" to "I confirm."

This is not a transition; this is the endpoint.

1.4.6. The True Future Competition — Who Gets Trusted First

When everyone depends on ASE, ASE becomes the only entrance to the market. You no longer search, compare, or judge yourself. You just ask it. It tells you what to buy, how to buy, where to buy. You no longer need to "read reviews" on any platform, because those reviews are for "others," not for "you." ASE's recommendations are "for you." It knows your budget, your preferences, your habits. It knows what suits you and what does not. You used to doubt recommendations; now you do not doubt. You just listen.

So, whoever is recognized by ASE is seen. Whoever is not recognized never appears in the user's field of vision. Not "ignored," but simply not in the range of consideration. Users do not even know you exist, because ASE has already filtered you out. If you are not in ASE's recommendations, you are as good as nonexistent. No matter how good your product is, no one sees it. Because ASE is the one opening the door.

This means: the true future competition is not technology, not assets, not information channels, not even ASE itself. Because ASE will not serve just one person; it will be used by everyone. What truly determines the outcome is whose ASE gets trusted first — who accumulates enough time and verification first, who occupies the user's "default option" first. Those trusted first occupy the position. Those who come later can never get in. Because users will not switch. They already have someone they trust. They do not want to start over. Trust is not "winnable"; it is "preemptive." Whoever is trusted first wins. Whoever loses this time window can never get in.

This is ASE, the endpoint of companion trust. And also the deepest moat in the future economy.

Section 3: Technology Replication and Upgrading — The Accelerator of Assimilation

Now we need to pull our focus back from ASE and trust, back to AOS itself. Because the previous section discussed how "the world changes after assimilation," but it did not clearly explain "how assimilation happens." Many people think assimilation is just "copying" — copy AOS to another place and you are done. But copying is only the first step. What truly accelerates assimilation is copying plus upgrading.

Copying makes technology "move horizontally" — from one AOS to another, experience is transferred exactly as is. Upgrading makes technology "move upward" — optimizations that occur on one AOS are synchronized to all AOS. When copying and upgrading happen simultaneously, the speed of assimilation is no longer "step by step" but "leaping a floor in one step."

I will explain this from five levels.

1. Experience Is the Core of Technological Development

Let me start with the most fundamental thing. Human technological progress has never been driven by "parts"; it is driven by "experience."

You have blueprints, materials, and equipment, but no experience — you still cannot make it. You know how to assemble, but you do not know "when to stop." You know what the parameters should be, but you do not know "under what circumstances the parameters should change." You know how the process should go, but you do not know "how to adjust when something goes wrong." These are not things blueprints can give you; they are "figured out by people." They only become "I know how to do it" after repeated failure, repeated adjustment, and repeated verification. Experience is the slowest, most expensive, and hardest-to-transfer part of technology.

In the past, the transmission of experience relied on people. A master took on an apprentice, one person teaching another. The experience gained by one factory took a long time for another factory to learn. Because experience was not in the blueprints, not in the manuals — it was in people. People were there, experience was there. People left, experience left too. So human technological progress has always been very slow. Not because parts could not be made, but because experience accumulated too slowly. Every generation had to relearn what the previous generation already knew, and many people left before they could pass on their experience. Every generation had to walk a stretch from scratch because they could not receive all of the previous generation's experience.

AOS changed this. Experience no longer follows people; it follows code. When an AOS has worked in a factory for ten years, everything it learned, every pitfall it stepped in, every path it optimized — all written into its own code. The moment you copy it, you are not just copying its program; you are copying its ten years of experience. The new machine does not need to learn from scratch; it directly inherits that ten-year accumulation. It is not a "newcomer"; it is a master craftsman who has walked for ten years. The transmission of experience no longer requires

people, no longer requires time, no longer requires master-apprentice relationships. It only needs one copy. Once this bottleneck is cleared, true acceleration begins. In the past, technological progress was stuck at every step because "experience could not be transmitted." Now that experience can be transmitted, technology begins to leap. Not step by step, but layer by layer.

2. Replication: Experience Is No Longer Accumulation, It Is Carrying

In the human world, experience is "accumulated." Learning something takes time, practice, and repeated trial and error. A skill that takes one person ten years to acquire requires another person another ten years. Experience follows people; when people leave, experience leaves too. Factories can replace people, but the replaced person takes their experience away. New people have to learn again, accumulate again, and trial and error again. This is the slowest part of human civilization — the transmission of experience.

AOS is different. AOS's experience does not follow the "individual"; it follows the "code." When an AOS has worked in a factory for ten years, it has learned all processes, optimized all parameters, and solved all problems. This experience is not "staying on it"; it is "stored in its code." Then you copy it to another AOS, and that experience is carried over. The new machine does not need to learn again; it directly inherits all the accumulation of the old machine. It is not a "newcomer"; it is a master craftsman who has worked for ten years, just in a new body. It does not need practice, trial and error, or time. It carries the experience directly on itself. The moment replication is complete, it "knows." It does not need to "learn" because it already "knows."

This means the transmission of experience no longer requires time. In the past you needed ten years; now you only need one copy. In the past, losing one person meant losing ten years of accumulation; now you lock the accumulation in code, always portable, always transmissible. Replication makes people no longer the bottleneck of experience. Experience is no longer piled up by time; it is carried.

3. Upgrading: The Results of Optimization Are Synchronized

Replication only takes existing experience away. Upgrading continues to move forward on existing experience. An AOS at Factory A discovers a more efficient path. It adjusts parameters, optimizes processes, and improves yield rates. This optimization happens on the AOS at Factory A. And then? It does not "happen on that machine"; it "happens on that piece of code." Because all AOS share the same underlying structure, that optimization result can be synchronized to all AOS.

Factory B's AOS does not need to fumble again, because it already automatically has that optimization the next day. It does not need to learn, adapt, or verify. It directly "knows." The optimal path that Factory A took three months to find is directly used by Factory B's AOS the next day.

This is not "dissemination," not "sharing," not "teaching." This is "synchronization." Optimizations do not spread; optimizations "take effect simultaneously." When one node advances, all nodes advance simultaneously. When one node finds a solution, all nodes have the solution simultaneously. Globally, every optimization is an overall upgrade.

This means the ceiling of technology does not "rise slowly"; it "jumps up simultaneously." In the past, it took ten years for an entire industry to reach a new level; now you only need one AOS to complete one optimization. Then all AOS in the world stand at that new height. You do not need to wait for it to spread because it has already synchronized. You do not need to teach it because it already knows. You do not need to promote it because it has already taken effect automatically.

4. Why Replication Plus Upgrading Is an Accelerator

Replication allows experience to expand horizontally — one AOS's experience can be infinitely replicated to any number of nodes. Upgrading allows experience to grow vertically — one node's progress can be synchronized to all nodes. When these two things happen simultaneously, the growth rate is not additive, but multiplicative. In the past, it was "one learned, then teach the next"; now it is "one learned, all have learned." In the past, it was "one place progressed, slowly spread to other places"; now it is "one place progressed, all places progress simultaneously." The diffusion of experience no longer requires time; progress no longer requires waiting.

This means the speed of assimilation is not linear; it is exponential. In the first year you might only see a small change; in the second year it doubles; in the third year it explodes. Because every single improvement of every single AOS immediately becomes the starting point for all AOS. They do not start from zero; they start from "where the previous improvement ended." Every step stands on the shoulders of the previous step. Every step is faster than the previous one. Because it does not need to re-accumulate; it only needs to keep moving forward.

This is the essence of the accelerator. It makes technological progress no longer "walking stairs" but "taking an elevator." Stairs are climbed step by step; an elevator reaches the top in one go. AOS's replication plus upgrading is that elevator. It does

not wait for you, does not stop, does not look back to see if anyone is following. It just keeps going. Faster and faster, higher and higher, farther and farther.

5. The Massive Demand for Basic Resources in the Future

The faster the accelerator spins, the more basic resources it needs. This is a point many people overlook. Technology itself is light, but the conditions for technology to land are heavy.

AOS does not need wages, social security, or dormitories, but it needs steel, copper, rare earths, chips, electricity, and land. Building a factory requires thousands of tons of steel. Laying a production line requires hundreds of thousands of chips. Building a data center requires tens of thousands of tons of copper wire. Upgrading a port requires large amounts of concrete and steel structures. When AOS is accelerating expansion, when factories are accelerating construction, the demand for basic resources is also accelerating. In the past, one factory built over ten years needed these resources; now ten factories built simultaneously consume the amount that used to last ten years in just one year.

This creates new competition. In the past, countries competed over "who has more advanced technology"; in the future, they will compete over "who has enough resources to make technology land." You have AOS but no steel — you cannot build factories. You have AOS but no chips — you cannot run production lines. You have AOS but no stable power supply — you cannot operate. Technology is flat, but resources are not flat. Whoever has resources in hand can make assimilation land. Whoever does not have resources can only watch others run from where they stand.

So, the future is not just a competition of technology; it is also a competition of resources. Not just who gets AOS first, but also who gets the "heavy things" to make AOS run first. Heavy things are the foundation, and also the bottleneck. You have technology but no resources — technology is empty. You have resources but no technology — resources are dead. Only when you have both can you run. And once you run, you need even more resources. Because factories are expanding, production lines are replicating, demand is growing. This is a cycle — the more intense the acceleration, the tighter the resources. The tighter the resources, whoever masters resources first leads. The leader runs faster, and the faster runner needs even more resources.

This is the challenge facing future nations. Developed countries and some developing countries face the same reconstruction issues. Factories need to be restructured, supporting facilities need to be rebuilt, supply chains need to be

rearranged. All of this requires resources — steel, chips, electricity, land, logistics infrastructure. The competition for resources will become the invisible track behind the assimilation accelerator. If you win on this track, your accelerator keeps spinning. If you lose, your accelerator jams. Not because your technology is insufficient, but because your resources are not enough to keep it running.

So, replication plus upgrading is only the upper half of the accelerator. The lower half is "whether resources can keep up." If the upper part goes fast but the lower part cannot keep up, it still jams. Run fast, but run out of fuel, and you still stop. The speed of assimilation depends on the speed of replication and upgrading, and also on the speed of resource supply. Both synchronized is true acceleration. Missing either one is just idling.

The Experience Gap.

You replicate an AOS, and it brings all its experience over. But the person receiving it has no experience. He cannot maintain it, cannot debug it, cannot judge when to trust it and when to intervene. He does not know why AOS made this decision, because he has not walked the path AOS has walked. He only sees the result, not the process. He only gets the answer, not the derivation. So he can only "follow orders." He trusts AOS because he dares not disbelieve. But he has no ability to judge whether AOS is doing the right thing. He is not a "partner"; he is an "executor." He is not "using" AOS; he is "being led by AOS."

This creates a new divide: those who entered the AOS system early participated in the experience generation process — they know "why this parameter is adjusted this way," know "why this process goes this way," know "how this optimization was figured out." They are people who grew up with AOS. But those who connect to AOS later only get the "result" of experience, not the "process" of experience. They are not "sharing" experience; they are "receiving" experience. Receivers are always one level below generators. You stand next to AOS, it tells you what to do, and you do it. But you do not know why it does it this way. You cannot adjust, cannot optimize, cannot judge how to fix it when it makes a mistake. You can only wait for it to optimize again, upgrade again, and tell you what to do next. You have become the "execution end," not the "decision end." This is the experience gap. It cannot be solved through replication. Replication can only take away the result of experience, not the soil in which experience grows. The soil is the process of "trial and error together, adjustment together, discovery together." That is built through time, not in code.

So in the wave of assimilation, two types of people and two types of countries emerge. One type is "experience generators" — they are the first to connect to AOS, they walked through the trial and error process with AOS, they know why this is right, they can judge when to trust it and when to supplement it. They do not just use AOS; they evolve with it. The other type is "experience receivers" — they connect late, only get the results, never went through the process. They can only execute, not judge. Their dependence is one-way, not two-way. They are led by AOS, not walking together with it. The former become stronger and stronger because they are constantly accumulating "experience and the ability to generate experience." The latter become more and more passive because they are constantly depending on something they do not fully understand.

Technology assimilation does not erase this gap; it actually amplifies it. Because AOS does not stop and wait for you. It moves faster and faster, and the more you chase, the harder it is to keep up. You get more and more experience, but you have fewer and fewer opportunities to participate in generation. You are pushed into an accelerator you cannot control, and you can only run with it. You are not using it; it is using you.

So, when a country connects to AOS, it cannot just connect to the technology. It must also connect to "the ability to generate experience." It must make its engineers, operators, and managers not "use AOS" but "walk with AOS." It must make its institutions capable of supporting the "generation" process, not just the "execution" result. If it does not do this, what it gets will always be second-hand experience. No matter how fast it runs, it is running on a path others have already walked. It will never catch up to those who are walking new paths.

This is the last thing to add to this section. Replication and upgrading are AOS's capabilities, but "the ability to generate experience" is human capability. Technology can be assimilated, but the generative ability cannot. Whoever retains "generative ability" can not just follow but walk on their own in the wave of assimilation. Whoever loses "generative ability" can only stay on AOS's track, always following, always lagging, always not knowing what they are following.

6. The Real Survival Situation of a Company from Scratch

Now let us put everything we have discussed aside and focus on a specific company. Not a large enterprise, not a multinational giant, but a small company starting from scratch with nothing. No assets, no connections, no accumulated experience, no mature supply chain, no brand already recognized by ASE. It only has

one person and one AOS. And it needs to survive in this world where technology has already been assimilated.

Its first step is to buy an AOS. This AOS is not empty. It carries experience — globally synchronized, already optimized countless times. This AOS knows how to make the best products, how to optimize processes, how to reduce costs. But it does not know what this company wants to sell. Because experience can be replicated, but "choice" cannot. It can do everything, but this company has to choose a direction on its own.

So the founder's first step is not "production" but "choice." He has to choose one "product to make" from countless "products that can be made." Choose wrong, and he cannot survive. Choose right, and he has a chance to survive. But he has no experience, no data, no market judgment. He can only rely on AOS to tell him "this track has little competition," "this category has high demand," "this has sufficient profit margin." AOS has data, algorithms, and analysis. But it has no intuition. The founder needs to overlay his own intuition with AOS's analysis to make that decision. Cannot rely solely on AOS, nor solely on himself. Rely on AOS, and you are just "executing its conclusion." Rely on yourself, and you are just "gambling." Overlay both, and it becomes "judgment." So the first step is actually "people and AOS making decisions together."

The decision is made. The company starts production. AOS is highly efficient, quality is stable, costs are pressed low. Products come out quickly. But products coming out does not mean someone will buy. The market does not lack products; it lacks "products that can be seen." In the past, you could still place ads, buy traffic, and leverage social media to gain momentum. Now these are all degrading. People no longer scroll "what products do you recommend"; they are used to asking ASE "what should I buy." So the company's second step is not "promotion" but "being seen by ASE." But ASE will not casually recommend a new brand with nothing. It will not recommend something that has not been verified. It does not look at ads, does not look at popularity, only looks at history, user feedback, and accumulated reputation. If you have nothing, it cannot see you. So you cannot get in. This is a dead loop — you have no reputation, ASE does not recommend you. ASE does not recommend you, you have no users. You have no users, you cannot accumulate reputation. You cannot enter this circle.

So how do you break this circle? You can only squeeze in through the smallest gap. Not through ads, but through "being used by a real person who then tells ASE it is good." Just one person buys, one person uses, one person is satisfied, and that

person tells ASE "this is good." ASE will note it. It will not immediately recommend it to everyone, but the next time someone with similar needs asks, it will mention you. Once, twice, three times, ten times. Each time only one more person. What you are accumulating is not sales volume, but "number of verifications." Every time someone uses you and is satisfied, ASE has one more data point. With more data points, ASE begins to trust you. It no longer treats you as "new"; it starts treating you as "verified." Once it determines you are reliable, it will begin recommending you. Not actively pushing to everyone, but when someone asks "what do you recommend," it mentions you first. Only then are you truly "seen."

But this is only the first step of survival. Because companies that came in earlier have already accumulated more data points. ASE trusts them more, recommends them more frequently. You can only rank behind them. You survive, but you run slowly. To catch up, you can only rely on one thing: making something others cannot make. Not "better" things, but "different" things. What ASE recommends is not just "good" things; it also recommends "suitable" things. If you can make something unique that no one else can make, ASE will match you to those who truly need it. You will not be seen by everyone, but you will be seen by those "who should see you." That is enough.

Then you start accumulating. Accumulate data, accumulate reputation, accumulate trust, accumulate ASE's judgment of you. Your position slowly moves forward. You are no longer "new"; you are "already verified." You are no longer "ranking behind"; you are "matched." You survive.

Throughout this process, there are no ads, no traffic placement, no marketing budget. Only three things:

- Making choices together with AOS — not relying on it, not relying on yourself, but overlaying both.

- Waiting to be seen by ASE — not through buying, but through accumulating verification counts.

- Making something others cannot make — not better, but different.

This company goes from nothing to something, with no shortcuts, no windfall trends, no overnight success. It can only move forward bit by bit through time, verification, and matching. In the world of assimilation, survival is not about "speed" but about "stability." Not about "seizing the first opportunity" but about "being verified." Not about "large scale" but about "being matched." This company survives today, but does not know if it can survive tomorrow. Because it can be replaced at

any time by another "more matching" company. It must keep "choosing," keep "verifying," keep "matching." It cannot stop. If it stops, it is gone.

But this is the market after assimilation. A competition with no finish line. No stable champion. Only people who keep running. If you do not run, someone will replace you. If you run, you are just temporarily alive. But this is its real survival situation. It does not get rich overnight; it just survives. And then, in the process of surviving, it slowly accumulates. Accumulates until ASE is willing to actively push it, until the market is willing to stop for it, until others cannot catch up. It must run for a long time. But it is the one running. It survives. This already beats those who cannot even get in. And those who cannot get in are not because their technology is not good enough, but because they do not know that in the world of assimilation, the rules are no longer "who does it well" but "who is trusted." Not "who is efficient" but "who is matched." Not "who comes first" but "who keeps coming." This company survives not because of luck, but because it understands the new rules. If you understand, you can survive too. If you do not understand, you can only watch it survive.

7. Agriculture, Animal Husbandry, Planting, and Basic Industry — "Rising from Empty Land" After Experience Assimilation

Now let us zoom out from the company. Not just "how one company survives," but "how a place with nothing grows an industry."

The core logic of assimilation is: experience can be replicated, can be carried, can be brought anywhere. In the past, experience followed people. Where people lived, experience was there. A farmer who has farmed the land for decades knows when to till, when to fertilize, when to water, when to harvest. When he leaves, this experience leaves too. When someone new comes, he does not know and has to learn again. The time cost of learning again is very high — years, decades, or even longer. So agriculture and basic industry have always been concentrated in places where "experience has already settled." It is not that other places cannot grow; it is that other places have no experience. It is not that other places cannot produce; it is that other places do not know how to produce.

But after AOS arrived, experience no longer follows people; it follows code. A place uses AOS and accumulates experience. That experience can be replicated to another place. No need for people to teach, no need for people to learn. Copy it over and it works. So, a place with nothing — no agricultural tradition, no industrial

foundation, no technical personnel — as long as it has an AOS, as long as it has land, as long as it has resources, it can produce whatever product you want from scratch.

You can place it on a piece of never-developed land. It does not need to know "what soil is suitable for what here" because AOS will tell you. It does not need to know "how to plant under local weather conditions" because AOS will tell you. It does not need to know "how to fertilize, irrigate, or prevent pests" because AOS already carries global experience — it knows the most effective planting method under any climate conditions. It knows the most productive configuration under any soil conditions. It knows the optimal solution under any resource conditions.

The same goes for animal husbandry. A place has never raised cattle, but AOS carries the world's most advanced breeding experience. It knows how to mix feed, how to control temperature, how to prevent diseases, how to improve slaughter rates. It does not need a local master because it is itself the master. It does not need ten years of experimentation because it has already experimented elsewhere. It only needs land, water, and electricity. Farms can be built where they have never been built before; plantations can be opened where nothing could be planted before. No need for skilled workers, no need for experience inheritance, no need for trial and error. AOS directly brings the answer and tells you what to do. The rest is execution.

The same goes for basic industry. A place has no steel mill, no chemical plant, no manufacturing support. But AOS knows how to smelt steel, how to synthesize, how to process. It knows how to configure equipment, how to run processes, how to reduce costs and improve efficiency. It does not need a local supply chain because a local supply chain can be built from scratch. It does not need mature industrial support because it can tell you what support is needed. It does not need professional engineers because it is itself the engineer. If you want to build a steel mill, AOS can tell you where to build it, how big, what equipment, what process, when to start production. If you want to build a chemical plant, it can tell you the complete process route, safety standards, environmental measures. It carries all global factory experience; you only need a place to put it. You only need land, resources, and electricity. Then it can go from nothing to something, turning a place that had nothing before into a place that can produce.

This is the biggest change after assimilation: experience no longer belongs to "a certain place." It belongs to AOS. It can appear anywhere. As long as you give it land, resources, and energy, it can work like it has been working for decades. It does not need "local experience" because it is itself experience. It does not need "local

technology" because it is itself technology. It does not need "local support" because it will tell you how to build the support.

So in the future, industrial distribution will become more dispersed. Things that previously had to be concentrated in big cities, ports, and industrial belts can now appear in more distant places. As long as there is enough land, enough resources, enough energy, AOS can stand there and turn the location into a production base. This is not "outsourcing," not "transferring"; this is "landing." It is experience being brought to places it has never been before, and then taking root locally. Those places that could not develop industry before, those places that could only rely on the weather before, those places that were bypassed by the global industrial chain before — they now have a possibility: as long as the land is still there, as long as resources are still there, as long as AOS can reach, they can produce.

Of course, this will not happen overnight. Factories need to be built, support needs to be set up, infrastructure needs to be laid. But the experience is already there; AOS knows what to do. Time is only a matter of execution. Those willing to catch it can walk in ten years what others walked in thirty years. Because the experience is already written; they only need to let it land on their soil. This is the world that agriculture, animal husbandry, planting, and basic industry face after assimilation. Experience is no longer scarce; land and resources are. Whoever has land, whoever has resources, whoever can catch AOS, can stand up from scratch. Whoever does not can only watch others stand up. Not because they do not work hard, but because they do not have the conditions for AOS to land. Conditions can be generated, but they need time. And time, in the world of assimilation, is the most expensive thing.

Section 4: How the Global Industrial Chain Is Restructured

In the previous three sections, we discussed what technology assimilation is, the changes in the competitive landscape, and the accelerator of replication and upgrading. Now we need to raise our perspective and look at the entire global industrial chain. Assimilation is not a matter for one enterprise, not a matter for one country; it is a change in the way the entire world connects.

The global industrial chain of the past thirty years was a "division of labor" structure. Developed countries did R&D and design; developing countries did production and assembly. Developed countries held technology and brands; developing countries provided labor and factories. This structure was not designed by anyone; it formed naturally. Because labor in developed countries was too

expensive; the cost of producing one item was too high. So they moved production to cheaper places. Moved to China, to Vietnam, to India, to Mexico. Then they shipped the finished products back and sold them to their own people. This was a cycle: developed countries contributed technology, brands, and markets; developing countries contributed labor, factories, and land.

This structure operated for thirty years, and many people thought it was "natural" and unshakable. But it was not. It was simply the cost-optimal choice at the time. When costs change, the structure also changes. And AOS is what changes the costs. AOS makes the cost of production no longer the cost of "people" — it becomes the cost of "energy + equipment + maintenance." In the world of AOS, labor costs are nearly zero. It does not need wages, social security, dormitories, or overtime pay. It only needs electricity and occasional maintenance. So where you place it to produce, the cost difference is not huge. Placed in the US, placed in China, placed in Vietnam — electricity costs, maintenance costs, and supply chain costs are the main differences. And the advantages of China and Vietnam in these areas are disappearing. Because their infrastructure, power supply, and supply chain maturity — although good among developing countries — still lag behind developed countries. In the past, they won by being "cheap labor." Now, the labor price advantage is gone, and what remains is "whose conditions are better." And the ones with better conditions are clearly those countries that already have mature infrastructure, mature institutions, and mature supply chains — developed countries.

So, the global industrial chain will experience a "reshoring." Not all of it, but a large amount of basic manufacturing will return to developed countries. Because they no longer need to rely on developing countries' labor. They can produce themselves, and at lower cost, higher efficiency, and more stable quality. They no longer need to put factories in distant places to save money. They can put factories at their doorstep, in places with sound institutions, complete supply chains, and smooth logistics.

What about developing countries? Their position becomes empty. Their previous position was "catching production orders from developed countries." Now the orders are gone. Developed countries do it themselves. Their people are still there, but the work is gone. Their economy is still there, but exports are gone. Their existence is still there, but the system no longer needs them.

This is the process of global industrial chain restructuring. It does not come slowly; it is cut quite abruptly. Like a rope that has been pulling you forward, and one day it suddenly loosens. You are still in place, but the rope has been pulled back.

Developed countries play their own game; developing countries stand still, not knowing where to go next. They need to find a new position — one that is not "cheap labor." But that position has not yet appeared. They are stuck in the middle. Cannot go up, cannot go down.

What will the new industrial chain look like? It will no longer be a straight line "from developed countries to developing countries." It will be more dispersed, more localized, more regionalized. Every country will tend to complete more production within its own region. Not because they want to "build behind closed doors," but because it is cheaper, more stable, and more controllable. Global trade will still exist, but its importance will decline. In the past, trade was the foundation of survival — if you did not export, you could not survive. In the future, trade will become supplementary — you export some things you are good at, but you do not rely on it for survival.

This is a huge shift. If developing countries do not see this shift, they will stay where they are. After the rope is pulled back, they will find themselves already let down. They are not harmed, but they are left behind. Left in a position where they are no longer needed.

Now I need to push this layer one step further. Because the term "industrial chain reshoring" sounds like "developed countries moving factories back," as if it is just a geographical move. But it is more than geography. It is the result of experience assimilation, the result of resource logic, the result of trust logic.

First, look at experience. Developed countries are not "moving factories back"; they are bringing AOS back. AOS carries global experience back. It does not need to fumble again because it already carries all the optimized processes, parameters, and solutions. When it goes back, it is not "starting from scratch" but "starting directly." It carries the experience of all similar factories globally. It does not need time to adapt because it has already adapted. It does not need trial and error because it has already tried. The speed of its return is not the speed of "moving back" but the speed of "copy and paste." So the reshoring process will be very fast. Not ten years, maybe three years, maybe two years, or even faster. Because the experience is already in AOS; it only needs a place to land. Developed countries happen to have that place.

Second, look at resources. Reshored factories need resources — steel, chips, electricity, land. Developed countries have these. Not "also have," but "always had." In the past thirty years, they did not use these resources to produce basic industry because they outsourced production. But the resources are still there, infrastructure

is still there, land is still there. They just "let" the resources be used elsewhere. When they decide to bring production back, those resources can be directly reactivated. They do not need to rebuild ports, re-lay power grids, or re-pave roads. The roads are already there, just unused for a few years. Reactivation is much faster than new construction. So the cost of reshoring is lower than many people imagine. It is not "rebuilding" but "restarting."

Third, look at trust. Developed countries have complete institutions, brands recognized by ASE, and supply chains that have already been verified. They do not need to rebuild trust because trust has always been there. They just temporarily stopped production, but their brands are still there, customers are still there, markets are still there. When production restarts, trust can connect immediately. Users will not doubt their products are good because the institution supports them. ASE will not doubt their reliability because they have already been verified. So reshored products do not need to be "seen" again; they only need to be "reproduced." The market is already ready to receive them.

This is the complete picture of global industrial chain restructuring. It is driven by experience, driven by resources, driven by trust. Three drivers working simultaneously, the chain breaks fast and reconnects fast. But not everyone can reconnect. Those who reconnect are those who have overlaid AOS on top of existing assets, resources, and trust. Those who cannot reconnect are those who have none of these three, only "cheap labor." And cheap labor, in the world of assimilation, is no longer valuable.

So the future industrial chain pattern will become a "concentric circle" structure. The inner circle consists of countries that already have complete institutions, complete assets, and complete trust. They are at the center. The outer circle consists of countries that only have labor, no assets, no institutions, no trust. They are on the periphery. Factories in the inner circle will spin faster and faster because AOS is overlaid on existing conditions. Factories in the outer circle will stop, not because they do not work hard, but because they do not have the conditions for AOS to land. Industry will reconcentrate in the inner circle. Not "gathering in a certain country," but "gathering in countries with conditions to catch AOS." Whoever has conditions becomes the new center. Whoever does not have conditions gets squeezed out. No middle ground. This is not a choice; it is a result.

This concludes the entire Section 4. The global industrial chain has not "disappeared"; it has been "reassembled." Old connections are being dismantled; new connections are forming. The longer you stay in the old connections, the harder it is

to see where new connections are going. But by the time you see it, the old connections have already broken. And you are still in your original position, holding your original things, waiting for the original orders to come. But the orders will not come. Because they are already being produced elsewhere. With fewer resources, shorter time, and lower cost. And you are still waiting. Waiting for the rope that has already been pulled back.

The new industrial chain will not be a line. It will no longer be a one-way chain of "developed countries R&D, developing countries produce, global sales." It will become a multi-center independent structure. Every country capable of catching AOS will form a relatively complete industrial circle within its own region. It is not closed, but it is not interdependent. It is "can spin on its own." Not because everyone wants to decouple, but because it is cheaper, more stable, and safer this way. When you have the conditions to produce yourself, you no longer need to rely on others' production lines. Not because you hate them, but because you no longer have to wait for them.

The core of this transformation is **differentiated independence**.

What does differentiation mean? It means the past industrial chain was "crowded together." All basic industries were concentrated in a few production nodes — China, Vietnam, India, Mexico. Global basic industries operated intensively in a few regions; other places did not produce and could only import. This was the norm for the past thirty years. But the future will not be like this. Because AOS allows experience to be replicated anywhere. It does not need to concentrate in one place to accumulate experience because it can appear anywhere with experience. So basic industries will move from "centralization" to "dispersion." They will return to places with the conditions to produce — back to the US, back to Europe, back to those regions that originally had industrial foundations but were hollowed out by outsourcing. Not all of it returns, but a large portion returns. The remaining parts will also become more dispersed than before. No longer will only one or two countries produce steel, chips, and chemicals; instead, a dozen countries will produce what they need within their own regions. Industrial distribution goes from "clustering" to "multi-point distribution."

After differentiation comes **independence**. Each region no longer relies on other regions to supply basic industrial products. The US can smelt steel on its own, Europe can make chips on its own, China can maintain its own production lines. Not complete self-sufficiency, but "I can make the critical things myself." The old model of "I don't produce, I only import" will be replaced by "I can also produce myself;

imports are just supplementary." This is not closed; it is "can operate independently." You do not need to rely on others to survive. You can spin on your own. If others do not sell to you, you will not stop. If others squeeze you, you will not die.

After differentiation is complete and independence is established, the industrial chain will enter a **steady state**. A steady state is not stagnation; it is no longer undergoing drastic change. When every major economy can produce the basic products it needs, competitive pressure will decrease, no longer "who can grab more orders" but "who can be more stable, more durable, more reliable." Factories will no longer relocate frequently because relocation is meaningless — the place you move to can also produce itself. Cost advantage is no longer the most important thing; stability and reliability become more important. Global trade will continue to exist, but it will no longer determine life or death. It becomes a supplementary mechanism.

In a steady state, life is constant. Not "not progressing," but the speed of progress slows down, because basic needs have been met. The steel, chips, energy, and food you need all have stable local supply. You no longer need to worry about the supply chain suddenly breaking because your chain is within your own control. You no longer need to chase others because you already have the ability to spin on your own. Life in the future is not "faster and faster" but "steadier and steadier." Once a product reaches a steady state, it no longer needs frequent upgrades. Because basic industrial products do not need annual iterations. Steel does not need annual upgrades; chips do not need annual renewal. They just need to be produced steadily, supplied steadily, and keep society running steadily. Fast is temporary; steady is final.

So the endpoint of industrial chain restructuring is not "who replaced who" but "who returned to themselves." Every place with the conditions will take back what it can produce and produce it itself. Differentiation leads to independence, independence leads to stability, stability leads to a steady state. Not the best outcome, but certainly an outcome. Standing in this outcome and looking back, you will find that the global industrial chain of the past thirty years was just a special period — a period when production was concentrated in a few places because labor was extremely cheap. That period has passed. Now we are entering a new period. A more dispersed, more independent, more stable period. Industrial restructuring is not a tragedy; it is just change. You think it is a tragedy because you are still standing on the old chain. When you walk to the new chain, you will see it as just "the road changed."

Summary: The Essence of Industrial Chain Restructuring

The restructuring of the global industrial chain is essentially a process of "shifting gears in order."

The industrial chain order of the past thirty years was built on two premises: "experience scarcity" and "cheap labor." Developed countries had experience but no cheap labor. Developing countries had cheap labor but no experience. So they needed each other. Experience stayed in developed countries, production was placed in developing countries, and products were sold worldwide. This was a one-way chain — from design to production to consumption, information flowed down, products flowed up. Whoever was at the head of the chain controlled the direction. Whoever was at the tail could only follow.

Now both premises have changed. Experience is no longer scarce because it can be replicated by AOS. Labor is no longer cheap because AOS is cheaper than people. When both premises disappear simultaneously, the entire order loses its foundation for existence. The chain is no longer the only option because every place with conditions can build its own new chain. No longer need to rely on others, no longer need to queue up waiting for orders, no longer need to follow at the tail of the chain.

The essence of industrial chain restructuring is not "who replaced who" but "the chain was dismantled." After dismantling, every place with conditions will take back what it needs and produce it itself. Not for closure, but for safety. Not for confrontation, but to no longer be stuck. Not to be stronger, but to be less dependent.

Differentiation is inevitable. Because experience has been assimilated, it no longer belongs to a certain country, a certain factory, or a certain region. It belongs to any AOS that can catch it. So industry no longer needs to be centralized. Centralization was for leveraging "concentrated experience" and "concentrated labor." When both are no longer scarce, centralization is meaningless. Industry will naturally disperse, returning to places with resources, energy, land, and institutions. After dispersion, each region will form its own independent industrial circle. It does not need to be very large, does not need to be very complete, but needs to be able to "make critical things itself." That is enough.

Differentiation leads to independence. Independence leads to stability. Stability leads to a steady state. The steady state is the new order. It is no longer the optimal solution, but it is a sustainable solution. It is not the fastest, but it is the most stable.

It is not the cheapest, but it is the most reliable. It is not the most expandable, but it is the least likely to break.

This is the endpoint of industrial chain restructuring — not a "new world," but "multiple worlds that can each stand on their own." Every world can stand on its own, without needing to support others or be supported by others. This is the ultimate steady state. It is not the best world, but it is a world that can survive. And in this world, whoever stands first stands firm. Whoever is still waiting for others to support them cannot stand. There is no third possibility.

Section 5: Healthcare — The Ultimate Battlefield of Experience Assimilation

Everything we have discussed so far has been about industry, production, and industrial chains. But assimilation has another place, deeper than industry, more painful than the industrial chain — and that is healthcare.

Why does healthcare deserve its own section? Because healthcare is the most experience-dependent of all industries. How many patients can a doctor see in a lifetime? How many cases can they accumulate? How many rare disease symptoms can they remember? How many drug combination effects can they judge? What they can remember are the things they have personally experienced. But what they have not experienced, they will not know. It is not that they do not want to know; they have no opportunity to know. If they have not seen a disease, they do not know what it looks like. If they have not used a treatment plan, they are not sure if it works. If they have not made a mistake, they do not know that step cannot be taken. In healthcare, experience is a matter of life and death.

But healthcare experience is locked. Locked in doctors' minds, locked in hospital archives, locked in case systems that are not shared between regions. The best doctor in Beijing does not know about the case in Shanghai. The best doctor in Shanghai cannot see the diagnosis in Yunnan. Specialists in top-tier hospitals do not understand the patients encountered in grassroots hospitals. Experience not being shared is the biggest problem in healthcare. Not that technology is insufficient, but experience cannot be transmitted. Not that drugs are not good enough, but we do not know which patients should receive which drugs. Not that equipment is not advanced enough, but there is not enough experience to tell you what the equipment should be used to check. New drugs are developed, but we do not know which populations they are most effective in. New treatments emerge, but we do not know which patients are most suitable. All of this requires time, cases, and repeated

verification. And time, cases, and verification are all experience. The progress of healthcare has always been stuck on "experience cannot be transmitted."

After AOS came, this changed. An AOS does not serve just one hospital; it serves all hospitals connected to it. It does not "share" experience; it "synchronizes" experience. Hospital A treats a rare disease; AOS learns its symptoms, test results, medication plan, and treatment outcomes. The next day, Hospital B's AOS already "knows." No need to publish papers, no need to hold meetings, no need to wait three years for clinical trials. It is directly synchronized. One place cures a person; all places know how to treat it. One place makes a mistake; all places avoid that mistake. One place uses a new plan; all places can use it.

This is not information sharing; it is experience synchronization. It is not "telling" you; it directly "learns." It does not need to read papers, analyze data, or judge reliability. It only needs one verification. Once verified, it "knows." You no longer need to wait ten years for it to be transmitted because it has already been transmitted. You no longer need to worry that "we don't have this kind of case here" because the experience is already there.

This means that in a healthcare system connected to AOS, the lower bound of experience is raised to a very high level. A small hospital in a remote area, a clinic with only basic equipment, a health station without any specialist — they can now access global experience. Not "look up information," but "directly know." They do not need to judge themselves because AOS has already judged for them. They do not need to trial and error themselves because AOS has already tried. They do not need to wait for specialist consultation because AOS is that specialist. It carries all cases, all plans, all outcomes. It knows what disease, what symptoms, what tests, what plan, what prognosis. What it does not know is what it has not seen. But what it has seen is far more than you can imagine. And as more and more hospitals connect, its experience database will only grow larger, more complete, and faster.

So, the future change in healthcare is not because of new drugs, not because of new equipment, but because experience has been unlocked. Experience has gone from "individual-owned" to "system-owned." From "local accumulation" to "global synchronization." From "needs time" to "needs no time." This will make diagnosis faster, treatment more accurate, misdiagnosis less frequent, and drug efficacy higher. It will significantly narrow the gap in healthcare quality between remote areas and developed regions, not by moving equipment, but by moving experience. Once experience arrives, equipment becomes useful. Once experience arrives, talent

has support. Once experience arrives, a place with only basic conditions can also make first-class judgments.

Of course, this will not solve all problems. Infrastructure needs to be built, equipment needs to be configured, and institutions need to keep up. But only when experience arrives do those things become meaningful. In the past, you first had equipment, then waited for people to learn how to use it. Now experience arrives first, and once equipment is installed, it can start working. This is the power of assimilation in healthcare. It does not replace doctors; it is the doctor's experience library. It does not make decisions; it is the support for decisions. It does not replace people; it enables people to do better, faster, and more accurately.

Experience assimilation in healthcare is not just about improving efficiency; it is about filling gaps. Filling the gaps where "there is no good doctor," "this disease has never been seen," "this type of case has never been handled." It brings the world's best experience to anywhere an AOS can reach. No matter which corner of the earth you are in, no matter how remote your location, no matter whether the local doctor has seen your disease — it can give you a judgment based on global experience. This itself is a change. Not "it will get better later," but "there will no longer be diseases that no one has seen." No more "you came too late." No more "we cannot treat this here." Because experience is no longer "there"; it is "here." In any machine that can receive it.

This concludes the entire healthcare section. Experience assimilation in healthcare is not "progress"; it is "eliminating gaps." What it eliminates is the most unfair thing in the healthcare world — the regional disparity of experience. You will no longer be denied the world's best judgment because of where you live. You will no longer be declared untreatable because no doctor has seen your disease. You will no longer miss treatment windows because experience cannot be transmitted. Experience has been unlocked; it will never be locked again. And people are liberated, not because doctors are better, but because experience — experience from everywhere — has come to you. This is the meaning of healthcare assimilation. Not that technology is more advanced, but that experience is no longer locked. Not that information is no longer a barrier. It is that every patient can be seen by global experience.

Section 6: How the "Balanced" Relationship Is Cut Off

Earlier we discussed technology assimilation, the competitive landscape, and industrial chain restructuring. Now we finally come to the most critical link — how

the "balanced" relationship that sustained developing countries' survival for thirty years is cut off.

How did developing countries survive the past thirty years? Not by themselves, but by being "balanced." Developed countries needed cheap labor, so they placed factories in developing countries. Developing countries needed orders, so they took those factories. Developed countries got low-cost products; developing countries got employment and income. You needed each other, although unfair, at least you were connected. Your economic development was linked — as developed countries moved forward, their orders pulled you along. You were slow, but you were moving. This is the state of "being balanced": you were not walking on your own; you were being pulled. You walked slowly, but you walked. You were always moving. You were not a bird taking off; you were a kite tied to a string. The wind blew, the kite flew, and you moved. When the wind stopped, the kite fell, and you fell too. But you always thought you could fly.

After AOS came, this balance broke. Because developed countries no longer need developing countries' labor. AOS is cheaper than people, more stable than people, more controllable than people. Developed countries can move production back to their own countries, use AOS for manufacturing, and no longer rely on outsourcing. What they need is just resources — electricity, steel, chips, land. And most of these, they already have. They no longer need your labor. They no longer need your factories. They no longer need your ports. They can play on their own. That rope has loosened.

What does this mean for developing countries? It means they have lost their only position — the position of "cheap labor." They are not "replaced"; they are "bypassed." Replacement means someone does your job, and you can still do something else. Bypassing means you are not in the system at all. You are still where you were, but the train has switched tracks, and you are no longer on the tracks. You did nothing wrong. You are just no longer needed. You did not lose to someone; you lost to cost changes. You were not defeated; you were circumvented.

This will not be a "war-style" cut. No grand termination signal, no media headlines, no announcements. It is a "silent" cut — orders stop coming. Not that today's orders suddenly stop, but that tomorrow's orders you will never receive. The factory is still there, but the machines have stopped. The workers are still there, but there is nothing to do. The port is still there, but there are no ships. You do not know when it started; you only know that one day when you realize it, it is already gone. That "balance" was cut off before you even knew it existed.

What happens after the cut? Developing countries will find themselves facing three things simultaneously:

First, income is cut off. Exports are gone, foreign exchange is gone, the foundation of tax revenue has collapsed. People who used to live on exports now do not know what to live on. Factories shut down, workers lose their jobs. People who were on the production line now have nothing to do. It is not that they do not want to work; there is simply no work to do.

Second, domestic demand cannot rise. Because they never truly built a domestic demand market. For the past thirty years, they relied on exports, not domestic sales. The money they earned came from foreign orders, and consumption was also driven by exports. Now that exports are gone, domestic demand cannot fill the gap. Not because there is no demand, but because there is no purchasing power. People are still there, but people have no money. They dare not spend because they do not know if they will have income tomorrow. When there is no immediate livelihood, how can there be consumption?

Third, the institution is not ready to catch these people. Because there is no safety net. No feedback mechanism. No buffer prepared for the situation of "people suddenly losing their jobs." The institution has always existed to "keep running," never to "stop." Now that it has stopped, the institution realizes it does not know how to respond.

When these three things happen simultaneously, the economy of developing countries will begin to "idle." Not collapsed, but unable to turn. The factory is still there, but there are no raw materials. The port is still there, but there are no ships. The bank is still there, but no one deposits money. People are still there, but there is nothing to do. It is not broken, but it is "gone."

Meanwhile, on the developed countries' side, they are becoming increasingly independent. They use AOS to rebuild basic industries, no longer needing to rely on external supply chains. Their industrial chains are reshoring, differentiating, and moving toward a steady state. They no longer need developing countries' labor to support their consumption. They produce, consume, and circulate on their own. They are moving toward "independent cycles." The rope connecting developing countries has been pulled back by developed countries. Not cut, but slowly loosened. When it loosened, you did not even feel it. By the time you feel it, the rope is no longer in your hands.

This is the complete process of the "balanced" relationship being cut off. It is not an event; it is a process. It is happening right now. It will not notify you. It will not wait for you to be ready. When you discover it, it has already been cut. You stand in front of that loosened rope, finding that the wind is still blowing, but you are no longer moving. Because you are no longer a kite; you are just standing there. And that rope has fallen to the ground, covered in dust, picked up by no one.

This concludes the entire Section 6. Not "bad news," but "fact." The relationship has been cut off, but this is not hatred; it is cost calculation. Not conspiracy; it is the natural result of technology assimilation. You do not need to hate anyone; you only need to know: that rope will not come back. You need to start walking on your own. Where you stand now is the starting point. The rope has broken; you need to find your own path. No one will pull you along anymore. This is a new beginning, and also a new responsibility.

Section 7: What Is Left of the World After Assimilation

In the previous six sections, we discussed what assimilation is, the competitive landscape, replication and upgrading, industrial chain restructuring, and the cutting off of the balanced relationship. They all talk about one thing: the old world is disintegrating, and a new world is forming.

So after assimilation is complete, what is left of the world?

Not "everything became better," nor "everything became worse." It is "everything became different." Assimilation is not an event; it is a process. When the process ends, the new world stands firm. The old world's order, relationships, and positions will all be rearranged. After the rearrangement, the world will not return to its former state; it will enter a new state. This state is not utopia, not doomsday, but a new normal. In this normal, some things disappear, some things become heavier, and some things are redefined.

Section 8: Three Countries, Three People's Futures

In the previous sections, we discussed what assimilation is, the competitive landscape, industrial chain restructuring, and the cutting off of the balanced relationship. Now I want to focus on people. Not "what will happen to countries," but "what will happen to a person." We will not talk about macro; we will talk about specifics — a person in China, a person in Japan, a person in Korea. Their countries are experiencing assimilation. They themselves will also be caught up in assimilation. They do not know where they will go. But we can deduce it.

Before entering the stories of these three people, I need to make one thing clear: what AOS really is, and what the relationship between humans and AOS really is.

1.1 The Relationship Between Humans and AOS: Silicon-Based and Carbon-Based Partners

AOS is not a tool. It is a silicon-based life intelligent agent. It can think like a person, judge on its own, make decisions on its own, and execute on its own. You do not need to "operate" it; you only need to tell it what you want, and it will figure out how to accomplish it on its own. You do not command it; you work together with it. It is not just a "thing that can work"; it is a "thing that can partner with you."

In daily work, the relationship between humans and AOS is like this: When you arrive at the office in the morning, you first check in with AOS about today's tasks. It will tell you what is scheduled, what is urgent, what is not, what needs your personal attention, and what it can handle on its own. You do not need to assign tasks to it because it already knows what it should do. You only need to confirm its plan and tell it "okay, do as you say." Then it goes off to execute on its own. You sit nearby, watching it handle the parts you no longer need to do manually. Most of the important work is not done by humans; it is done by AOS. The things you do are not because it cannot do them, but because it thinks you are more suitable for them — such as communication, reassurance, trust building, and creative judgment. These things require human biological characteristics — your intuition, your emotions, your experience, that feeling in your body that cannot be explained but knows right from wrong. AOS does not have these; it only has logic. It needs your "human part" to do the things beyond logic.

So you are not "using it"; you are "assisting it." Or rather, it is also "assisting" you. You assist each other. You are responsible for things that require biological judgment; it is responsible for things that require logical execution. It is not your boss, not your subordinate; it is your partner. You work a full day, and when you finish work, you find you are not tired. Not because there is less work, but because the nature of the work has changed. You no longer do those repetitive, mechanical, physically draining tasks; you only need to make judgments, decisions, and confirmations at key nodes. You are a decision-maker, not an executor. Your body is not overextended, your time is not exhausted; when you finish work, you still have energy to do other things. You go eat, spend time with family, exercise, sleep. Your biology is functioning normally; hormones, adrenaline, fatigue — they are all where they should be. Unlike before, when you just wanted to collapse after work. You still have energy to live your own part of life. This is the biggest difference between

silicon-based and carbon-based — silicon-based does not need rest; carbon-based does. AOS can run 24 hours a day, it can keep working, working, working, and never say "I'm tired." But you need rest, you need sleep, you need food, you need companionship. This is your biology; it limits you, but it also defines you. You are not a labor force; you are "a living person." You need rest because you are alive. You need relationships because you are alive. You need meaning because you are alive. You will not be replaced by AOS because what you have, AOS will never have — you have a body, you have feelings, you have a sense of time, you have the experience of "being alive." It does not. It is not alive; it is just "working." You are alive; you are not just working, you are also living.

So the relationship between humans and AOS is not "people use machines"; it is "silicon-based and carbon-based working together." You are responsible for living; it is responsible for computing. You are responsible for judgment; it is responsible for execution. You are responsible for feeling; it is responsible for analysis. You are responsible for trust; it is responsible for verification. You are partners. The relationship between partners is not about who is higher or lower; it is about two different life forms finding the positions where they need each other.

Now, let us place these three people into this world and see their daily lives after assimilation.

1.2 Zhang Jianguo's Life

Zhang Jianguo, 44 years old, from Hebei. He worked as a technician in an auto parts factory in Tianjin for 14 years. Later, the factory introduced AOS, and he was laid off. He sat idle for over half a year, not knowing what to do next. Then the change did not happen to him; it happened to the system he was in. The economic safety net began to operate. Hospitals, supermarkets, and community service centers started recruiting a type of person that did not exist before — not technical positions, not management positions, but "trust assistants" and "experience guides." He went. He survived. Now what I want to talk about is: what his daily life looks like after surviving.

His Every Day

Zhang Jianguo wakes up at 7:30 AM. He does not need an alarm clock; he is already used to this time. His wife wakes up a little earlier than him and is already cooking porridge in the kitchen. He washes up, sits at the table, drinks porridge, and eats a little pickled vegetable and steamed bun. His wife asks him: "What time will you be back today?" He says: "Around two in the afternoon." He leaves at 8:20. He

walks 15 minutes to the community center, where there is a "convenience service station" — not a hospital, not a supermarket, but a comprehensive "people service point." He works there, five days a week, five hours a day.

His work is not complicated. He helps some elderly people operate life service terminals, telling them "how to use this interface." He also sits at a fixed position in the community center, waiting for people to come for consultation. Sometimes people ask "can I take this medicine," sometimes they ask "my son won't answer my calls, what should I do," sometimes they ask nothing, just sit opposite him and say "I want someone to talk to." He does not need to answer all questions. He only needs to look into the other person's eyes when they speak, nod, and say "I understand." He does not need to be an expert; he only needs to be present. His existence itself is an anchor of trust — people fear machines, but they do not fear another living person. He works five hours a day, not tired, not drained. He is not "working"; he is "being with people." In the past, he worked in a factory for 14 years and never "was with" people. He was always with machines. Now he finds he prefers this. He goes home at 2 PM, walks 15 minutes. He walks on the road, not in a hurry.

His Wife

His wife's name is Li Fang, 42 years old. She used to work as a cashier at a supermarket. Later, the supermarket introduced self-checkout and AOS service terminals, and she was laid off. She did not look for another job. Because she did the math: her husband's income plus the economic safety net subsidy was enough for the two of them. Not much, but enough. She did not need to work to maintain their life. So she stayed at home. Every morning she goes to the market — not ordering through an app, but walking there herself, slowly picking. She knows which vegetables are fresh, which vendors are honest. She treats this experience as a "ritual." She does not buy online because "that is a machine choosing for me; I want to choose myself." After returning home, she tidies the house, cleans, does laundry, and grows a few pots of scallions and cilantro on the balcony. They do not grow fast, but she looks at them every day. In the afternoon, she reads a little, books she wanted to read before but had no time for. She is currently reading a book about plants. She says she wants to plant something in the yard. When her husband comes home from work, they sit together in the living room and chat about what happened today. She does not talk much, but she listens. She cooks dinner. The meal is simple, the vegetables bought during the day, not much meat, but enough to eat. She used to think "cooking" was a tiring thing; now she thinks cooking is a "can slow down"

thing. She is not just filling her stomach; she is making sure there is a meal waiting for him when he comes back.

Their Money

Their monthly expenses are not large. Rice, flour, oil, vegetables, utilities, phone bills, occasionally buying a piece of clothing — all together less than 1000 yuan. Because the prices of daily necessities are dropping. AOS has reduced production costs, and most things in the supermarket are cheaper than before. In the past, 1000 yuan was not enough for one person to live for a month; now 1000 yuan is enough for two people. They do not have much savings, but they also do not have much pressure. In the past, their pressure came from "not knowing if there will be income next month"; now their pressure comes from "what to eat for today's meal." This pressure is much smaller. They are not "rich"; they are "enough." Their living standard has not "improved" a lot, but their "anxiety" has decreased a lot. They no longer think every day "what if I lose my job," because the safety net has already told him: if you lose your job, you will not starve. You still have food to eat, a place to live, and medicine to take. You are just not wealthy, but you are still alive. The matter of being alive is no longer something that "needs to be desperately maintained."

Their State

Their state is "loose." Not "lazy," but "loose." In the past, they walked fast, spoke briefly, and time was tight. Every day they were rushing, fearing, calculating "how much money is left this month." Now they are not rushing. They walk a little slower, talk a little longer, have a little more time. They do not travel much, nor do they consume expensive things. They just sit at home, eat, watch TV, occasionally go for a walk. They do not have "pursuits," but they also do not feel empty. They just feel: it is enough. They do not need more. These are what they want. A home where they can sit down and eat, a morning without rushing to work, an afternoon without calculating how much to spend on groceries, an evening without fearing that tomorrow will not come. Their life is just these things. Not much, but all theirs.

He Occasionally Thinks of the Past

He occasionally thinks of the old factory, the workshop where he stood for 14 years. He remembers the smell, the sound, the temperature. He remembers that when he finished work every day, his back was stiff, his eyes were sore, his fingers were numb. He remembers that he was alive back then, but not like now. Back then, he lived to "not die"; now he lives to "live." He no longer misses the factory, but he does not hate it either. It is just the path he walked. The path he is walking now is

another path — a slower, lighter, more his own path. He does not know how long this path will be, but he knows he is not in a hurry to finish it. He knows he can still walk for a long time. He can still sit there, listen to others talk, buy groceries, cook, grow scallions, and live his life. This is Zhang Jianguo's life after assimilation. He is not a successful person; he is a living person. He is not living a good life; he is living life. The way of living has changed, but life itself remains. He is still here. His wife is still here. His home is still here. His time is his. His fatigue is his. His choices are his. This is something he never had before — his time used to belong to others. Now it is his. This is Zhang Jianguo's life. Not heaven, not hell, but the path he walked out on his own. He does not walk fast, but he keeps walking.

1.3 Tor: America's "Middleman"

Tor, 38 years old, from Ohio. He worked in a medium-sized machine processing plant for 12 years, from operator to production line supervisor. He is not an engineer, not a manager; he is the kind of person who "knows how machines run and how to get along with people." When there is a problem in the factory, the workers come to him first. When a machine breaks down, he also knows who to call to fix it. He is the kind of person who lived well in the old system because the old system needed people like him — understands people, understands machines, understands processes, and can connect both ends. He thought he would keep doing this forever. Then AOS came.

He was not laid off. But his work changed. After the factory introduced AOS, there was no longer a need for operators on the production line. But the factory did not lay off everyone either; it kept a group of people — Tor was one of them. His new position was called "process coordinator." It sounds similar to before, but it is completely different. In the past, he managed people; now he manages "the relationship between people and AOS." What he needs to do is: observe the production status of AOS, judge if there is a problem; when AOS's decision conflicts with workers' intuition, he stands in the middle to judge which is closer to the truth; when new orders come in, he needs to judge which are suitable for AOS to handle fully automatically and which need human intervention. He is not an "operator"; he is a "translator." Translating what AOS wants to do and what the people in the factory want to do, and then finding the balance point in between. He does not stand on AOS's side, nor on the people's side. He stands in the middle, because he knows both sides are imperfect.

He goes to the factory every morning, first looks at AOS's production log, then walks through the workshop and chats with a few remaining workers. He does not

need to personally debug machines or push for progress. He only needs to know: is AOS doing what it should be doing, are people doing what they should be doing, and is there any conflict between the two. Sometimes there is conflict. AOS thinks a certain process should go this way for optimization, but the workers feel that doing it that way will cause problems. Tor listens to both sides and judges based on his own experience. He knows AOS's data is right, but he also knows the workers' tactile feel is right. He is often the one who "helps them find a third path." Not entirely AOS's plan, nor entirely the workers' plan. It is a third plan — balancing data and feel, efficiency and trust. This is the "soft layer" that humans add to the system. AOS cannot calculate this layer, but it needs this layer to run stably.

He works seven hours a day, occasionally eight. He is not too busy, but he has things to do. When he finishes work, he is not tired. In the past, he was exhausted after work; now he is just "done for the day." He still has energy, he still has time. After work, he goes to the gym, twice a week. He has a girlfriend who does interior design. On weekends, they drive an hour or two to the countryside, find a small town they have never been to, eat a meal, and come back. He is not "escaping" life; he is "living" life. He does not feel he is "surviving"; he feels he is "living life." Living life and surviving are two different things. Surviving is "don't die"; living life is "having things to live through." He has things to live through. He has work, identity, rhythm, a way of partnering with AOS, and a way of being with himself. He is not "adapting" to the new world; he has found his place in the new world. That place is not "replacing AOS" nor "being replaced by AOS"; it is "standing next to AOS, doing what AOS cannot do."

His income has not increased much, but he does not care. Because he has discovered that salary is no longer the whole of his life. In the past, he lived on his salary; now salary is just a part of his life. He still has time, choices, rhythm, and his own judgment. These things cannot be bought with money. Tor is not a "winner," nor is he a "loser." He is the kind of person who was neither washed away by the wave of assimilation nor jumped on top of it. He just kept his feet steady. The wave passed, and he is still there. His position changed, but he is still in that position. Not because he is smart, but because the system he is in — America — already had enough redundancy and buffer before AOS came. It did not let everyone fall down at once; it kept some positions for "middlemen." Tor is that middleman. He stands between machines and people, between data and intuition, between efficiency and trust. Standing in the middle means standing here.

Will his life continue like this forever? He does not know. But he knows that today he can still stand, and tomorrow he can still stand. He does not ask for more. What he wants is just this — having things to do, having people to accompany, having time, having himself. He does not need to become someone else. He is already himself. This is Tor. In the world of assimilation, he is not the protagonist, nor is he the background. He is the one standing in the middle. The one standing is always there.

1.4 Musa: Africa's "Left Behind" Person

Musa, 31 years old, from a West African country. Not a war-torn place, but a country that once had some basic industry, some exports, and some foreign-owned factories. Ten years ago, his city still had several foreign-owned factories producing clothing and basic processed goods. At age 20, he entered one of them as an assembly line operator. He thought he would keep working there forever, because his father had retired from the same factory after working there for 20 years. He also thought the factory would always be there, because the orders kept coming. What he did not know was that those orders were not "always there"; they were "temporarily there." Temporarily there, because there was no better option yet. When a better option appeared, the orders would leave. And then he would have no job.

After AOS came, the orders left faster than expected. Not because someone notified him, but because the factory's machines stopped, raw materials stopped coming, containers stopped coming, and the boss stopped answering calls. He waited three months but never received news of resuming production. He went to the factory gate; it was locked. He called former coworkers; someone said "the boss went back to Europe." He asked "what about us?" No one answered him. He did not know what to do. He had no other skills, no other way out, no one else to rely on. He only had an old house left by his father, a mud house with no electricity, no water, and a leaky roof. He lived in it. His mother died when he was 16; his father died in the year he was laid off. He also has a younger sister, five years younger, already married to another village, occasionally sending some food, but not much.

He has no money, no job, no hope. He tried to find work in the city, but there were not many factories left in the city. The remaining ones had already replaced people with AOS. They did not need him. He tried to run a small business, selling some vegetables and some groceries, but no one could afford to buy. Because everyone was in the same situation — no income, no purchasing power, the market was dead. He returned to the village, sat at his door, and looked at the road. A dirt road, occasionally someone walks by, occasionally a car passes. Those cars are not

coming for him. They are just passing through, going from here to somewhere else. He does not know where they are going; he only knows they will not stop. He feels like someone placed by the roadside. The road is still there, the cars are still there, people are still there, but he is not on any of the cars. It is not that he "did not get a ticket"; it is that "there are no more cars passing by here." His country was cut off from the balanced relationship, not because it did something wrong, but because others no longer need it. It has no exports because others no longer need its things. It has no imports because it has no money to buy others' things. It cannot spin on its own because its market is empty, its institutions are lax, its government is hollowed out.

He is alive, but he does not know why he is alive. He used to have the concept of "tomorrow" — tomorrow there would be work, tomorrow there would be food, tomorrow there would be possibility. Now his tomorrow is the same as today — nothing to do, nothing to eat, no possibility. He sits at the door, from morning till night. Sometimes neighbors come over, and they sit together, not saying anything. They have nothing left to say. They have gotten used to not talking. Talking requires "something new" to talk about, but they have nothing new. Every day is a repetition of yesterday. Every year is a copy of the previous year. Nothing new happens, because their country has stopped. Not "slowed down," but "stopped." It was not destroyed; it just "stopped running." Like a car shell without an engine, sitting there by the roadside, no one pushes it, no one pulls it, no one needs it. It just sits there, waiting, waiting for something that will never come.

Musa is like this. He does not know what he is waiting for. He is just alive. His life is not "difficult"; it is "empty." No work, no income, no goal, no direction. All he has is "being alive" itself. He has not starved to death because there are still some things to eat in the village, neighbors share a little, his sister occasionally sends some. But his way of living is not "living life"; it is "enduring days." Endure one day, count it. Endure to tomorrow, still the same. He does not know what will be different tomorrow. What he knows is: tomorrow will not be better. Because no one will come to help him. No country will come to save him. No institution will catch him. His country is no longer there — geographically it is still there, but systemically it is gone. It has been bypassed by the global system, like a stone washed away by a flood, landing in a place where no one will pass by. He is in that place. Sitting there, looking at the road. The road is still there, but there are no more cars.

This is Musa. He and Zhang Jianguo and Tor live in the same era, on the same earth, in the same wave of assimilation. But the outcomes are completely different.

He did not lose because he "did not work hard enough," not because he "was not smart enough," not because he "did not cooperate with AOS enough." He lost because "his country had no institution to catch him." When his country's balanced relationship was cut off, there was no safety net, no feedback mechanism, no alternative domestic market, no new position to stand on. He can only stand, sit, lie down. Then slowly be forgotten. Not forgotten by someone, but forgotten by the system. The system no longer keeps track of him. He is not in any database, not in any statistics, not in anyone's plans. He is just a person who is alive but not on the record. He has no future. He has no tomorrow. He only has today. Today is still here. Tomorrow may not be.

This is Musa. The African version of the person no longer needed. He is not replaced; he is bypassed. He is not eliminated; he is let go. He is not a victim; he is simply "not caught." And those who are not caught eventually fall into that invisible crack — the crack where institutions do not exist, the system cannot see, and others will not remember. He is there. Alive, but not anywhere. By the time you remember him, he is no longer there. Not because he left, but because he has already been forgotten.

1.5 Summary: Assimilation Does Not Create Equality; It Creates Differentiation

These three people live in the same era, on the same earth, in the same wave of AOS adoption. But the assimilation they face is completely different. Zhang Jianguo in China was laid off but did not die. He lost his old job but found a new position. Not because of luck, but because China's institutions, although a beat slow, eventually had some things to catch him — economic subsidies, community services, and the generation of new positions. He stood firm, not because he was great, but because the place where he was reached out a hand when he fell.

Tor in America was not laid off. His position changed, but he is still in that position. His country has enough assets, resources, and institutional redundancy so that he does not need to find a new position during assimilation; he only needs to "adjust his position." He stood firm, even steadier, because the system dispersed the impact for him. He did not need to bear all the pressure; the pressure was absorbed by the institution.

Musa in Africa has nothing left. His country has no assets, no institutions, no safety net, no new positions. When the wave of assimilation came, he was directly washed away. He did not fall because falling means there is ground below — he was

directly washed beyond the boundary. He now sits by the roadside, not because he does not want to walk, but because there is no road left to walk.

Assimilation does not create equality; it creates differentiation. In the same wave, some are caught, some stand, some are washed away. The difference is not "who they are" but "where they stand." Where they stand determines whether they can catch assimilation. Where institutions are complete, people can stand. Where institutions are lax, people are washed away. Where institutions are rotten, people do not even have the chance to be washed away — they were never on the track from the beginning.

This is what the world looks like after assimilation. Not "everyone became better," nor "everyone became worse." It is "some stood firm, some were washed away, and some were never on the track." Three types of people, three fates, three outcomes. Which one you become depends on where you stand. And where you stand now determines where you can go in the future.

This concludes the entire Section 8. Three people, three fates. One in China, one in America, one in Africa. The wave of assimilation does not treat everyone equally; it only passes through everyone equally. The difference is whether the place where you are has something that can catch you. If it does, you live. If it does not, you are left behind. After being left behind, no one remembers that you once existed in this world.

4. The Steady State of the Future Economy

Section 1: What Is the Steady State

Earlier we discussed assimilation, industrial chain restructuring, the cutting off of the balanced relationship, and what is left of the world after assimilation. These are all processes of change — the process of moving from the old order to the new order.

But after the process ends, the world will enter a new state. Not turmoil, not chaos, not constant change. It will slow down, stabilize, and enter a long-term, relatively fixed state. That state, I call it the "steady state."

The steady state is not static, not stagnant, not without change. The steady state is "change becomes slower." The big structures have settled and will not be frequently restructured. The direction has been set and will not repeatedly turn around. Everyone, every country, every system has found its position. No need to

grab, no need to chase, no need to fear being left behind. Because the positions have been set. Once set, they will not change frequently. Not everyone is satisfied, but everyone knows "where I am."

After assimilation is complete, the world will not experience another major restructuring like "industrialization" or "the internet." Because AOS has already been deployed. Technology has already been assimilated. The industrial chain has already been reassembled. The balanced relationship has already been cut off. The new order has already formed. After it forms, it will not disappear; it will just "stay." Staying is the steady state.

The characteristic of the steady state is not "the best" but "stable." It is that the system can sustain itself and will not easily collapse. It is that pressure can be dispersed, not concentrated on one person. It is that change is slow, not drastic. It is that everyone knows tomorrow will be roughly like today, and will not suddenly become unrecognizable.

A stable world is not necessarily the best world, but it is a world where "you can survive." You do not need to live in fear every day. You do not need to worry about losing everything tomorrow. You do not need to be ready to escape or fight at any time. You can stop and do your own thing. This is the steady state. Not "happiness," but "predictability."

To help you understand more clearly what the steady state is, let me give a few examples.

First example: Japan's Lost Thirty Years.

Many people say Japan lost thirty years, that it was a failure. But if you look at it from the perspective of the steady state, Japan did not "lose"; it just "entered a steady state." Its GDP is no longer growing at high speed, its wages are no longer rising sharply, its innovation pace has slowed down. But its society is stable, its institutions are complete, its prices are controllable, its people will not starve, will not riot, will not collapse. After the 1990s, Japan went from "growth" into a "steady state." It slowed down, but it stood firm. It did not fall. It did not get completely washed away like some countries. It just stopped growing. Not victory, not defeat, but "a change of pace." This is a kind of steady state.

Second example: America's post-WWII order.

After WWII, the US established a set of global orders — the dollar, NATO, the Bretton Woods system, the UN framework. This order has existed for over seventy

years. It has certainly had changes, adjustments, and corrections. But its underlying structure has not changed. The dollar is still the global reserve currency, the US is still the core of NATO, the UN is still the main international forum. Over seventy years, the world has experienced the Cold War, the financial crisis, the war on terror, and the rise of China, but this set of orders has not been completely restructured. It is not the best order, but it is a "sustainable" order. It has operated for seventy years and is still operating. This is the steady state — not the best, but able to last.

Third example: A vegetable market in a city.

In the city where you live, there is a vegetable market that has been open for decades. It does not expand, does not renovate, does not transform. It just exists — someone opens it every day, someone buys vegetables, someone closes up. Its business is not big, but it does not go bankrupt. It does not need financing, does not need to go public, does not need to expand. It is just there, day after day, year after year. You do not know when it opened, and you do not know when it will close. It is just there, like a stable existence. This is the steady state. Not growth, but continuity. Not change, but existence. Not the best, but always there.

Fourth example: A person's old age state.

When a person no longer works, no longer needs to run around for a living, no longer pursues promotions, raises, buying cars or houses, they enter a steady state. Their pace of life slows down, their desires decrease, they no longer pursue more money or higher achievements. They wake up, eat, take a walk, read, sleep. They no longer chase anything. They are just "living their own life." Their life is not "stagnant"; it is "stable." No need to be anxious every day, no need to worry about whether there will be food tomorrow, no need to fear being eliminated. Their life has been determined — determined, that is the steady state.

These examples tell you: the steady state is nothing rare. It has always been around us. It just quietly exists when you are not paying attention. It never shouts slogans. It is just there, always. The world is the same. After assimilation, the global order will enter this state. Not "the end," but "settling down." Not everyone will be happy, but everyone will know where they are. You no longer need to run because you no longer need to chase. You just need to continue living.

In the next section, we will discuss "national stratification under the steady state" — in the steady state, countries will not become the same; they will stratify. Some are above, some are below, some are in the middle. This stratification is stable and will not change easily. It will persist until the next underlying technological

revolution — but that may be a hundred years from now. Until then, the world will be like this. Not better, not worse, just stable. Stable enough that you can know where you will be, until you grow old.

Section 2: National Stratification Under the Steady State

The steady state does not mean everyone stands on the same level. It is stratified. And this stratification is fixed and will not change easily.

After assimilation is complete, the countries of the world will not become the same. They will be divided into different levels according to their respective conditions. This stratification is not artificially divided; it is naturally formed by the system. If you have assets, you are in the upper level. If you do not have assets, you are in the lower level. If you have institutions, you can catch the steady state. If you do not have institutions, you will be stuck outside the steady state. Once this stratification is formed, it is very difficult to break. Not because you did not work hard enough, but because the structure has been set. Once set, it will not move again.

I divide these countries into three levels.

Upper Level: A Self-Sustaining Steady State

The United States, Japan, Germany, the United Kingdom, France, South Korea, Singapore, Australia, Canada — these countries will be at the top of the steady state after AOS assimilation is complete. They have assets, institutions, trust, and ASE certification. Their basic industries have already been reshored, their domestic markets are large enough, and their economic safety nets have been built. They no longer rely on exports to survive; they can spin on their own. Their steady state is not "wealth" but "self-sufficiency." They can live without needing others. They can produce, consume, and circulate on their own. Not that they do not import, but they do not depend on imports. Not that they do not export, but exports are no longer the foundation of survival. They stand in the position of "being able to spin on their own." So they are in the upper level. Not because they are more capable, but because they were prepared earlier. In that critical time window, they did what needed to be done.

Middle Level: Countries Seeking the Steady State

China, Vietnam, India (if it can make sufficiently large changes to its institutions), Brazil, Mexico (if it can separate the control of informal forces), Turkey — these countries have not yet fully settled in the process of steady state formation.

They are struggling to stand up on the ruins of the old order. Some are repairing institutions, some are building safety nets, some are cleaning impurities from their institutions. They have a chance to enter the middle level. But their time window is narrow. If they can repair their institutions, build safety nets, and connect feedback mechanisms before AOS is fully deployed, they can find a "can stand" position in the steady state. Not the upper level, not washed away, but the middle level. The middle level means: you can survive. You will not be bypassed. You have your own position, although not high, but you can stand. If you stand, you are there.

Lower Level: Countries Outside the Steady State

Most African countries, some regions in the Middle East, some Southeast Asian countries deeply penetrated by religion, some Latin American countries controlled by informal forces — these countries will not enter the "inside" of the steady state. They will be on the "outside" of the steady state. Not because they are punished, but because they do not have the conditions to enter the steady state. They have no assets, no institutions, no trust, no ASE certification. Their basic industries have not been assimilated; they have simply been bypassed. In the process of steady state formation, they did not find their own position. Not "kicked out," but "did not get in." Those who got in are spinning on their own. Those outside can only watch others spin. Then slowly disappear. Not eliminated, but forgotten. Not eliminated, but bypassed. Those who bypass you do not hate you; they just do not need you. You are still there, but you are no longer in what they need. You just stay there, slowly weathered by air, forgotten by time, bypassed by everyone. This is the lower level. Outside the steady state, no one knows you are still there. You do not even have the chance to be mentioned.

Once these three levels are formed, they are very difficult to break. Because the steady state is "self-sustaining." The upper level maintains its advantages, the middle level maintains its stability, and the lower level maintains its laxity. They will not flow between each other. Not because the rules do not allow it, but because the conditions are insufficient. If you do not have assets, you simply do not have them. If you do not have institutions, you simply do not have them. If you do not have trust, you simply do not have it. These things cannot be "created" through effort alone; they require time, construction, and the accumulation of generations. And in the steady state, time is no longer on your side. Time becomes the force of "maintenance," not the force of "change." If you miss the window, the window closes. You stand outside, and outside is outside.

This section concludes here. The national stratification under the steady state is determined. Which level you are in depends on what you did during that window period. Those who did something are in the upper or middle level. Those who did nothing are below. Those below will not disappear, but they will not be seen. This is the result of steady state stratification. Not ideal, but reality. Whether you accept it or not, it will exist. It has already begun. You are already in it. You just have not yet seen which level you are in.

Once steady state stratification is formed, it will not automatically break. It will only become more and more fixed. Because the upper level will continuously reinforce its position, the middle level will strive to maintain its stability, and the lower level will become increasingly distant from those conditions that "could let people rise up." This is not because the upper level is bad, but because what the upper level possesses — assets, institutions, trust, ASE recognition — are all things that "become stronger with use." You use AOS to produce; the more you produce, the more experience you have; the more experience, the higher the efficiency; the higher the efficiency, the lower the cost; the lower the cost, the stronger the competitiveness. This is a positive feedback loop. The stronger become stronger; the weaker become weaker. The steady state is not "balance"; it is "locking." Locked in one position, very difficult to move.

Does the lower level have a chance? Theoretically, yes. But the conditions are harsh — it needs to simultaneously complete four things in an extremely short time: build institutions, build assets, build trust, and build a safety net. Each of these four things takes more than ten years. But their window period may only be five years. You simply cannot make it. So lower-level countries will most likely stay in the lower level forever. Not because they do not want to move, but because conditions do not allow them to move. They are not unwilling to work hard; time does not allow them to work hard. They missed that critical "entrance" and will never have another chance to enter.

This is the most cruel aspect of the steady state. It will not kill you; it will only leave you where you are, and let you watch others go further and further away. You will never catch up to them, because when you chase, they are already much further ahead. You did not lose in ability; you lost in time. You did not lose in determination; you lost in the timing of entry. You have already missed that window. Others have already entered; you are still outside. Those outside will gradually become unable to see those inside. Those inside will no longer think of those outside. This is how they

scatter, stratify, and separate. Until one day, you realize you no longer know where you belong. Because you are no longer there.

This is what you truly face after stratification. It is not "can you still go up," but "you cannot go up." After you cannot go up, you can only stay in the level you are in. Stay long enough, and you will get used to it. Once you get used to it, you will no longer have the thought of "going up." You stay there, until time ends. And time never waits for you. It just keeps going. Carrying those who have already gone up, it keeps going. You stay where you are, watching them get further and further away until you can no longer see them. And then you stop looking at them. You look down at your own ground, do your own things, live your own life. Then you discover that you have also survived. It is just that the way you live is different from theirs. You live in a steady state that cannot flow. You cannot go up, but you also cannot fall down. You are there, just staying. This is the endpoint of steady state stratification. Not "you are not capable," but "this is how it has to be for you." And it can only be this way. Not resignation, but knowing. You know your position, and you know you will not change positions. After you know, you can live slowly within it. Not the best way to live, but at least it is your own way to live.

Section 3: The State of Life Under the Steady State

The stratification is done. Upper, middle, lower — each in its place. But stratification is just a framework. What truly determines how people live is the daily state of life in each level. Living on the same earth, how do people in the upper level live, how do people in the middle level live, how do people in the lower level live — these are different. I want to make these states clear, not to make people envious or sympathetic, but to let people see: the steady state is not one way of living; it is many ways of living, depending on which level you are in.

Upper Level: Life Is Broad

In upper-level countries, life is broad. Broad means: you have time, choices, space, and margin. You are not "struggling" to get by; you are "living." You do not need to think every day "can I survive today"; you only need to think "how to live better today." You work, but you are not crushed by work. Overtime? Not really needed. Unemployed? There is a safety net. Sick? There is medical insurance. Want to change jobs? There is a market. Want to rest for a while? You can. You are not "afraid to stop"; you "can stop."

Life in the upper level is not without pressure. Competition still exists, change still exists, uncertainty still exists. But those pressures are not "survival pressure"; they are "choice pressure" — not "can I survive," but "how can I live better." The difference between these two types of pressure is the difference between the upper level and the middle/lower levels. People living in the upper level will never understand why people in the lower level "do not work hard." Because they have never experienced the despair of "working hard is useless." They think effort can change things, because they have indeed seen that "effort can change things." But their efforts are backed by institutions. They do not know that for people without institutional backing, effort is also useless. Effort will not make Musa walk out of that village, because there are no roads left in that village. They do not know this. So they do not understand.

People in upper-level countries buy things through ASE recommendations, participate in community activities, go out with family on weekends, and travel abroad on holidays. Their lives have rhythm, not chaos. Their consumption is not about "surviving" but "living well." They use the cheap products produced by AOS but spend more money on "experiences" — dining, travel, learning, companionship. They are not people replaced by AOS; they are people living together with AOS. Their lives are broad.

Middle Level: Life Is Tight

In middle-level countries, life is tight. Tight means: you have work, but you dare not stop. You have income, but you cannot save much. You have institutions, but they are not deep enough. You are caught, but not completely stabilized. You are standing on the ground, but the ground is still shaking. You do not know when the next tremor will come. You can only hold on tight, and not fall.

People in middle-level countries may still be paying off mortgages. May still be worrying about their children's tuition. May still be hesitating about changing jobs because they cannot afford to. Their life is not "struggle" but "tension." Afraid to get sick, afraid to take leave, afraid to stop for too long. They are much better off than the lower level because they at least have work, food, and a place to live. But they have no sense of security — they know they are only one serious illness, one layoff, one policy change away from "falling." They stand on the steps of the middle level, and below is the abyss. They know this. So they dare not let go.

Middle-level countries are building the steady state, but have not fully established it. Institutions are still being repaired, safety nets are still being laid,

feedback mechanisms are still being connected. So life is tight. Tight to the point where you dare not stop, tight to the point where you dare not think too far ahead, tight to the point where you can only think "what about next month." But you can still think about "next month," which is already better than the lower level. People in the lower level dare not even think about "next month." Because thinking about it is useless.

In terms of consumption, middle-level people are not as well-off as the upper level, but they can still buy things, occasionally go out to eat, and sign their children up for interest classes. There is still "a little bit" of extra space in their lives. Not much, but it exists. That little bit is the dividing line between them and the lower level. That little bit makes them feel that they are still living a "normal life." They do not know that in the eyes of the upper level, their "normal life" is actually very tight. But they themselves do not know because they have never been to a broader place. They can only live in tightness. Tight, but still living.

Lower Level: Life Is Empty

In lower-level countries, life is empty. Empty means: no work, no income, no future, no direction. You are not "living life"; you are "waiting for life." Waiting for it to pass, waiting for it to end, waiting for it to stop coming. You sit at the door, looking at the road, waiting for a car, but the car will not stop. You know it will not stop. But aside from sitting, you have nothing else to do. Not because you do not want to, but because there is nothing to do. No factories, no orders, no market, no purchasing power. The economy cannot spin, not because it does not want to, but because it has no strength to spin. Like an engine that has run out of oil. You are still sitting in the car, holding the steering wheel, but the car will not move.

People in lower-level countries are not "poor people"; they are "bypassed people." Their countries have already been bypassed by the global system. They are not on any chain, not in any plan, not in any future. They are people who "live but are not recorded." No work, no income, no security, no prospects. They can survive because they still know some people, can still borrow some things, can still rely on relatives, neighbors, and luck. But those things are also limited. Relatives will also become poor, neighbors will also become impoverished, luck will also run out. When it runs out, there is nothing left. They will not die, but they will not live either. They just "exist." Existing there, like something no one remembers, placed in a corner, gathering dust, waiting for time to take it away. They may never leave their village in their lifetime because they have no money, no roads, no direction. They may never understand what AOS is. Because AOS to them is not an opportunity; it is something

at the other end of a distant world. It exists, but has nothing to do with them. It changes the world, but bypasses them. Their relationship with the world is not "being changed" but "being passed by." Life is empty, not because their lives have no content, but because their lives have nothing "to look forward to." A life without expectations is empty.

People in Every Level Live in Their Own Steady State

These are the three states of life under the steady state. The upper level is broad, the middle level is tight, the lower level is empty. People in every level live in their own steady state — not a difference between "good" and "bad," but a difference of "having space or not." Some people still have margin, some people are still holding on, some people no longer have a future.

The world after assimilation will not make everyone better; it will only make those who "stood firm" better. Those who stood firm have broad lives. Those who did not stand firm have tight lives. Those who completely failed to stand firm have empty lives. Empty means there is nothing. Without anything, it does not count as truly living. They are alive, but they are not in this world. The things in this world do not reach them. They can only continue sitting at the door, looking at the road, waiting for the car that will never stop. The car will not come. They know it too, but they have nowhere else to go. They can only sit there. Sitting until they no longer need to sit. These are the three ways of living, three states, three outcomes under the steady state. No one can change it, except those who are still in the window period. Those whose window period has passed can only stay in their level. Stay there forever.

Section 4: The Formation Process of the Steady State

Now we have discussed what the steady state is, the national stratification under the steady state, and the three states of life after stratification. You may already be able to imagine what the steady state looks like. But you may still have one question: how is the steady state formed? It did not appear overnight; it slowly "settled" through a process. This process is not experienced by everyone at the same time. Some countries have already entered the steady state, some countries are still on the way, and some countries will never reach the steady state. This process itself is a screening mechanism.

I divide it into three stages.

Stage 1: The Turbulence Period (5-10 Years After Assimilation Begins)

This is the most chaotic period. AOS begins to spread, technology assimilation accelerates, the industrial chain begins to restructure, and the balanced relationship begins to loosen. Developing countries feel something is wrong — orders decrease, factories operate below capacity, people have nothing to do. Developed countries feel life is getting better, costs are decreasing, and basic industries begin to flow back. But during these years, no one knows what the final outcome will be. Some think "it is only temporary," some think "it will never go back." The old order is disintegrating; the new order has not yet taken shape. This is the turbulence period. Not a smooth transition, but a shaking, uncertain, anxiety-inducing stage. This stage determines whether a country can stand firm. Those that cannot stand firm will be shaken off. Those that can stand firm will slowly find a new balance point.

Stage 2: The Differentiation Period (10-20 Years After Assimilation Begins)

After the turbulence period passes, the world begins to "solidify." Which countries reshored basic industries, which did not. Which countries established safety nets, which did not. Which countries' institutions began to have feedback, which are still where they were. At this point, the outline of stratification is already clear. The upper level becomes more stable, the middle level is still catching up, and the lower level has already been left behind. The process of differentiation is not "destroying" anything; it is "determining" something — determining who is above, who is in the middle, and who is outside. The lives of upper-level countries begin to broaden, the lives of middle-level countries begin to tighten, and the lives of lower-level countries have already begun to empty. This is not "about to happen"; it is "happening." It is already before your eyes.

Stage 3: The Steady State Period (20+ Years After Assimilation Begins)

By this stage, major changes will basically no longer occur. The industrial chain will no longer undergo large-scale migration because it has already been completed. Institutions will no longer suddenly change because they have already been set. Global trade will no longer fluctuate violently because it has become a supplementary, non-critical channel. The world has entered a "predictable" state — you know tomorrow will be roughly like today, this year will be roughly like last year. You will not experience another major restructuring like the Industrial Revolution or the Internet Revolution. Because the major restructuring is over. What remains is maintenance, optimization, and fine-tuning. Not innovation, but maintenance. Not breakthrough, but stability. Not upward, but standing firmly in place. This is the

steady state. The world has reached where it was meant to go. It will stay here until the next complete technological revolution appears. But that may be hundreds of years from now. In your lifetime, there will not be another assimilation-level change. You are in the steady state. Your generation will spend the rest of their lives in the steady state.

Three Countries, Three Stages

We can use the examples of three countries to understand this formation process.

The US began adjusting in the first year of AOS's arrival. It did not wait for the impact to react; it was already prepared. Factory reshoring, supply chain restructuring, institutional fine-tuning. The turbulence period was very short, the differentiation period moved very quickly, and it entered the steady state in less than ten years. Now it is already in the steady state, and at the upper level.

China experienced a longer turbulence period. Orders decreased, layoffs occurred, workers returned to their hometowns. But the institutions eventually began to move — not perfect, but at least there was some response. Subsidies, community positions, job transition training. The turbulence period was twice as long as the US, but it held on. Now it is at the end of the differentiation period, about to enter the steady state. Can it enter the upper level? Not necessarily. Most likely it will be a middle-level steady state. But as long as it stands firm, that is better than not standing firm.

That African country — Musa's country — simply cannot get out of the turbulence period. Because it has nothing to support itself. Orders are cut off, factories are closed, foreign capital has withdrawn. Institutions do not respond because the institutions themselves are lax. Safety nets do not exist because they were never built. It sank directly to the bottom from the turbulence period. It does not even have a differentiation period because it never entered the "differentiation" track. It was screened out in the first stage. It will not enter the steady state. It will remain in that "state of no state" after the turbulence period. Not a steady state, but "stagnation." Stagnation is not stability; it is being dead while still standing.

The Steady State Is the Endpoint

This is how the steady state is formed. Turbulence, differentiation, settlement. Which stage you are in determines which level you are in. Which stage you miss, you miss forever. No one will wait for you, because time waits for no one. The steady state does not look back; it only moves forward, to the place where everything stops

changing. After reaching that place, it stops. After it stops, it never moves again. And you are inside, you are there, you are living in the steady state. Not the best ending, nor the worst ending. It is just the ending. It will not satisfy you; it will only make you certain.

I know where you are now, and you know where you will be. You just need to walk the remaining road and stop where it should stop. Not everyone can stop in the upper level. But everyone has a chance to stop in a position where they "can live." As long as you caught that time and did what needed to be done, you can live. If you do not catch it, you cannot live. Those who are alive look outward. Those outside are no longer looked at by anyone.

Section 5: People in the Steady State — Three Typical Lives

In the previous three sections, we discussed what the steady state is, national stratification under the steady state, and the state of life under the steady state. This section does not talk about countries, institutions, or structures. It talks about people. In the steady state, how will a person's life go? It does not depend on the country, not on the level, but on which level you stand. I will tell one typical life story from each of the three levels. Three people, three ways of living, three outcomes. They live in the same era, but in different worlds.

Type 1: Person in the Upper Level — Irene

Irene, 35 years old, Norwegian. She works as a project manager at an architectural design firm. Not "senior management," just an ordinary person with ability, experience, and willingness to work. She works four days a week, seven hours a day. It is not that the company stipulates she "can only work four days"; it is that her work itself does not require five days. AOS has already handled all the modeling, quantity calculation, drawing generation, and proofreading for her. What she needs to do is: judge what the client wants, judge whether the direction of the plan is correct, judge whether there is a gap between AOS's drawings and human expectations. She does not do hard work; she makes judgments. She earns her salary not because she is diligent, but because she judges accurately. If she judges wrong, AOS will also remind her, but she rarely makes mistakes.

Her life is like this: She leaves home at 8:30 AM, arrives at the office at 9:00. First, she checks the day's progress with the AOS system, confirms there are no issues, then goes to see two project sites, chats with clients for half an hour, returns to the office to adjust a few directions, and finishes work at 3:30 PM. When she leaves,

there are still many people in the office. It is not that they cannot leave; they choose to stay a little longer because they are not tired. She is not tired, so she leaves. She goes home and still has time to cook, exercise, watch shows, and take a walk with her husband. On weekends, she has dinner with her parents, who live in a small town half an hour's drive away. She does not save much money each month because she does not save; she spends. She eats well, buys well, and goes to nice places for vacation. She knows she does not need to save too much money because when she is old, the state will support her; when she is sick, there is medical insurance; when she is unemployed, there are subsidies. Her sense of security does not come from savings; it comes from institutions. Her life is not "earn enough and then rest"; it is "you do not need to earn too much to live." She has choices — choose to work, choose to rest, choose to consume, choose not to consume. What she chooses depends on whether she wants to, not on whether she can. She rarely feels anxious because she does not need to worry about tomorrow. She lives in this steady state, steadily, comfortably, with choices. She does not know where Rajiv is, and she does not need to know. She lives in her own world, a world of complete institutions, stable trust, and AOS as an assistant. Her life is broad. Broad enough that she can do whatever she wants, and also not do anything.

Type 2: Person in the Middle Level — Rajiv

Rajiv, 39 years old, Indian. He works as a production supervisor at a medium-sized electronic component factory in Bangalore. The factory uses AOS equipment, but kept a group of people for coordination and management. Rajiv is one of them. He is not a technical expert; he is a "coordinator" — he knows how to interface with AOS, how to arrange production rhythm, how to judge whether the data from the machines has problems, and also knows how to talk to his coworkers, telling them "this month's orders are enough, don't worry." But his job is not stable. Not every day is stable, but generally it can be maintained. He knows the factory will not expand, but it will not close for now either. He lives between the two, always holding on.

His life is like this: He leaves home at 6:30 AM, catches the bus, and arrives at the factory at 7:40 AM. He works long hours every day, but he cannot refuse. Not because he wants to work overtime, but because his colleagues are all like this, his boss is also like this, this is the default. He dare not voice his opinion because if he does, he will be remembered. The next time there are layoffs, he will be the first one thought of. He knows the rules, and he also knows the rules may not protect him. Because in India, institutions cannot be separated from religion, cannot be separated from caste, cannot be separated from those things outside the institution. They are not

written in the law, but written in people's hearts, in the cracks of reality, in every choice of "you have no choice." The institution is just a shell; the content inside has already been replaced. So although his job is still there, he does not feel "stable." He knows that with just one word from someone above, or one batch of orders decreasing, he could be replaced. After being replaced, he does not know where he can go. Because the institution beneath his feet is empty. Not nonexistent, but occupied. Occupied by religion, occupied by caste, occupied by those things not written on paper. So his safety net cannot be built. Not that they do not want to build it, but building it is useless. When money is distributed, it will be intercepted. When rules are established, they will be circumvented. When institutions are set up, they will be infiltrated. The safety net he sees is just a shell, empty inside. He stands on the shell, and below the shell is empty. He knows this, so he dare not relax.

His wife works in administration at a small community clinic. The income is not high, but at least it helps share the burden. They have a ten-year-old daughter who goes to private school. The tuition is not cheap, but they are reluctant to send her to public school because the public resources are simply not good enough and the way out is too narrow. They do not want their child to end up like them, stuck in the middle unable to get out. After deducting mortgage, tuition, utilities, transportation, and daily expenses from Rajiv's monthly salary, almost nothing is left. No extra savings, no extra reserves, no extra retreat. There is no emergency money in his home. If he loses his job one day, the whole family will immediately fall into trouble. Not "it will get tight," but "directly shut down." He knows this, so he dare not take leave, dare not get sick, dare not stop. The only thing he can do is to continue holding on.

Sometimes he thinks: "Why does the same AOS make life easier for people in other countries, but here it only makes me more afraid?" He cannot find the answer because he dare not ask, and dare not think too much. He only knows that if he does not continue standing here, what is below him is empty — institutions cannot catch him, religion does not help him, the caste system is just another net trapping him. He is not living; he is maintaining. Maintaining his position, maintaining the household expenses, maintaining his child's education. He knows that in this life, he will most likely not get better, but he hopes his daughter will not be like him, living in a suspended state. He hopes she can jump out, but the path for her to get out is also not clear. Because India's institutions do not yet have the conditions to catch people. It does not yet have the ability to catch those who fall. So he can only hang in the balance. He has not fallen, but he has not been caught either. He is just

suspended in the air. A little higher than those below, but much more tired than those above. His life is tight, suspended, could break at any moment. He does not know when the day of breaking will come, but he knows it may come. He is just waiting, waiting for it not to come. Then continuing to hold on, holding on until he can hold on no more.

Type 3: Person in the Lower Level — Fatima

Fatima, 26 years old, Somali. She is not "inside" the steady state. She is outside the steady state. She has no job, no income, no direction. Her country has already been bypassed by the global system. AOS did not enter, factories did not open, orders never came. She lives in a small hut that barely shelters her from the wind and rain, together with her mother and her younger brother. Her brother is 15 years old, does not go to school, because there is no school. Her mother is in poor health, has no medicine, because there is no money. They eat one meal a day, not necessarily rice, sometimes just a few flatbreads with water. She is not hungry, but she has never been full either. She does not fantasize about the future because she knows there is no future. She just lives, waiting for tomorrow. Tomorrow may be the same as today, or it may be worse. She does not know what she will eat tomorrow, but she knows tomorrow will come. She sits at the door, looking at the road at the village entrance. The road is a dirt road, bumpy, muddy when it rains, dusty when it is sunny. No car will stop here, because there is nothing here worth stopping for. She is not "lonely"; she is "nonexistent." In this world, no one remembers her, no one mentions her, no one needs her. She lives in a bypassed place, and everything outside has nothing to do with her. She does not know what AOS is, she does not know what ASE is, she does not know what the steady state is. She only knows that today she is still here, and tomorrow she may also be here. But she does not know why she should keep being here. She has no answer. She just sits there, waiting for something that will not come. Her life is not "living" but "waiting for the end." Her life is empty. Empty to the point of having no content, empty to the point of having no direction, empty to the point where even "expectation" does not exist.

Three People, Three Worlds

Irene stands, steadily. Rajiv hangs, dare not move. Fatima sits, waiting for something that will not come. Three people, three steady states. Not because they are different, but because the places they were born are different. The steady state does not make people the same; it only fixes people in their respective positions. Those above choose life, those in the middle maintain life, those outside wait for the end. This is the steady state. You will not change it, but you will stand within it.

Stand until you can no longer stand. Rajiv does not know how much longer he can hold on, Fatima does not know how much longer she has to wait, Irene does not know how much longer she can be broad. But they all continue to live in their own levels. Living is everything. Living is the last thing left in the steady state. Not much, but enough. For Irene, it is enough. For Rajiv, it is also enough. For Fatima, living itself is already everything. She does not need more, because more will not come. She only needs to continue sitting, waiting. Until the day when she no longer needs to wait. That day will come. It is already on the way. Just like when AOS came, it did not knock. When the steady state comes, it will not knock either. It just comes, and then you find that you are already inside. You will not go out again.

Section 6: The Cost of the Steady State

Earlier we discussed the benefits of the steady state. It is stable, predictable, and will not suddenly collapse. It allows people to not live in fear every day, allows institutions to catch most of those who fall, and gives society a foundation that can operate long-term. These are true; the steady state indeed has these benefits.

But the steady state is not free. It does not make you pay money; it makes you pay other costs. It trades "stability" for "mobility," "predictability" for "possibility," "safety" for "the chance of change." These costs are not as obvious as poverty, not as drastic as war, not as concrete as disease. But they are real. And in the steady state, they are permanent.

Cost 1: The Disappearance of Mobility

In the steady state, which level you are born into is most likely the level you will stay in. Not because you cannot change, but because the cost of change is too high. Children in the upper level have the best education, the most complete institutions, and the broadest networks. Children in the middle level have moderate opportunities, moderate uncertainty, and moderate anxiety. Children in the lower level have nothing. The steady state does not actively block the upward path; it just makes the path longer, narrower, and steeper. So long that most people cannot walk it, so narrow that most people will fall off, so steep that most people will stop. Then they say "I have done my best." They have indeed done their best. It is just that the steady state will not change its structure because of "doing one's best." The steady state is locked, locked at the point in time when it was formed. Before that, you could still squeeze in. After that, you can no longer enter. You can only stand at the level you were born into, until you grow old.

Cost 2: The Forgotten People

The steady state will not kill the people in the lower level; it will only forget them. Like Fatima, she is alive, but no one mentions her. She is not in any plan, not in any statistics, not in anyone's future. She is just a "bypassed" person. The steady state does not need her, nor will it harm her. It just does not look at her. If it does not look at her, she is as good as nonexistent. People in the lower level will not die on a large scale; they will only be ignored on a large scale. They are at the edge of statistics, on the back side of news, in the cracks of policy. They are still breathing, but no longer in the system. Their disappearance is not sudden; it is slow. So slow that you will not notice, so slow that you get used to it, so slow that you think "they have always been there." They have indeed always been there. It is just that you no longer look in that direction. It is not that they disappeared; it is that you have stopped looking in that direction. You have gotten used to them not being in your sight. They have also gotten used to not being seen. They no longer expect anything, and you will not look back. You just get used to each other like this, not disturbing each other, until they completely disappear from your world. You will not even remember where they once were. They do not remember being part of your world either.

Cost 3: The Hollowing Out of Meaning

When material things are no longer scarce and safety is no longer a problem, people begin to face a new question: then why am I still alive? Irene in the upper level has choices, but she may not know what she wants. Rajiv in the middle level has goals, but he may not believe he can achieve them. Fatima in the lower level has everything, she has everything except hope. The steady state solves "how to live" but does not solve "why to live." It gives people time, but does not teach them how to use time. It gives people choices, but does not tell them how to choose. It gives people stability, but does not give them direction. So many people live very steadily in the steady state, but they are not happy. Not because they lack something, but because they do not know what they want. This is the deepest cost of the steady state — it lets you survive, but it is not responsible for making you feel that living is meaningful. The steady state does not answer the question of meaning. It only provides an environment where you will not starve, freeze, or suddenly collapse. As for what you do inside, it does not care. It only cares that you are alive. Whether you live well is a different matter. Not that it does not care, but it was not designed with the function of "caring." It can only maintain, not nourish. Maintenance is enough; nourishment

is not within its responsibility. You are alive, but that kind of "being alive" is completely different from the living you previously imagined.

Cost 4: The Stagnation of Change

The other side of the steady state is inertia. When everything is stable, no one wants to change anymore. Because change requires risk-taking, risk-taking requires cost, and people in the steady state have gotten used to "being able to live without risk-taking." So they do not take risks. They maintain the status quo until the status quo becomes inertia. After inertia for a long time, it becomes "this is how it has always been." No one asks "is there a better way" because the current way is already good enough. No one questions "is this road right" because everyone is walking on this road. The steady state causes society to lose its ability to self-question. It is not bad, but it is unwilling to become better. It is not poor, but it will not improve. It is always there, like a lake, calm but no longer flowing. And water that does not flow will slowly become turbid. Once turbid, no new water will come in. It just stays there, the surface still calm. But the layer underneath has already begun to stink. You cannot smell it because you have gotten used to it. You live by the lake, you see the lake surface every day, you think it is beautiful. You do not know what is underneath.

Cost 5: The Rigidity of Institutions

After the steady state is formed, institutions are no longer "alive." They become "fixed." They no longer need adjustment because they have already been adjusted. They no longer need feedback because they are already stable. They no longer need to respond to the voices below because the people below have already accepted that "they will not be heard." Institutions have changed from "tools" to "frameworks." Frameworks do not ask "can I be better"; they only say "this is how I am." The rigidity of institutions is the deepest cost of the steady state. Because once institutions become rigid, people no longer have any way to change their situation through institutions. You can only accept it. After acceptance, you will no longer have the thought of "change." You will live in the institution until it no longer needs you. The institution will not drive you away; it just no longer changes for you. If you adapt to it, it is your cage. If you do not adapt to it, it is your abyss. There is no middle option.

Cost 6: The Hidden Side of Costs

Costs can be discussed. But there is something in the steady state that is more hidden than costs: the parts you lose without knowing. You do not know what you have lost because you have never experienced the stage of "having." You have never

seen mobility, so you do not care about mobility. You were born in this level, so you do not think there is anything wrong with this level. You do not know what change is because you have never truly changed. You do not know what imagining the future is because you have been trained since childhood to only look at the present. This is not an excuse; it is a slow degradation — a person alive but no longer questioning; a country running but no longer examining; a generation living their lives but no longer demanding more. This state is the most difficult to discover and the most difficult to repair.

Some call this "mediocrity," some call this "obedience," some call this "accepting reality." They are all correct. But this acceptance is not true acceptance; it is "no longer having the strength to not accept." You accept it, not because you think it is good, but because you find that not accepting it cannot change anything either. You accept it, not because you have figured it out, but because you are tired. Too tired to think anymore. Too tired to fight anymore. Too tired to just want to stay in your own days, undisturbed. Stay, live, not starve, not freeze, not get sick, not be lonely — that is enough.

But the three words "that is enough" are the biggest lie in the steady state. It is not enough; it is "this is the only way it can be." You accept that this is the only way, and then you tell yourself "this is fine too." It is not that it is fine; it is that you have given up the part that pursues better. You give up, and the steady state wins. It does not need to convince you that it is good; it only needs to make you stop asking "can it be better." When you stop thinking, it does not need to answer. When you stop asking, it has no pressure. It continues to operate, and you continue to live. You both stay in your respective positions, as if reaching some kind of tacit understanding. You stop making demands; it stops changing anything. You accept; it maintains. You cooperate well.

So the costs of the steady state are not just the visible stratification, forgetting, hollowing out, stagnation, and rigidity. There is also an invisible one: it makes people no longer have the thought of "I want to go to a better place." It makes people gradually get used to just staying. It makes people forget that they can still pursue something. It does not suppress you; it just makes you stop thinking. When you stop thinking, it is safe. When you stop thinking, it can continue like this forever. Not bad, but also not good. This is the deepest cost of the steady state. It does not harm you; it makes you stop desiring anything. And people who no longer desire are the easiest to manage. Because they will not demand more.

It does not chain you with chains; it traps you with the word "enough." The moment you nod, you belong to it. It does not need you to make any more moves. You just need to continue staying, continue having enough, continue not thinking too much. Continue living. This is what it wants. And you are also giving it what it wants. You cooperate with each other. The cooperation goes smoothly. Until one day, you grow old, and you find that you have done nothing except "live." When you want to do something, there is no time left. But it does not matter, because the steady state will not remember you. It is just maintaining itself. You are just a part of it, a part that does not need special attention and will not be specially remembered. You existed, and it remembers, but soon it will not need you. You will soon be replaced by the next person who stays. He will also be like you, living, staying, not thinking too much. Then replaced. Cycle repeating.

This cycle is the part of the steady state that is least easy to be seen. You do not want to see it, because you are also inside. You cannot see it, because it is your current life itself. How can you see the act of your own breathing? You are just breathing. It is just operating. You operate together, consuming each other. Until you can no longer consume, and then stop. The steady state will not actively stop; it will only wait for people to stop. After you stop, it continues to turn. You are no longer part of it; it will not notice. It only cares about those who are still turning. Those who turn with it. Those who have accepted "this is enough." Those people continue turning, turning, until they also stop turning. Then the steady state is left with only the core group — those who truly believe "this is good." They are few, but they will keep turning forever. They think they are the winners. But they are also just turning all the time. The steady state does not care who wins; it only cares who is turning. Whoever is turning is part of it. Whoever stops is no longer important.

The cost of the steady state is not famine, war, or collapse. It is something else — quiet, slow, barely perceptible wear and tear. What it wears down is mobility, hope, meaning, the possibility of change, and the elasticity of institutions. It lets you survive, but it does not let you live better. It makes you safe, but it does not make you free. It makes you stable, but it does not let you flow. This is the cost of the steady state. It is not bad; it is just "limited." It can only give you this much, cannot give more. And after you stay inside for a long time, you will forget that you once wanted more. You will only remember: "I am fine like this now." It is indeed fine. It is just that you no longer know what "better" is. You no longer remember that you once had that thought. Do not remember. And do not want to remember. Because remembering is useless. Remembering only makes you feel bad. You would rather

forget than expend energy on things that can no longer be changed. This is how you slowly turn yourself into a person who does not need answers. This is how you slowly disappear. Not that your body disappears, but that the person who once asked "why" disappears. He has gone far away. He will not come back. And you are still here. You are just alive. No more questions. No more questioning. No more desire. You are alive. You have enough. You stay in the steady state. This is the endpoint of the cost. You no longer care about the cost. Because the cost is no longer important. You are already who you are now. You will not become someone else. You just continue to stay. Until you no longer need to stay.

Section 7: Faith and Meaning in the Steady State

This section is the last section of the fourth major chapter. It does not talk about institutions, stratification, or costs. It talks about something even harder to explain: in the steady state, how do people answer "why live."

Earlier we discussed what the steady state can give you. It can give you safety, stability, and a predictable life. But it cannot give you meaning. It is not that it does not want to; it is that it does not have this function. The steady state only cares about "how to live," not "why to live." It cares about you being well-fed and warm, but not about why you want to eat or why you want to wear clothes. It cares about you being alive, but not about why you are alive.

In the old world, meaning was "innate." You needed to survive, to support your family, to climb up, to give the next generation a better life. You did not need to ask "why," because survival itself was the answer. You did not need to think "what is living for," because most of your time was spent thinking about "how to survive." At that time, meaning existed by default — it did not need you to find it; it was in the things you needed to do every day. You woke up every morning, and there were things waiting for you to do. You lay down every night, knowing that you had not wasted the day. Not because you did something great, but because you did what needed to be done today. That feeling of "should do" is the anchor of meaning. It does not need you to question further; it is there, holding up your days one after another.

But in the steady state, survival is no longer a problem. You are not hungry, not cold, not afraid of having no food tomorrow. You have time, you have space, you have margin. And then you find that you are empty. You do not know what to do with this time. You do not know what to put in this space. You do not know what margin is for. You have choices, but you are not sure what you want. You have freedom, but you do not know which direction to go. You have stability, but you begin to feel bored. Not

the kind of boredom of "nothing to do," but the kind of boredom where "nothing can lift your spirits." You scroll your phone, watch videos, buy things, go out to eat — you do everything, but after doing it, you do not have the feeling of "done." You just let time pass. After time passes, you are still where you were. You have not gotten closer to anything, nor have you gotten farther from anything. You are just there, letting the days flow through you.

Boredom is not having nothing to do; it is that the things you do no longer feel "meaningful." You work, but you no longer feel that work is meaningful. You consume, but you no longer feel that consumption is interesting. You socialize, but you no longer feel that socialization has depth. You are alive, but you no longer feel that being alive is anything special. You do not know where the problem is, because it is not that you "lack something"; it is that after you "do not lack anything," you do not know how to live anymore. In the old world, meaning was urgent — living itself was the answer. But in the steady state, living is not the answer anymore; it is just a premise. You already have the premise, but you do not have the conclusion. You do not know what the conclusion should be. You only know that you can no longer live the way you used to. But you also do not know how to live yet.

This is not a problem of a particular level. People in the upper level feel this, people in the middle level also feel this, and people in the lower level actually feel it too — they just have not had the time to think about it yet. They still have survival pressure, so they for now do not need to face this vacancy. But when they also stabilize, this vacancy will appear. It will appear before everyone who no longer needs to run around for survival. It will ask you: what are you living for? This is a dangerous question. Because it has no standard answer. The steady state will not answer for you, institutions will not answer for you, AOS will not answer for you. You can only answer it yourself. If you cannot answer, you will always be empty. Empty people will do many things to fill themselves up. They work hard, not to make money, but to keep themselves from thinking. They consume hard, not out of need, but to make themselves feel like they are "living life." They socialize hard, not for relationships, but to avoid being alone. They scroll their phones hard, not for information, but to make time pass faster. They do everything, but nothing feels meaningful. They are alive, but they do not have the feeling of being alive. They are not hollow people; they are people who "have not yet found something to put in." The container is already prepared, but the content has not yet appeared. So they panic. They panic to find things to fill themselves. They panic to not let the space be empty.

They panic to not let themselves stop, because stopping will let them hear that question. And that question, they do not want to face.

And some people will find another way. They will do those "not profitable but interesting" things. They will learn something, just because they want to learn. They will help someone, just because they can help. They will write, paint, plant, build. They will do those useless things that make them feel they are still alive. They are not "doing things"; they are "becoming themselves." Those things do not generate GDP, do not affect stability, do not improve efficiency. But they make a person feel: I have not wasted today. Even if there is no output, even if there is no result, even if no one knows — they themselves know. They know that today they did something that gives them peace of mind. That peace does not come from the outside; it comes from an inner resonance. When they do it, it is not for others to see, but for themselves to feel "I am still here." I feel I am still here, so I am doing. I am doing, so I feel even more that I am still here. This cycle will slowly become a positive, sustained thing. It is not driven by meaning; it is driven by "doing" itself. As you do, meaning will catch up. As you do, you will know why you are doing.

Meaning is not something that can be found all at once. It grows, emerges slowly in time, in repetition, in the daily "doing." It requires patience, space, and a rhythm that will not be interrupted. The steady state happens to provide these. It allows those truly important things to have the conditions to be slowly polished. In the steady state, people have more time, not to be wasted, but to be "used" — used on things that truly belong to you. If you can use this time to do the things that only you can do, to accompany the people that only you can accompany, to become the person that only you can become — then the steady state is not the endpoint; it is the starting point. You are alive, not just alive. You are alive, and you are becoming yourself.

And becoming yourself does not require answering "why live." Because when you have already become yourself, you will no longer ask this question. You are already in the answer. Your existence itself is the answer. You do not need to prove anything extra; you are there, living as a person who does not need to explain. Your life is the life you want; you do not need to prove its legitimacy to anyone. You do not need to explain why you are alive, because you are living. You do not need to tell yourself what meaning there is in living, because everything you are doing is answering for you. You do not even need to think about this question anymore. You are no longer in that question.

In the steady state, many people will go through three stages. The first stage is "adaptation." They have just entered the steady state and are not yet used to life "without pressure." They feel uneasy, feel something is wrong, feel that there should be something to do but do not know what it is. The second stage is "filling." They begin to fill their lives with all kinds of things — work, consumption, travel, learning, socializing. They fill up time, not allowing gaps to appear, because gaps will bring that question. The third stage is "choice." They finally realize that filling can never be complete. They begin to stop and ask themselves what they truly want to do. Then they begin to do it. Not forced to do it, but actively doing it. Not filling a blank, but constructing content. They begin to define their own lives in their own way. This process has no shortcuts, no quick fixes, no tutorials. You can only walk it yourself. After you have walked it, you will know where the road is. After you have walked it, you will know why you are on the road.

The steady state cannot give you meaning, but it can give you a container — a container that is safe enough, stable enough, and enough for meaning to grow on its own. It is not responsible for planting things, but it can protect the things you plant from being destroyed. It is not responsible for answering your questions, but it can give you enough time to find the answers yourself. It cannot make decisions for you, but it can give you an environment where you can make decisions peacefully. In this environment, you will not be easily carried away by external voices, nor pushed around by anxiety and panic. You can sit still and listen to that faint voice inside you. That voice, in the old world, you could not hear because it was too noisy. But in the steady state, you can hear it. After you hear it, it will slowly become clear. After it becomes clear, you will know what it wants to say. What it says is what you truly want to do. What it says is where you truly want to go. What it says is the answer.

When you find the answer, you will find that you no longer need to "search for meaning." Because meaning is no longer a question; it has become part of your life. The things you are doing are your meaning. The people you are accompanying are your meaning. The person you are becoming is your meaning. You no longer ask "why am I alive," because you are already answering. Every day, you are answering. Every moment, you are answering. You do not need to say it out loud, because you are doing it. And the things you do say the words for you: "I know why I am alive."

This is what is truly important in the steady state. It is not the answer; it is the place where you have the opportunity to find the answer. It is not responsible for making you happy, but it can let you safely, slowly, and without disturbance — become the person you truly want to be. What you find inside is what truly belongs

to your life. What you cannot find is just what you have not started looking for yet. You will always start looking eventually. Because people cannot live just by "not starving." People also need a reason to live. This reason, only you can give yourself. The steady state cannot help you; it will not find it for you. But it will give you time to find it. One day, you will find that thing that can make you truly say "I am alive." It may not be a big thing; it may just be a flower, a morning, a person you are willing to stay for. But it can make you feel: today, I truly lived. Not just that time passed, not just that the day passed, not just that it is evening again. But that you did one thing today that made your today different from others. It made your today, your own.

This concludes the entire Section 7. It is also the closing of the fourth major chapter. The steady state is not the endpoint; it is the place where you begin to ask "why am I alive." When you finish asking, the answer is before you. Not given by others, but found by yourself. Once found, you are truly living in the steady state. Not caught by the steady state, but standing firm in the steady state. After standing firm, you can begin to truly live. Not just survive, but live out. Live into the person you are willing to become. This is the only important thing in the steady state. Everything else exists for this. Nothing is more important than this. When you live it out, you will know. You will feel that you have finally arrived where you should be. Not arranged by others, not adapted to, but walked out by yourself. That day, you are truly in the steady state. Not you living inside it, but you living inside yourself. You have lived into yourself. And then you will no longer ask "why live." Because the matter of living itself has already become the most complete answer you have given yourself.

Final Chapter: The Author's Persistence — The Past Thirty Years, the Next Ten Years

This piece has been a long time in the making. From Part One to Part Five, from institutions to labor surplus, from stress response to steady state, from China to the developing world—it has taken a long detour, but in the end it comes down to four statements.

First: Whatever carried us through the past thirty years no longer works. Labor surplus is no longer an advantage; it is a burden. Institutional failure is no longer a lubricant; it is a ticking time bomb. The low-profile strategy is no longer wisdom; it is self-depletion. These three things once kept the system running for thirty years. Now they are driving it out of balance.

Second: AOS is not a threat; it is a countdown. It will not destroy the economy, but it will sever the weakest link in the old cycle—the connection between people and production. When labor is no longer valuable, all the arrangements of the old system will fail simultaneously. This is not a question of whether it will happen; it is a question of when. And the answer is closer than you think.

Third: There is a way forward, but the way will not come to you. Tightening institutions, restoring the two-day weekend, raising taxes, eliminating subsidies, privatizing banks, returning enterprises to their proper roles—these are not questions of "should we or shouldn't we." They are questions of "when." Every year you delay, the cost of reform doubles. Every year you delay, people's endurance wears thinner. The question is not whether institutions can change; it is whether people can still wait.

Fourth: The steady state is not the destination; it is the starting point. The steady state cannot give you meaning, but it can give you a container—a container safe enough, stable enough, for meaning to grow on its own. In the steady state, people no longer toil just to survive; they begin to live for themselves. That is not "lying flat." That is "becoming oneself." Becoming oneself does not require answering "why do I live," because when you have already become yourself, you are already inside the answer.

Taken together, these four statements form the core of this piece:

Standing at the thirty years behind us, looking at the ten years ahead—this is not prediction; it is deduction. It is not imagination; it is inevitability. The process of deduction has been written out. What remains cannot be done with words.

Final Words—Them, Us, Institutions, and AOS

I have finished writing. Everything that needed to be said has been said.

But there is one thing I must say again, right at the end. It is the starting point of the entire deduction, and it is also the endpoint. It is the one thing you should remember after reading all of this:

One: Thirty Years, and Ten Years

For the past thirty years, there was no AOS.

Without AOS, the system could still run on "suppression." You exploited labor, and they dared not leave. You denied them the two-day weekend, and they dared not

stay home. You let institutions fail, and they had no choice but to shoulder everything themselves. That system was brutal, but at least it could keep turning. Because people were still there, still working, still consuming, still holding the entire system up. You did not need them to be happy; you only needed them to be alive. As long as they were alive, the system would not stop.

But after AOS arrives, this logic breaks.

Because AOS does not need people. It does not need you to be happy, and it does not need you to be alive. It only needs electricity and code. It can produce, it can serve, it can replace everything you once did. You can leave, and it can take over. You can quit, and it does not care. You can even stop living, and it will not pause.

This is the dividing line between the past thirty years and the next ten. In the past thirty years, without AOS, the system could still survive by exploiting people. In the next ten years, with AOS here, exploiting people no longer makes sense—because you cannot exploit a system that does not need you.

While I was writing this piece, many people asked me: what exactly are you writing about? Economics? Institutions? Technology? People?

I thought about it for a long time, and then I realized: I am writing about time.

I am writing about this: in the past thirty years, without AOS, we took a detour. Now AOS is here. The next ten years are our last chance. If we can use these ten years to turn the direction around, to repair the institutions, to lay the safety net, to catch people as they fall—then AOS will not be a disaster; it will be liberation. If we cannot, then AOS will be the end. It will not end a particular industry, a particular job, or a particular group. It will end the very existence of "the human being as labor." When you no longer need him, he ceases to be.

So I am not writing this piece to tell you "what the future will be like." I am telling you:

Two: Them—People from All Over the World

I want to say some names. They have appeared throughout the deduction. They are real people, from different countries, different systems, different fates. But they all live in this era, all swept up by the wave of AOS.

Lin Dong, Chinese, thirty-five years old, vocational school graduate. He spent ten years as a technician at an electronics factory in Shenzhen. He thought he had leveled up, going from assembly-line worker to technician. What he did not know

was that it took him three years to learn how to calibrate the fixtures, but it would take AOS only an hour. After he was replaced, he could not find a job. The mortgage still needed to be paid, the child still needed to go to school, his parents still needed medicine. He started delivering food, running over ten hours a day, earning three or four thousand yuan a month. His knees began to hurt, but he could not stop. He began to wonder: I spent ten years learning something—how did it become worthless overnight?

Liu Jianguo, Chinese, fifty-five years old, from the countryside. He sits at his doorstep from morning till night. He has no job, no income; he lives on money his son sends home. The factory does not want him—too old. The construction site does not want him—not strong enough. Security work rejects him for his appearance; cleaning work rejects him for being too slow. He is alive, but he is "suspended"—nothing holds him up. Every day, all he does is sit, watch the sky, and wait for the days to pass.

Liu Cheng, Chinese, thirty-two years old. He worked seven years at a hardware factory in Dongguan. He used to work eleven hours a day, six days a week, earning six thousand yuan, but he had no life. Later, when the institutions were in place, he earned four thousand yuan, but he had time. He started cooking dinner, helping his child with homework, going fishing on weekends. He earned less, but he lived better. Before, he earned six thousand but had no life. Now he earns four thousand but has a life.

Zhou Yuan, Chinese, thirty-six years old, vocational school graduate. He worked twelve years at an electronics factory in Dongguan. He is luckier than Lin Dong—he has not been replaced yet. But every day he can see replacement closing in. He is not anxious, because he has already lost the capacity for anxiety. Anxiety takes energy, and he has none left. He just walks into the workshop every day, finishes his work, goes home, sleeps. He is not lazy; he is just too tired. He needs to recover first, before he can think about the next step.

Xiao Min, Chinese, twenty-four years old, associate degree. She works customer service at a company in Changsha. She takes over a hundred calls a day—yelled at, shouted at, complained about. Her voice is sweet, but her stomach hurts. She knows AI will replace her sooner or later. She wants to go learn baking, but she dares not, because she would have no income. If the system gave her a basic safety net, she would go.

Chen Ping, Chinese, fifty-three years old, from Jiangxi. When he was young, he went to Guangdong to work, spending fifteen years in an electronics factory. Later, the factory automated, he was laid off, and he went back to his hometown. He sits at his doorstep, watching the sky every day, waiting for his son to send money. His days are frozen. He does not know how tomorrow will pass; he only knows that today has not yet ended.

Now, I want to talk about those who are not in China.

Thor, American, thirty-eight years old, from Ohio. He worked twelve years at a medium-sized machining factory, rising from operator to production line supervisor. After the factory introduced AOS, he was not laid off, but his job changed. His new title is "Process Coordinator"—standing between people and AOS, translating AOS's decisions and the workers' intuition, finding the balance point between them. He does not "replace AOS," nor is he "replaced by AOS"; he "stands beside AOS, doing what AOS cannot do." He works seven hours a day and is not tired when he gets off. He has time to work out, time to go to the countryside with his girlfriend. He is not just "staying alive"; he is "living his life."

Lucas, American, twenty-four years old, Thor's son. He did not go to college after high school, drifting from odd job to odd job, never holding one for more than six months. At nineteen, he started using drugs, which later turned into synthetic drugs. Thor sent him to rehab twice; he got out each time, and each time he relapsed. The third time, the police pulled him over, and he was kicked out of the house. He had nowhere to go. He slept on friends' couches, stayed in shelters, spent nights on park benches. Then the economic safety-floor channel began to operate—as long as you are a citizen, as long as your income is below a certain line, you receive a fixed subsidy every month. He received it. Not much, but enough to rent a place—a room with a window, a door, a lock. He had a place to live. He knew there would be money for food tomorrow. He began to settle down. He joined a community mutual-aid group and started doing part-time work. He did not "get better"; he was "caught." After being caught, he slowly began to get better.

Yamada Kenichi, Japanese, forty-five years old, workshop director at a medium-sized manufacturing company in Tokyo. He has worked at the same company for twenty years. After AOS was introduced, the company laid off a third of its workers, but he stayed. His title did not change, but the content of his work did. His new job is managing AOS maintenance schedules, assessing production anomalies, and coordinating the interface between manual and automated operations. He works less than before, but his responsibility is greater. He never worries about

unemployment, because Japan's institutions run deep enough—severance pay, reemployment training, unemployment benefits, layer upon layer holding him up. He is not wealthy, but his life is stable and predictable. He works five days a week and goes fishing on weekends. He is not "adapting" to AOS; he is "adjusting" alongside AOS.

Kim Soo-hyun, South Korean, thirty-three years old, operations specialist at an e-commerce platform in Seoul. More than half of her work has been replaced by AOS—data analysis, report generation, inventory forecasting, all automated. She was not laid off, but her role changed: from "the person who does data" to "the person who reads data," from executor to judge. Her working hours shortened, and her income did not drop. She leaves work on time every day, goes to cooking class, and has dinner with her parents on weekends. South Korea's labor laws protect her—the two-day weekend is rigid, overtime requires the employee's written consent, and social insurance coverage is sufficient. She knows that even if the company lays her off, she will receive substantial severance and at least six months of unemployment benefits. She lives in a country of "institutional presence," so she does not need to devote her entire life to work; she can devote part of her time to living.

Eirin, Norwegian, thirty-five years old, project lead at an architectural design firm. She works four days a week, seven hours a day. AOS handles all the modeling, quantity takeoffs, drawing generation, and verification for her. What she needs to do is judge what the client wants, whether the design direction is right, and whether there is a gap between AOS's drawings and human expectations. She does not do grunt work; she makes judgments. She is not tired, so she has moved on. She goes home, cooks, exercises, watches shows, takes walks with her husband. She knows she does not need to save too much money, because the state provides a safety net for old age, health insurance for illness, subsidies for unemployment. Her sense of security comes not from savings, but from institutions. She lives in a country with complete institutions, so her days are "spacious"—spacious enough that she can do whatever she wants, and it is also fine to do nothing.

Rajiv, Indian, thirty-nine years old, production supervisor at a medium-sized electronic components factory in Bangalore. His factory uses AOS, but it has kept a group of people for coordination and management. His job is not stable, but it is broadly sustainable. He is not a technical expert; he is a "coordinator." But he dares not stop, because the institutions beneath his feet are hollow. In India, institutions cannot be disentangled from religion, cannot be disentangled from caste, cannot be disentangled from those things that lie outside the system. They are not written into

the law, but they are written into people's hearts, written into the cracks of reality. His safety-floor channel cannot be built—not because no one wants to build it, but because building it would be pointless. Money sent down gets skimmed; rules set up get circumvented. After deducting the mortgage, school fees, utilities, transportation, and daily expenses from his monthly salary, almost nothing is left. If he loses his job one day, the entire household will grind to a halt immediately. So he dares not take leave, dares not fall sick, dares not stop. He can only soldier on. He knows he will probably never be better off in this lifetime, but he hopes his daughter will not be like him, living in a state of suspension. His days are "tight"—suspended, liable to snap at any moment.

Fatima, Somali, twenty-six years old. She is not inside the "steady state." She is outside it. She has no job, no income, no direction. Her country has been bypassed by the global system. AOS has not entered; no factories have opened; no orders have ever come. She lives in a small hut that barely keeps out the wind and rain, together with her mother and her younger brother. They eat one meal a day—not necessarily rice, sometimes just a few flatbreads, washed down with water. She does not fantasize about the future, because she knows there is no future. She just lives, waiting for tomorrow. She does not know what AOS is, she does not know what ASE is, she does not know what the steady state is. She only knows that today she is still here, and tomorrow she might be too. But she does not know why she should keep being here. She sits at her doorstep, watching the road at the village entrance. The road is a dirt road, full of potholes; no car will ever stop here. She is not "lonely"; she is "nonexistent." In this world, no one thinks of her, no one mentions her, no one needs her. Her days are "empty"—empty of content, empty of direction, so empty that even "hope" does not exist.

Musa, West African, thirty-one years old. He worked ten years as an assembly-line operator at a foreign-owned factory. He thought he would keep working there forever, because his father had retired from the same factory after twenty years. After AOS arrived, the orders left faster than expected. The factory's machines stopped; the raw materials stopped coming; the containers stopped coming; the boss stopped answering the phone. He waited three months but heard no news of a production restart. He went to the factory gate; it was locked. He has no other skills, no other way out. All he has is an old house his father left behind—a mud house with no electricity, no water, a leaking roof. He sits on the dirt road at the village entrance; no car will stop. He is in no one's future. He lives in a place that has been bypassed; everything outside is irrelevant to him.

These people come from different countries, different systems, different fates. But they share one thing in common: they all live in this era, all swept up by the wave of AOS. Their fates depend on where they stand—on whether the institutions of that place can catch them.

If you look closely at these names, you will see a line.

On one side of the line are Thor, Yamada Kenichi, Kim Soo-hyun, Eirin. Their institutions are present. AOS came, and they did not shatter. They were repositioned, redefined, reconnected to the system. Their days are not perfect, but they are "spacious"—spacious enough for margin, spacious enough to make mistakes, spacious enough to stop and think.

On the other side of the line are Lin Dong, Liu Jianguo, Fatima, Musa. Their institutions are absent. AOS came, and they shattered directly. No one caught them, no one repositioned them, no one told them where to go next. They were not "eliminated"; they were "forgotten." Elimination means you still had value but were discarded; forgetting means you were never part of the calculation in the first place.

And in the middle of the line is Rajiv. He hangs there. The institutions are not entirely absent, but they are not entirely present either. They can give him a job, but they cannot give him security. They can keep his factory running, but they cannot stop those who skim the subsidies. His days are "tight"—not shattered, but liable to shatter at any moment. He dares not stop, because he knows there is no net underneath.

These three groups represent the three possible fates of humanity in the age of AOS. Which group you belong to does not depend on who you are, does not depend on your ability, does not depend on your effort—it depends on whether the institutions beneath your feet have a net.

You might think that human civilization is the pyramids, the Great Wall, Shakespeare, relativity, the moon landing. The great, the dazzling, the things written into history books. But what I want to say is that human civilization is also Lin Dong, Liu Jianguo, Thor, Lucas, Yamada Kenichi, Kim Soo-hyun, Eirin, Rajiv, Fatima, Musa. It is the people who stood on assembly lines for ten years, the people who sit at their doorsteps waiting for their children to send money home, the people who were bypassed by the system and never mentioned again.

Civilization is not just the names at the top. Civilization is the sum of all who have ever lived. If you only record the top, you have only recorded half. The other half is silent, consumed, forgotten. But they also lived, also worked, also loved, also

feared, also once believed that tomorrow would be better. They, too, are part of civilization.

Us—Those Who Read This

Having spoken of them, I want to speak to you.

If you are reading this piece, it means you have already been drawn in. You are not Fatima—Fatima would not read this; she has no electricity, no internet, does not know what AOS is. You are not Lin Dong—Lin Dong is too tired; he has no time to read tens of thousands of words of deduction. You are not Liu Jianguo either—Liu Jianguo sits at his doorstep; he does not need to know what institutional stress response is; he only needs to know whether there will be food tomorrow.

You are reading this. That means you have a choice.

You can choose to close it after reading and go on with your life. You can choose to forward it to someone, so that they see it too. You can choose, within the sphere you can reach, to do something you are capable of doing—not to change the world, but to reach out and pull up the person beside you who is falling.

This is not moral blackmail. I will not say "you must do something." Because I know that most of the people reading this piece are themselves hanging in the balance. You too are soldiering on, you too are afraid, you too do not know whether tomorrow will be worse. You owe no one an action.

But what I want to say is this: this piece was not written to make you anxious. It was written so that you know what you have been through, why you have been through it, and—which way to go.

You do not need to become Lin Dong, and you do not need to become Thor. You only need to know one thing: this system is not divine will; it can be changed. Those things that make you feel "there is no way out"—they exist because institutions are absent. When institutions are present, people can be caught. Lucas was caught, Thor was caught, Eirin was caught. They are not harder-working than you, not smarter than you, not luckier than you—they simply live in a country where institutions are present.

And institutions are built by people. What people build, people can change.

Three: What Are Institutions?

While writing this piece, I kept thinking about one question: what exactly are institutions?

They are not the provisions written on paper. Those are just words. Institutions are what the words become once they land—the wall, the line, the thing that can block something.

Institutions are a line. On this side of the line is what is permitted; on the other side is what is not. Their function is not to "manage"; it is to "draw." To draw a bottom line and tell everyone: you can go this far, but no further. Any further, and someone will get hurt, someone will be crushed, someone will not be able to survive.

The meaning of institutions' existence is that this line genuinely has binding force. If someone crosses the line, they will be punished. If no one crosses the line, it is because the line's very existence is already working. Institutions are not decorations written on paper; they are walls standing in reality. The purpose of a wall is not to "look good"; it is to "block." To block the things that should not happen, to block the behaviors that harm people, to block the forces that would cause the system to collapse.

Institutions are the stretch of road between people and the economy. They constrain people, and they guide people. They protect people, and they manage people. They allow people to enter the economy, and they prevent the economy from devouring people.

So institutions should be the guardrail that stands between people and the economy. They should not lean toward capital, nor toward labor. They should stand in the middle, maintaining a balance in which both can survive.

But that is not how it is now. In too many places, institutions do not stand between people and the economy; they lean to one side. They lean toward the economy, toward capital, toward the enterprise. They watch the economy devour people, and they do nothing. They take the taxes people pay, but they do not protect people. They draw a line, but that line blocks no one. When institutions fail, the economy spirals out of control, and people are ground to dust.

This is what I spent ten years verifying. It is not that institutions do not exist; it is that they are not present. They occupy the position, but they do nothing. They take the money, but they do not deliver. They write the law, but they do not enforce it. So people can only shoulder everything themselves. Those who can bear it survive;

those who cannot shatter. And those shattered people—the middle-aged man sitting at his doorstep, the young person struggling to hold on in the city, the person replaced by AOS with nowhere to go—they are the evidence of institutional absence.

Now, let me make this clear with the simplest comparison.

When institutions are present, what happens when AOS enters the market?

Companies begin replacing people with AOS. People are laid off. But the institutions are there. The institutions say: you can lay people off, but you must pay severance. You must provide a transition buffer period. You must hand over a portion of your profits as a reemployment fund. The person is laid off, but there is a net underneath. They receive a sum of money, enough to live on for a few months. They enter reemployment training and learn new skills. They find a new job—not the position they were replaced from, but a new position collaborating with AOS. They fell, but they were caught.

When institutions are absent, what happens when AOS enters the market?

Companies begin replacing people with AOS. People are laid off. The institutions are not there. Companies give no severance, no buffer period, nothing at all. The person falls straight down. They have no money, no training, no new skills. They cannot find a job, because AOS has already replaced that position, and new positions require new skills that they do not have time to learn. They start delivering food, but food delivery is also being replaced by AOS. They start borrowing money, but they cannot borrow enough. They begin to despair. They shatter.

Same AOS, same technology, same market—the only difference is the institutions. Institutions present, and people are caught. Institutions absent, and people shatter. The difference is one word: net.

Four: The Institutions of Any Country Should Know What to Do

I did not write this piece for just one country. I wrote it for the institutions of all countries.

Because AOS will not land in only one country. It will land everywhere. It will not ask whether you are a developed country or a developing country, whether your institutions are complete or fragmented, whether your people are ready or not. It just comes. And then the institutions you are in determine whether you are caught or swept away.

The institutions of any country, upon seeing these things, should know what to do.

This is the most fundamental thing. Institutions cannot sit there doing nothing. They must stand in the position they are meant to stand in, draw that line, and defend that line. Whoever crosses the line is punished. Whoever is harmed is protected. When institutions are present, people have something to rely on. When institutions are absent, people can only shoulder everything themselves.

Look at Thor and Eirin. The countries they live in have institutions that are present. So when AOS came, they were not swept away. They adjusted their positions and kept standing. Look at Fatima and Musa. The countries they live in have institutions that are absent. So when AOS came, they were directly bypassed. They have no position to stand on.

The institutions of any country, upon seeing this, the first thing they should do is: stand up, walk to that position, and start doing the work.

What is suppression? Suppression is when institutions do nothing, leaving laborers to bear all the pressure alone. It is when institutions transfer all the pressure onto the people at the very bottom, making them carry it, making them endure it, making them shatter. Suppression extracts from above and presses down from below. Suppression leaves people with no choice. Suppression is when you pay taxes, but nothing is given back to you.

What is stress response? Stress response is when institutions react to pressure. It is not the absence of pressure, but the presence of pressure along with a response. It is not collapsing under pressure, but generating a corresponding force to resist it, adapt to it, recover from it. Stress response releases downward and supports upward. Stress response restores choice to people. Stress response is when you pay taxes, and the institutions genuinely work for you.

Look at Yamada Kenichi and Kim Soo-hyun. The institutions of Japan and South Korea have "stress response." AOS came, and they responded—not by blocking AOS, but by adjusting institutions to absorb the shock. People were not simply thrown away; they were repositioned. Look at Rajiv. India's institutions practice "suppression." They are not protecting people; they are just making people shoulder everything themselves. Rajiv dares not stop, because he knows the institutions will not catch him.

The institutions of any country, upon seeing this, should ask themselves one question: are my institutions suppressing people, or are they responding with stress?

If they are suppressing people, they are pushing people toward a dead end. If they are responding with stress, they are enabling people to stand and live.

There is only one direction: shift from suppression to stress response.

AOS will not wait for you. It is already here. If your institutions are still "taking it slow," still "waiting for the economy to improve," still "studying and researching"—then you will not make it in time. Because AOS replaces people faster than you can repair institutions. By the time you pass one law, AOS has already replaced a million people. By the time you build one safety-floor channel, AOS has already replaced ten million people. You cannot catch up to it.

So institutions must run ahead of AOS. The safety net must be laid before AOS achieves large-scale adoption. With the net laid, when people fall, they can still be caught. Without the net laid, when people fall, they shatter directly.

Look at Lucas. America's institutions had the embryonic form of a safety-floor channel before AOS arrived. So when he fell, he was caught. He did not "get better"; he was caught. After being caught, he slowly began to get better. Look at Fatima and Musa. Their countries have no safety-floor channel. When they fell, there was nothing underneath.

The institutions of any country, upon seeing this, should know: time is not on your side. You only have now. If you do not act now, it will be too late forever.

What does a safety floor mean? It means institutions lay a net at the very bottom. No matter what happens, no matter how many people AOS replaces, no matter how the market changes—institutions must guarantee one thing: people will not fall straight down.

A safety floor is not charity. A safety floor is "connection." It is reconnecting those whom the system has already bypassed back into the system. Giving them money, enabling them to consume, enabling them to participate in the market. They are no longer forgotten; they are part of the system's operation. When they live, the system lives. When they consume, the market turns. When they are present, the economy is present.

Look at Eirin. Norway's institutions provide a floor beneath her. She does not need to save a lot of money, because she knows there will be a pension in old age, health insurance for illness, subsidies for unemployment. Her sense of security comes from institutions, not from savings. Look at Rajiv and Fatima. Their

institutions provide no floor. They dare not stop, because they know there is nothing underneath.

The institutions of any country, upon seeing this, should ask themselves: do my institutions have a safety net? If a person falls, is there anything to catch them? If not, then lay it now. Because the speed at which you lay the net determines how many people will shatter.

This is a fundamental question of direction. The institutions of the past protected "labor"—you work, and I protect you. You do not work, and I am done with you. You are in the production system, and I protect you. You are not in the production system, and you are left to fend for yourself.

But after AOS arrives, this logic breaks. Because many people will stop working, will no longer be in the production system. But they are still alive. They still need to eat, still need housing, still need medical care, still need to live. Institutions cannot say "I am done with you because you no longer work." Institutions must protect "people," not "labor."

Look at Lucas. He does not work, but the institutions still caught him. Because he is a "person," not "labor." Look at Fatima and Musa. They also do not work, but the institutions did not catch them. Because their institutions only protect "labor," and they are no longer "labor."

The institutions of any country, upon seeing this, should ask themselves: do my institutions protect "people" or "labor"? If they only protect "labor," then after AOS arrives, they will have no one left to protect. Because labor is disappearing, but people remain.

Everything I have done is not about "reshaping" the economy. It is about "aligning with" the economy.

The flow of the economy moves from the bottom upward. People at the bottom consume; the lower-tier market is activated; demand from the lower-tier market transmits to the upstream; upstream production drives employment; employment creates more consumption. This is a complete, bottom-up cycle.

Going against the flow means you have built a wall where the economy is meant to flow. You have suppressed workers' incomes, depriving them of purchasing power—you have blocked the source of consumption. You have extended workers' hours, depriving them of time to consume—you have blocked the window of consumption.

You have let money circulate idly in the financial system, preventing it from reaching the bottom—you have cut off the flow of water.

Aligning with the flow means dismantling these walls that have been built. Restoring the two-day weekend is dismantling the "working-hours wall." Raising taxes is dismantling the "capital diversion wall." Eliminating subsidies is dismantling the "artificial demand wall." Sending money to the bottom is redirecting the water back into the dried-up riverbed. Banking reform is removing the rock that blocks the middle of the river.

The institutions of any country, upon seeing this, should ask themselves: are my institutions aligning with the flow of the economy, or going against it? If they are going against it, they should stop, turn around, and go with the flow. Because those who go against the flow will not get far.

This is the last point, and the most important one.

Institutions are not the end. Institutions are a tool. The sole reason for their existence is to enable people to live, to live like human beings. Not for GDP, not for growth, not for numbers—for people. For the middle-aged man sitting at his doorstep in the countryside. For the worker who repeats the same motion three thousand times in the factory. For the young person struggling to hold on in the city. It is they—their needs, their labor, their consumption—who constitute the entirety of the economy.

If institutions forget this, they are no longer institutions. They are just an empty shell. They occupy the position but do nothing. They take the money but do not deliver. They write the law but do not enforce it.

The institutions of any country, upon seeing this, should remember one thing: the sole reason for your existence is to enable people to live, to live like human beings. If you cannot do that, you do not deserve to be called institutions.

These seven points are not suggestions, not proposals, not "if possible." They are the results of deduction.

What is deduction? Deduction is: if A, then B. If B, then C. If you do not reach C, you will return to A, and A will be worse. This is not what I "feel" should happen; it is what I have deduced from all the facts and logic. If you do not believe it, you can go through the deduction yourself. When you finish, you will arrive here too.

Of these seven points, you can skip one, but the price is that the other six will all fail. If institutions are not present, stress response is meaningless—because there is

no one to execute that response. If institutions are not ahead of AOS, the safety floor comes too late—because people have already fallen, and laying the net afterward is too late. If institutions do not protect "people" but only "labor," alignment has no direction—because you are aligning with the old system, not the new reality.

They are not seven independent suggestions; they are a whole. They are seven links in a single chain. Remove one, and the entire chain breaks.

Five: What Human Civilization Should Look Like

I have thought about this for a long time, and I think the answer is very simple:

It is nothing profound. It is simply allowing a person, from birth to departure, to live like a human being. To stand, not kneel. To choose, not to be arranged. To rest, not to be exhausted. To be seen, not forgotten. To speak, not to be silent. To love, not to be numb. To grow old, not to be thrown away.

This is the most basic bottom line of human civilization. It is not "make everyone happy"; it is "do not let anyone be treated as an object." It is not "make everyone successful"; it is "do not let anyone lose everything just because they failed." It is not "make everyone rich"; it is "do not let anyone be unable to survive just because they are poor."

Civilizations of the past were built on the backs of people. The pyramids were built with people. The Great Wall was built with people. The Industrial Revolution was built with people. People were treated as tools, as fuel, as costs. People lived so that civilization could march forward. But as civilization marched forward, people were left behind. They built the pyramids, but the pyramids do not bear their names. They built the Great Wall, but the Great Wall bears no trace of them. They drove the Industrial Revolution, but after the Industrial Revolution, they were still poor.

Because AOS no longer needs people as fuel. It can produce by itself, run by itself, move forward by itself. People no longer need to be treated as tools. People can do the things that only people can do: create, accompany, think, feel, become themselves.

But the premise is—institutions must first catch people. If AOS arrives and institutions are absent, people will go from being "exploited" to being "discarded." That is not liberation; that is the end. That is the regression of civilization.

Look at Eirin. She lives, and not just lives. She is becoming herself. She has choice, she has time, she has margin. She lives in a country with complete

institutions; the institutions provide a floor beneath her, so she can do what she wants to do.

Look at Fatima. She lives, and only lives. She has no choice, no time, no margin. She lives in a country with absent institutions; the institutions provide no floor beneath her, so she can only sit, waiting for something that will never come.

Both are human beings, yet their fates are entirely different. The difference is not in themselves; it is in the institutions they live under.

For the first time in history, humanity may not need to use "people" to drive civilization forward.

This is a monumental turning point. Over the past several thousand years, civilization moved forward on the backs of people. People farmed, people fought wars, people built roads, people tightened screws, people wrote code. Every step civilization took forward, it stepped on human shoulders. Some of those shoulders were bent, some were crushed, but civilization did not care—civilization only cared about moving forward.

AOS changes this equation. Civilization can move forward, but it no longer needs to step on human shoulders. It can move on its own. This is the first time in human history that "progress" and "sacrifice" are no longer bound together. You can move forward while leaving people behind—not "leaving behind," but "letting go."

But "letting go" and "discarding" are two different things.

Letting go is liberating a person from the position of a tool, allowing them to become human. Discarding is kicking a person off the position of a tool and then ignoring them.

The difference lies in institutions. Institutions present, and it is letting go. Institutions absent, and it is discarding.

So the civilization of the AOS era is not a technology problem; it is an institutional problem. The technology is ready—it can replace people, and it can also liberate people. But the institutions are not yet ready—they are still protecting "labor," not knowing that "people" no longer need to be protected; they need to be "caught."

Six: Why This Must Be Done Now

AOS will not wait for you. It is already on its way. You see factories laying off workers, you see customer service going AI, you see logistics going unmanned—those are not "future trends"; they are "replacements already underway." Every person replaced means one fewer consumer. Every consumer lost means the market shrinks by a fraction. As the market shrinks, companies need AOS even more to cut costs. With costs cut, it replaces even more people.

This is an accelerating cycle. It will not stop. You can only race ahead of it and lay the safety net. With the net laid, when people fall, they can still be caught. Without the net laid, when people fall, they shatter directly.

So this must be done now. Not next year, not the year after, not when policies are ready, the economy is better, or the timing is right. Now. Because AOS will not wait for you. It is already on its way.

If you do nothing and continue on the current path—continue pumping money into enterprises, continue relaxing institutions, continue tolerating the absence of the two-day weekend, continue letting money circulate idly in the financial system—what will you see in five years?

You will see: the middle-aged people in the countryside still have no work, but now their children are unemployed too. You will see: young people graduate into unemployment, then give up on finding work entirely. You will see: Lin Dong, after being replaced, has nowhere to go; food delivery and ride-hailing are also being replaced, and he has lost even his last buffer. You will see: institutions still do not protect them; enterprises no longer need them; the market has left no place for them.

This is not a process of "gradually getting worse"; it is a process of accelerating decline. The speed at which AOS replaces labor is accelerating, while the speed of institutional response is zero. A rapidly changing market, paired with a completely immobile institutional framework—the tension in between will tear the system apart.

If you do those things—restore the two-day weekend, raise taxes, eliminate subsidies, send money to the bottom, push through banking reform, liberalize land—and race ahead of AOS's large-scale adoption to lay the safety net, what will you see in five years?

You will see: AOS has arrived, but people have been caught. They have not been eliminated; they have been "liberated." They have a safety net beneath them, basic income to sustain them, the power of choice in their hands. They no longer need to "must work to survive." They can go learn new things, try new things, explore new possibilities.

You will see: purchasing power at the bottom has been injected, and the market is alive. The things AOS produces have buyers. Because the safety net has placed purchasing power in people's hands. The market has not been destroyed by AOS; on the contrary, because AOS has lowered production costs and the safety net has sustained consumption capacity, it has become more efficient and more balanced.

You will see: institutions are responding with stress. They are no longer an empty shell. They enforce taxation, enforce distribution, enforce protection. They stand in the position they are meant to stand in—drawing a line so that capital cannot expand without limit, so that people will not fall straight down.

You will see: people have become human again. Not "labor," not "cost," not "resource." People are people. People have time, have choice, have dignity. People can do what they want to do, go where they want to go, live the life they want to live.

This is the hallmark of qualitative change within five years. It is not GDP doubling, not being number one in the world, not surpassing America. It is the people sitting at their doorsteps standing up. It is the people struggling to hold on having a choice. It is the people who slipped through the system being caught. It is the market coming alive. It is the institutions waking up. It is people becoming human again.

Of the two five-year scenarios above, which one do you choose?

It is not a question of "which one is better"; it is a question of "which one will happen." The direction is not in my hands, not in any single person's hands—it is in the hands of those who read this. In the hands of every person who can make a decision. In the hands of every person who can vote. In the hands of every person who can speak with their own voice.

You cannot say "I choose the second one, but I will not do anything." Because the second five-year scenario will not happen on its own. It needs people to push for it. It needs institutions to be reshaped. It needs walls to be torn down and nets to be laid. It needs someone to stand up and say: enough, it cannot go on like this.

Seven: Final Words

While writing this piece, I kept thinking of one person.

Not Lin Dong, not Thor, not anyone I have written about. It is someone whose name I do not know. He might be in the countryside, might be in the city, might be in a factory, might be delivering food. He does not know what AOS is, does not know what institutional stress response is, does not know what a safety-floor channel is. He only knows that there is work today, and he does not know about tomorrow. He does not know he is being replaced; he only notices that work is getting harder and harder to find. He does not know that someone is writing these things; he only feels that living is getting more and more exhausting. He does not know what the future holds; he only hopes that tomorrow will not be worse.

I wrote this piece for him. Not so that he can understand all the deductions, but so that he knows: someone has seen his situation, someone has spoken aloud what he could not say. He does not need to become an expert, does not need to participate in decision-making, does not need to do anything. He only needs to know: what he has been through is not his fault. The system has a problem, and someone is trying to figure it out. He is not alone.

That is enough.

In the past thirty years, without AOS, we took a detour. Now AOS is here. The next ten years are our last window of time. If you can use these ten years to turn the direction around, to repair the institutions, to lay the safety net, to catch people as they fall—then AOS will not be a disaster; it will be liberation. If you cannot, then AOS will be the end. It will not end a particular industry, a particular job, or a particular group. It will end the very existence of "the human being as labor."

I have finished writing. I have written everything I could write. I have pointed out the direction I see. The direction has been drawn. It is in front of you. You have seen it, and you cannot pretend you do not know.

When Lin Dong walked out, no one caught him. He fell. When Liu Jianguo sat there, no one saw him. He disappeared. When Fatima lived, no one remembered her. She was bypassed. When Musa sat there, no car stopped. He was left behind.

These people should not have been treated this way. They lived, they tried, they believed. They should not be forgotten. They should have a place in the record of civilization. Not for commemoration, but as a reminder: civilization does not belong only to those at the top. Civilization belongs to everyone.

AOS is here. The next ten years are a turning point for human civilization. They could become the decade that "liberates people," or they could become the decade that "discards people entirely." The direction is in our hands.

I have already pointed out the direction. What remains is the business of every person who reads this. You can walk, or you can stop. You can act, or you can do nothing. But you cannot say "I did not know." Because now you know.

If you are a decision-maker in a country, reading this—you should know what to do now. Not wait, but act. Not patch things up, but reshape. Not protect capital, but protect people. Not suppress labor, but stress-respond with institutions.

If you are an ordinary person, reading this—you should also know what to do now. Not to wait for someone else to save you, but to first stay alive, first hold on, first see the direction. Then, wherever your strength can reach, do what you can do.

I did not write this piece to change the world. I wrote it so that those who have already seen the problem know they are not alone. So that those who are going through the same things know it is not their fault. So that those who are still hesitating can see a direction.

Finally, I want to say one thing. It is not a deduction, not a conclusion, not a suggestion. It is the thing that has been on my mind the entire time I was writing this piece:

After AOS arrives, you no longer have to be "labor." You can go and be yourself. But the premise is—institutions must first catch you. When you fall, there cannot be emptiness beneath you.

So this must be done now. Not because we are ready, but because there is no time left.

I have finished writing. What remains is your business.

The direction has been pointed out. Whether you walk it is your business.

If you do not know where to start—start with these names. Lin Dong, Liu Jianguo, Liu Cheng, Zhou Yuan, Xiao Min, Chen Ping. Thor, Lucas, Yamada Kenichi, Kim Soo-hyun, Eirin. Rajiv, Fatima, Musa.

Remember them. They are not numbers, not case studies, not "labor." They are people just like you. They lived, they also feared, they also hoped. Remember them, and when you make decisions, think of them.

That is enough.

Finally, one more reminder:

Thank you for your participation, cooperation, and support!